Bharti Hexacom (BHARTIHEXA)

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Call: May 2024

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CIN: L 74899DL1995PLC067527
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National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcript of the E arnings Call dated May 15 , 2024

Dear Sir/ Ma' am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earn ings Call held on May 15 , 2024 in respect of the audited financial results of the Company for the fourth quarter (Q4) and year ended March 31, 2024 .

The transcript of the call is also uploaded on the Company's website i.e.
https://www.bhartihexacom.in/results -quarterly -results.html

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Richa Gupta Rohatgi
Company Secretary & Compliance Officer
Membership No.: A24446
Address: Bharti Crescent, 1, Nelson Mandela Road,
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Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Fourth Quarter Ended March 31, 2024 Earnings Conference Call

Fourth Quarter Ended March 31, 202 4 Earnings Webinar

Event Date/Time: May 15, 2024/1430hrs.

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Fourth Quarter Ended March 31, 2024 Earnings Conference Call

 CORPORATE PARTICIPANTS

Mr. Gopal Vittal
Managing Director & Chief Executive Officer, Bharti Airtel Limited

Mr. Soumen Ray
Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
Joint Managi ng Director, Bharti Ente rprises

Mr. Naval Seth
Head of Investor Relations, Bharti Airtel Limited and Bharti Hexacom Limited

Mr. Akhil Garg
Financial Controller, Bharti Airtel Limited and Chief Financial Officer, Bharti Hexacom Limited

PRESENTATION

Vaidehi Sharma – Moderato r

Good afternoon, ladies and gentlemen. I am Vaidehi Sharma, the moderator for this webinar. Welcome to the Bharti Airtel Limited
and Bharti Hexacom Limited fourth quarter ended March 31, 202 4 Earnings Webinar.

Present with us today is the senior leaders hip team of Bharti Airtel Limited and Bharti Hexacom Limited . I must remind you that the
overview and discussions today may include certain forward -looking statements that must be viewed in conjunction with the risks
that we face. Post the management openi ng remarks, we will open up for an interactive Q&A session. Interested participants may
click on “Raise Hand Option” on your Z oom application to join the Q&A queue. The p articipants may click this option during

the
management opening remarks itself to ensu re you find a place in the queue. Upon announcement of name, participants to kindly
click on “Unmute Myself” in the pop up screen and start asking the question post introduction.

W

ith this, I would now like to hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

Thank you very much. A very warm welcome to this earnings ca ll. With me on the call I have Soumen, our CFO; Harjeet , Naval and
Akhil Garg .

I want to start by th anking our investors for showing confidence in us through the recently concluded Bharti Hexacom IPO. This
speaks well about the brand Airtel, about our execution capabilities, high standards of integrity and corporate governance.

This quarter’ s earning s call focus will be on a stock take of FY2024 . In addition , I will provide an update on the development of our
strategy .

A quick update on ESG, we were recognized globally for our ESG initiatives. We were awarded the most sustainable emerging
market telco as per future investment initiative institutes top 250 emerging market ESG ranking. We were also included in the S&P
Global ’s Sustainability Yearbook in 2024 in recognition of our sustainability efforts for the third year in a row. F inally, we were awarde d ISO certification for over 27,000 sites across our operations including our network MSCs by DNV which is one of the
leading global providers of accredited management system certification.

We continued the momentum on our ESG initiatives. We are industr y first in India , we partnered with IDEMIA Secure Transactions
to switch from virgin plastic to recycled PVC SIM cards. The initiative will limit generation of over 165 tonnes of virgin plastic leading
to a reduction in C O2 equivalent of 690 tonnes in a ye ar. On diversity we made significant progress in FY2024, the share of women
in our workforce moved up by over 40% in just one year and all our stores are now gender balanced .

Let me turn to our financial performance with a quick roundup on the full year 2 024. O verall, we delivered another solid year. Our
consolidated revenue came in at just under 150,000 Crores and was impacted by currency devaluation in Africa. India performance
was steady despite the continued absence of tariff repair. EBITDA margins wer e at 53.8% a 1 .6% expansion despite 5G costs. We
delivered strong operating free cash flow this is EBITDA minus capex of over 25,650 Crores for India despite the higher capex
loading in the year. We paid 16,350 Crores of debt. India net debt to EBITDA is n ow at a comfortable level of 2.86. We expect
further debt reduction going forward.

Performance continues to be based on solid execution and we saw sustained growth across all businesses. We hit a lifetime hig h in
revenue market share across all our busin esses. On mobility every single one of our circles gained share. We also saw green
shoots emerging on DTH. I do want to underscore that we have a simple and very clear strategy winning with quality customers,
delivering a great experience for them, putting digital at the core of all we do and stripping out waste. We expanded our network

 rapidly. We rolled out 5G at tremendous speed it is now available across the country. We rolled out about 43,100 network

sites and
55,982 kilometers of fiber. Our bet on NSA which is a non -standalone technology paid off it just not only saved us capex it also
delivered superior experience as evidenced by the recognitio n from the likes of open signal, which is an independent standard to
assess the experience on networks.

Movi ng to the Q4 performance in specific , we delivered a strong end to the year. We had strong revenues in operating margins .
Consolidate

d revenue of just under 37,600 Crores which was impacted by the Naira devaluation . India delivered a steady growth of 2.5% sequentially with 28 ,513 Crores of revenue . Adjusting for the impact of the Beetel acquisition revenue growth was 1.7% .
EBITDA margins came in at 53.6% again if I adjust for Beet el EBITDA margins were 54.1% . We had a strong oper ating free cash
flow about 6 ,800 Crores which is EBITDA minus capex yet our RoCE for India is 9.5%, which is extremely low for a business that is
so essential to the digital spine of this country . Clearly tariff repair is needed to set this right.

A quick update on each of our segme nts and let me start with the mobility segment . We ended the year on a strong note with 6.7
million REC net ad ds and 7.8 million smart phone net ad ds in the quarter . This was also supported by our structural efforts to fix the
network experience which saw mobile churn reducing from 2.9% in Q3 to 2.4% in Q4. Postpaid net ad ds was steady at 0.8 million .
ARPU came in at Rs.209 and was impacted by one day less in the quarter . This implied that we added Rs.16 to ARPU in FY2024,
the highest in the industry . This consistent i mprovement is led by three key drivers and I have spoken about this earlier . Feature
phone to smart phone upgradation , prepaid to postpaid upgradation and driving higher share of wallet through data monetization as
well as growth in the penetra tion of international roaming . As an industry first Airtel now offers one single roaming pack at one price
point to travel anywhere in the world as well as includes in flight connectivity . Airtel 5G Plus is now available across urban areas and
select rural areas . We continue to expand our coverage despite no monetization in sight. 5G shipments continue to grow steadily
and we continue to gain our fair share, which is reflecting in our growing 5G base as of March this was close to 72 million .

On broadband we grew our customer additions by 1.6 million . However , there was some moderation in net additions to 3.6 lakhs in
the quarter . Broadband is an area we need to do more work particularly given the size of the opportunity . In line with our strategy we
contin ue to expand in the right areas . We expanded our presence to 23 more cities and added 2.2 million fiber home passes in the
quarter . Second our focus on convergence continued with simplification of our convergence propositions by bringing in over 22 OT T
platforms into the Xstream app . 43% of all broadband customer additions are now on our converg e plans . The third part of our
strategy is fix ed wireless access . We are live in 25 cities and currently streamlining the customer journeys . We will be at scale in t he
coming eight weeks . As stated earlier this will only complement FTTH which is fiber to the home with focus on weak fiber areas .

Let me turn to DTH, our strategy of focusing on key markets of the south of Maharashtra and of Bengal combined with our pivo t to
convergence is yielding positive green shoots . Q4 is typically a soft quarter; however, despite the adverse impact of seasonality we
grew our customer base by 9000 in the quarter . On an annual basis after two years of decline we grew our customer base by over
200,000 net ad ds the only operator in the industry to grow customers during this year . We also rolled out a moderate price hike in
the qu arter which was due to broadcasters raising prices was also contributed towards revenue growth .

On Airtel business revenue growth in Q4 was 0.6% sequentially . On an annual basis we sustained a double -digit growth despite
headwinds in our global business . While the global segment continues to be soft and there are some conversations that are

going
on in terms of orders , the domestic business is on a strong foot ing and continues to grow at 18 to 20% .

Payments bank is the other one I want to comment on briefly . Monthly transacting users under 67 m

illion . The annualized revenue run rate is now over 2100 Crores; depo sits remain robust at around 2,800 Crores growing nearly 50% year -on-year. We also had the highest ever quarter -on-quarter growth of 22% on savings bank account balances .

A quick update on our digital businesses . We are now delivering an annualized run ra te of just under 1900 Crores . Our focus remains on CPaa S, on financial services , on IoT, on security and Cloud. These show tremendous acceleration . We saw 50% revenue growth in the last fiscal . Airtel Finance is scaling up well and served four lakh custome rs across loan and car products in FY2024. W e dis bursed loans worth 2,000 Crores .

A quick update on all the five pillars of our strategy .

The first pillar is really to shape the portfolio so as to give us resilience . This continues to be one of our stra tegic drivers . Africa now accounts for 25% of revenues , India mobile at 59% and India non -mobile at 17% . Over the medium term we see strong growth tailwinds in no n-mobile parts of our portfolio homes , B2B, and digital . Africa continues to perform well on a n underlying basis with 3% sequential revenue growth in constant currency terms .

Second pillar of our strategy is to really win with quality customers . As I talk about this let me give you some texture across all parts of the market our homes business , postpaid , rural and B2B . On homes the top 60 million homes in the country contribute 35% of industry revenues and of this broadband penetration is only 40 million and growing . Each of these 60 million households have some relationship with Airt el. To captur e this opportunity our strategy continues to be expanding our fiber presence, driving penetration of our converg e offers to build in stickiness, by leveraging our digital targeting capabilities and lastly to leverage FWA which is fixed wireless access as a complement to fiber. The other critical focus area for us on homes is delivering a superlative experience. We are undertaking a structural programme to rehaul our network infrastructure right from the fiber access terminal outside the home to architecture level fixes on our network. I n addition, we are now refining our ways of working so that we dramatically improve the craftsmanship of the work that our engineers deliver in the home. The fact that we have digital tools to monitor our SOPs and take live pi ctures to authenticate them using artificial intelligence makes this scalable. On postpaid our family plans continue to drive acceleration. We now have over 80 million credit scored customers who m we believe could move to postpa id. Supported by our deep digital analytics our omni channel journeys and our small format stores this segment is poised for growth.

 In rural , the last six quarters have seen a massive rollout of more than 33000 sites. This deployment has met all our action standards both in terms o f absolute yield at the site as well as our competitive performance. As I mentioned in the last call there are many geographies where our market share is weak. This is primarily because we have lesser coverage here. We have commenced another round of expan sion here to plug this gap. We expect to rollout over 25000 sites lower than last year in the next couple of quarters. We are bringing to bear all our digital tools and data science for precise deployment as well as deploying the execution

best practices f rom our rollout last year to turbocharge growth from this deployment.
For B2B the market is large and adjacencies are driving a bulk of the g

rowth . As I mentioned before the top 500 accounts comprise 70% of this market . The emerging business segment commo nly called SME has also started to grow after a couple of years of slowdown . There are three structural actions we are taking to capitalize on the opportunity . First, revitalizing account management to raise our sales teams capabilities to sell solutions . As part of this we have taken all our account managers through what we call a master class . In addition , we have focused more attention on verticals of industries and created virtual vertical teams so that we can learn from what some in the team are doing well. Second , we are fixing our network infrastructure with the aim to achieve best -in-class global standards of performance . Significant i nvestments are being directed into this area . Lastly, we are investing in building digital products coupled with mana ged services . Our managed service facility in Pun e is up and running . We are now looking to strike deep strategic alliances with a few top companies so we can package solutions along with our own . Day before yesterday we announced a strategic alliance with Google to gain a significant share of the Indian Cloud market, which is expected to reach $18 billion by 2027 .

The third pillar of our strategy is the obsession to deliver a brilliant customer experience . There are two parts of experience which we focus on first the digital experience, here we now developed four platforms for our B2C business which is buy , bill, pay, and serve , these are common journeys across all our businesses . These platforms power all our journeys as well as field force management in an omni channel way . Second is the network experience , here we have taken structural corrections as well as leverage our digital tools and analytics to bring down mobile churn by a step margin . On fiber there is a massive drive that we are undertaki ng to fix the structural issues, which plague d our network , be it network infrastructure or the quality of workmanship . I also believe that experience starts with our people . We think of A irtel as having only two types of people those who serve customers and those who serve those who serve customers . It is with this in mind that we had every one of our 20,000 people get out into the market and spend a whole day with our frontline people in March . We do not think this is a one -off but an ongoing ritual in the comp any. In fact , this exercise gave us a number of very strong ideas ranging from digitization , network infrastruc ture upgradation amongst others, which are being put to action now .

The fourth pillar of our strategy is to use our underlying digital capabili ties to incubate new digital businesses . As I have mentioned before we see A irtel in three parts digital infrastructure b oth network as well as data, which I will talk about in a moment , digital experience , and digital services . Our portfolio in digital services which is Airtel IQ, IoT, Cloud, SD-WAN , and Airtel Finance are all getting substantial focus in investment . One of the areas I want to gi ve more texture on today is our secret sauce which is data .
Every telco worth its salt has a data infrastructure . We have taken this further and build what we call a Converg ed Data Engine, which sits on top of this infrastructure and powers it . It is now extending into all our categories and geographies. T he Conver ged Data Engine specifically solves the following pr oblems . Firstly, it has an existing data model which is based on deep telco understanding and is also TM forum compliant . Telcos can simply use the data model as a starting point to make modifications based on their business context . This can be done in we eks as opposed to several quarters if they were to do it on their own .
Second the CD E which is a Converged Data Engine enables ingestion of all the data signals as aggregates across all the datab

ases of a telco. O ur ingestion code allows this to be an auto mated process while ensuring data quality and governance . Third,

the engine
comes with an inbuilt intelligence based on the data signals to throw up the next best action across sales and service for a customer
and is agnostic of the channel . Finally , it comes with an inbuilt CLM which is a Customer Life Cycle Management tool that has patch
out integration capability across all push channels whether it is WhatsApp , messaging , call, e-mail as well as pull channels , app or
integration with other O TT platforms . The CLM also comes with the capability to generate feedback and optimize campaigns based
on AB testing . The strength of the engine is that it comes prepackaged as a full -stack solution . The best value from it is its seamless
functioning across all parts o f the telco. We are now rolling this into Africa and are also in conversation with other telcos in the world .

The fifth and last pillar of our strategy is war on waste . This is really central to how we operate . FY2024 saw optimizing upwards of
2500 Crores of network cost . Network cost per site declined in absolute terms for the second time in the history of the company
despite massive mobile expansion of sites , 5G expansion and increased cost of power . This was enabled through on -ground
execution rigor . We identified 60,000 high cost sites , looked into cost structure of every single site and put together a plan to
optimize cost of the site . The exercise required the leverage of digital tools , data science , and physical work to bring cost down . We
continue to drive a focus ed war on waste program me and believe there is still headroom available for stripping out waste .

To sum up overall it was another good year with growth across the portfolio . We have a lifetime high in terms of market shares
across all our businesses . The momentum on postpaid , B2B, and homes particularly is an area where more work is required and we
are focused on that . Our prudent capital allocation approach coupled with strong execution has been yielding r esults with marginal
improvement i n return ratios even in the absence of tariff repair . Our investments are channelized to future proof Airtel with the focus
of the outline strategy , shaping a resilient portfolio , winning quality customers , obsessing with delivering a brilliant experience , all
enabled by digital at the core and fueled by a war on waste agenda . With this let me hand over back to the moderator for the Q&A .

 Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants. Please note that the
Q&A session will be restricted to analysts and investor community only. Due to time constraints, we would request if you coul d limit
the number of questions to two per participant to enable more participation . Interested participants may click on Raise hand option
on your Zoom application to join the Q &A queue. Upon announcement of name participant to kindly click on unmute myself in the
pop up screen and start asking the question post introduction. Participan ts are requested to limit their questions to Bharti Airtel only
until 3:30 p.m. as management will start the Q&A discussion o f Bharti Hexacom after 3:30 p.m. With this the first question comes
from Mr. Manish Adukia. Mr Adukia you may please unmute your s ide, introduce your self and ask your question now.

Manish Adukia – Goldman Sachs

Hi good afternoon. Thanks for taking

my question. This is Manish Adukia from Goldman Sachs. F irstly, just your outlook on competition and the industry structure you ha ve be en seeing very strong subscriber additions including 4G ad ds in your revenue market share like you said has been at lifetime high , now in your view do you think this trajectory may slow down with the recent capex plans of Vodafone Idea or ask differently w ill Bharti have to push a little bit harder than earlier to continue being on the same market share trajectory so just your thoughts there would be helpful and , the second , Gopal on returns on 5G Investments and now capex has been elevated you called out i t you will have a new rollout plan of 25,000 sites in the next few quarters, so from an absolute capex standpoint should we think about that not declining meaningfully in fiscal 2025 or staying at same levels and I think you also said that there is maybe n o visible monetization in sight for 5G in your opening remarks so if you can just talk about how you think about medium -term monetization from 5G that will be helpful I will stop there and I have a follow -up after?

Gopal Vittal — Managing Director & Chie f Executive Officer, Bharti Airtel Limited

Thank you Manish for the question. Let me take the second part of your question first. I think the return on 5G is I would sa y we do not quite see it like that. I agree with you that there is limited monetization on 5G but the way we see it is the overall r eturn of the business. S o today all of the capacity investments are going behind 5G. We have stopped investing on any capacity investments on 4G and therefore I think the return that the industry really needs is predicated on tariff repair and this is really the heart of the problem that we have today with our pricing and tariffs are at an absurdly low level relative to any other part of the world so tariff repair is solely needed for return ratios to improve fran kly does not matter which technology it comes from. The fact however is that 5G is a more future proof technology so to that extent it is just about advancing capex that would anywhere happen. As far as the overall capex is concerned w e have always mention ed that FY2024 will be a n elevated and peak level of capex and I expect to see clear moderation going into FY2025. As far as the industry structure is concerned I am glad to see that VI has raised money a nd I really wish them well. I think India will be we ll served if it has three good private operators working there . whether we need to push harder we are pushing hard every day so this is an ongoing effort, it has always been a brutally competitive marketplace ever since I have been around and ever since th e company has been around so you know ups and downs keep happening it is a volatile market sometimes but you just need to be at the top of your game in terms of execution for you to continue to deliver sustained performance.

Manish Adukia – Goldman Sachs

Thank you for those responses. A follow -up to your tariff repair comment and you called out, let us say today you are closer to 10% return on capital and for that to let us say meaningfully improve there probably needs to be multiple large tariff hikes , like how do you think about the path to that I mean do you think you would prefer to do multiple smaller tariff hikes over a peri od of time or let us say one or two large tar iff hikes and what really needs to happen for that eventuality to really play out in the next let us say in the next 6, 12, 18 months ?

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think that we have done what we could . We have moved up the entry level tariffs on feature phones . We have tried to sort of drive all the levers of ARPU upgradation across the multiple levers that we a re using the lots of digital analytics but at the end of the day it is a competitive market and repair w

ill need to happen across the industr y. Its just us doing it , we co uld do it , we could lead it , we could start it but the fact is that if competition does not follow then it will hurt us and that is a challenge so we just have to wait and see when the time is right . My own sense is that you will need substantial repair in the industry . We are already at just over Rs. 200 ARPU. I think the right level of ARPU even at Rs. 300 would still be one of the lowest in the world so there is substantial repair to be had in the industry now how that happens I think I cannot sort of gu ess but we will see how it plays out.

Manish Adukia – Goldman Sachs

I am going to try this one more time so in terms of ARPU do you think clo ser to 250 I think in one of the interviews I think Mr. Mittal had mentioned to that 250 by next year is that po ssible or you think still too many moving parts to really say something ?

 Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

I would not comment on a specific milestone . I think all I will say is that repair is solely neede d in the industry. I think all the players need it so it is not just one player or the other.

Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vora. Mr . Vora you may please unmute your side, introduce yourself and ask your question now.

Kunal Vora – BNP Paribas

Thanks for the opportunity. First question I wanted to get your sense on like how you are looking at the industry customer additions going for ward for the next couple of years and how do you see the distribution of that amongst the three players and also in terms of tariff hikes I understand like already discussion has happened but like say how much tariff hike do you think the customers c an absorb considering that mass consumption overall is not really doing well do you think t hat going from 200 to 300 the customer can absorb that without seeing customer losses ?

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think as far as customer addition is concerned , I think we have seen a growth in s mart phone shipments this year relative to last year and I have mentioned a few quarters ago when the chipset shortages hit us and when chipset prices went up smartly or went up sharply that led to increase in smart phone prices. The entry level smart phon e prices at the time used to be about Rs. 5000 to Rs. 5500 that suddenly shot up to 8000 - 9000 and we had conversations at that point as to the slowdown in upgradation and I had mentioned that in any consumer market when there is a price shock people take time to absorb the shock so somebody who wants to upgrade a feature phone to smart phone , comes into the outlet suddenly finds that the price has gone up , goes back but then the next time they come around they are determined to actually buy because now th ey are used to a new reality, so I think that is what we have seen in the increase in smart phone shipments relative to last year that has obviously benefited us somewhat on smart phone additions. The overall REC additions that we see in the revenue earnin g customer addition that we have seen is a function of the large scale rollout that we have done. I had mentioned that in many places that we are expanding our shares are very low or almost non existent, so to that extent there has been some pickup on custo mer additions as far as that is concerned. On tariff repair how much can be absorbed. I would say we have seen two rounds of tar

iff repair in the last couple of years and that has led t o some consolidation. Every time there is some increase there is some SIM consolidation that happens I would say at best it is modest. T he upsid e benefit of the repair is much, much greater than some SIM consolidation at the lower end and the fact is that the digital and mobility today has become so essential to people's live s that people will adjust their spends to deal with any increase. The quantum of increase will need to be determined. Obviously it will not go in one shot from 200 to 300 that is not going to happen but it will have a couple of rounds to actually get there and so let us see how that plays out .

Kunal Vora – BNP Paribas

Thanks Sir and just in terms of timing do you think like annual tariff hike is a possibility like in the past you done lik e say one tariff hike every two, two -and-a-half years now do you be lieve that it can be quicker now?

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

Well Kunal I think this question is being asked in different ways , I cannot comment any more than what I have already done.

Vaidehi Sharma – Moderator

Kunal you may please unmute your side, introduce yourself and ask your question now.

Kunal Vora – BNP Paribas

Sorry I got muted but yes question was on home broadband wanted to understand the slowdown in subscriber growth and the contin ued decline in ARPU and are there any signs of the market getting saturated, are the customers coming in lower plans and your thoughts on air fiber as well ?

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think the ARPU decline I would not worry about because the entry level plans are slightly lower than the customers who have been with us for a long time because they are on slightly higher price plans and obviously get a lot more value as well and so the entry level plans are a little bit lower than the base level plans and that is the reason for the ARPU drag . But broadly I would say the entry level plan for us is Rs.499 which is really where it starts and then along with content it gets to Rs.699 a month. Yes I think that

the
home broadband business needs to pick up trajectory. I have no concern at all on saturating penetration or anything of that s ort. I think the combination of the rollout that we are doing, the ability to execute, to extract or to get utilization from the rollout coupled with the full -fledged launch of fixed wireless access is what we need to do and get right and this is really where we are focused.

Vaidehi Sharma – Moderator

The next question comes from Mr. Piyush Choudhary . Mr. Chaudhary you may please unmute your side, introduce yourself and ask your question now.

Piyush Choudhary – HSBC

Hi this is Piyush from HSBC. Thanks a lot for this call. Two questions firstly can you share your thoughts on incremental cap ital allocation with rising f ree cash flow like how are you thinking about inorganic opportunities or di vidend, any thoughts around framing a dividend distribution policy that i s the first one, secondly can you share your progress on 5G SA deployment and FWA launch you were saying in the next eight weeks this is the space to watch so any colour which you can provide on FWA how that will complement the FT TH?

Gopal Vittal — Managing Director & Chief Executive Officer, Bharti Airtel Limited

So I will take both the questions . I think on the capital allocation clearly I think one place where

capital will continue to be allocated is our transport infrastructure that is something that will requir e Investments for multiple years because of the growth of data and the fact that it impacts all our businesses home , broadband , B2B as well as mobility . We will continue to invest behind our enterprise business , our data center business , our w ireless on the radio side will moderate with the massive rollout that we have done last year both on 5G as we ll as coverage and then of course homes will continue to get a step up in terms of overall capital allocated . We are looking at potential bol t-on acquisitions in the B2B area . This is an area where some of our capabilities on adjacencies can get strengthen ed. I have nothing to report right now but that is something that we keep looking for opportunities that can strengthen our portfolio . On the SA deployment I think we have currently got a pilot going on in one state in the country . We are extending this to another circle as well . There are a lot of trials that are happening to see how this will work out and like I said I think the mid -band holdings are really a big and very, very priceless part of the overall SA strategy which is 1800 and 2100 band . Fixed w ireless access we have launched into 25 cities . We all have the outdoor CP E that has been launched in 25 cities . The reason I said that it will take time for it to scale is the supplies of the CP Es from across the world some of it are flowing in as we spea k. The fine tuning of some of the customer journeys and then of course training all our people across the boar d, all of this takes its time so I would imagine in Q2 you should see the full scale impact of fixed wireless a ccess. A s of now we are gearing up , to make sure that the velocity of this increases . Like I have said this will always be a compl iment to fiber where there is fiber obviously will put focus on fiber because experience given the better uplink and downlink and more resilient network that fib er has will always be better than a wireless network, but given the unutilized spectrum on fixed wireless access from 3.5 GHz clearly FWA will be a very good compliment where fiber has not reached.

Piyush Choudhary – HSBC

Thanks. Just on FWA so can I co nfirm you are doing this on NSA as well and this is not a SA deployment and also on capital?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

This will be SA deployment.

Piyush Choudhary – HSBC

So FW A will be complete ly SA so these 25 c ities you have already done SA?

 Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes. We are moving to SA we have not yet fully done SA. Some of those that fine tuning is also happening as we speak.

Piyush Choudhary – HSBC

On dividend?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Obviously as we generate more cash a combination of deleveraging and dividend will happen. I think it is too premature for us to
comm ent on any dividend policy.

Vaidehi Sharma – Moderator

The next question comes from Sanjesh Jain. Mr Jain you may please unmute your side, introduce yourself and ask your question
now.

Sanjesh Jain – ICICI Securities

Hi Gopal , good afternoon. Thanks for taking my question. First on the capex you did mention that there will be a moderation in the
capex but at the same length I thought you still want to rollout 25,000 new si tes, fiber, transport, enterprise, home I see inv estment
growing all across and becoming more broadband , it also tells that this moderation will be more moderate or it will be a slight decline
than actual ly a major decline in the capex will that be a fair assumption?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sanjesh thanks for the question. I think what I was saying is that capital continued to be allocated on those areas. This has been
going on for the last few years nothing has changed there. I think where the moderation will happen is really on wireless capex
which accounts by the way for a large part of the capex so to that extent we do see moderation going ahead into next year.

Sanjesh Jain – ICICI Securities

Fair enough , but where do you think Gopal India will saturate in terms of fres h tower requirement because earlier we thought 300,000 would be enough we are already at 320 we are talking of going to 350 where do you think India will saturate in terms of
tower requirement?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think , coverage Sanjesh especially if you start looking at rural areas I think that will more or less saturate with this rollout. I think
what happens is in many cities , the top 50 to 60 cities , you do see cities growing so if you look at Delhi NCR for example Delhi NCR
has grown so much in the last few years and so as some of these new build outs happen that is where you will need more coverage
but that will be much more modest compared to the rollout that we have done. By the way even the rollout that we are planning for
this coming year or this year is much lower than the rollout that we would have done last year.

Sanjesh Jain – ICICI Securities

Fair enough. Second question , again , is on the subscriber you did mention , the smar tphone increase , but Gopal , our 4G addition
has not improved material ly. It has been healthy at seven plus we continue to remain there , the question is more on the net subscriber addition whe re you are adding 7 million , Jio is adding 11 million , almost ind ustry has added 2% sequentially , where are
we going in terms of subscribers and what is really driving the subscriber growth?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think it is a combination of probably multi ple SIMs coming in with multiplicity of devices in urban areas coupled with some growth in
the new coverage sites that we have done which is really the bulk of the growth that we have seen so I think it is a combinat ion of
both.

Sanjesh Jain – ICICI Secu rities

What is sustainable subscriber growth Gopal in your sense , are 2% to 3% annual subscriber growth should be fair enough assumption for annual?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited
For the industry ?

Sanjesh Jain – ICICI Securities

For the industry correct .

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

For the industry I think you are anyways seeing that sort of growth right. You are seeing while this quarter is a bit of an aberration,
but if you go back and look at the last let us say 12 quarters and you see what was the total customer addition. You are seei

ng that
customer addition in the low single digits at the aggregate level.

Sanjesh Jain – ICICI Securities

Got it. One book keeping question Gopal on the 5G cost being recognized in the P&L, I see that there is an 80% reduction in t
h

e
CWIP spectrum which largely should be the 5G spectrum before so will it be fair to assume that at the exit month 80% of the 5
G
related cost is now reflecting in our P&L?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Soumen you want to take that.

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

Yes, s o Sanjesh I w ould not get into percentages , but largely it is done. A few circles are left which will be done very soon , but the
large part is done.

Sanjesh Jain – ICICI Securities

So in the same breath it is also fair to assume that our depreciation, amo rtization and finance cost are largely peaked out?

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

No, because when you do amo rtization you do not d o it for the full quarter you do it based on which month what gets catalyzed , so
there will be a bit of moderation also for that.

Sanjesh Jain – ICICI Securities

So, probably say in another two quarters when everything is booked ? Then we are all through with all the cost recognition , right?

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

Yes.

 Sanjesh Jain – ICICI Securities

That should be from my side. Thanks Soumen and thank s Gopal for answering all those questions.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman you may please unmute your side, introduce yourself and ask your question now.

Vivekanand Subbaraman – Ambit C apital

Hi, thank you for the opportunity . So two questions here , one is on the tariff side , which is one point that your competitor keeps making is that the industry currently does not charge based on usage and most plans are quasi unlimited , do you think that the industry will ever be able to move back to usage based pricing in this phase of tariff repair and a related question on ARPU is by when do you think 5G gets monetized because currently you are offering unlimited data fo r 5G users and I am sure th at must be weighing on your ARPU, second question is on any tri als or any success that you have ha d with the usage of millimeter wave for any sort of application 5G for enterprise or FWA o r any network de -bottlenecking? Thank you.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Thank you Vivek. On the unlimited plans I agree with you I think I have mentioned this before. I think the architecture of pricing in India is quite broken because people who can afford to pay a l ot more are paying a lot less simply because of these unlimited plans which are like effectively one-size-fits-all plan. If you look at markets like Indonesia or Thailand or any of the markets in Asia you will find small, medium, large, extra large and the re is a pathway to upgradation that unfortu nately is not the case in India , but this is not something that where we can do alone. This needs to be something that we would be happy to follow if this happens. On 5G that is another problem actually with the f ree data that is running. Obviously there is some headwind in terms of monetization , but again it is a comp etitive market. We have responded to what we have seen happening in the market place and hopefully at some point we will see if sanity prevails. Mill imeter wave is stil

l early days because we have so much capacities, so much unutilized capacity on 3.5 GHz. This is a very, very good spectrum. We have got 800 MHz of very solid spectrum and we are beginning to see some early experiments going on in some o f the western markets particularly , United States where millimeter wave is being used for fixed wireless access. Millimeter wave is unlikely to be used for mobile applications. It will be a lot more on fixed wireless access or some industrial use cases , but at this stage given the abundance of spectrum and the abundance of capacity when you have in 3.5 it is a bit early for us to start doing anything with it. We are doing a lot of trials to figure out what is the propagation, how does it work, etc., etc., b ut really nothing to report on a commercial basis.

Vivekanand Subbaraman – Ambit Capital

Thank you. Just one last followup. How important is 5G for your scalability in the medium term as you highlighted of your nonmobile growth because you did mention a bout millimeter wave primarily being used for nonmobile applications including enterprise ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sorry what was the question? I did not catch the question.

Vivekanand Subbaram an – Ambit Capital

In your opening remarks you said that there are strong tailwinds for non-mobile growth in the medium term in that context how important will 5G and millimeter wave be and is there anything more that you can report in terms of 5G trials that you are doing with enterprises that you can fin d use for such applications?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

That is still n iche, I mean lot of the enterprise application we are having private 5G net works for several companies almost eight to nine private networks that are running , but it is still n iche in the overall scheme of things. Fixed wireless a ccess also will be relatively niche because remember the broadband business itself is about 5% of the overall company , in India , so of that fixed wireless access it will be a small percentage. When I was commenting on the non -mobile businesses I was talking more generally because this part of the business which is about 20% odd of our portfolio is a busin ess that can grow much faster given the opportunity and adjacencies on B2B. The growing penetration of home broadband, the need for convert solutions and of course digital services that is really what I was commenting on.

Vivekanand Subbaraman – Ambit Ca pital

Okay, Understood , very clear. Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr Bhavik Mehta. Mr Mehta you may please unmute your side, introduce yourself and ask your question now.

Ankur – JP Morgan

Hi, this is Ankur from J P Morgan. So, first question is , Gopal if you can give us the 5G customers for the quarter and at what point do you think the 5G penetration becomes meaningful for promotional pricing to stop and again on the same line do you think th ere will be a meanin gful drop in paying 5G customers if promotional pricing comes to an end ? I will have a follow -up after this .

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Well we have roughly 72 million 5G customers as of March 2024. This is growing currently at the rate of 2 to 2.5 million every month because 70% to 80% of the shipments that are happening on smart phones are now 5G enabled so to that extent as people upgrade their devices they will naturally move to 5G. As far as we are concerned we do not distinguish between 5G and 4G. The only challenge of course is that because of free 5G that is running a user who has access to free 5G data uses a lot more dat a almost double the data that they use when related to if they do not ge t free data so now if this were to be priced in will they use the full double I presume not because people will calibrate some of the usage but it will still be meaningfully more than what is currently being used on just 4G so I think that is the way we se e.

Ankur – JP Morgan

Understood just a couple of follow -ups on capex . You mentioned that you expect w ireless cap ex to come down meaningfully but maybe if you can comment about overall capex because this quarter capex went a bit against trend versus what we saw the last couple of quarters appear to be mainly from the enterprise sid e, is that a one -off and should we expect the trend we saw in the previous two quarters continue for the rest of the year?

Gopal Vittal – Managing Director & Chief Executive O fficer, Bharti Airtel Limited

Yes I think there was a little bit of one -off on the enterprise side. Soumen will elaborate on that in a moment and I will hand it to him but we expect the overall capex to moderate. I would not comment on a single quarter 's capex look at the full y ear's capex. The capex is at an elevated level and we had indicated this would be a peak year of capex. We do expect a moderation in capex in the coming year. Soumen you want to just comment on the one -offs from the B2B.

Soumen Ra y – Chief Financial Officer - India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

Yes, so our B2B business had a bit of one -off this quarter which is primarily related to fiberi zation so we bought some fibers and some spends o n the data center business. The data center business is not a linear business so you buy land, you build building, and you put in the MEP so it does not follow our rhythm per se . Also we do have some other large capex items I am taking this opportunity to explain. For example on submarine cables, s ubmarine cables are large Investments which happens on milestones so B2B will always remain a little lumpy because of these reasons but otherwise it was a steady state nothing exceptional.

Ankur – JP Morgan

Thank you so much. If I can get the last one. It is very nice to see the dividend being announced if the FCF conversion keeps improving meaningfully for the next year should we expect you to think about including incremental cash flows towards that end?
Thank you.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think let us cross that bridge when we come to it.

Vaidehi Sharma – Moderator

The next question is from Sanjesh Jain. Mr Jain you may please unmute your side, i ntroduce yourself and ask your question now.

Sanjesh Jain – ICICI Securities

Thanks for taking my question again. I got one question on enterprise side Gopal. It appears to be there is a moderation in t he growth on enterprise side and it is for your pee r as well we have seen both on India and international and we also hear that there is an increased competitive intensity in the market , How do you see enterprise business shaping up and again you highlighted

that you
expect domestic business to grow at 18% to 20% while the growth rate appears to be significantly lower than that how should we
see that?

Gopal Vittal – Managing Director &

amp; Chief Executive Officer, Bharti Airtel Limited

No Sanjesh I think the domestic enterprise business continues to grow str ongly I was referring to that. I was not talking about forecast for the business but I was saying the domestic enterprise business continues to grow at 18% to 20%. The problem has
been in the global business side and if you look at our portfolio I think th ere are three parts to our business. Data centers which is
about 10% of the portfolio that is having a secular growth of 14% to 15% and then there is of course the global business which is
largely the wholesale business . It is OTTs, it is messaging, it is cables and then there is a domestic business. The global business is
about 50% of the portfolio. That is the one that is under pressure. Those are the ones where the OTT companies have cut back on
some of the cable Investments, order books on fiber build o ut and so on and so forth and there is an overall broader optimization
that is happening at that end. There is also some movement of messaging traffic away from Telco SMS into an in app notification on
many of these OTT platforms that is another trend that we see . The domestic business is still growing strongly and we feel that there
is a big opportunity here in the domestic business because the adjacencies which are adjacent to connectivity are areas where we
have very low shares , but they have some bearin g and they have some cross linkage with connectivity. This is where a substantial
amount of investment is currently going , that is really what I was trying to say.

Sanjesh Jain – ICICI Securities

So Gopal can you give more colo ur because 18% to 20% grow th domestic looks significantly faster than one of our listed peer who
grew at mid single digit so what is driving such an outperformance in the domestic enterprise business for us?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airte l Limited

I think it is a combination of all of the parts of it which is connectivity in itself where we have grown some share. The sec ond of
course is CP aaS where some of our solutions that we have launched particularly our SpamShield product on Airtel I Q that has given
us some wins. There have been some early, t he IoT has been a very big driver of our growth and this is where we are trying to
expand the addressable market beyond connectivity into both cloud and analytics. I think the opportunity for grow th in all of these
segments is still there and yet we have not even begun in the cloud area , which is where we signed this deal with Google recently
but that is another very large market.

Sanjesh Jain – ICICI Securities

Will it be fair to assume that th ese growth rates are sustainable because the underlying trend still remains strong for us?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think let us see how that plays out. I think I w ould not comment on where the growth rates are, but this market on the adjacencies
is growing very rapidly. Core connectivity in itself is growing only at 6% to 7% as an industry but the adjac encies are growing very
rapidly.

Sanjesh Jain – ICICI Securities

Fair enough. That is it fr om my side Gopal. Thank you for answering the questions again.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Bansal. Mr Bansal you may please unmute your side, introduce yourself and ask your question now.

Aditya Bansal – Kotak S ecurities

Thanks for taking my question. This is Aditya Bansal from Kotak. Can you shed some more colour on what has led to significant decline in mobility churn and can you also talk about the competitive intensity in the market as we see M NP requests ar e still at elevated levels so some more colour on this would help?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think there a lot of structural interventions that we are looking at. We have identified about 20 to 2 5 potential markers of churn. We have a program which is basically being tracked. We have divided the whole country into what are called grids which are 1 kil ometer by 1 kilometer grids. We have tooling to understand the experience at each of these grids. The sales and the network team work together to take charge of the grid and the experience in the grid and at the back from our network operating center we look at about 20 markers , which h ave a whole bunch of things I w ould not go into that detail to real ly identify what are the drivers of churn because a large part of it is really related to the network and the focus of the team is to really get all of those experienc es right so that we cut our churn so th ere are structural actions that we kicked in about five to six months ago. The intensity in the marketplace on acquisitions continues to be high and it surprises me as to why it is so high particularly in a market where the organic g rowth of customers if you take a longer term basis is still very modest b ut it is a competitive market and some of this leads to churn which is kind of rotational because people buy a SIM and throw away the SIM so we look at churn in two parts. We look at the quality of acquisition which is the first four months of the customer on the network and a tenured customer which is after five months and our churn efforts is really focused on month five onwards which is tenure churn but our first four months is all about quality of acquisition so we divide the churn into really two parts . First four months which is noise and quality of acquisition and then of course the genuine experience related churn.

Aditya Bansal – Kotak Securities

Thanks Gopal for the detailed answer . Second question is on the pending calls on rights issue any upd ate there like is there a possibility of extension or do we have to do it compulsory by September?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think, Harjeet do you want to take this.

Harjeet Kohli – Joint Manag ing Director, Bharti Enterprises

Sure Gopal. Aditya obviously the guidance was three years and we have about six to eight months left to that guidance. Our understanding is more a guidance and we will have to chew on what is the outlook for the free cash flows so maybe by the next
three to five months we will come out with a more formal either a revised guidance or whatever commentary that we have to pro vide
for the rest of the calls.

Aditya Bansal – Kotak Securities

Thanks Gopal. Thanks Harjeet.

Vaidehi Sharma – Moderator

Thank you Gopal. I would like to remind the participants to stay connected for the call for the next session on the Bharti Hexacom.
Now I would like to invite Gopal for his closing remarks for Bharti Airtel.

Gopal Vittal – Managi ng Director & Chief Executive Officer, Bharti Airtel Limited

Thank you ve ry much for joining this call. I think overall it has been a satisfactory year. There is a big job to be done on several
areas we have talked about broadband , we have talked about co ntinuing to do work on structural churn and I want to thank you for
all your questions. I want to hand it back to Soumen for Bharti Hexacom.

Vaidehi Sharma – Moderator

Thank you Gopal. Soumen over to you for your opening remarks on Bharti Hexacom perfor mance.

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

Good afternoon everyone. Welcome to this part of the Bharti Hexacom earnings webinar. In its maiden quarter after listing Bhar ti
Hexacom delivered a great performance with about Rs. 1868 Crores of total revenues an increase of more than 3.5% sequential ly
primarily driven by mobility , which grew by upwards of 4% quarter -on-quarter. It was driven both by strong customer addition, d ata
customer addition as well as improvement in ARPU. Operating performance was healthy with an EBITDA of about Rs. 914 Crores ,
EBITDA margins were at 48.9% and improved close to by 1 % point quarter -on-quarter. Net income was at about Rs. 223 Crores for
the quarter. Operating f ree cash flow which is our EBITDA minus capex for the full year was at about Rs. 1467 Crores. Last year
was the year of elevated capex which is reflected in our network additions of about 4000 towers . I am happy to report we have
repaid about Rs. 1500 Crores of debt in Q4 and ended the year with a net debt to EBITDA of about 2.14. With this I would

request
the moderator to open up for Q&A.

Vaidehi Sharma – Moderator

Thank you Soumen. We will now begin Q&A interactive session. Due to time constraints we would request if you could limit the number of questions to two per participant to enable more participation. Interested participants may click on raise hand option on your Zoom application to join the Q&A queue.

The first question c omes from Mr Dayanand Mittal . Mr Mittal you may please unmute your side, introduce yourself and ask your question now.

Dayanand Mittal – J M Financial

Yes, Hi . This is Dayanand Mittal from J M Financial. Good afternoon Soumen. Good afternoon Naval. Than ks for the opportunity. A couple of questions on Hexacom. First if you can just explain any particular reason which explains the sharp Rs. 4 jump in BHLs ARPU vis -à-vis the modest Rs. 1 for Airtel any specific one -offs there , second if you can just throw s ome light on what would be any rough guidance you would like to share on Hexacom capex for FY2025 and FY2026 any net debt position that you would be comfortable with ? Thank you.

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Li mited and Director – Bharti Hexacom Limited

Thanks Dayanand for the questions. I think you know these two circles have their own uniqueness and what happened one of the reasons which is one -off is Manipur. Manipur a large part of telecom services was clos ed and it reopened around the first week of December so in last quarter Manipur revenue was there only for about three weeks of the quarter whereas this quarter it was t here for the full quarter and we have seen generally improvement in our data customers so the upgrade story has played out better in Rajasthan and in Northeast in this quarter. It is difficult to comment how it will progress like in Airtel also. We put in a lot of efforts to ensure that we improve our ARPU continuously quarter -on-quarter. So me of the tricks work out so we hope that this continues but yes there was a one -off. As far as guidance on capex is concerned we do not provide a guidance but like in case of Airtel even in Bharti Hexacom there will be some unwinding of capex duri ng this year compared to last year.

Dayanand Mittal – J M Financial

Just a followup on capex given the higher rural population in these two circles , is it possible that the capex might stay a bit elevated even in FY2025 given rural rollout is still in progress or FY2025 will see a moderation li

ke in case of Bharti Airtel?

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

I would like to believe that this will see a moderation . Then the reas on being , see th is rural rollout happens at various time in various places so as I mentioned in my opening remarks, we have done about 4,000 sites last year in these two circles which is a pretty large rollout. We will continue to rollout more sites but it should moderate.

 Dayanand Mittal – J M Financial

Thanks Soumen.

Vaidehi Sharma – Moderator

The next question comes from Mr Kirtan Mehta . Mr Mehta you may please unmute your side, introduce yourself and ask your question now.

Kirtan Mehta – BOB C apital Markets

Thank you for this opportunity. This is Kirtan Mehta from BOB Capital Markets. In your earlier opening remarks , basically , I think it
was mentioned that , particularly I think it was in the Bharti Airtel where we said that the 9.5% ROE is so rt of quite less for the mobility kind of business we will see that number at 11.5% in Hexacom and where would you want this number to be in the steady
state would it be 12% to 14% or 14% to 16% what could be considered as a sustainable ROE for this kind o f business?

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

So Kirtan I cannot give you a direction of ROC E or ROE for the business but like any other investor we would like this to improve.
Bharti Airtel is a mixture of multiple business es which has mobility of course , but also has some places where there is a lot of rollout,
lot of churn like DTH and homes so it is an admixture of multiple businesses. I think we would certainly lik e to see this grow and as
mentioned earlier in the call by Gopal the tariff repair is very important , is very , very important for the financial health of the company. How much will happen we will wait and see. Let the first round of tariff repair happen we will see how costs go. In the
earlier part there was also a mention around customer acquisition. There is a lot of money which is today spent on customer acquisition and the quality of that acquisition is not great so we will see how the industry shapes u p and hence how the profit and
loss of the operators shape up to deli ver higher ROC E but as of now I really cannot give you a number that is a target and once we
achieve that then everything will stop. It will be a continuous work and as you know we do not only rely on tariff increase. We do a
lot of work on war on waste where we generate our fuel for growth. A large program this year our network site costs have come
down in some places so a lot of work goes in to find that fuel but no target specifically f or what the ROC E should be.

Kirtan Mehta – BOB Cap ital Markets

Thanks Soumen for this colo ur. The second question was about basically the dividend policy while we understand in case of the
parent I think it is bit away from the perspective of the genera tion of the cash but from our perspective Hexacom perspective I think
we have already seen a net debt reduc tion last year , we are at 11.5% ROE so how far we are from defining the dividend policy for
Bharti Hexacom?

Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bharti Hexacom Limited

So first of all I would like to reiterate that the dividend has increased a lot whilst on the face of it, it may seem that it has mo

ved from
Rs. 3 to Rs. 4 last year to this year you must remember that there has been a stock split so effectively it has moved from 1.5 to 4 s o
there has been a significant improvement in dividend. Now coming to when do we define our dividend policy and all of that , I think
we still have some debt in our books , bank debts which we expect to get repaid over the next few quarters. Once we get rid of the
debt or come close to getting rid of the debt we will evaluate as to how do we define our dividend policy so till th en we would evaluate the profit , the cash generated, the amount of future requirement towards debt and capex. Remember we have got spectrum repayment commitments as well so there are a few things. Once we get a complete handle we will evaluate of coming up
with a new dividend policy.

Kirtan Mehta – BOB Cap ital Markets

Thanks Soumen.

Vaidehi Sharma – Moderator

Now I would like Soumen to give his closing remarks for Bharti Hexacom.

 Soumen Ray – Chief Financial Officer – India & South Asia – Bharti Airtel Limited and Director – Bhar ti Hexacom Limited

I think the listing of Bharti Hexacom shares was a great success and we thank through this all investors and people associate d for
showing trust in the organization. It has been a great quarter and we will work harder and better to impr ove our deliverables in the
next year. Thank you.

Vaidehi Sharma – Moderator

Thank you everyone for joining us today. Recording of this webinar will also be available on the websites of the companies fo r your
reference. Thank you and have a great day ah ead.

Call: Aug 2024

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CIN: L 74899DL19 95PLC067527
August 12 , 2024

National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcrip t of the Earnings Call dated August 06 , 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on August 06 , 2024 in respect of the audited financial results of the Company for th e first quarter (Q1) and three months ended June 30 , 2024.

The transcript of the call is also upl oaded on the Company's website i.e.
https://www.bhartihexacom.in/results -quarterly -results.html

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Richa Gupta Rohatgi
Company Secretary & Compliance Officer
Membership No.: A24446
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Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q1 ended June 30, 2024 Earnings Webinar

Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q1
ended June 30, 2024 Earnings Webinar

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Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q1 ended June 30, 2024 Earnings Webinar

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Vaidehi Sharma – Moderator

Vaidehi Sharma the moderator for this webinar. Welcome to the Bharti Airtel Limited and Bharti Hexacom Limited ’s Q1 ended June 30, 2024 Earnings Webinar. Present with us today is the senior leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview an d discussions today may include certain forward -looking statements that must be viewed in conjunction with the risks that we face. Post the management opening remarks we will open up for an interactive Q&A session. Interested participants may click on “Rai se Hand Option” on your Z oom application to join the Q&A qu eue. The participants may click th is option during the management opening remarks itself to ensure t hey find a place in the queue. Upon announcement of name participants to kindly click on “Unmute Myself” in the pop up on screen and sta rt asking the question post int roduction. With this I would now

like to
hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vittal – Managing Director & Chief Executi

ve Officer, Bharti Airtel Limited

Good afternoon and welcom e to the earnings call of Q1. With me on the call I have Soumen , Harjeet , Naval and Akhil Garg . This
quarter's earnings call focus will be both on our performance as well as a quick update on the development of our strategy .

A quick ba ckground on ESG and an update on ESG. We continue to get recognized for our ESG efforts. We received a n A minus
rating in 2023 with the CDP Supplier Engagement in the leadership band. This rating is higher than the Asia regional average of C
and higher in media and telecom and data centre sector average of D minus. We have stepped up our solarisation agenda with over
15,000 sites solarised in the last fiscal and over 6 ,000 sites solarised in this quarter alone. Nxtra is the first data cente r company in
India and the 14th Indian company to join RE100, which is a global initiative led by Climate Group in partnership with CDP, which is a
Carbon Disclosure P roject. In FY2024 Nxtra saved 156 ,600 tonnes of CO2, which is equivalent emission by sourcing renewable
energy through PPAs and captive rooftop solar plants.

A quick update on our recent spectrum purchase as we guided you earlier. We successfully renewed spectrum that was expiring in
six circles and further solidified our mid -band spectrum holding in six circ les with a total purchase of about Rs.6 ,850 Crores . With this
purchase we continue to enjoy the largest mid-band spectrum pool in the country.

Let me turn to our financial performance. We delivered yet another consistent quarter , consolidated revenue is j ust over Rs.38 ,500
Crores . India delivered a steady growth of 1.9% sequentially with Rs. 29,046 Crores of revenue, EBITDA margins came in at 53.7%.
We had a strong operating free cash flow, which is EBITDA minus capex of about Rs.8 ,800 Crores and capex for the quarter was just
about Rs.6 ,780 Crores . Our balance sheet strength continues to be solid and improving . During the quarter we fully prepaid a n
advance payment of the spectrum dues pertaining to 2012 and 2015 auction. In the last one year we prepaid ove r Rs.24 ,250 Crores
of high cost spectrum dues. With this the India net debt to EBITDA stands at 2.75 compared to 3. 19 a year ago. In recognition of our
efforts CRISIL has upgraded our debt rating from AA + to AA + positive. The strength of our performance is predicated on solid
execution. All our businesses are delivering consistent growth and market share gains. I want to reiterate our simple strategy, which
has given us consistent outcomes - Our f ocus on quality customers , really trying to deliver for them the best experience we can , digital
at the core and a relentless focus on eliminating waste. We continue to expand our network. We rolled out over 6 ,327 network sites
and about 9 ,030km of fiber in this quarter.

Let me turn to an update on each of our segm ents.

In the mobility business we added 2.3 million customers and 6.7 million smartphone net adds in the quarter. Postpaid net adds are
beginning to climb up further and a t 0.8 million for Q1 contributing to 36% of the total net adds for the company. ARPU came in at
Rs.211 compared to Rs.209 in Q4 again outperforming the industry. This is driven by continued focus on feature phones to smartphone
upgrades, prepaid to postpaid upgrade, data monetization and driving international roaming penetration. We cont inue to expand our

without the
prior written consent of Bharti Airtel Limited and Bharti Hexacom Limited.
- 3 - 5G coverage. We ended the quarter with a 5G customer base of 90 million and 5G shipments continue to grow , and we continue to
gain share there. The industry undertook a roun

d of tariff repair in early July, which was much needed for the financial health of the
industry. The early signs from this repair are encouraging with the full flow through expected in two quarters. I do want to underscore
that the industry needs a minimum of Rs.300 ARPU for long term sustainable investment s and respe ctable return ratios.

On the broadband business , we added 3,50,000 customers . In line with our strategy we continue to expand our availability . We also
launched fixed wireless service across India , on this one we were little late for various reasons . With this our WiFi services , which is
really Fiber to the Home (FTTH) as well as F WA, are available in over 1300 cities.

In the DTH , business our strategy of proposition s implification, we offered three plan s to customers. Our focus o n the three key
geograph ies the Southern states, Maharashtra and Bengal as well as the focus on convergence continues to deliver for us. Net
customer additions were ove r 1.9 lakh s, the third consecutive quarter of positive net ad ds despite industry challenges and decline.
We cont inue to gain market share as a result. The metros are also starting to see green shoots on the back of our differentiated
converge d offering s, which is driving customers to A irtel Bl ack.

On Airtel business, revenue growth in Q1 was 1% sequentially, t his was adjusted for Beetel. Our g lobal business continued to be
muted. Although we are now seeing some green shoots in the order book, which need to translate into revenue over the next few
quarter s. We saw multiple large deal wins , for example we signed a mu lti-year contract with the Central B oard of Direct Taxe s where
Airtel will serve as CBDT 's network and connectivity partner providing advanced solutions including , dual connectivity with SDWAN ,
which is Software -Defined Wide Area Network and Secure LAN. La rge deals are also one of the global businesses. EBITDA margins
were impacted due to seasonality as seen in previous years and will unwind in ensuing quarters. On ou r digi tal businesses , our focus
on CPaaS , financial services, IoT, security and cloud conti nues. Airtel Finance is scaling up well with an annualized loan disbursement
of just under Rs.3 ,000 Crores and a loan book of Rs.3 ,300 Crores . Our digital platform starting with the converged data engine is
seeing some traction we are in discussions with a few global telcos .

On the payment s bank , our monthly transacting users stood at 71.4 million and the annualized revenue run rate is now over Rs.2 ,400
Crores growing 52% year -on-year. Deposits remain robust at over Rs.2 ,900 Crores again growing by over 5 0% year
-on-year.

A quick update on the five pillars of our strategy.

First is the portfolio that we have which gives us reliance. As you know Africa accounts for 25% of revenues , India mobile is 59% and
India non -mobile is 16%. Going ahead we see strong growth potential in our non -mobile portfolio s, homes , B2B despite the immediate
term soft ness and the digital portfolio . Africa continues to perform well on underlying basis with 4.6% sequential growth in constant
currency terms.

Our second focus is really to win quality customers and let me talk about our strategy and growth drivers in each of the segments -
homes, postpaid, rural and B2B. On homes , as I mentioned before the top 60 million homes in the country account for almost 35% of
industry revenues. Of these broadband penetration is only about 40 million . Each of these 60 million households have some
relationship with Airtel but do not use all our services. To address this opportunity our strategy continues to be to expand our WiFi
availability, driv e penetration of our converge offers to build in stickiness, leverage our digital targeting capabilities and

deliver a brilliant experience to the customers so as to retain them for longer.

With the launch of FWA which is F ixed Wirel

ess Access our WiFi services combination of FTTH, which is fiber as well as fixed wireless access are available in 1300 cities. To address this opportunity we want to streamline our go to market approach. We now have in the month of July, we launched this we no w have a single p ricing across fixed wireless access and fiber. Our sales team s and stores are tuned to selling just WiFi, irrespective of technology and we have expanded our delivery teams to cater to the expanded geographic availability . Having said thi s, we continue to believe that F WA will only complement FTTH and expand the addressable market by opening new markets for growth. The other part of our strateg y is to leverage entertainment as a hook to get more customers. T his overall agenda is driving results. N early 50% of customer additions on broadband are now happening on Airtel Black. I n addition, with the launch of FWA the strategy is showing good green shoots. July has begun extremely well on our broadband net additions and we will see more of that as we talk about our pe rformance in the coming quarter s.

On post paid, the opportunity is large. We have 80 million credit scored prepaid customers who we believe could move to post paid. We now launched simple one click upgrade journeys for these customers. T his coupled w ith the strength of our family proposition and a deep retail penetration is helping us see strong gains. We have delivered over 4.9 million customer additions in the last six quarters contributing to 25% of our total customer additions.

In rural our expa nsion program where we rolled out more than 37,000 sites is delivering on action standards. As I have mentioned earlier there are still five circles where our market share is weak primarily due to lower network coverage. Network rollout to reduce this cove rage gap is underway. We are seeing promising results on this expansion as well in line with our plans. A ll of this has been possible with extensive use of digital tools and data science as well as our razor sharp execution. T he key focus here is to sweat investments optimally to accelerate the share gains.

In B2B the growth opportunity is large with adjacencies driving the majority of growth. As I mentioned here, there are three structural actions we are tak ing to address this opportunity. F irst to revita lize our go to market, a s a part of this we are training our account managers to be able to sell solutions as well as focus on industry verticals creating what we call virtual vertical teams so that we can learn from some in the team and transfer that best practice across all our accounts. In addition, we are expanding our coverage of small and medium businesses across the country by investing in our sal es capacity and digital tooling. T he second area of focus is to improve our network infrastructure to del iver a better network experience. A number of actions are underway to develop a flapless

 networ k and increase demand from very, very top quality cu stomers or high value customers. S ome of this includes rolling out OPGW fiber changes to build a more resilie nt network architecture as well as on ground infrastruct ure re -haul and improved hygiene. The third, we are building our capabilities on digital produ cts. In addition, we are also doubling down on code connectivity by offering network manage d services, which gets us more sti ckiness and higher wallet share. We are co -creating an end -to-end manage d service offering with a few global partners , as a part of which Airtel will bring in connectivity and partners will bring in SD-WAN

solutions,
tools and practices to manage the network. An area of major focus for us is the cloud where we are currently underway in terms of
drawing the blue print for investment so as to set up our overall presence in the cloud segment.

The third pillar of our strategy is the obsessio n to deliver a brilliant customer experience. A s I mentioned earlier, we loo k at experience
from two lenses. F irst the digital experience and here our platform approach for our four key platforms buy, bill, pay and serve have
harmonized customer journeys i n an omni-channel way. T hese platforms are fully integrated in our B2C operations and are rolling out
for B2B as well. The second area of focus is network experience and this time let me throw a little more light on how we are planning
to deliver a brillia nt experience to our customers on fixed wireless access by leveraging the standalone technology .
Let me recap our decision to deploy 5G on NSA architecture which is non -standalon e, wh ich was predicated on our very strong
portfolio of mid-band along with 3 .5 GHz. We also had a lot of learning from other Tel cos and NSA delivering a superior experience
as well as driving down a lower cost of total ownership . As I had explained earlier in NSA 3.5 GHz band is used only for the downlink ,
which enables to deliver 30% more coverage and high speeds . This fact has been validated now by a crowd source d report s and our
NSA network is consistently seen in the market place as delivering the best experience . We have achieved this while avoiding paying
for the expensive su b gigahertz s pectrum band on the 700 band as well as de ploying lesser number of radios, which also lowers our
operating cost and carbon footprint.

Let me give you some texture on the technology and why SA makes more sense in fixed wireless access. F irst for the uplink
performance , in the NSA mode , phones are connected t o 4G and 5G band simultaneously, which gives a coverage advantage but
limits the uplink as compared to a handset connected only to the 5G band as an SA. T he trade -off works very well for 5G mobile use
cases where uplink speeds are s ignificantly faster than needed; however , for FWA where multiple users are connected to the WiFi
powered by the 5G FWA modem, up link becomes a limiting factor for customer experience if you use the NSA mode . Second for
capacity , FWA data consumptio n is almost 15 to 20x of mobile, which needs a dedicated network layer for downlink and uplink to
serve this multi -device connectivity across mobiles, TVs at the H ome. I n such a scenario network slicing with SA enables a s uperior
experience to customers. We are well positioned for this as we will be able to use our 3.5 GHz spectrum along with a large pool of
mid-band spectrum holding through carrier aggregation to roll out SA in an effective manner. H ence, our belief is lev eraging SA
technology for FWA becomes important to deliver a s uperior experience to customers. We are ready and are planning to go live with
SA technology for FWA within this quarter th at we are in. W hile we will run FWA on standalone, we will continue to operate mobility
network on non -standalone. O ver time and it is very common to have hybrid network of both non -standalone and standalone. Over
time with 4G traffic moving to 5G and 5G ’s time on techn ology increasing for the device we will configure changes to switch our mobile
users to our 5G SA network. A ll of this will be done without additional capex and purchase of expensive sub -gigahert z spectrum. It
should be noted that our core transport and radio networks are all SA ready. We have been running trials of 5G SA network in select
regions for many quarters now to optimize the performance.

The fourth pillar of our strategy is to leverage our digital capabilities to incubate new revenue streams . We see as I said Airtel in three
parts, t he infrastructure layer which is both the n

etwork and data layer , the e xperience layer and the services layer . Our portfolio on
digital services includes IoT, cloud , security , SD-WAN and Airtel Finance, all of which are getting substantial focus and investment. I
do want to reiterate that we would continue to look for bolt -on acquisitions in these adjacencies to strengthen and build capabilities to

address growing customer needs .

Let me provide more texture on cloud, cloud has what we believe is a huge growth potential and we are absolutely committe d to participate in this growth. T he public cloud market is about $4.9 billion and growing at 35% . In addition the private cloud market is about $3.6 billion growing at 16%. Enterprises are moving more and more towards a hybrid cloud approach . In addition there are certain industries like banking, which have regulated sovereign requirements on cloud . As Airtel we believe our strengths lie in leveraging our data centers to cater to such private and sovereign requirements as well as leveraging our deep partnerships with major cloud players like Google and others to offer a hybrid solution should the customer want it. This coupled with enterprise grade connectivity and security between cloud regions positions us w ell in the space. We a re already seeing some traction with some wins under our belt and over the course of the coming year we are going to make substantial investments in this area .

The fifth and the last pillar of our strategy is War on Waste. This is in many ways integral t o our ways of working. T he initiative we started around two years ago to optimize our site running cost has delivered a strong outcome leading to per site reduction i n cost in Q1 after declining in the whole year of 2023 -2024. Despite the historic network rollout in the last two years there has been a reduction in our absolute diesel consumption . We have also stepped up our solari zation agenda as highlighted earlier in this call . We have also kicked off a pilot to leverage benefits under the open access program in Karnataka . Based on the learning s from this pilot, we will look to extend the model to other circles going forward .

To sum up , overall it has been yet another quarter of consistent delivery along with share gains. H omes which is f ixed wireless acc ess, convergence and structural network infra corrections are being done to acceler ate growth in the homes segment. P ostpaid has a strong headroom for growth . B2B momentum is expected to gain pace going forward . We continue to be financially prudent and unwind our leverage . Tariff repair we b elieve should support improvement in financial health and a modest improvement in return ratios . We continue to invest in our infrastr ucture to win quality customers, deliver a brilliant experience to them while acceler ating digital at the core and all of this done with a focus on War on Waste and prudent capital allocation .

With that let me hand back to the moderator .

Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A inte ractive session for all the participants . Please note that the Q&A session will be restricted to analyst and investor community only . Due to time constraints, we would request if you could limit the number of questions to two per participants to enable mor e participation . Interested participants may click on raise hand option on your Zoom application to join the Q&A queue. U pon announcement of name participants to kindly click on unmute myself in the popup screen and start asking the question post introd

uct ion. P articipants are requested to limit their questions to Bharti Airtel till 03:30 p.m. as management will start the Q&A session on Bharti Hexacom from 3:30 onwards. With this the first question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman you ma y please unmute your side , introduce yourself and ask your question now.

Vivekanand Subbaraman – Ambit Capital

Thank you for the opportunity . I am Vivekanand Subbaraman from Ambit Capital . Two questions. One , is how are you think ing ab out capital a llocation here on ? it seems that capex is already moderating and your net debt has fallen around 58 billion this quarter , you announced that you do not want to call the residual rights money and you are postponing it, so how should we think about the capit al allocation here on , that is question one , secondly you spoke about your portfolio resilience and growth potential in non -mobile businesses , you recently increase d your shareholding in the tower util ity business , there are also prior announcements that y ou made on infrastructure businesses like data centers , do you see any opportunity to step up investments in data centers ? you spoke about this in the opening address and could you help us understand how to think about the capacity ramp up from here on and if it does make any sense to have all that infrastructure in one umbrella like Indus ? Thank you .

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Let me take both of these questi ons. O n capital allocation , firstly we ar e in a capital intensive business so capital will continue to be deployed on just strengthening our infrastructure and our n etwork both combination of radio. T ransport which is getting increased emphasis in terms of capital allocation and of course our cor e network s o the networks part will remain. T here are also investments as I mentioned that we will be making on the cloud area to start with and we will see how that plays out . The third area of capital allocation is around data centers . This is the portfo lio that we have . With the financial health improving we will also generate a lot more cash and then the question is what you do with that cash combination as we mentioned of d eleveraging as well as dividends is really something that we will continue to lo ok at. O n the portfolio part of it, let me talk a little bit about the infrastructure side and the Nxtra side and then maybe I will hand over to Harjeet on the tower s ide. As far as the infrastructure part is concerned on data centers continues to get a lo t of attention . We are still a small player in dat a centers , I mean, while we are the largest it is a very fragmented industry and there are a multiple number of players who are actually , in here leveraging their land and power banks to really play in the space. T he advantage that we have is that we have deep relationships with the top customers and therefore we serve almost all the hyperscalers in addition to many of the domestic players that we do this business will continue to get attention . We bought bo th land as well as we are in the build out phase of multiple data centers across regions , this will continue. O n the tower side before I invite Harjeet let me say that the tower business is central to our portfolio and our business. They are very very impo rtant in terms of the stability of that company and this is the reason that we had climbed up in shareholding earlier at the time there was a b it of uncertainty as to what was happening in the market but now with the third player having raised capital and hopefully raising debt as well I think there is stability in terms of the industry structure so that is really how we see the tower company. W hether Nxtra goes into Indus or not is a separate question alto gether. It has many considerations the go to market capability that Airtel bring, the q uality of the management and the teams that actually understand th e space , much of it needs to be addressed it is highly speculative for me to comment on that side . Harjeet is there anything you want to add .

Harjeet Ko hli – Joint Managing Director - Bharti Enterprises

It is about pretty comprehensive. I thin k you covered most aspects well. T he small supplement I might do on the Nxtra and Indus
combination that Vivek you were try ing to suggest. Obviously all these thing s are possible. A t a broader level they are all infra assets
but as Gopal mentioned the key thing is to have an absolute clear deli very to the relevant client set. Tower companies have two or
three large clients that is it and data center companies have a mix of enterprises, hyperscalers and a very different set of style of b oth
sales cycles and deliveries, so one has to be very clear why they need to be necessarily combined not just for f inancial management,
also because there is limited set of only two or three large customers on the tower side it is more a yielding story rather than data
centers where you yourselves talked about growth and it has a large d ifferentiated pool of customers it has got a growth story so these
really need to be thought well thr ough before creating any Invit or a trust or a combination infra pool and lastly I would say it is always
good to keep assets a little more flexibly unbundled . It always helps both delivery as also any times when cycles to the market are not
running in fav or so that is probably the only supplement I had to do Gopal.

 Vivekanand Subbaraman – Ambit Capital

Thank you just one follow up, it has been three years since you last gave a guidance on the data center investments , you had said I
think at the end of 2021 that you will invest around Rs.5,000 Crores over a three year period any further guidance ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Vivek, we are b roadly in line with that kind of investment so we are broadly in line with those numbers over a three year period .

Vivekanand Subbaraman – Ambit Capital

Right. No I am just looking ahead and trying to understand the magnitude of opportunity and investment envisage over the next three
years. T hank you .

Gopal Vit tal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think that the demand for data centers continues to be strong both from global customers as well as domestic, so we will continue to
invest in data centers and so the guidance woul d be more or less around the sam e level over the next few years.

Vivekanand Subbaraman – Ambit Capital

Understood. T hank you so much and all the best .

Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Suresh . Mr. Suresh you may pleas e unmute your side, introduce yourself and ask your question now.

Aditya Suresh – Macquarie

Thank you Gopal and congratulations on a fantastic progress which Bharti has seen in the past couple of years . A specific question Gopal was on incremental opera ting leverage . As you kind of spoke about the trajectory towards Rs.300 of ARPU how do you think about incremental operating leverage for the mobile business ? consensus has let us say a 400 to 500 basis points margin expansion at Rs.300 is that appropriate , is the upside or downside those numbers ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

The way we think of our business es, we think of the return on capital for

our business is still hovering around 9% at the India level and that is really abysmally low as a consequence because we are a fixed cost business we are a capital heavy bus iness. W hen you see a tariff repair that happen s, a large part of that really does flow through into the bottom -line so to that extent th ere is very high operating leverage for incremental revenue. In fact you will notice that even in the last two to three years as we have grown the topline, through many, many interventions around ARPU we have got op erating leverage even from this. Of cours e the benefit of a repair in the tariff obviously gives you a lot more operating leverage where the return ratio the overall retu rn on capital improves modestly. It is not good enough but it certainly improves from where it is and once you get to 300 at le ast there will be reasonable returns in the industry .

Aditya Suresh – Macquarie

The second question Gopal was on deleveraging and dividends . You have spoken about this path previously but if you could maybe articulate what is the net -net target you are looking at before we can expect any meaningful dividends ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Well at the India level , may be, Soumen you want to take this .

 Soumen Ray – Chief Financial Officer - India & S outh Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Yes so there is no specific number per se but we currently have certain debts where the coupon is much higher than the mark et rate at which one can borrow, so I think the first objecti ve would be to retire that debt . If you remember we had given a Rs.8 dividend for the fiscal ended 2024, which w ere more than the flow through dividend, so I think a healthy mix of these two will continue but the first focus would be on paring down the deb t which is at the coupon which is higher than market average today.

Harjeet Kohli – Joint Managing Director - Bharti Enterprises

I think if I can also quickly add to what Soumen mentioned Aditya the free cash flow pool is not just in Airtel India which is growing , which Gopal earlier talked about even Indus has gotten back to regular situations in respec t to the counter party payments y ou would have seen their results their PAT is back to what it could be probably close to a billion dollars every year. Airtel Africa is dividend ing. Now Bharti Hexacom is listed , so we expect any dividend to come from that . All those flow pools are also increasing so even the earlier pass through there is expansion of this pool that is happening and as Soumen mentioned I th ink it is right time as we build more stability and certainty of the free cash flow and capex into play that the dividend can increase and so can the leverage go down .

Aditya Suresh – Macquarie

Thank you so much.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain you may please unmute your side, introduce yourself and ask question now .

Sanjesh Jain – ICICI Securities

Good afternoon. Thanks for taking my questions. Gopal I got few of them. First on the tariff and the consumer behavior one of your peers on their call said that they have observed some change in the consumer behavior , have you witnessed any change in the consumer behavior , are there any downgrades or a delay in the recharges that we have seen, which coul d in the near term have a lower pass through and SIM consolidation which was pronounced in the first tar iff are more benign in the second how we see this ta ri ff hike?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sanjesh do you had any more questions or this was the only one.

Sanjesh Jain – ICICI Securities

Yes I got few more but they are not related to this.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

So let me take this fir st. I think it is a little premature for us to say there is any fundamental change but from what we have seen in the early weeks , by and large we have seen some SIM consolidation at the lower end of the market particularly around our 2G user base but the S IM consol idation that we have seen is modest and I think only time will tell as to how that will play out . As of now we believe it is more or less in line with our action standards. F undamentally as far as data is concerned we have not seen too much of downtrading yet. Y es there is some reappraisal that happens during this period whenever tariffs go up and there is some delay of recharges all of that. My hope is that this will all unwind as we go through the quarter and let us see how that is which is I was saying it is a little early for me to comment on this. I think by the time we get to the end of this Q2 we will have a very good read

because
some of the flow through will happen in Q2 but some more will come in Q3 because of the nature of the recharge cy cles and the
validity of different packs that people uses .

Sanjesh Jain – ICICI Securities

Fair enough thanks. The second question is on , again continuing wi th the restructuring part of it, any reason we chose to increase 1%
stake in Infratel by not par ticipating in the buyback because that will cost us Rs.465 a share which is significantly expensive than our
earlier purchases so why suddenly such an expensive buying out of 100 basis point and flow through of the dividend also has a impact
because of tha t as well ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes I understand. Harjeet you want to take that question .

Harjeet Kohli – Joint Managing Director - Bharti Enterprises

Sure. Sanjesh just look Indus runs by its own in terms of a listed company. Of course we are significant shareholders and I think there
the thought process as we understand now that the Board meeting has happened , was more driven towards getting the last few
months and quarters of stability on the VIL flows for payments t heir current status some of pas t backlogs clearing so they had the
choice to do a dividend or the buyback and their choice to use buyback was as I understand I am probably relaying it on behalf of
what they have already said in the market was really to focus on their capital ratios because buyback has a capital in denominator
impa ct. Number two they retain the full dividend ability as reserve incrementally , because as things improve their dividend reserves
which is close to Rs.18,000 Crores is continuing to be intact and number three was a short -term tax efficiency that is available fo r the
instrument , so I think based on that they have taken their call and we are simply in a nice position really not wanting to participate . We
just acquired in fact . Arguably you could see this as a contract trade because we increase 1% earlier , so we are simply in a way
deemed to have invested this in the incremental stake that will generate once the buyback finishes and hence our B oard decided no t
to participate given that we recently actually only increased .

Sanjesh Jain – ICICI Securities

No,

my only point is that this was available at Rs.350 few months back or probably few weeks back and suddenly buying at Rs.465
appears to be an expensive a cquisition but I got your point. The next question again as Harjeet and Gopal you all mentioned so the
merger of data center and Indus does not seems like an immediate plan for that entity is that understanding right ?

Gopal Vittal – Managing Director & C hief Executive Officer, Bharti Airtel Limited

Well I do not want us to even go down that path right now San jesh till we are clear w hat we want to do. As of now Nxtra is an
independent sort of company within the portfolio . It is a subsidiary of us. At some stage we have always mentioned that data

centers
will be something we will look to dilute and this is an asset that we could look at once we believe the timing is right what is the destination of that dilution is a question that we will come to at that st age so right now it is too premature to even go down that path .

Sanjesh Jain – ICICI Securities

Fair enough. Gopal last question on the enterprise side of the business, the business appears to have gone significantly soft not only
for us our peers have also reported number , what is happening on the enterprise business ? Why there is a sudden slowdown ? Last
year we grew very, very smartly 15 % to 16% and now we are low single digit ? It looks very contrasting ?

Gopal Vittal – Managing Director & Chief Execu tive Officer, Bharti Airtel Limited

Yes, it is a good point Sanjesh and I agree with you that the business has certainly softened. We have seen a significant softening in
the global side of the portfolios that I mentioned . Many of the OT T companies deferr ed their spends. We saw this trend - exact opposite
trend in the domestic side last year . The dome stics were pitching in strongly. There has been some rationalization on the cor e
connectivity. We believe that it will come back based on what we see as the o rder book . My own sense is that this is really what calls
for greater urgency in our own portfolio to really drive a lot more adjacencies because remember the connectivity side of the bus iness
as an industry is growing only at about 4 % to 5%, so underlying connectivity will always be soft and there is only so much that you
can do to actually gain share and so on . The second part of the business is really on the global side where we are dependent on some
of the large players looking at spends so this is what calls for greater urgency to re -engineer our own portfolio where we con tinue to
focus on connectivity, w hich was our bread and butter , but in addition really accelerate our adjacencies and if you ask me personally
where I spend maybe 50 % to 60% of my time , it is really towards that part of the portfolio so that we can re -engineer the B2B side
towards adjacencies . We have made substantial investments in some of the capabilities on CPaa S, which is seeing good traction . Of
course it comes at a slightly lower margin than the core connectivity business but then the EBIT margin is actually very healthy
because the capital requirements there are very scarce . The second area of focus for us is really cloud where till now we have been
more partnering with just publi c cloud players to actually resell cloud along with a small managed services component . I think here we
are putting in significant investments in managed services capabilities in Pune. The second place we have also decided to put in a
substantial inve stmen t is on our own cloud offer . I do not know whether you are aware that as Airtel we are the largest cloud player
for our own private cloud . All our applications whether it is a retail applications or call center applications our portals or our service
porta ls for all our channels all of it run on our own cloud and we believe there is an opportunity here to play a game where we are also
managing workload move

ment to the public cloud but at the same time optimizing spends for players that may want to do it in a
cheaper way using the private cloud and the third area of cloud is really where we are partnering with one of the large tech companies
to go after the banking workloads , particularly given the sovereignty requirements that many of the banks and financial institutions

 have as far as cloud is concerned, so CPaaS and cloud are the two big areas. T he third area of focus really is on security. We have

had one big strategic partnership with a large global player on security. Y ou will see that announcement come up in terms of the
product portfolio that we launch ed in the coming quarter s, so all of these areas are getting a lot of attention and I feel that if you think
of the market outside of the core connectivity that is growing rapidly we really need to do a si gnificantly faster and more effective job
in converting that opportunity into real revenue for our portfolio .

Sanjesh Jain – ICICI Securities

That is fair. A ny comment on the competitive intensity in the enterprise business you want to comment , because one of the players is
now talking too much ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes Sanjesh that I think remains. I think we have seen especially when there reverse auctions for government tenders and f or public
sector units which they do normally. We do see some comp etitive pressure but I would not say this is anything that is disproportionately
different from what we have seen over the last three years . I think this is business as usual.

Sanjesh Jain – ICICI Securities

Fair enou gh. Thanks Gopal for patiently answering all those .

Vaidehi Sharma – Moderator

The next question comes from Mr. Kirtan Mehta . Mr. Mehta you may please unmute your side, introduce yourself and ask y our
question now , good aft ernoon.

Kirtan Mehta – BOB Cap ital Markets

Good afternoon Sir and t hanks for giving this opportunity. I wanted to understand in terms of the home s segment what would be our
targets sort of what is the vision for the home s segment over next three years o r so and could you also elaborate the way you
elaborated the pros and cons of standalone versus non -standalone architecture in case of the homes , how do you see the sort of the
absence of sub -gigahertz , could it have any impact and what would be our USP wh en we target the home s segment ? that was one
part of the question .

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

So I think the homes business or the home s segment will continue to see strong growth because there are still over 20 to 25 million
high value homes that still do not have broadband and we do know that every time a smart TV is bought , it is a moment of reappraisal
for that home to consider broadband so to that extent we do believe that this will continue to grow. T he pricing on broadband is quite
low in India relative to any other market in the world. I n fact is very low and as a conse quence maybe that market could be slightly
larger than 60 million or 65 million but we will see how that plays out . I think th e bulk of the market is really focused on the top 1000
cities . We will see that. We do not see as much of a market playing out beyond 1,000 cities. I would say maybe 90 % to 95% of it is
there. The focus on homes for us is really fiber as a first protocol b ecause the experience that you are able to deliver on fiber even a

dedicated network both on the down as well

as the uplink is always going to be better than any wireless tec hnology. T oday the 3.5 GHz has a lot of unutilized spectrum and so we will get a great experience at this stage, but over time that will congest as happens in many other markets , most notably if you look at the US the same situation that is playing o ut there. A s a consequence I think our movement will be to grab the market wherever we c an to fix wireless access but then to move them to fiber as so on as we can move them to fiber. We do not believe that there is any need for sub -gigahertz s pectrum . We have also talked about this at length. We had enough sub -gigahertz spectrum between a com bination of 900 band and 850 band for coverage. R emember the sub-gigahertz band only gives you coverage at the edge. I t does not have much spectrum itself. The bands do not have much spectrum. As a consequence you do not get capacity coming in from sub -gigahertz. It is only for coverage and with technologies like carrier aggregation that are available we can extend the down link even of the mid -band and therefore we are pretty satisfied that the combination of standalone for fixed wireless access using our m id-band holdings and whatever coverag e we have that we need with sub -gigahertz on the mobility side is more than adequate for our needs.

 Kirtan Mehta – BOB Cap ital Markets

Thank you for a very elaborate answer. P robably if I may add another question . We have been talking about sort of a need for Rs.300 ARPU to have an adequate return is there a possibility that significant portion of that can be covered by the Airtel Black type of offering where bundled offering goes to the consumer and that allows us to breathe the gap limiting the need for increase in the connectivity tariff?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Well I would not say that becaus e if you look at our disclosure. O ur disclosure gives you segme ntal reporting by business. We disclose the ARPU by business and so when we talk about mobility ARPU we talk only about mobility ARPU which may not be the case with everybody in the country and therefore Airtel Black is really , will show up in broadband or will show up in DT H and not really in mobility. Of course postpaid will show up in mobility and so when you think about Airtel B lack, which is largely a home s play, I think it will have very little to do with the ARPU for the mobile segment . What it does give you is a presence in the home which is a high value home and we can leverage our existing relationship that we have with mobility in that home to actually shift them into a converg ed home. That is a different stor y but that is not an ARPU story. That is ARPA story , which is an average revenue per account .

Kirtan Mehta – BOB Cap ital Markets

Thanks for clarifying this. That is all from side.

Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vora. Mr. Vora you may please unmute your side, introduce yourself and ask your question now.

Kunal Vora – BNP Paribas

Thanks for the opportunity. I wanted to understand your thoughts on 5G monetization , minimum threshold to use 5G has now increased . So what kind of dropout would you expect fro m the current 90 million 5G users who were used to paying 239 but now they might need to pay closer to 350 or so, or even higher like 419. So wa nted to understand thoughts on 5G subscriber base going forward ?

Gopal Vittal – Managing Director & Chief Exec utive Officer, Bharti Airtel Limited

Kunal w

e have not seen in the early days of the tariff repair, we have not seen any cool -off on 5G, in fact remember devices a re also coming into India , 80% of the devices now are 5G enabled . So we continue to see grow th in this segment and we also have a lot of sophisticated data science tools to try and get people onto the right plans , given the change in pricing that has happened in the last few weeks , but at this stage we do not see any challenge on that front. T he broader answer to your question on 5G monetization or the broader problem that you are referring to which is 5G monetization is a relevant problem because globally you really do n ot see any major use cases that is held in 5G monetization other than fixed w ireless access . So fixed wireless access is a modest use case in the overall scheme of things because on the mobility side you put in a lot of capex for radio but fixed wireless access is a small part of the overall revenue that is generated , as you know h omes segment tends to be small in most markets other than very developed markets where homes have been penetrated deeply by incumbent legacy government players that have then privatized .

Kunal Vora – BNP Paribas

But Gopal would you say that 5G monetizat ion has now been started because like if you want to use 5G now , there is like minimum Rs.50, Rs.70 extra which you need to pay compared to what you are paying while this is a normal tariff price which is may be 20% to 25% but for 5G customer the tariff hike is more like 40% so that is the reason I was asking whether like you are seeing more dropouts because it is a significant Rs.100 plus increase in case of 5G customers ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes, w ell that is the modest for us because in the past also many of these customers were sitting on plans at Rs.299 and so on and so forth but you are right there is a modest monetization in that respect . There is an opportunity to monetize and that is something that we will need to look at , over the course of the next few quarters.

- 11 - Kunal Vora – BNP Paribas
But just to conclude this discussion you do not think there will be much of a dropout from the 90 million , which you are currently
seeing ? I mean, do you think that 5G customer base will still grow?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I am not suggesting that all 90 million were on 5G packs. W hat I am suggesting is that 90 million customers who la tch on to 5G radios
on our device on our network and to get them onto the right plan is really the effort .

Kunal Vora – BNP Paribas

Understood and second is what is the incremental capex which you need to incur to offer stand alone network and will you offer FWA
on a nationwide basis and how big do you think the market is ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

The incremental capex to run SA is very very modest because all are as I ment ioned earlier our radio networ k, our core network
everything is ready for SA so the i ncremental capex is very modest. It is really some software that will need to be put in there and yes
when we launch fixed wireless access on standalone by August or September we will be national with it.

Kunal Vora – BNP Paribas

Okay and lastly India mobile capex this quarter was lower Rs.48 billion versus last year same quarter 78 billion. Was there any one
off factor like the heat wave or any of that or should we extrapolate this or the capex

will increase compared to what we have seen ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

We have always mentioned that capex this year will be lower than last year and that it will moderate. I would not react too much t o a
particular quarter , sometimes it goes up and sometimes it goes down but certainly the capex that we will incur in this coming year
which is this year which is the year that we in FY2024 -25 will be lower than FY2023 -24.

Kunal Vora – BNP Paribas

Okay thanks. That is it from me.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman you may pleas e unmute your side, introduce yourself
and ask your question now .

Vivekanand Subbaraman – Ambit Capital

Thank you for the follow -up. Just a couple of questions extending what Kunal just asked on the 5G customer base right . So just to
clarify you said that 90 million customers have latched on to 5G at some point of time during the quarter is that the right assessmen t?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

In a month .

 Vivekanand Subbaraman – Ambit Capital

Right understood okay that is one. S econdly are there any targets that you have on FWA? I know you said this has be en answer ed
to a previous participant on the 20 to 25 million users who are not yet connected by Broadband ? Is it feasible to even connect them
via b roadband or you are looking only to connect them through FWA ?

Gopal Vittal – Managing Director & Chief Ex ecutive Officer, Bharti Airtel Limited

No, it is feasible but it will take time. We will roll out one and a half million home passes every quarter so there is a staggering case of
rollout of fiber home passes but the time taken to do that can be accelerat ed dramatically if you actually have a fixed wireless access
option so that is the only point. Because remember in broadband once you get into the home s unless you make a mistake or unless
your experience is poor the churn tends to be low .

Vivekanand Sub baraman – Ambit Capital

Okay , lastly I missed the number you said on the digital revenue the annualized revenue number . I think you mentioned it in the
beginning but I missed it.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airt el Limited

I did not mention it but it is in that ballpark about Rs.2300 to 2400 Crores.

Vivekanand Subbaraman – Ambit Capital

Well thank you and all the best.

Vaidehi Sharma – Moderator

Thank you to all the participants. I would like to remind all the participants to stay connected on the call for the next session on Bharti
Hexacom. With that I would now like to invite Gopal for his closing remarks on Bharti Airtel.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Thank you very much for this for this call and thank you for all the questions. I look forward to talking to you again , next quarter .

Vaidehi Sharma – Moderator

Thank you Gopal. W ith this I would now like to hand over to Mr. Soumen Ray for his opening remarks on Bharti Hexacom.

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Good afternoon everyone. We lcome to the Bharti Hexacom Q1 FY25 earnings call. I will start with the k ey dev elopments of this
quarter. There are two. T he first was spectrum auction . We purchased about 15 m egahertz of spectrum in the sub -gigahertz and

in
the mid -band range. T he total cost to us was about Rs.1,000 Crores. T he second of course is tariff repair, which along with the ind ustry
in the first week of July , Bharti Hexacom also took up th e tariff in the prepaid segment.

Moving on to financial and operating performance we delivered a revenue of Rs.1 ,911 Crores , growing sequentially by 2.3% . Revenue
growth w as broad -based . Smartphone customers add ition was a strong 700,000 plus, 703,000 as compared to 641 ,000 in the
preceding quarter Q4 of last year. ARPU for the quarter also saw an increase it was at 205 versus 204 with the number of d ays being
same. D ata us age per customer improved to 25.7 gigahertz the highest in the last four quarters. EBITDA stood at Rs.912 Crores with
an EBITDA margin of close to 48% . The reported net income was Rs.511 Crores for the quarter and operating free cash flow which
is EBITDA m inus capex was at Rs.594 Crores. I am happy to report that we have repaid about Rs.900 Crores of our debt . So there
was a paper which was due of Rs.2,000 Crores. Rs.900 Crores has been repaid and Rs.1,100 Crores has been refinanced and we
ended the quarter with a net debt to EBITDA improving to 2.07 . With that I would like to open the floor for questions . Over to you
Vaidehi!

 Vaidehi Sharma – Moderator

Thank you Soumen. We will now begin the Q&A interactive session . Due to time constraints we would pleas e request if you could
limit the number of questions to two per participants to enable more participation . Interested participants may click on raise hand
option on your Zoom application to join the Q&A queue. The first question comes from Mr. Sanjesh Jain. Mr. Jai n you may please
unmute your sid e, introduce you rself and ask your question now.

Sanjesh Jain – ICICI Securities

Hi Soumen, Good afternoon. T hanks for taking my questions . First on the cost side, the cost increase d sequentially appears to be
higher both on the SG&A side an d the other cost as well, c an you help us understand what led to sudden sharp i mprovement in the
cost line item ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom L imited

Well the SG &A there was a bit of one -off in the previous quarter which has been catch up mostly. A lso with the broadband

rollout
there was some on etime advertisement expenditure. T hese are the two primary reasons why SG&A is a little elevated. T he normal
level would be somewhere between last quarter and th is quarter somewhere in between. People cost also has gone up a bit and that
is more because of one increment which has come in and two there are some actuarial valuation impact which has come in . Of course
on the opex the reason is because as you know we have capitalized our 5G spectrum and the investments so this quarter saw the full
impact of opex as well as depreciation amount and interest of the 5G spectrum and associated fixed costs of the ra dios and the
variable cost of the opex percent.

Sanjesh Jain – ICICI Securities

So, Soumen we have largely now capitalize all the spectrum , leaving the one which we have just purchased everything is amortized
now?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

As far as BHL is concerned everything is capitalized and you have seen in Bharti Hexacom the full impact in this quarter P&L.

Sanjesh Jain – ICICI Securities

Okay , so fro m next quarter onwards it should stabilize in terms of the grow

th right ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Yes, it should.

Sanjesh Jain – ICICI Securities

Okay , my s econd question is on the working capital ? There is a significant release of working capital to the tune of Rs.445 Crores
should be precise in this quarter , what led to that sudden release in the working capital and is this current working capital is a sustainable number to look at ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Well, I think what led to this release is multiple levers being pushed, s ome collections being fast tracked and all of that . You can
consider the current level to be reasonably a steady level of working capital but I am not saying at exact numbers but directionally this
is how it should be. One of the reasons why this got released is there was some VLF reversal s which happened because of the
Supreme Court case .

Sanjesh Jain – ICICI Securities

Okay , so that Rs.300 Crores was sitting in the working capital and that got reversed but that should not flow through the cash flow
right because Rs.445 Crores is?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

No, so w hen you say working capital, I was telling you so you will see some reduction in current assets and current liabilities. I n current
assets there was a large borrowing which was sitting which was due within one year which as you know Rs.800 Crores has been
actually paid off and the balance has been rolled over to be paid in future quarters as the company sees good cash accrual but that
is very larger number. Your difference is about Rs.400 Crores so explaining so the current asset has come down by Rs.800 Crores to
Rs.900 Crores but there is a corresponding reduction in current liability to the extent of reversal of the V LF interest.

Sanjesh Jain – ICICI Securities

Got it and towards the capex Soumen this quarter was 16.6% of the revenue just Rs.370 Crores , this should not be a representative
capex for the full year right ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

See, quarterly we would not like to say whether it is representative or not but like it happen in our parent at a full year level we should
finally end with a capex which is lower than last year .

Sanjesh Jain – ICICI Securities

Okay that applies to the Hexacom?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

To B HL yes.

Sanjesh Jain – ICICI Securities

Got it. That is it from my side. Thanks Soumen for answering all the questions and best of luck for the comings .

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman you may please unmute your side, introduce yourself
and ask y our question now.

Vivekanand Subbaraman – Ambit Capital

As far as the costs are concerned thanks for the explanation there so just one additional question in the same breath . When I look at
the net revenue and divided by gross revenue I am getting 79.2% this quarter and this has been steadily declining from around 80.6%
in the one year prior same quarter so there has been some increase in access charges as a percentage of revenue could you help us
understand what are the factors responsible fo

r that and where should this stabilize ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

So, Vivekanand, thanks . Bharti Hexacom Limited is the only player currently who does not have a pan India presen ce and

hence we
have access charges. Y ou should look at access charges on an annualized basis because there are multiple seasonalities because
of which out-roamers, in -roamers numbers change. T ypically for Bharti Hexacom there would be some reductio n in access charges
net access charges during Q3 and Q4 and possibly unwavering. We have just got listed. This is effectively the Q1 after listing. M y
request i s you consider it in that range and look for a year I think you will get an annualized trend as to how it flows .

Vivekanand Subbaraman – Ambit Capital

Okay and there were no other factors apart from ?

 Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

No. There no other factor s. It is just that as I said our normal in the industry this does not apply whereas because we are only a two
circle playe r we have this exposure which will normalize when y ou take a longer period average. You are seeing two quarters and
hence it is looking a little yo-yo.

Vivekanand Subbaraman – Ambit Capital

Okay my second question is as far as Airtel overall is concerned Gopal outlined the home market oppo rtunity of top 60 million homes,
20 - 25 million of whom are unconnected what would the correspondi ng numbers be for Hexacom? What is the opportunity set that
you foresee in these markets ?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Well, I would not have the numbers off hand with me to give you but suffice to say it should be a lower than equal subset because the
two circles we are talking of is relatively lower in terms of discr etionary income and development so I would say if it is 60 million this
number could be anywhere be tween one to one and a ha lf million in these two circles.

Vivekanand Subbaraman – Ambit Capital

Understood. Great , thank you very much.

Vaidehi Sharma – Moderator

The next question comes from Mr. Kirtan Mehta . Mr Mehta you may please unmute your side, introduce yourself and ask your question
now.

Kirtan Mehta – BOB Cap ital Markets

Thank you for this opportunity. J ust extending Vivekanand ’s question into the homes . So would we be more open to sort of explore
the FWA route to tap the home s segment within o ur two circles where probably the providing network connectivity to the upper

households would be difficult, so would we be aiming to focus more on FWA route to capture them?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thanks Kirtan for the question. I think let me put it this way, the way we are approaching it is we are saying WiFi. When we lit up both wire connection as well as FWA, the feasibility goes up significantly. The pricing is same. The customer is actually agnostic because this is a residential customer. The kind of usage that they have is serviced by adequately by a 40 to 60 mbps connection they do not need any more so if it is FWA which has to take the lead FWA will take the lead. We are not working towards saying that FWA will be my lead in acquiring home customers in these two circles. Our pitch is, it is Airtel WiFi if you want it,

let us know and we will give it.
Whether it is wired or FWA depends on whether the area has been wired or not but for a customer facing it is just Airtel WiFi, but yes as you rightly said there is a probability that FWA will do a little better in these places primarily because laying fiber across is a little challenging.

Kirtan Mehta – BOB Capital Markets

Just one more follow-up here, so in terms of we mentioned around 1300 cities where home passes would be available so how many of those cities would be within our 2 circles?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

It will be closer to about 100.

Kirtan Mehta – BOB Capital Markets

Sure just one last question from my side, we have mentioned about net income before exceptional said 2.6 billion was around 24% Y-o-Y could you just remind us through what were the factors during the previous Q1 which is sort of showing this apparent decline?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

Pardon.

Kirtan Mehta – BOB Capital Markets

Underlying net income excluding exceptional at 2.6 billion is 24% down Y-o-Y so this is an apparent decline because I believe of the previous Q1, would you be able to remind us what were the reasons during previous Q1?

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexacom Limited

So I think it is primarily network cost you know the 5G cost has come in and we have rolled out a lot many more new sites so

if you
go to , I will tell you wha t to look at. If you go to page 16 on schedule 8.1 you will see a very , very sharp increase in network operatin g
cost from about Rs.348 Crores to Rs.467 Crores.

Kirtan Mehta – BOB Cap ital Markets

Right thank you. I think that is it from my side. T hanks for th ese a nswers.

Vaidehi Sharma – Moderator

Thank you to all the participants. I would now like to hand over to Mr. Soumen Ray for his closing remarks .

Soumen Ray – Chief Financial Officer - India & South Asia - Bharti Airtel Limited and Director, Bharti Hexac om Limited

Thanks a lot for showing interest in attending this call . Like other telecom operators , we are very excited with this tariff increase and
we hope in the next two quarters we get a good flow through of this and there on take it on from there . The focus on broadband
continue s. Broadband as a share of our business has inched up marginally . It was more like a 3% of our total business . It has moved
to 4. Hopefully with aggressive focus on broadband coupled with driven by FWA we can further enhance th e diversity of the portfolio
between these two business es. Thank you .

Vaidehi Sharma – Moderator

Thank you everyone for joining us today . Recording of this webinar will be available on the websites of the compan y for your reference.
Have a great day ahe ad.

Call: Nov 2024

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November 06, 2024

National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcrip t of the Earnings Call dated October 29 , 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on October 29 , 2024 in respect of the audited financial results of the Company for th e second quarter (Q2) and six months ended September 30, 2024.

The transcript of the call is also uploaded on the Company's website i.e.
https://www.bhartihexacom.in/results -quarterly -results.html

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

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Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2024 Earnings Webinar

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ended September 30, 2024 Earnings Webinar

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- 2 - CORPORATE PARTICIPANTS

Mr. Gopal Vittal
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Mr. Shashwat Sharma
Chief Operating Officer , Bharti Airtel Limited

Mr. Soumen Ray
Chief Financia l Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
Joint Managing Director, Bharti Enterprises

Mr. Naval Seth
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Mr. Akhil Garg
Financial Controller, Bharti Airt el and Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Goodafternoon, l adies and gentlemen I am Vaidehi Sharma the moderator for this webinar. Welcome to the Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2024 Earnings Webinar. Present with us today is the senior leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview and discussions today may include certain forward - looking statements that must be viewed in conjunction with the risks that we face. Post the management opening remarks we will open up for an interactive Q&A session. Interested p articipants may click on “Raise Hand Option” on Zoom application to join the Q&A queue. The participants may click th is option during the management opening remarks itself to ensure t hey find a place in the queue.

Upon announcement of name participants to kindly click on “Unmute Myself” in the pop up screen and sta rt asking the que stion post
introduction. With this I would

now like to hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

A very warm welcom e to th is earnings call for Q2 2025 . With me on the call today I have Shashwat our newly appointed CEO
designate, Soumen , Harjeet , Naval and Akhil Garg .

Let me start by giving some texture on the organizational announcement we made yesterday . Our objective through this change is to
bring in a fr esh crop of younger leaders into key positions to run the India operations . This move symbolizes world class succes sion
in best -in-class companies. Shashwat will be appointed C EO designate and will take over the role of MD & CEO on January 01, 2026 .
Shashwat joined us in 2018 from Hindustan Unilever . Over the se last six years he has been giving a series of well -thought through
and planned experiences where he has created impact . He led the entire consumer marketing across all our segments - mobile ,
broadband , and DTH. In addition, he was responsible for partnering with functions to shape the digital agenda . Since 2023 he has run
the operations as Chief Operating Officer . This rich experience across various parts of our business makes him a very strong candidate
to lead A irtel well into the next decade . In the next one year my job will be to fully ready him to take over as MD as you can see all of
this has been a very well planned succession . I will be stepping up to the role of Vice-Chairman & MD for th is year 2025 and eventually
as Executive Vice Chairman for Bharti A irtel. M y job will be focused on four areas , one to mentor and groom Shashwat , so that he is
fully ready to lead the India business in 14 months ’ time, second I will take on some of the rol es that Sunil plays today across the
group specifically driving synergy on digital , procurement , talent , and network strategy . We believe this will add capacity to the group ,
third I will spend time scaling some of our incubation and growth areas , digital services , financial services , and data centers . Finally,
I will also provide broader oversight across our overseas operations . In addition to this, I have also agreed to continue as Vice-
Chairman for GSM A as a nominee of A irtel for an additional two years so that latest developments related to technology are assessed
and relevant parts brought back to A irtel. I want to clarify that I am fully committed to the Bharti group and I have no intention of taking
on anything outside the group .

Let me now turn to t he performance and update on our strategy

A quick background on ESG . In our ongoing com mitment towards ESG initiatives, I share the latest progress. W e solarized over 3,500
sites in the quarter and about 24 ,800 sites in the last five quarters . Our efforts to reduce the environmental impact have led to a
savings of over 2 million litres of diesel per month over the last two years resulting in approximately 5.8 ton nes of CO_2 emissions
eliminated monthly . This has been achieved with the deployment o f lithium -ion and valve -regulating lead acid batteries and other
measures . We recently col laborated with Nokia for energy -efficient solution s and practices t hrough Airtel’s mobile network and expect
to reduce Airtel’s carbon emissions by an estimated 143,0 00 metric tonnes of CO_2 annually .

Nxtra has achieved a 4% reduction in Scope 1 and 2 emissions compared to FY21 despite a 25% increase in power consumption .
We have over 220 megawatts of renewable energy usage , a 41% increase over FY23. Nxtra also saved over 160,000 ton nes of CO_2
emissions via various initiatives . We are proud that all our hyperscale data cente rs have reached IGBC Gold Certification reflecting

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 our commitment to sustainability in construction . Women participation in Nxtra also i ncreased 30% in FY24. W e maintain transparent
disclosure s on ESG and we are proud of high standards of governance and ethics .

Let me give you some highlights of our performance

We delivered a solid quart er. Consolidated revenue of 41,400 odd Crores , India revenues were strong with about 8.7% sequentially
to just over 31,500 Crores . EBITDA margins came in at 54.8% , an improvement of 1.1% . We delivered the highest ever quarterly
operating free cash flow, which is EBITDA minus capex of 11,000 odd Crores . Capex for the quarter was 6 ,260 Crores. T he strength
of our balance sheet is a testament to prudent capex and commitment to trim high cost debt over time . During the quarter, we prepaid
another tranch e of DoT Spectrum dues pertaining to 2016 . In the last five quarters we pre paid over 32,000 Crores of high -cost
spectrum dues . India net debt -to-EBITDA now stands at 2.6 compared to 3.1 a year ago .

I also want to clarify the position on net debt in India . On a reported basis the net debt has gone up by 6 ,000 Crores . All of this was
related to spectrum that was procured in June, which was received during this quarter . In addition, do note that we paid out 5 ,000
Crores of dividends from our cash generation . We continue to have solid e xecution and razor -sharp focus, which is a foundation of
our consistent performance .

All businesses are delivering market share gain s. I also want to underscore ou r effective and simple strategy, which has consistently
delivered results - quality customers , delivering a brilliant experience for them , putting digital at the core and relentlessly focusing on
operational excellence and stripping out waste .

We continue to expand our network . We rolled out about 5 ,000 network sites , over 9 ,800 rou te kilometr es of fiber in the quarter . We
have deployed recently purchased spectrum to turbocharge our network across key circles . We are delivering the best experience in
India and that truly is the obsession for us so we believe our focus and obsession was endorsed by the recent results in open signal
- a crowd source network experience platform . Airtel was awarded all five awards on 5G network experience on open signal , a
testimony to the hard work done by all at Airtel.

A quick update on each of our segments

In the mobility business we experienced a loss of 2.9 million customers due to sim consolidation triggered by the tariff repair, but this
decline was milder than what we observed in earlier rounds . As we have seen in the past , these trends normalize over tw o quarters
and we have already seen that normalization happen through the month of October . We have already seen a trend reversal with
customer ad ds. We added 4.2 million smart phone customers in the quarter . Postpaid net ad ds remain steady at about 0.8 million.
Flow through of tariff increase is a s per expectations and we expect the full benefit to be reflected in the coming quarter . ARPU came
in at Rs.233 compared to 211 in Q1 maintaining an industry -leading growth . At the same time the ROCE of the India business is still
very low at 11.2% . The only way to improve this is further tariff repair .

Underlying ARPU drivers remain intact, feature phone to smart phone upgrade s, prepaid to postpaid upgrades , data monetization , and international roaming . We continue to expand our 5G coverage . We ended the quarter with a 5G user base of 105 million , 5G shipments continue to grow and we are gaining share .

In the broadband segment we added nearly 6 lakh customers , a step jump from previous quarter s. Our FW A expansion is yielding strong results . During the quarter we rapidly exp

anded our coverage of FW A. This is also driving the addressable market and the expansion for our Wi-Fi services . We are now live in more than 2 ,000 cities through a combination of fixed wireless access and FTTH .

In the DTH segment we lost over 500,000 customers in the quarter , this is largely impacted by pronounced seasonality . Our simple and differentiated strategy continues to drive share gains even in challenging industry . Airtel Black, our converge d offering plays a key differentiator in the marketplace . Customers on A irtel B lack plans have grown by about 65% in the last one year . Our Xstream offer which is the OT T bundle s along with linear content has seen strong traction with 55% growth in the customer base in the last one year .

Airtel business - our revenue growth in Q2 was 3.3% sequentially . The domestic business is showing strong traction with growth coming from both connectivity and emerging segments . The global business has seen an improvement in customer discussions on upcoming business but that has yet to translate into firm orders . Our engagements with large global customers for potential deals are moving as per expectations . To boost our global connectivity offerings we s igned an agreement with Sparkle for Blue & Raman Submarine Cable Systems capacity between India and Italy . The margin impact is attributed to the changing revenue mix with incremental growth driven by new and adjacent businesses and these are businesses wi th low capex .

On our digital businesses, our efforts are channeled through improving and driving growth in CPaaS, Financial Services , IoT, Security and Cloud. Airtel Finance is shaping up well and we believe there is significant room for growth in the space . I will just share a few details here . Airtel Finance has served over 1 million customers till date across various financial products . We are trending at an annual ized loan disbu rsal rate of 3 ,000 Crores and our AUM stands at 2 ,500 Crores . We continu e to partner with leading NBFC s to scale our loan portfolio . We will be expanding the portfolio across various financial products with partners . In line with our vision of financial services marketplace , fulfilling needs of our customers with the trust of the Airtel brand we have launched multiple products including fixed deposits where we partnered with small finance banks and NBFC s to offer attractive rates . Going ahead , we will be launching embedded insurance as well . We are building A irtel F inance a s a strategic asset for the group and will keep investi ng in and growing this business, which has synergies with our core business .

 Finally, the Payments Bank, the monthly transacting user s stood at just over 85 million , actually a shade under 86 million , with a strong growth of 20% sequentially . The annualized revenue run rate is now over 2 ,600 Crores , growing 58% year -on-year. Deposits remain robust at over 2 ,950 Crores growing by 43% year -on-year.

A quick update on our strategic pillars

First is really building a diversified portfolio to give us more resilience . Africa now accounts for 25% of revenues , India mobile

is at
60% and India non -mobile is at 15% . Africa continues to deliver strong constant currency growth of 7.7% sequentially . Going ahead,
we see strong growth potential in our non -mobile portfolio - homes , B2B, and digital .

Second is to really win quality customers and let me quickly give an update on the growth drivers in each of these segments - homes ,
postpaid , rural, and B2B . Broadband pene tration in the country as

you know is only 42 million but growing fast we believe this can
grow to abou t 80 million in the medium term. O f these 30 to 40 million new homes , Airtel has a relationship that can be leveraged to
drive more services . To capitali ze on this opportunity we are focused on three areas , one is to expand our coverage through F TTH
and fix ed wireless access by entering newer markets and fiber dark areas to expand the addressable market . Two, to simplify the go -
to-market with uniform prici ng of our Wi-Fi offering across technologies, activating alternate channels for installation and servicing ,
strengthen store presence , and scaling delivery capacity . Having stitched the initial teething issues our focus is now to drive
productivity across the channels . We are seeing strong traction in our customer addition momentum . I do want to reiterate that fiber
will always offer a superior experience and our expansion plan is predicated upon eventually converting our fixed wireless ac cess to
fiber once fiber reaches the location . This is driving continued fiberization . We now have over 33 .5 million home pass es and continue
to add over one -and-a-half million home passes every quarter . The third focus are a is bundling entertainment along with convergence
through Airtel Black. This is yielding positive results with about 50% of our broadband acquisitions on Black plans . We believe this
has significant headroom for growth going ahead . To further strengthen our e ntertainment portfolio we announced a partnership with
Apple on TV and music .

On postpaid , as I mentioned earlier , our focus is on 80 million potential customers who we believe could upgrade to postpa id. W e
want to seize this opportunity with continued e fforts on simplifying our journey , deepening our retail footprint along with our flagship
family proposition . We further deepened our retail footprint with our store count now at 1,650. We continue to enhance customer
experience for international roaming w ith competitive plans and coverage across the world .

Our rural expansion over the last two years has contributed to revenue market share gains across surface. We have rolled out more
than 39,000 si tes with continued expansion underway to cover the gap in five key circles . Extensive use of digital tools and data
science and our razor -sharp execution delivered desirable results . We believe that a bulk of the expansion is now done and our focus
going forward is to sweat our deployment .

In B2B , the growth op portunity is large with 90% of incremental growth coming from adjacencies . We have three focus areas , first
continue to strengthen our go -to-market approach and build sales capabilities . This is really driven by instilling rigor within our sales
teams thro ugh comprehensive training program mes designed to equip them with the skills necessary to effectively sell solutions .
Second , to build products and tailor solutions for industry -specific needs with accelerated investments in CPaaS, IoT, Cloud and
Security . This will help us lock customers for long and enable us to win higher share of wallet . The third area of focus is on creating
future ready infrastructure that delivers good customer experience . As I had mentioned earlier, we have a blueprint for our fiber
expansion and the same is reflected in our fiber deployment, which is nearly 100,000 route kilometers in the last two years . We are
investing in digital tools aimed at improving our delivery and assurance processes ensuring a brilliant experience for our customers .

The third pillar of our strategy is the obsession to deliver a brilliant customer experience . Over the years with significant increase d use

of data science and digital tools to deliver a superior experience , our framework and experience is fou nded on two principles the
platform approach with four key platforms for our B2C business - buy bill , pay, and ser ve. T hese a

re now yielding strong results on
customer journeys in an omni c hannel way. Second is our network experience, our digital mindset keeps us at the forefront of technological changes and enables us to use data science and digital tools across the network layers . The most recent one is the
launch of India's first network -based AI -powered spam detection solution that will significantly solve the issue of spam calls and
messages . This proactive approach not only safeguards our customers but also enhances their overall experience . We are using AI
algorithms based on a real -time analysis of 1 trillion records a day to ide ntify potential false spam calls and alert customers before
they answer . The implementation of this spam call detection solution is already shown promising results and initial data indicates that
it has significantly reduced the volume of spam calls . Our solution has been able to identify over 100 million potential spam calls and
more than 3 million unique spammers in the network .

The fourth pillar of our strategy is to build and leverage our digital capabilities . Digital is deeply embedded in our operati ons and pivotal
to our strategy . Our digital service offerings including A irtel Io T, IQ, Cloud, Security , SD-WAN , and A irtel Finance, all of which are
getting significant attention and investment .

I will give you a quick texture on security and our strate gy around it. India's security market has undergone a remarkable transformation
marked by substantial growth, which underscores the escalating significance placed on fortifying digital defenses in face of evolving
threats . We have now tied up with Zscaler to make sure that we have a very strong security proposition for our customers . We are
also partnering with other managed services offers , so managed services become a very important area of focus . We are monitoring
recovery services ; this encompasses one stock with complete cyber defense and recovery services using NextGen analytics and
breach assessment platforms . Our customer base in both these services has doubled with strong revenue growth in last year and
expected to sustain the momentum going forwar d.

 The fifth and last pillar of our strategy is War on Waste. This is core to our operations . We take pride in fostering a frugal culture that
prioritizes efficiency without compromising service quality . Despite an addition of over 75,000 network sites in the last two year s, our
diesel consumption on towers saw a reduction of over 2 million litr es per month . Over 58% of our network sites are now tagged as
green sit es. O ver the last two years we have saved over Rs50 billion on network opex. W e continue to identify areas to drive cost
efficiencies .

To sum up, overall it was a good performance with consistent share gains . In mobile the full benefit of tariff repair will accrue over the
next two quarters . The postpaid opportunity is large , we have continue d to get focused . Homes , our effort is to expand the addressable
market with fixed wireless access , sustain our home pass expansion and drive convergence . B2B is expected to regain growth
momentum going forward . Our financial prudence and sustained delevera ging continue to strengthen our balance sheet . We believe
that the industry is still delivering sub 7% ROCE and this needs to substantially increase . Our investments are channelized towards
building Airtel into a strong digital services player . Our focus w ill continue to be a round winning quality customers, delivering

a brilliant
experience to them and putting digital at the

core of all we do . All of this will be done with a frugal mindset and prudent capital allocation . With this let me hand over back to t he moderator .

Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants . Please note that the Q&A session will be restricted to analyst and investor community only . Due to time constraints, we would request if you could limit the number of questions to two per participant to enable more participation . Interested participants may click on “Raise Hand option ” on your Zoom application to join the Q&A queue. U pon announcem ent of name participants to kindly click on unmute myself in the popup screen and start asking the question post introduction. P articipants are requested to limit their questions to Bharti Airtel till 03:30 pm as the management will start the Q&A discussion on Bharti Hexacom from 3:30 onwards. With this the first question comes from Mr. Piyush Choudhary . Mr. Choudhary you may please unmute your side , introduce yourself and ask your question now.

Mr. Piyush Choudhar y – HSBC Capital

Thanks a lot for the call . This is P iyush from HSBC , two questions . Firstly on homes , we saw acceleration in subscriber addition , right, partly led by FWA can you talk a little bit about how is the customer response on FWA , user experience and unit economics comparing FWA versus fiber broadband from Airtel perspective . Secondly on capex, capex has dropped substantially year -on-year to around 22% of revenue in 1H. Is there any seasonality or should we expect similar levels of capex intensity going forward ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

On the acceleration I think there is a big job to be done on homes . We have stepped up our net addition as you know in this quarter and that is satisfactory, but still there is a long way to go because we are not as competitive as we need to be and you will see consistent work from us to improve this over the next two quarters . We are activating all of our channels across not just the broadband channels but our mass retail channels , our DTH channels , to make sure that all of this actually drives broadband . In terms of customer response, I would say that given the rather empty nature of the 5G network it is a good response and it is a good experience, we are able to deliver the speeds that we are promising both on uplink and downlink and we do not see an issue . We have done a lot of modeling to see at what point the capacities get a li ttle bit more constrained , we are using that and have put in place algorithms to make sure that our roll out of fiber goes in on priority into those places where we believe in the next one year or 18 months we could see some challenge in terms of our fixed wireless capacities . As far as the unit economics is concerned, the unit economics are now comparable between both F TTH and FWA . We have been able to work with the OEM s and the chipset manufacturers to dramatically bring down the cost of the fixed wireless access - CPE. As you know the router is the same for both the technologies but now with the CPE cost having come down the cost per connected home pass whether it is fixed wireless access or fiber is more or less similar and we are determined to try and see how we can bring that down further . On capex , yes you did see a moderation largely in Q2; this is normally a seasonally po or quarter . I have always said that this year you will see a moderation in overall capex for the year and that we stand by . We hav e not given a specific guidance but we will certainly see capex going down from last year, which was elevated year of capex given the massive roll out of sites as well as servic es.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain you may

please unmute your side , introduce yourself and ask your question now.

Sanjesh Jain – ICICI Securities

Hi Gopal, good afternoon . This is Sanjesh from ICICI Securities . Thanks for taking my questions . First is on your role where you said that you want to do more digital side of the business in your next role , what exactly are we l ooking at within the technology, which fits well with Airtel what we are doing and what is the expected path there in the digi tal journey ?

 Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes, Sanjesh thank you for that question. My overall remit will be to provide oversight across our operations also to drive synergies across in terms of procu rement , talent , network synergy , digital tooling . I think India is ahead of where Africa is and we need to make sure tha t Africa gets to the same level, so we have already begun that process . Over the last four quarters , we have a tech committee discussion every quarter with the Africa teams , so that is the second area. The third area that I was mentioning was broadly in terms of the incubation and growth of some of the new initiatives that we started . For example we have payments bank business which can be scaled . We have a financial services lending business and the financial services vertical by itself can scale . As you notice this is not a core to our business but this is a very close adjacency to our business. S imilarly, you have other digital services, which are largely run in the B2B space for example Cloud we have talked about it last year . We have made an investment to develop our own Cloud. We are one of the largest Cloud players for our own private needs . We have now signed off an investment, which is underway, which we will take to market in the next few months where we will be able to solve the problems of workloads that may not need such elastic requirements as the public Cloud offers but to do it in a way that is more economical, so I think we will have a full proposition around Cloud. The combination of alliances with some of the hyperscalers coupled with our own Cloud and our managed services portfolio, which sort of sits on top of that so that is the second area of focus . Data cent ers is an area where we need to make sure that we step up and get some growth, so the these are some of the areas that I will look at in addition to the oversight across our operations and the group and finally I continue to be on the GSMA board for the next two yea rs and that always helps not just the travels to see all of these telcos but really to bring back some of the new developments that are happening and what could change and what it is that we need to do to keep an eye on what is going on . I think this was a role Sunil used to play many years ago . This is a part of the role that I am going to take on in this new capacity .

Sanjesh Jain – ICICI Securities

That is very clear. Any revenue target for A irtel in your mind where you want to take digital as a proportion of revenue within the

Airtel's ecosystem ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sanjesh you know I would not be drawn into that answer right . You will hold me responsible and ask me every quarter .

Sanjesh Jain – ICICI Securities

No but is there any target in your mind ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sanjesh it has got to be meaningful . We have a large revenue pool in the business and if it is a

revenue opportunity that is tiny then
in the large r scheme of things this will not get enough attention so it is got to be meaningful over a period of time .

Sanjesh Jain – ICICI Securities

Got it. My second question is on the 5G . We still had a 15 million addition on the customer side the prices for the 5G effectively has
gone up from 1.5 GB pack to a 2GB pack , how has been the adoption , has people hesitant to upgrade from 1.5 GB plan to 2GB plan
we know that we had a decent addition but just want to understand how is on the thing on the ground in terms of customer addition
do you think this number will sustain beyond this quarter ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airte l Limited

So Sanjesh broadly with the tariff repair that happened in the last few months we did not actually see any significant down grades. We
were able to hold on to the user base and sort of move them into the right plans . We have a lot of intelligence to identify who is the
likely user who needs to be on the 2GB plan using the combination of the device that they have , their usage characteristics as well as
their propensit y to pay, so given that I think we have been surprised about the lack of down trading, which we were expecting . We
were expecting two things that will happen with the t ariff repair , number one was a greater amount of sim consolidation than we saw
and the second was a greater amount of down -trading , both those have not materialized so we are better than our action standards
on both fronts .

Sanjesh Jain – ICICI Securities

That is very clear . Thanks Gopal for all those answers and best of luck for the coming quarters.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vora. Mr. Vora you may please unmute your side, introduce yourself and ask your question
now.

Kunal Vora – BNP Paribas

Continuing on the previous question I just wanted to understand regarding this 5G users , how many customers have taken the 2GB plan or are they topping up with the Rs.51 top up which you have , the 100 million plus 5G customers would you say that all of them are doing this ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

No, I think it is never possible in a market like India where every single user who you 're offered plan will take it . There is always that reality has to be tempered by what actually happens in any category it is not just our category . The only thing I would say is that we are consistently growing this because this is one of the drivers of our ARPU . As I have always mentioned the drivers of ARPU growth for us number one is prepaid to postpaid there we have seen consistent net ad ds over sever al quarters now with this 80 million pool of customers that is still to be tapped into . The second is data monetization which means that when the moment the allowance runs out you are able to upgrade them to maybe a data pack to be bought on impulse or , in effect , for constant breachers to upgrade them to the next nearby plan which is a 2GB plan in this particular case and that has been a very big driver of our ARPU growth outside of tariff repairs . If you keep tariff repair aside that has been a big driver of our AR PU growth . The third of course is international roaming where the penetration is still very low and again that is another driver of ARPU growth . So I think those drivers and then finally feature phone to smart phone upgrade , Kunal, which also is the driver of ARPU growth because the

moment the user moves to smart phones you do see a jump in ARPU, so the combination of all this is what has led to ARP U increase over several quarters and I do not believe that, that changes in any way going forward be cause the upside or the headroom for a combination of penetration growth has also the user base of feature phones going to smart phone s is still large and international r oaming penetration on prepaid is very low , it is growing but it is still very low and the upside is massive I would say it is in the ballpark of 11 -12% on prepaid international roaming but that has gone from 7 to 11 in the last few quarters, so the upside is very large and it is the same that would apply for data monetization whether it is the 2GB plans or whether indeed it is a user running out of data after having breached their allowance . The number of users who actually take these data packs , the tiny fraction of the overall breache rs, so again the upside is large and it is consistently growing .

Kunal Vora – BNP Paribas

Understood and what are your thoughts on the next tariff hike, the demand currently seems to be generally weak across sectors do you see a possibility of raising tariff further in next one year ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Well I think time will tell . All I would say is that this is my favorite subject which is that if you take the two ax is and plot the rate per GB and ARPU on two different axis and put all the countries of the world on that graph you will find India at the extreme left on both much lower than Sub Saharan Africa , much lower than Bangladesh , much lower than I ndonesia and so on and so forth, so the opportunity to take up tariffs over a period o f time is high . Equally I think the architecture of pricing as I mentioned before needs to change where you do have an ability for custo mers to upgrade from low, medium, high and super high in terms of plans and I think that is the part that also would change and then that will naturally play to our upgrades .

Kunal Vora – BNP Paribas

Understood and just lastly thoughts on the AGR dues after the curative petition was rejected are you pursuing the matter with government for any further relief or it's a done deal now ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

No I think that was the last recourse on this particular matter. Soumen I do not know whether you want to add anything.

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

No I think the curative petition has been denied on the grounds . I think there is a review petition pending and t he morat period is yet to start , so th ere are things which can happen, but as of now the status is what you said that the curative has been rejected .

 Kunal Vora – BNP Paribas

Understood that is it from my side. Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Arun Prasad. Mr. Prasad you may please unmute your side, introduce yourself and ask your question now.

Arun Prasa th – Avendus Spark

Good afternoon Gopal , thanks for the opportunity. My first question is on the unit economics you spoke in the earlier an swer about the F TTH versus FWA , did you include the cost of spectrum utilized in FWA as part of the calculations when you say that it is more or less same ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

No, b ecause tha

t spectrum has any way been used for consumers and it has been used for handheld devices, so to that extent it does not include the spectrum because that is a sunk cost, which anyway is serving the mobile business .

Arun Prasath – Avendus Spark

Understood. N ow if you look at the enterprise margins , my second question is on the enterprise margins it is gradually decreasing over the last six months what could be the reason towards this, is it a mix change or it is a competitive environment how sho uld we read this ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think the mix of our business today if you look at it , 50% of our business is the global business and again that has different

parts to
it. There is messagin g and voice, there is also data, and each of those has different margin profiles. The second part generally the
global side of it, which is the 50% busin ess, is more profitable. Then there is a domestic business which is about 40% and 10% is data
cente rs, which has a slightly different margin profile. Within the domestic business connectivity typically tends to have very high
margins but remember here ther e is capex involved and then when you start looking at things like CP aaS, Cloud, Security, etc ., these
tend to have lower margins, but there are also pla ces where growth is much faster, so I think the challenge for the business or the
objective for the bus iness is to really step up the growth in the business and not worry singularly about margin but really worry a lot
more about absolute profit growth because th at is where the market is going. T hat said there is a work to be done and again that is a
second opportunity for the business is to look at every item of expense in the business and try and strip o ut as much of waste as
possible, so I think you have to look at it, it is a portfolio of different businesses some of which we are facing headwinds particul arly
on the global side and equally there is a growth in this business where 90% of the growth is happening around adjacencies wit h
different margin profile but with no capex and therefore the EBI TDA actually more or less flows through to EBIT. S o I think this is a
business where the portfolio is being retooled as we step up the growth of this business .

Arun Prasath – Avendus Spark

Alright understood so is it fair to assume that to deliver this kind of say 8 to 10 percentage of growth our margins will furth er reduce if
you have to keep up with this growth ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

No, I think we have to try and see what we can do to step up our growth I think that is really what we would need to do .

Arun Prasath – Avendus Spark

And to deliver the growth without sacrificing margins which sub segments you would want to foc us more ?

 Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

For example let us say Cloud. If you were to have a roar ing success in Cloud remember there is a large part of the growth in the
industry that is happening on Cloud, you got to grow Cloud that will have a slightly lower margin profile but that is a very large growth
driver so I think the question that you have got to ask is - are we able to grow and are we able to grow profitably .

Arun Prasath – Avendus Spark

Finally , one last question on the earlier project of adding 25,000 rural sites , where we are in this project ? is it is a site addition still at
25,000 or are we revising or are we mostly

done with this ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

I think a lot of the rollout would be completed this year so most of the rollout would be completed. I think there will be so me little bits and pieces left over in three or four circles where we are behind but outside of tha t a large part of that rollout will be completed .

Arun Prasath – Avendus Spark

So the 25,000 more or less remain safe .

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

For this year most of it will be completed .

Arun Prasath – Avendus Spark

Alright . Thanks Gopal. All the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Manjeet Buaria. Mr. Buaria you may please unmute your side, introduce yourself and ask y our question now.

Manjeet Buaria – Solidarity Investment Managers

Thank you. Th is is Manjeet from Solidarity Investment Managers. Gopal I have two questions, the first one was to the immediate APRU target of 300 which you have clearly mentioned . But if I see it longer term let us say 20 years , what is a fair base of ARPU growth from a management perspective is it like something whi ch is slightly above inflation, w hat metric s do you guys think when you see really from a long -term ARPU growth, is it industry structure and the customer elast icity?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Look I think the first protocol is to really get to 300. This round of tariff repair has taken u s partly towards that direction, but if you step back and look at it this is a category where people spend five to six hours on their phones and it pretty much runs a very large part of their lives whether it is entertainment, it is shopping, it is commerce, it is studying, it is working and to have the cost o f subscriptio n for a whole month being lower than going to a cinema to watch a movie right it seems a little paradoxical give n how central this is to people' s lives . So yes , I think at least if we have to aspire for continued investment in th is critical infrastructure this is a heavy capex business w e have to aspire for continued investment and really put the best technologies out there, which is what we are committed to doing then yes we will need to certainly be constantly looking at ways and means by which we can tak e up the ARPU so that the return on capital becomes respectable in this industry so I think that is really how I would frame .

Manjeet Buaria – Solidarity Investment Managers

Is there any quantitative level where you say given all the requirements 7, 8, 10% long term is what makes it feasible or there is nothing like that we see today ?

 Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

We have just gone through one round of tariff repair we sho uld wait for it to fully settle, but clearly there is more to be done in this
market. I think the current economics are still quite poor and really need to improve dramatically .

Manjeet Buaria – Solidarity Investment Managers

The second question Gopal , you talked about a lot of new initiatives but the fact is mobile and broadband business will generate a lot
of free cash flows over the next 5 -10 years , right, is there any initiative which you think for the decade , can become at least 40 -50%
of the cash f low size of these two businesses because only then will we move the value creation else we are more like a mature
business so you know I was just curious

about how you are thinking on that ? That is all from my side .

Gopal Vittal – Managing Director & Chi ef Executive Officer, Bharti Airtel Limited

I think that is a good point. Today the mobile business got to a point where it is a big cash generator, the B2B busin ess is also good
cash generator, our broadband busines s is a rapidly growing business, but th e assets that we have in terms of our digital infrastructure,
the strength of our balance sheet as well as the data that we have of our users both B2C and B2B along with the relationships that
we enjoy with our customers and the fact that we are able to se rve 350 million users over 500 of the largest companies and half a
million small and medium businesses really gives us a lot of confidence that using the strengths of our business we can actua lly look
at having i nteresting businesses around it, which are pearls on the side now whether they actually deliver the same kind of cash flows
of the telecom business , that is a different mod el and therefore time will tell, but I do believe that the opportunity to gr ow these new
businesses is very, very massive and I think the company is more ready to commit investment both in terms of people, time, capacity,
and money to make sure that these businesses grow .

Manjeet Buaria – Solidarity Investment Managers

Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain you may please unmute your side, introduce yourself and ask your question
now.

Sanjesh Jain – ICICI Securities

Thanks again for taking my question. Gopal one question on the FWA now that there is an acceleration we have seen a significa nt
acceleration for Jio as well in the fixed broadband subscriber addition , do you think for you it will be more easy to transit to standalone

5G earlier than what we have anticipated earlier ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Sanjesh we are moving to standalone 5G on FWA by December we are in the midst of doing some trials and we want to just test
whether we are able to get better uplink performance with SA for a fixed wireless access because it is a static network so those trials
are underway and by December we should have fixed wireless access on SA , that is our current plan .

Sanjesh Jain – ICICI Securities

Will it be absolutely required for us to transit to 5G standalone to add a meaningful number of customers or do you think FWA is just
a stopgap and we will eventually move this customer to F TTH?

 Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

So hang on I am just saying that I think on our mobile side the decision or the choice to move from NSA to SA is a function o f the load
on the spectrum bands, so the moment spectrum bands get more release d, you will be able to move more and more spectrum onto
5G and therefore move ultimately in at some point in time in the future move to an all standalone network that is the game pl an and
the roadmap that will happen over a period of time , take three years, four years or whatever it is. The second part is that there are use
cases that we can deliver using standalone , not neces sarily across the whole network, but on certain bands, certain areas or certain
use case s. For exampl e enterprises , we a re already serving a few enterprises on standalone networks. Fixed wireless access is a
good use case where a standalone network, the hypothesis is that if we use a standalone network we have a better uplink

perfo rmance ,
that hypothesis needs to be proven and tested. It also will give you the capacity to slice the network for standal one as mobile traffic
builds up, so those are some of the reasons that we are moving in that direction. If you look at all telcos around the world take the US
telcos whether it is T-Mobile or whatever they have both hybrid networks . They have NSA and SA so this is just software. The radios
are the same, t he baseband units are the same , everything is the same , you need a standalone co re and you need software to be
able to steer a particular used case or a particular area on standalone .

Sanjesh Jain – ICICI Securities

So if I understand we will still work on non -standalone at leas t in the near term for the consumer side of the business and for the FWA
fixed broadband side of the business and enterprise we may look at rolling out standalone wherever it is required , is that the

way to think ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Yes that is the way to think but I think just one level above that Sanjesh , the way to think of is what is the best way to deliver the right experience for the user and there I think now if you look at open signal five out of five awards we have won, so what we are doing there seems to be something working. Wherever we need to deploy standalone we will and like I have always said at some point in the future all our NSA networks will move to SA the question is there is no need to hurry and do it because if you hurry into it you end up paying almost 30 - 40,000 Crores to buy a sub gigahertz band you do not need it because we already have sub gigahertz so we have a mid -band wh ich is very powerful, which we are using as a combination with the 3.5 that gives us the geographical reach and coverage reach and allows us to operate on an NSA mode. Now at some point as those mid bands free up and 4G traffic begins to drop and more and more 5G traffic is carried on our network as devices come in those spectrum b ands will get released and band -by-band you can move to SA so that is really how it works .

Sanjesh Jain – ICICI Securities

Got it just one last question on this. On the fiber side does it is also means that we will need to lay out lot less fiber than what we anticipated at least from the home pass perspective in the Tier-2, Tier-3 city will it limit our capex on the fiber side of business ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

No Sanjesh we are continuing to roll out one -and-a-half million home passes every quarter nothing has stopped there. Ultimately , fiber is the best way to deliver broadband experience. You have fiber straight to the home, it has better concurrency, and it has better uplink performance, better downlink performance. Mobile radio spectrum is always a shared resource so fiber will be the best way to deliver it but that does not mean that fixed wireless access does not have a role to play. It has a role to play where fiber is not there and that is really what we are after and at some stage we will move that to fiber as more and more rollout happens .

Sanjesh Jain – ICICI Securities

Very clear. Thanks Gopal for patiently answering all those questions thanks .

Vaidehi Sharma – Moderator

The next question comes from Mr. Aliasgar Shakir . Mr. Shakir you may pleas e unmute your side, introduce yourself and ask your question now .

 Aliasgar Shakir

Thank s for the opportunity here. Gopal you mentioned in your initial
remarks that we have had a very strong free cash flow if not for
spectrum acquisition in this quarter as well as the dividend payment, so if I add by both of them we should be doing somewhere close
about 11 to 12,000 Crores plus obviously the t ariff and ot her growth benefits, so should we expect in a way in the next one year give
or take about 40 to 45,000 Crores of deleveraging in Airtel or do you think there are any other opportunities in terms of cap ex acquisition
or standalone or anything that we are no t building , in the ongoing capex ?

Gopal Vittal – Managing Director & Chief Executive Officer, Bharti Airtel Limited

Let me take the capex part and then Soumen can add more texture to the cash flow if need be. I think last year was a peak yea r of
capex. We said that we will have a lower capex this year. Where is our capex going? Our capex is going on transport which is consistent over the years so that part will just keep going for the next 5 to 10 years. We will keep building our transport ne twork both
electronics as well as fiber. The core network has a small component of capex that will continue to get investment as tr affic keeps
growing. There is some B2B side, which is cables and things like that wh ich will get investment. There are some investments in data
centers, investment in broadband. These will all continue to get Investments. Radio capex which is wireless cape x there was a big
bump up that we saw in the last few years as we rolled out new spectrum bands where we acquired spectrum i n sub gig band and
some circles, you had a historic amount of rollout of 4G networks across the country that has seen capex and of c ourse we have seen
5G rolling out across the country. All of this has taken substantial capex of overall capex so the rollout is more or less do ne that will
come down, 4G capacities we are not investing anymore, then the only question is 5G and 5G we rollo ut as and when we see devices,
as and when we s ee fixed wireless access demand, so combination of that is what we use as an algorithm to say this is a 5G rollout
that is going to be modest and it will keep rolling out ov er the next three to five years, so the reduction in capex will come from reduction
in wireless capex. One place which will get some investment is on the Cloud area which we have already invested this year and we
will see how that shapes up over the coming year s to continue investments there , but that is a new growth opportunity and like we
discussed earlier that is a fast growing area and should give us more growth in the B2B segment should that investment materi alize.

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Just to add on the operating free cash flow. I think earlier the way you adjusted for spectrum prepayment and dividend paymen t and
that is the way to look at it. We should be consistently delivering that kind of a cash flow except for so me changes seasonality in
capex, which will not be very large so you can consider that trend .

Aliasgar Shakir

Understood. T here are no new other investment opportunit y that the free cash flow should be deployed right we should focus on this
40 - 45,000 Crores of deleveraging ?

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

See it will be a combination of reduction. We still have some spectrum which is high cost so that will happen which will be a

part of
deleverage and driving the capex .

Aliasgar Shakir

Understood very clear.

Vaidehi Sharma – Moderator

Thank you everyone. I would like to remind participants to stay connected on the call for the next session on Bharti Hexacom. I would
now like to invite Gopal for his closing remarks for Bharti Airtel.

Gopal Vitta l – Managing Director & Chief Executive Officer – India & Sou

th Asia, Bharti Airtel Limited

Thank you very much . I think overall I would sum up by saying that has been an overall good quarter and the flow through of tariff
increase has been in line with our expectations. We have seen a step up in broadband growt h there is more to be done there. Ou r
B2B needs to needs to step up, but competitively we are doing well on B2B and finally on the announcements we made yesterday on
organization change I think we have a very solid and structured plan over the next 14 mont hs and that really stands the company in
very good stead and as I mentioned at the outset I will continue to be deeply involved not just for the next 14 months but we ll beyond
it. I am totally committed to the Bharti group so thank you very much for joinin g this and over to you Soumen.

 Vaidehi Sharma – Moderator

Thank you Gopal. W ith this I would now like to hand over to Mr. Soumen Ray for his opening remarks on Bharti Hexacom performance.

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Good afternoon everyone. We lcome to the Bharti Hexacom Q2FY25 earnings call. Let me start with a business update before I move
to the financial performance. During the quarter we turbocharged our network with deployment of additional 15 megahertz of spectrum
that was purchased in the June 2024 auction , the deployment happened in this quarter. We also accelerated our expansion of our Wi-
Fi offering both between wired and FWA across key cities in both circles. This expansion will enable us to cover close to about 3
million additional home passes or households. We have significantly increased our customer acquisition in home s segment over the
last qua rter on the back of this expansion.

Moving on to financial and operating performance. We have delivered revenue of close to 2 ,100 Crores gro wing sequentially by about
9.8%. S martphone customer addition was about 143,000 as compared to about 7 03,000 in the previous quarter. Overall customer
base was impacted by tariff repair, which is a normal trend whenever this happens and we expect this to get normalized. It has already
started unwinding and we expect it to normalize in couple of quarters. We reported ye t another quarter of Industry leading ARPU
growth of 11.3% to Rs228. EBITDA stood at 1 ,046 Crores with an EBITDA margin of almost 50%. Net income for the quarter was at

Rs.253 Crores. Cash generation for the quarter was robus t with operating free cash flow, which is EBITDA minus capex at about 60 0 Crores. Consequently net debt -to-EBITDA improved to 2.03 despite addition of the spectrum debt of close to 1 ,000 Crores. With that I would hand over to Vaidehi and request it to be o pen for Q&A .

Vaidehi Sharma – Moderator

Thank you Soumen. D ue to time constraints we would request if you could limit questions to two per participants to enable more participation . Interested participants may click on “Raise hand option ” on your Zoom a pplication to join the Q&A qu eue. With this t he first question comes from Mr. Sanjesh Jain. Mr. Jain you may please unmute your side, introduce you rself and ask your question now.

Sanjesh Jain – ICICI Securities

Hi Soumen thanks again. Just one on the seasonality side of it , we had slightly lower growth when you compare to Bharti on the mobile business side , is it that the Hexacom has much stronger H2 because Rajasthan attracts lot of in roamers during the second half, so for us it is fair to believe th at Hexacom will have a much better H2 and tariff flow t

hrough in the H2 ?

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thanks Sanjesh for the question. No I do not think that it will be drastically different from what you have seen in the parent company Airtel. See Rajasthan and Northeast i s a little more price sensitive, more rural and because we are now talking of what about 0.5% or 0.4% growth , because I think Hexacom mobility has grown by about 9.9 whereas Bharti Airtel has grown by 10.3 so directionally they are both similar. I think if you look at the customer reduction , the revenue earning customer reduction in percentage terms th at would be 40 -50bps higher in case of Bharti Hexacom, which is the mathematical explanation, but business wise I think Rajasthan is behaving exactly like rest of the country, a little more accelerated by as I said 0 .3 - 0.4 percentage points, which is not hing to read about, flow through would be similar. Your point on in -roamers , of course Rajasthan sees an influx from November onwards it continues till February so there is a possibility of a higher growth because of in -roamer s because then Bharti Hexacom will be charging to Bharti Airtel for the services provided, but traditionally it has not been very large and hence I would just be a little tepid . Directionally you are correct , quantum wise may not be very large .

Sanjesh Jain – ICICI Securities

Very clear. Second you did mention in your opening remark that you have put to u se the 15 megahertz of spectrum, which was bought in the June auction , now there is no material CWIP left for Hexacom right ?

Soumen Ray – Chief Financial Officer - India & South A sia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

I would correct that and I’d say there is no spectrum CWIP of Hexacom.

Sanjesh Jain – ICICI Securities

Sorry spectrum CWIP I meant that.

 Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Of course the millim eter wave continues to be there, but whatever we have purchased now , everything has got capitalized and put to use.

Sanjesh Jain – ICICI Securities

So from here on our amortization should almost remain flattish right ? barring next quarter where you will have a full quarter impact , I understand that but from there on do you think amortization should flatten out ?

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

So yes the amortization should flatten off , subject to the millimeter growth. Other than that as I said there is no CWIP so whatever you see in Q3 should be the run rate of amortization for Bharti Hexacom going forward .

Sanjesh Jain – ICICI Securities

Got it , that is it from my side. Thanks Soumen .

Vaidehi Sharma – Moderator

Since there are no further questions I request S oumen to kindly give his closing remarks .

Soumen Ray – Chief Financial Officer - India & South Asia, Bharti Airtel Limited and Director, Bharti Hexacom Limited

I think Bharti Hexacom has done very well compared to the market in terms of holding on to customers ensuring that the mobility business grows at almost double digits , what is heartening is a very strong jump in the homes business. Homes business is under leverage d compared to some of the other players in the industry and the organization will continue to work on driving homes even better. With that thank you for joining and wish you all a

very happy Diwal i.

Vaidehi Sharma – Moderator

Thank you very much S oumen. Thank you everyone for joining us today . Recording of this webinar will be available on the company website . Wishing you all a very happy Diwali .

Call: Feb 2025

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February 14, 2025

National Stock Exchange of India Limited
Exchange Plaza, C-1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcript of the Earnings Call dated February 07, 2025

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on February 07, 2025 in respect of the audited financial results of the Company for the third quarter (Q3) and nine months ended December 31, 2024 .

The transcript of the call is also uploaded on the Company's website i.e. https://www.bhartihexacom.in/results-quarterly-results.html

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Akhil Garg
Chief Financial Officer

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2024 Earnings Webinar

Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2024 Earnings Webinar

Event Date/Time: February 7, 2025/ 1430hrs.

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2024 Earnings Webinar

CORPORATE PARTICIPANTS

Mr. Gopal Vittal
Vice Chairman & Managing Director, Bharti Airtel Limited

Mr. Shashwat Sharma
Chief Operating Officer - Bharti Airtel Limited

Mr. Soumen Ray
Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
Joint Managing Director – Bharti Enterprises

Mr. Naval Seth
Head of Investor Relations – Bharti Airtel Limited & Bharti Hexacom Limited

Mr. Akhil Garg
Financial Controller – Bharti Airtel Limited & Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Good afternoon, ladies and gentlemen. My name is Vaidehi Sharma and I am the moderator for this webinar. Welcome to the Bharti
Airtel Limited and Bharti Hexacom Limited’s third quarter ended December 31, 2024 Earnings Webinar. Present with us today, is the
senior leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview and discussions today may
include certain forward-looking statements that must be viewed in conjunction with the risks that we face. Post the management
opening remarks, we will open up for an interactive Q&A session. Interested participants may click on “Raise Hand Option” on your
Zoom application to join the Q&A queue. The participants may click this option during the management opening remarks itself to
ensure that they find a place in the queue. Upon announcement of names, participants to kindly click on “Unmute Myself” in

the pop up screen and start asking the question post introduction. With this, I would now like to hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Thank you Vaidehi

. A very warm welcome to all of you and with me on the call I have got Shashwat, Soumen, Harjeet, Naval and Akhil Garg. Let me start with one key development: we are planning to transfer about 16,100 telecom towers, approximately 12,700 from Bharti Airtel and about 3400 from Bharti Hexacom to Indus Towers. Our belief is that this business is best managed by Indus since they know how to do this better than us. It will not only free up management's bandwidth within Airtel but it will also create greater efficiency scale and ultimately long-term value at Indus. Now, let me give you an update of the quarter and the progress against our strategy.

Let me start with ESG. There are three primary areas where we make an impact: connectivity is the first and most important one. Our network investments are able to connect the most remote parts of India, which make a profound impact in the lives of people. Over the last two years, we have expanded our network to cover over 89,000 villages actually through the deployment of almost 43,000 sites. A second area of focus is in lowering our carbon footprint and simultaneously lowering cost. There are two things we have done: firstly solarization is now adding pace. We did over 3300 sites in the quarter and over 28,000 sites in the last six quarters. Second we have brought in AI at the heart of our network. As a result, we are able to turn off layers of radio technology based on real time traffic patterns, which reduce our carbon footprint and also lower our energy bill. Finally, the Airtel Foundation makes a big impact socially through our focus on education. The foundation through its various initiatives in 31,000 schools have impacted over 3 million children and 2 lakh plus teachers.

Let me now turn to a few highlights on our performance. We delivered another consistent quarter. Consolidated revenues came in at about 45,130 Crores. India revenue growth, excluding Indus was strong with 4.8% sequentially to over 33,000 Crores. EBITDA margins came in at 56.2% an improvement of 1.4%. Effective Q3, Indus Towers has now consolidated into our financials. This quarter, we have made an improvement to our disclosures. We are now reporting EBITDAaL, which is EBITDA after lease obligations. We believe this is a true reflection of our underlying margin and leverage. As a management team, this is a metric we track so as to drive the right behavior about the underlying health of the business. EBITDAaL for the quarter stood at 16,306 Crores with a margin of 49.3%. We delivered strong operating free cash flow; this is really EBITDAaL minus capex of 9440 Crores. Capex for the quarter was 6860 Crores. We rolled out 5214 network sites and over 13,950 route kilometers of fiber in the quarter. Fiber deployment remains a key area of focus. We rolled out more than 100,000 kilometers of fiber in the last 24 months. We continue to direct capex to future proof our business around three areas: transport investments, homes, and B2B. Our focus on financial prudence is clearly visible in our balance sheet improvement every quarter. During the quarter, we prepaid DoT spectrum dues pertaining to 2016. With this prepayment, we have cleared all the dues prior to 2021 auctions. In fact, in the last six quarters, we prepaid over 35,500 Crores of

prior written consent of Bharti Airtel Limited and Bharti Hexacom Limited
- 3 - high cost spectrum dues. India net debt in relation to EBITDAaL now stands at 1.8 compared to 2.5 a year ago. Our efforts to build a
solid balance sheet is testament to the recent credit ratings upgrade by Moody's.

A quick update on each of our segments. In the mobile segment we added 4.9 million customers during the q

uarter and 6.5 million
smartphone customers. Postpaid net adds remained healthy at 0.6 million. This was somewhat impacted by tariff repair. ARPU came
in at Rs.245 compared to 233 last quarter; another quarter of industry leading growth. ARPU drivers on an underlying basis remain
intact; these are basically feature phone to smartphone upgrades, prepaid to postpaid upgrades, data monetization, and growth of
international roaming. 5G coverage expansion continues as planned. We ended the quarter with a 5G base of 120 million, 5G shipments continue to grow now contributing over 80% of overall smartphone shipments and we continue to get our fair share from
growing 5G handset adoption.

In the broadband segment, we added nearly 674,000 customers and stepped up our momentum in this business. We have expanded
our FWA coverage and are now live in over 2000 cities. It is clear that FWA is increasing our addressable market for Wi-Fi services.
We maintained an accelerated pace of fiber home pass addition of 1.9 million per quarter. We are also strengthening our content
partnerships to build more value on Xstream with more than 22 OTT apps in a single platform. To strengthen our content offering we
also added ZEE5 during the quarter. I must say that the Wi-Fi and the broadband business is seeing momentum month-after-month
and even January has begun better or has ended better than the previous month.

In DTH we added 29,000 customers in the quarter. Our focus on simplified pricing structure, strong content offering, and convergence
has led to consistent share gains.

Airtel Business we delivered revenue of just under 5650 Crores. This is a growth of 8.7% over the same period last year. I will comment in greater detail on Airtel Business in a moment.

Digital businesses we continue to focus on scaling our digital portfolio with CPaaS, Financial Services, IoT, Cybersecurity, and Cloud.
Our IoT business is seeing strong growth with new order wins. Cybersecurity and Cloud services are beginning to see some step-up
and I will talk a little bit more on Cloud later. Airtel Finance has served over a million customers till date across various financial
products with over 4600 Crores of total disbursement and a current AUM of 2500 Crores. On the Payments Bank, the monthly transacting users stood at 87 million, annualized revenue run rate now is about 2800 Crores, growing at 50% year-on-year. Deposits
remain robust at over 3300 Crores growing by 42% year-on-year.

Let me now comment on each of our areas of focus. Firstly we are committed to building a diversified and resilient portfolio. Both India
and Africa are now consistently delivering strong underlying performance. Our portfolio is further diversified with the Indus consolidation. Africa accounts for 23% of revenues, India mobile 56%, India non-mobile 14% and Indus at 7%. Africa is performing
well with constant currency growth of 5.6% sequentially. We are also sustaining investments to retool our portfolio in order to grow
beyond wireless. Second area of focus is winning quality customers and let me now provide some texture on each of our businesses:
homes, mobility, and B2B.

Broadband penetration in the country remains low but is growing rapidly, driven by fast-paced adoption of home connectivity and
changing content consumption preference of customers. As I had mentioned earlier, we believe the current market can double from
over 45 million to anywhere between 80-90 million homes over the medium term. While we have stepped up our performance, we
believe there is significant room to increase our competitiveness. We have three areas of focus: first, increasing the

addressable
market by stepping up rollout of fiber home passes and FWA. Over the last two quarters, our FWA availability has increased
meaningfully across key pin codes and we are now live in over 2000 cities. Our accelerated fiber home pass expansion
continues with
1.9 million quarterly add

itions with total home pass at 35 million. The second area is really to constantly improve the value that we
deliver; here we are focused on a combination of convergence by improving the content slate we offer. We recently signed on
ZEE5
and Glance on digital TV. Xstream now has over 22 OTT apps as a part of its platform. We have also commenced the testing
of IPTV.
We believe that when this is launched, it will dramatically improve the ease of onboarding for our customers. The third area of
focus
is to really fire up all our channels. We currently sell broadband largely through our stores and online channels. We are now
using our
digital capabilities to bring in the power of our entire mass retail channel and plan to open up around 100,000 points of
presence. In
addition, our 30,000 strong fleet of home delivery engineers will also be activated. With these three areas ramping up, we
expect to
see continued momentum of homes leading to strong competitive growth.

Let me now turn to mobile. On postpaid, our focus continues to be on the 80 million potential customers, who we believe can
upgrade
to postpaid. Use of digital tools along with simple customer journeys across channels is powering our family offerings to
further
accelerate this. Rural markets account for over 65% of industry growth. Over the last two years, we made substantial
investments in
seizing this opportunity. This has delivered results; going forward, we expect to fill gaps in a couple of circles while we
continue to
sweat the sites deployed till date to give us gains into this year.

Let me now turn to B2B. There are three key areas we are addressing: portfolio, go to market, and customer experience. Let
me
comment briefly on the portfolio. There are three parts to our portfolio: there are data centers, there is global and there is
domestic.
Our data center business is growing steadily. Within the global segment, we have two parts: commodity voice and messaging
as well
as monetization of cable investments. On the latter, which is cable investments as you know, there was a slowdown to the
extent of
interest from OTT players, but we are beginning to see some change in this in the current quarter in terms of the order book.
By the
way, this is a very profitable part of the portfolio and so is now seeing signs of growth, which bodes well into the coming year.
The
second segment within global is wholesale commodity voice and messaging. A very significant part of this is very low-margin
business
and, in fact, what it does is it clutters management focus, it has a lot of people running around trying to strike deals, and the
margins
we make here are insignificant. We have made a decision to exit this low-margin business, which will have an impact on the
topline
in the coming quarters. It will take about six months for this to play out, but let me underscore that the exit in this business will
have

 really no impact on EBITDA because this is a very negligible margin business. Within the domestic segment, we are
seeing strong
growth on digital as well as sustained growth on connectivity. In fact, these digital adjacencies comprising of Cloud, Security,
IoT, and
CPaaS account for almost 90% of incremental industry growth. We are now stepping up our investments as well as our
go-to-market
muscle to drive faster growth here. We will be launching a comprehensive cloud solution in the next few months. At an
aggregate
level given the growth of digital I believe we need to move at a much faster pace, and we will do what it takes. This is one of
the main
reasons we have decided to shed the low-margin portfolio of c

ommodity voice and messaging. You will recall that a few years back, we did the same in our mobile business by shedding 49 million customers, who were using our network only for incoming calls. This changed the experience for our existing customers, it de-clogged our networks, and more importantly, it galvanized the organization internally on how we chose to win with quality customers. We believe this will do the same in our B2B portfolio.
The second area of focus is the need to build muscle in our account management teams to shape this agenda. We are doing a combination of things here. We are injecting capabilities into the team in the form of fresh talent, we are training all our existing people, we are injecting state-of-the-art tools backed by AI to help our frontline, and finally, we are setting up virtual teams to raise the bar on lessons learned at an industry vertical on key wins and losses.

The final area of focus is customer experience. We are now making investments in upgrading existing network infrastructure to flapless networks, for lower latency and high reliability for critical customers who depend on it. We are also extending our B2C platform capabilities to improve our delivery and process. The third pillar of our strategy is the obsession to deliver a brilliant customer experience. On the network, we extensively use data science and deploy digital tools to structurally resolve issues. Our in-house developed and operated AI ML tool, which is the Airtel Self Optimising Network, gives us a granular view down to a device level. This has helped us deliver the best experience. We continue to win all the crowd sourced awards and network experience. The icing on the cake is that this also helps us lower power cost in the fly, which I spoke about. The fourth pillar of our strategy is to build and leverage our digital capabilities. Our industry first anti-spam tool has brought significant relief. We have been able to alert 252 million unique customers and effectively combat the spam menace. Powered by our AI driven network, this identifies over 1 million unique spammers making more than 130 million calls a day. That is roughly a trillion records that is processed on a daily basis. Additionally, our solution also detects over 7 million spam SMS's every day. We are now making a further pivot within the company to explore how we can move AI from experiments to make AI native at the core of the operation. Our strategy on building new digital revenue streams is anchored on our core strengths and capabilities, and that is why our services portfolio includes Airtel Finance, IQ, IoT, Cloud, Security and SD-WAN.

Let me just give you a few comments on Airtel Finance. We are lending to a very tiny fraction of our base, and are now focused on three areas. One is to expand the addressable user base and the second is to enable the offer across all our channels, digital and physical, and finally, to increase supply. To increase supply, we partnered with Bajaj Finance to create one of India's largest digital platforms for financial services. The partnership combines Airtel's digital platforms and omni-channel capabilities with Bajaj Finance portfolio of 27 product lines and strong underwriting strength. Airtel will initially offer Bajaj Finance's retail financial products on its Airtel Thanks App, and later, through our nationwide network of stores. The combined strength of this partnership will allow us to deepen the penetration of financial products and services.

The fifth and last pillar of our strategy is war on waste. This is now ingrained in our ways of working. With the rigor to drive efficiency over the last few years, we have eliminated about $2 billion of wasteful expenditure. At the same time, there is still significant headroom to strip our waste further in several areas: network, sales, and even marketing.

To sum up, overall we delivered another quarter of competitive growth. Mobi

le saw some residual flow through of tariff increase. The postpaid segment presents a significant opportunity and we are well positioned to capitalize its strong growth potential. In homes, FWA expansion, continued fiber home rollouts, and convergence will sustain our growth momentum. B2B retooling is on course to accelerate the momentum going ahead. Our discipline capex spending, financial prudence, and sustained deleveraging reflects in our balance sheet. We believe that our capex for the current year will be lower than FY2024, and this will continue to unwind in FY2026. Our focused investment approach to building digital capabilities is now paying off. Finally, I want to underscore that ARPU in India continues to be the lowest globally. Tariff repair is needed some more for the industry to be financially stable and deliver reasonable returns on a sustained basis. With that, let me hand back to Vaidehi.

Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants. Please note that the Q&A session will be restricted to analyst and investor community only. Due to time constraints, we would kindly request you if you could limit the number of questions to two per participant to enable more participation. Interested participants may click on “Raise Hand option” on your Zoom application and join the Q&A queue. Upon announcement of names, participants to kindly click on “unmute myself” in the pop-up screen and start asking the question post introduction. Participants are also requested to limit their questions to Bharti Airtel till 03:30 pm, as the management will start the Q&A discussion on Bharti Hexacom from 3:30 onwards. With this, the first question comes from Mr. Manish Adukia. Mr. Adukia, you may please unmute your side, introduce yourself and ask your question now.

 Mr. Manish Adukia – Goldman Sachs

Hi, good afternoon. Thank you for taking my question. This is Manish Adukia from Goldman Sachs. My first question is on the capex, which for the India business is now tracking about 20% lower on a nine-month basis versus the previous year. Now going forward, which parts of your business do you expect continue to see elevated capex? You talked about the retooling of the Airtel Business. Would that warrant any meaningful capex investments in terms of your expansion into Cloud etc., and which are the parts of the business where you may see reduction in capex and related to that, for the wireless business in particular, you now are close to like a million base station on the mobile broadband side. Is there like a theoretical upper limit beyond which you do not really need to expand that? That is my first question please. Thank you.

Vaidehi Sharma – Moderator

Gopal, you are on mute.

Mr. Harjeet Kohli - Joint Managing Director – Bharti Enterprises

Gopal, you might be on mute.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Sorry about that Manish. Manish, I think, we have seen a reduction in capex we have also guided that we would be seeing a moderation in capex, having said that, do not just look at the nine months; I think we have still not finished the year, so while capex will be lower than what we spent last year, I would not want you to extrapolate exactly what has happened in the last nine months. The components of capex if you look at it, constitute for us, radio, which has been a substantial part of our capex. This one has decelerated very, very significantly, and we expect it to continue to decel

erate next year. With the ceasing of the big rollouts that we saw, we are not putting any investments in 4G capacity all we are doing is few more 5G radios as we expand and see more devices coming in. The places where capex continues to be deployed- one of the big components is transport. I think for us, developing a solid backbone is crucial because this will be required for all our capacities, whether it is broadband, B2B or the mobile business. The core network tends to be a small component of the capex and then there are other places where we deploy capital. One is homes, which is getting its due share, and in fact, we are keen to spend more. It is only constrained by our ability to do and roll out more and more home passes, so that continues. B2B continues to get capex the same levels as what it has been getting, and that is pretty much about it, and data centers continues to spend at the same level as what it was getting, so I would say at headline, you should see moderation of capex even in FY2026, and with the revenue growths that we are seeing, the capex as a percentage of revenues will continue to trend downwards and soon be at the levels of global peers. So that is really how I would see the capex situation.

Mr. Manish Adukia – Goldman Sachs

Thank you Gopal it is quite helpful. Just a couple of follow up questions there: One, when you look at the free cash flow profile of the business, which continues to improve quite substantially, probably north of three billion of free cash for the last 12 months in the India business X of the prepayments. Now, with most of the high cost spectrum debt repayment done except maybe the fiscal 2025 spectrum of 8.65%, which is again like less than a billion dollar, what are the areas where again, the free cash flow may get channelized in terms of whether those are, I do not know M&A opportunities or returns to shareholders or you still have other debt that you think you may need to reprioritize and second, follow on question on your comments around investments on home broadband; again versus, let us say, the other listed peer Jio, your home broadband adds, while they are still very strong, remain meaningfully below what they are reporting. Is there any fundamental reason as to why your number should not, let us say, catch up or converge with what your competition is doing in terms of home broadband and FWA rollout? Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yes, I think great question Manish, thank you. Opportunities for free cash flow, I think, will be some amount of deleveraging, which will continue as you also pointed out. There will be a step-up of dividend for sure and that is a second area of free cash flow and the third, we will be selective and very prudent in any investments we make. We are looking at investments into adjacencies in B2B in some of these digital areas. Obviously, these will be bolt-on acquisitions; we have not got anything to report and if there is some substantial value asset that is around, we will keep looking at it there is nothing really that is on the anvil, but we will be very prudent like we always have been. The home broadband business, the way I would look at it Manish, is that I would say keep looking at every quarter progress that we are making. In fact, we look at it every day, Are we making progress? So, certainly, every month, we are making progress. I already spoke about January being better than December and February having begun better than January. We are as dissatisfied about the fact that we are not competitively where we should be on home broadband, but suffice it to say that every month, we are getting better than where we are, and I will just step back and explain to you why we have been behind on this. There are three drivers for home broadband: one is supply. On supply, we are matched. There is no issue on supply whether it is home passes and

it is the towns that we rolled out FWA. The second is on delivery of value; again we are very competitive in the market place on a combination of both the price we offer, as well as the content that we bundle with it, and the third is the access, which is

 the access to leads, access to customers using all our channels. Here, I think, our focus has been on largely the direct to customer channel, which is the place that we have got all our growth, and also the digital channels. I think one of the things that we have done and we have done experiments in four or five circles. We have fired up the mass retail channel and in these circles, which were serious underperformers: circles like northeast, circles like Odisha; we have seen substantial gains, so much so that we are now neck-to-neck. So, I would say that we are now rolling this out all over the country. So, it gives me great confidence that I think we are on the right trajectory, but at the same time makes us all very restless that we are not still where we need to be in terms of competitive performance. So, that is really what we are focused on.

Mr. Manish Adukia – Goldman Sachs

Thank you Gopal. I will sneak one last quick follow on question. You spent a disproportionate amount of time, or at least reasonable amount of time of your opening remarks talking about Airtel Finance, and given you have a lot of free cash flow in the business, is any kind of inorganic expansion in that segment likely at all or is this likely to be an organic build out for you? The Airtel Finance business in particular? That is my last question. Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think, it is a bit early to answer that it is not that we are close to any option. We have a lot of strengths in the quality of the intelligence and the data infrastructure that we have. We have enormous strengths in the distribution that we bring, the muscle that we have through the relationships that we have with customers and the fact that we are omnichannel and have a digital orchestration layer to be omnichannel. So, we are not close to it but at the same time if you ask me is there something on the anvil just now? No.

Mr. Manish Adukia – Goldman Sachs

Thank you. All the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Piyush Choudhary. Mr. Choudhary, you may please unmute your side, introduce yourself and ask your question now.

Mr. Piyush Choudhary – HSBC

Thanks a lot. This is Piyush from HSBC. Good afternoon, two questions: firstly, in mobile segment, barring tariff hikes which you talked about, how much of ARPU improvement is probable using subscriber mix improvement and the other organic levers which you have talked about and, if I may ask the second question also, can you tell us like what is the network coverage in FWA using 5G SA and what is the rollout plan over there and in FWA, what is the ARPU of such subscribers and average data usage of subscribers? Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Your question was how much of ARPU will come outside of tariff, that was your question, I suspect, Piyush. The answer to that question, I think, is to look at the trajectory that we have seen in the past. Whenever we have seen ARPU growth without any tariff increase, you can trend it and see what it is. I see no reason for that change because the underlying drivers which I mentioned earlier remain intact; whether it is feature phones to smart phones, prepaid to postpaid, International roaming or

data monetization. On network coverage of SA, on fixed wireless access, firstly, it is a myth to say that SA gives you more coverage than NSA on fixed wireless access, so, that, that is just not true. I think, what SA does is, as the networks of 5G starts to congest, which is very far from where we are today, but as it starts to congest, you could have some challenges on the uplink speeds, and that is where SA comes in, where the uplink speeds can be better, but today, with an empty network, we have not reached that point, so as we speak, we have already tested fully the SA solution for FWA, we have proven it, and given the empty network, we are not seeing any uplink differentiation. Secondly, we are fully ready to launch FWA, like if it can be done tomorrow morning, we can do it tomorrow morning if we want to and so, we will do it at the point that we need to, that is really how we approach it. This is not about the technology for the sake of technology. It is really to deliver true outcomes, whether it is in terms of experience or cost. So, I think, that is the way that we approach it so, we are fully ready. There are many thousand customers already being tested on this for the last three to four months and we know we can flick it on. By the way, our core network is fully ready on a converged basis. So, all the enablers are there. It is just about now flicking it on because it is software, and for software, there is a small fee that you need to pay.

Mr. Piyush Choudhary – HSBC

Sorry, just to clarify, so you are saying your FWA customers are also on NSA primarily at the moment and you can flip it on the SA network whenever you want, basically based on capacity?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yes.

Mr. Piyush Choudhary – HSBC

And any colour on the usage behavior, like what is the data consumption of a FWA customer?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

We do not see much difference right now in the way we are selling it. We also want to keep the selling motions quite simple. So, the selling motion is quite simple: it is Wi-Fi everywhere, we offer plans from 40 Mbps up to 100 Mbps. We do not offer anything more than 100 Mbps on FWA. But, the customer does not know whether it is FWA or fiber. The customer just sees it as Wi-Fi. Our sales system just sees it as Wi-Fi. Depending on where we have fiber, we prioritize fiber in our installation and where we have FWA, we install FWA. So, that is the way we look at it. The consumption therefore, because the plans are similar, the usage is similar then, very similar to fixed broadband.

Mr. Piyush Choudhary – HSBC

May I know, like, what is the fixed broadband usage per month?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

We do not report it out, but we can offline, Piyush, I do not have it readily available.

Mr. Piyush Choudhary – HSBC

Thanks a lot.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sachin Salgaonkar. Mr. Salgaonkar, you may please unmute your side, introduce yourself and ask your question now.

Mr. Sachin Salgaonkar – Bank of America

This is Sachin from Bank of America. Congrats on a good set of numbers. My first question, Gopal, is on the incremental EBITDA margin what we ended up seeing on cellular business, it is pretty high at 90%. Two questions out here: is there something in the quarter which specifically led to the margin moving out there, or this is a new normal going ahead?

Gopal Vittal – Vice

Chairman & Managing Director - Bharti Airtel Limited

Soumen, I don’t know, you can answer this question, but, I can just tell you that this business is a fixed cost business, so when tariff goes up, that flows directly to the EBITDA margin. Is this the expected margin on an incremental basis when there is no tariff repair?
No, absolutely not. It will be still in line with improved leverage because our effort will be to continuously get operating

leverage. But
when you get a tariff jump up- just like if you have a tariff reduction- you will see the flow through immediately onto the bottomline. It
is exactly the same because of the fixed cost nature of the business. Soumen, do you have any more colour to add on this?

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

No, that was the point Gopal.

Mr. Sachin Salgaonkar – Bank of America

Thank you. Second question again, wanted to understand your approach towards FWA and any colour you could give from a margin
perspective? The way you said it is, customer sees it at Wi-Fi and I presume your fiber deployment is more into urban area. So directly,
this is as an FWA offered more in non-urban areas or is it offered across the board in urban and non-urban areas?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Currently, Sachin, we are offering it wherever we do not have fiber, but where I think you are going with the question is an important
point. If you have a high-rise building which is over four stories high, then it makes a lot of sense to have fiber there because there is
the payback period that you get. The payback for the investment that you put on fiber will be much better than what it will be on FWA.
But, on the other hand, and the reason for that is because you are putting a CPE in every home. If you have a multiport CPE, the cost
of that FWA unit economics will drop, so if it is a single port CPE, then the economics will work better than fiber in a high-rise area.
but the moment you start going out into flatbed geographies, for two reasons: one is that you do not have as much congestion in there
on the 5G networks, or not that you do not have, you are unlikely to have in the future as much congestion, the economics of FWA
tend to be quite competitive to fiber, because fiber then needs to pull a longer amount of last mile to connect that home that said we
also have an LCO model beyond the 100 cities as you are aware, which economically works really well for us, so we are quite relaxed
right now of where the demand is coming from. I think, for us, at a high level, rollout fiber everywhere as far as possible, especially in
places which have four floors and above and even otherwise, try and rollout as much of fiber, focus on sweating that fiber within three
months, six months, nine months and wherever fiber is not there, get that customer on FWA, because it is a land grab phase, as far
as broadband is concerned.

Mr. Sachin Salgaonkar – Bank of America

Thank you, Gopal. When you say the economics are very similar to that of fiber, is it fair then to say the EBITDA margins of the FWA
business is similar to that of home services?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yeah, It will be in that same ballpark.

Mr. Sachin Salgaonkar – Bank of America

Got it, and can I double check on this: where are the users of FWA and capex of FWA are being counted into? Is it a part of home services?

Soumen Ray – Chief Financial Officer -

India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Yes, it is a part of homes.

Mr. Sachin Salgaonkar – Bank of America

So the incremental capex what we are seeing an increase in homes, is largely an FWA led investment right? Along with the fiber investment?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Fiber, it goes for routers. We put capex even on the routers. Soumen go ahead.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

As Gopal said, it is routers. We are not slowing down our fiber rollout, so that capex continues. On top of that, we have FWA rollout which is why you are seeing a bit of elevation in the capex in the home segment.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Let me just qualify that. This is not the radios of 5G. This is only the connection that we provide on FWA in the home, which is what sits in the home services capex.

Mr. Sachin Salgaonkar – Bank of America

Thank you Gopal for your clarification and my last question is a follow up on your free cash flow, you did mention focus on deleveraging, stepping up dividend, selecting prudent M&A, any general thoughts on data center as an investment, given what we are seeing on AI, should that pick up going ahead as well?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

No, we are looking at it closely, and if we have something that is meaningful, we will certainly get in there. I think we are watching that space. We mentioned that the GPU as a service, we have currently decided to park that because things are changing very fast in that space, the quality of the chips and the efficiency of the chips, also the money that you make on GPU as a service, a lot of it is dependent on sophisticated work around how you manage those workloads, so we have done multiple workshops to really understand the space well and we have decided that we will not be an early mover in the GPU as a service. But, AI data centers, the data center business continues to remain a focus for us. We are trying to see how we can expand it and so, while conversations are on, there is nothing to report right now.

Mr. Sachin Salgaonkar – Bank of America

Got it. Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain, you may please unmute your side, introduce yourself and ask your question now.

Mr. Sanjesh Jain – ICICI Securities

Hi, good afternoon all. I am Sanjesh from ICICI Securities. Gopal, first question on the 5G customers: how has been your observation on the 5G customer? We have now taken them to at least 2 GB per day plan. Can you help us understand, are they using much more than that, are the new customers coming in upgrading more than 2GB per day? That was the earlier anticipation and expectation, that, that is how the 5G will get monetized. Is that getting brewed on the ground today?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

The answer to that is yes. I think this is one of the primary drivers. Data monetization when we talk about, there are two parts to it: one is higher end plans which offer 5G as part of unlimited data, and the second is lower end plans where the data allowance runs out and contextually, you are able to sell an additional pack for those few hours where the allowances run out. So, both those are in play. We have seen this as one of the drivers for upgradation onto the 2GB plus data packs.

Mr. Sanjesh Jain – ICICI Securities

The want of 2 GB is what? They are upgrading or just because 5G is not available below that; hence, they are pushed to buy more 2 GB plus plans?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

No, 2 GB with unlimited data is the draw.

Mr. Sanjesh Jain – ICICI Securities

But we have not seen material increase in the customers beyond 2 GB plan in the 5G as well. Will that be a fair assumption?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

There is no reason for them to take anything more than that, because it is 2 GB plus unlimited data.

Mr. Sanjesh Jain – ICICI Securities

But once we align it with the 4G, can that be one of the levers for us to grow the ARPU?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Of course, because, then you will have more data monetization.

Mr. Sanjesh Jain – ICICI Securities

Got it, that is clear. Gopal, second on the capex side, now that we are touching close to 350,000 sites, will it be fair to assume that from here on, we will again go back to that earlier growth rate of adding another 7000- 8000 annually? Will that be the rate which we will normalize? For this year we guided 25,000 towers to be added.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think it will come down meaningfully Sanjesh. I think, on the rollout because by and large our rollout is complete, with the exception of a few places like Gujarat and MP and all that, where we have not yet gone as deep. The fact is that there is a lot of headroom there, but it is going to be substantially lower than last year.

Mr. Sanjesh Jain – ICICI Securities

Got it. One last question from my end: will the FWA drive faster rollout of the fiber or strengthening the backhaul, because the data consumption per site will go up materially with FWA catching up. Will that push us to add more backhaul capacity faster than what we earlier thought?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Sanjesh, we have a transport blueprint and you see, the challenge with fiber is that you cannot turn it on and off every month, it has got long gestation because you have to plan it, you have to get right of way, then you have to trench it, then you have to sort of put it there, then you have to repair the places where you have trenched it, so, this is a long duration period, takes six months, seven months to really get something going and so about two years back, we created a five year transport blueprint and all we are doing is trying to accelerate that blueprint. For the last two years the only effort has been to say do more, do more, do more so that that blueprint is actually met. We are not yet in line with exactly where that blueprint is, but every month in the last eight quarters, every quarter we have made progress and we are now more or less caught up with where we need to be, so we will continue to do that.

Mr. Sanjesh Jain – ICICI Securities

Because the difference between our fiber on the ground today to the number one player or the peer is almost 2x. So, on the fiber side probably, we may need to do more, will that be a right assumption?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

No, we are we are doing as much as we can so just let me say that. There are three types of solutions we look at: one is fiber nodes, second is FTTH, which is basically 1 Gbps type of fiber which is like home fiber but that also makes the tower a Gbps ready and the third is E-band spectrum using the microwave backhaul, so all three are being looked at. E-band is a temporary reprieve. In case there is an event where a particular site needs fiber before the fiber is actually coming, so, we can then put an E-band there, but the moment fiber comes, we take that E-band and put it somewhere else, so, I think it is a moving thing. Suffice it to say, as far as backbone and transport is concerned, there is no reason for us to be uncompetitive, but there is a blueprint on fiber is what I would like to say.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please introduce yourself, unmute your side, and ask your question now.

Mr. Vivekanand Subbaraman – Ambit

Hello, thank you for the opportunity, I am Vivekanand from Ambit. My first question is on the enterprise revenue and EBITDA trajectory. Now Gopal, appreciate your point on the commodity voice business taking up a lot of bandwidths. But is this decision not also likely to impact your Airtel IQ, CPaaS business, because that is one observation that came to my mind. Please clarify on this, and secondly, you alluded to no EBITDA impact on account of such a decision, but that does not seem to be playing out in your numbers at least for the first nine months of fiscal 2025. That is question one on the enterprise side. I have one more, do you want to address this before I move to the next one?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

This is a simple answer. I think there is no impact on CPaaS and IQ and the second thing is that you do not see this reflected in the numbers yet. This will only trigger in the month of February.

Mr. Vivekanand Subbaraman – Ambit

So then what is the key reason for the B2B EBITDA decline in the first nine months?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think the primary reason for the EBITDA decline, maybe, Soumen you can answer this it is the hardware sales, there is one off, take this up.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

So the reduction that you tell is because we have moved to selling converged solutions: where there is connectivity, there is

services
and there is also hardware bundled into it. For example let us take security: When we do a security deal, there is security services as
well as security license, so, unlike connectivity, which is entirely our product some of these products has resell component built into
it. So, that is why you see some dilution in EBITDA margin over these last nine months. You understand that connectivity is of course
growing, but these kinds of products are growing much faster and hence their weightage will keep increasing so, to that extent, there
will be an impact.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

But I must also tell you Vivekanand that if you take the commodity businesses out, which have negligible margins obviously, EBITDA
margins will go up right, but the question is the growth side of the portfolio, which is adjacencies, have a lower margin than connectivity,
so, if you look at long-term basis, the question that we will have to address ourselves is: can we grow this business faster and can we
grow absolute EBITDA, because this is not capex, these adjacencies do not have heavy capex, they are very lig

ht on capex.

Mr. Vivekanand Subbaraman – Ambit

Got it. So the next question is on the digital revenue streams that you have and also your recent partnership on Airtel Finance. So,
your competitor Jio, they spoke about their non-connectivity digital revenue annualizing 150 billion, almost half of yours, so, just wanted
to understand, is competition so elevated or what is the challenge? You are not able to grow at perhaps the same pace as they are
showcasing, they say 60% growth, so what is really working for them, which is perhaps not firing for you and a related question is on
the finance side: where if you could elaborate on the Bajaj Finance partnership on how you monetize through this? That will be great

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think the performance of our competitors, that question is best directed at them, rather than us. I think we report what we are doing
which is, we think that there is a big opportunity for us to scale our digital services. The reason that we spend so much time on actually
getting the model of Airtel Finance right is only for this. Some of the partnerships that we have had is with smaller NBFCs. With Bajaj
this is a really big scale partnership and the idea here is to create value together. Obviously, we bring a lot to the table where there
are almost 200 million customers who have probably never taken a Bajaj product or Bajaj does not have much information on. They
get access to that user base, they get access to all our channels, to our distribution, and we are putting the full might of the Airtel
system, to really ensure that this works for this partnership. On the other hand, what we get out of it is the deep underwriting expertise
of Bajaj, their AI capabilities, their understanding of this whole business and their insights around it and this has the sponsorship of
their senior team and therefore collectively, we are both committed to making this work, so I think that is the way that we see

this
partnership. Obviously, it should create value for both entities and give more and more people access to credit.

Mr. Vivekanand Subbaraman – Ambit

Fair enough. Just one follow up on this partnership, will it get accounted for the revenue streams get accounted for in Airtel payments
bank or in the enterprise side?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Not in payments bank because payments bank is not allowed to do this by its license. By the way, Airtel Payments Bank is the second
part of our financial services portfolio but sits in a separate entity and that also has done very well. We are now averaging about $46
billion of GMV. That is growing handsomely. We have 87 million monthly transacting users. We have an enormous amount. There is
still head room to grow so that is a business that now is actually getting its momentum on its own and we will continue to focus there.
Of course, as you know, the margins there are very thin which is why you need the scale to actually drive the value there but this will
not sit there. This sits as part of the Xtelify unit wherever it gets consolidated.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

It gets consolidated as a part of Bharti Airtel.

Mr. Vivekanand Subbaraman – Ambit

Great, thank you and all the very best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Suresh. Mr. Suresh you may please unmute your side, introduce yourself and ask your
question now.

Mr. Aditya Suresh – Macquarie

Hi, good afternoon, this is Aditya Suresh from Macquarie. Gopal, firstly, congratulations on strong execution on a really clearly
articulated strategy, so you have kind of addressed quite a few of the issues. I had two questions: first on postpaid, you mentioned
this as a kind of significant opportunity and I wanted to understand a bit more about the comment in itself, so is that comment more
from the dimension of the count of the opportunity, number of subscribers or it being on the pricing structure? I guess the reference
there is that I look back in time, postpaid has been like say four or five times higher than where prepaid tariffs were at, today we are
much, much lower than this right, so just your thoughts on this opportunity?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

When I was commenting on the opportunity, our user base is a small fraction of the overall 80 million base that potentially, is credit
worthy based on the data models that we have, so the ability to actually convert more and more onto postpaid I think, is really what I
was commenting on. There is no reason why we should not get upwards of 50 million over the next few years on postpaid, because
there is an 80 million base that is ready to actually get onto postpaid. That said, I think your observation is also right, which is

the
overall compression of the price table has meant that postpaid pricing is now not very different from prepaid of course, it is at 2x
premium, but it used to be much higher and if the price architecture changes in India where prepaid starts moving up like the way it is
in Indonesia, which goes from 100 to 200 to 400, then, clearly there is a headroom for growing postpaid pricing, because a lot of value
gets delivered through postpaid in the form of bucket allowances, rollovers of data, content being bundled and so on and so forth.

Mr. Aditya Suresh – Macquarie

Are you able to articulate any updated priorities here for that specific entity: that entity or the passive infrastructure kind of business
which rolls up under par?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

[Technical issue with Audio]

Vaidehi Sharma – Moderator
The next question comes from Varatharajan Sivasankaran. He's online and ready to ask you a question. Mr. Sivasankaran, you may
please unmute your side, introduce yourself and ask your question now.
Alright, thank you everyone. I would like to remind all the participants to stay connected on the call for the next session on Bharti
Hexacom, but before that Gopal, I would like to pass over to you for your closing remarks.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Thank you very much. I think, thank you for all your questions, as usual they were very perceptive and thank you for all of that and I
hand over back to Vaidehi for follow up on the next concall, so hope to see you soon in the next quarter.

Vaidehi Sharma – Moderator

Thank you very much Gopal. With this, I would now like to hand over to Mr. Soumen Ray for his opening remarks on Bharti Hexacom's
performance.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Good afternoon everyone. Welcome to the Bharti Hexacom Q3 FY2025 earnings call. I will start with a brief on the proposed passive
infrastructure transaction and will then move on to the financial performance. We are planning to transfer approximately about 3400
telecom towers to Indu

s. We believe that this transaction will lead to better operational and financial efficiency. From operational point
of view, not only will it free up management bandwidth but also lead to better expansion of returns. Lastly, we believe that Indus will
be able to run these towers more efficiently and create long-term value. Moving onto financial performance, we delivered a revenue
of 2251 Crores growing sequentially by 7.3%, smartphone customer additions was at 4.5 lakh compared to 1.43 lakh in the last quarter,
of course, being impacted by the tariff repair. Net customer addition saw a rebound of 4.94 lakh, which is a churn improved to

1.9%
compared to 3.2% in the last quarter. The company delivered another quarter of industry leading ARPU growth of 5.7% to reach 241.
EBITDA stood at Rs.1194 Crores with EBITDA margin of 53% improving by almost 300 bps. EBITDAaL, which is the new terminology that we have introduced, and the right one to monitor the organization's performance, for the quarter was 1042 Crores with a margin of 46.3%. Net income for the quarter stood at 261 Crores and cash generation for the quarter was robust with operating free cash flow with an EBITDAaL minus capex of about 758 Crores. Net debt to EBITDAaL improved to 1.03. With that, I hand you over to Vaidehi to open the floor for questions.

Vaidehi Sharma – Moderator

Thank you Soumen. We will now begin the interactive Q&A session. Due to time constraints, we would request if you could limit questions to two per participant to enable more participation. Interested participants may click on "Raise hand option" on your Zoom application and join the queue. With that, the first question comes from Mr. Sanjesh Jain. Mr. Jain you may please unmute your side, introduce yourself and ask your question now. Requesting everyone to kindly raise your hand to be in the Q&A interactive session.
Interested participants may click on "Raise hand option" on the Zoom application to join the Q&A queue. The next question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please unmute your side, introduce yourself and ask your question now.

 Mr. Vivekanand Subbaraman – Ambit

Thanks Vaidehi for the opportunity. I am Vivekanand from Ambit. My first question, Soumen, is that now that the transfer of 3400 towers will happen to Indus Towers, that is almost 13% of your tower footprint so how will that change your P&L from a cost structure standpoint? That is question one. I will ask my next question after this.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Well, if you look at net income level, there would not be much of a difference, because of course we will be receiving some consideration, which has an opportunity cost, so, at a net income level we do not expect much of a difference between what it is now and what it should be later, but of course, once the deal is consummated, we will know but should not be very material to the overall P&L.

Mr. Vivekanand Subbaraman – Ambit

I was more concerned about how we should model the reported EBITDA margin from a modeling standpoint as an analyst, I have to ask you this question?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Of course, from EBITDA point of view there will be some dilution in the EBITDA. Consequent to the incremental IP fee, you see the energy will remain the same there is no difference; the O&M will remain the same. There will be

some IP fees because there will be some return which will be taken by Indus on the investment; to that extent EBITDA will get very marginally diluted, but that will be very small and what I am trying to say is whatever is there has an impact will get unwound, because this money will help us in either investing or pairing down our debt on spectrum or otherwise, so at a net income level we would not be materially different from what we are seeing.

Mr. Vivekanand Subbaraman – Ambit

Got it. Unlike your parent, which has almost two times net debt ex leases to EBITDAaL in your case it is only one time and with the cash inflow from this transaction, you will be looking at only debt of very negligible amounts, so, how do we think about the capital structure now here on and the use of cash for Bharti Hexacom?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

There is angle of dividend payout. We must also remember that this FWA rollout will create a need for capex in Hexacom, because this FWA CPE is significantly more expensive than the broadband CPE, so, there will be some need of additional investments, but yes, the net debt to EBITDA looks very promising at just above one and as you rightly said that if we get this money, it will further come down. Dividend payout is something which will be certainly looked at with a positive angle.

Mr. Vivekanand Subbaraman – Ambit

Is there any capex guidance that you would like to provide in light of the FWA scale up that you are planning, should it significantly accelerate for you in the next fiscal or the coming?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

So, directionally same could be marginal increase, it all depends on FWA rollout. As you know, that in terms of a footprint of the radio capex we had done and hence, there could be some increase because of the FWA capex but directionally, not very different.

Mr. Vivekanand Subbaraman – Ambit

Understood, thank you and all the very best.

 Vaidehi Sharma – Moderator

Interested participants may click on “Raise hand option” on your Zoom application to join the Q&A queue. Upon announcement of
names, participants to kindly click on “unmute myself” in the popup screen and start asking the question post introduction. With this,
the next question comes from Piyush Choudhary. Mr. Choudhary, you may please unmute your side, introduce yourself and ask your
question now.

Mr. Piyush Choudhary – HSBC

Thanks for the opportunity. This is Piyush from HSBC. On home broadband segment, could you tell us what is the FTH home pass
coverage for Hexacom and FWA kind of coverage at this moment, and what could be the TAM in the geographies where Hexacom
is, like Mr. Gopal Vittal mentioned that 45 million can go to 90 million for pan India, like, how do we break it down to regions in which
Hexacom is there?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

In terms of addressable market, I would say this would be about 3 to 4 million. We are present in close to about 200 cities in Hexacom.

Mr. Piyush Choudhary – HSBC

200 cities for FWA?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Total, between FWA and fiber.

Mr. Piyush Choudhary – HSBC

And, FTH home pass?

Akhil Garg – Financial Controller – Bharti Airtel L

imited & Chief Financial Officer, Bharti Hexacom Limited

About 2 million home passes we have, currently at Bharti Hexacom

Mr. Piyush Choudhary – HSBC

Got it. Thank you very much.

Vaidehi Sharma – Moderator

Thank you. The next question comes from Mr. Mohit Motwani. Mr. Motwani, you may please unmute your side, introduce yourself and
ask your question now. Mr. Motwani, you may please unmute your side, introduce yourself and ask your question now.
The next question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please unmute your side, introduce yourself
and ask your question now.

Mr. Vivekanand Subbaraman – Ambit

Thanks, this is Vivekanand again from Ambit. I just have one follow up. Could you help us understand the exceptional charge

of 1.4
billion that was taken during the current quarter and what was the way forward here, in terms of this charge, is there any legal discourse
that you have to perhaps get some relief here? Thank you.

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Well as any other organization, there is a periodic review of the carrying value of various assets and liabilities, so in that review, it
was felt that there is a provision which has to be taken. There were also some reversals on account of the recent court judgement
on passive infrastructure, it is a combination of this. There is no cash payout or anything of that sort. Time-to-time, when you review,
basis that, there is a provision, which has been taken towards regulatory dues, and as far as trend is concerned, absolutely not, by
nature, it is an extraordinary item, so there is absolutely no trend of this, it is a onetime decision.

Mr. Vivekanand Subbaraman – Ambit

Soumen, if you could give some colour on what this pertains to, was it any new development during the current quarter or is this part
of some contingent liability that you have decided to provide for during the current quarter.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Yes, you will see mostly a corresponding reduction in the contingent liability.

Mr. Vivekanand Subbaraman – Ambit

Thank you very much.

Vaidehi Sharma – Moderator

Thank you everyone. Now, I would like Soumen to give his closing remarks for Bharti Hexacom.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Thanks a lot for joining in for the call. We look forward to connecting with you in May after our Q4 results. Thank you.

Vaidehi Sharma – Moderator

Thank you Soumen. Thank you everyone for joining today. Recording of this webinar will be available on our company website.
Thank you once again and have a great day ahead.

Call: May 2025

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CIN: L 74899DL1995PLC067527 (old)
May 19 , 2025

National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcript of the Earnings Call dated May 14, 2025

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on May 14, 2025 in respect of the audited financial results of the Company for the fourth quarter (Q4) and year ended March 31, 2025.
The transcript of the call is also uploaded on the Company's website i.e.https://www.bhartihexacom.in/results -quarterly -results.html .

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Amit Chaturvedi
Company Secretary & Compliance Officer

Encl.: As above
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q4 Ended March 31, 2025 Earnings Webinar

Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited
Q4 Ended March 31, 202 5 Earnings Webinar

Event Date/Time: May 14 , 2025 / 1430hrs.

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q4 Ended March 31, 2025 Earnings Webinar

CORPORATE PARTICIPANTS

Mr. Gopal Vitta l
Vice Chairman & Managing Director , Bharti Airtel Limited

Mr. Shashwat Sharma
CEO Designate - Bharti Airtel Limited

Mr. Soumen Ray
Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non-execu tive Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
Joint Managing Director - Bharti Enterprises

Mr. Naval Seth
Head of Investor Relations - Bharti Airtel Limited & Bharti Hexacom Limited

Mr. Akhil Garg
Financial Controller - Bharti Airtel Limited & Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Good afternoon, ladies and gentlemen. I am Vaidehi Sharma , the moderator for this webinar. Welcome to the Bharti Airtel Limited and Bharti Hexacom Limited fourth quarter ended March 31, 202 5 Earnings Webinar. Present with us today , is the senior leadership team of Bharti Airtel and Bharti Hexacom Limited . I must remind you that the overview and discussions today may include certain forward -looking statements that must be viewed in conjunction with the risks that we fac e. Post the management opening remarks, we will open up for an interactive Q&A session. Interested participants may click on "Raise Hand Option" on your Z oom application to join the Q&A queue. The p articipants may click this option during the management op ening remarks itself to ensure that they find a place in the queue. Upon announcement of name, participants to kindly click on "Unmute Myself" in the pop up screen and

start asking the question post introduction. With
this, I would now like to hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Thank you Vaidehi . A very warm welcome to the earnings ca ll for Q4 FY2025 . With me on the call I have , Shashwat , Soumen, Harjeet , Naval and Akhil . I will focus on our fourth quarter as well as our full year p erformance today along with an update on our strategic priorities , but before I switch and get on to our performance , let me start with the ESG.

We are advancing our ESG agenda with con sistent progress. Our r ecent initiatives include d collaboration with Nokia on Green 5G , the use of AI /ML to improve energy efficiency of our radio network . Nxtra is the first data cent er in India also to deploy AI for next -generation facilities, increasing the asset life , and reducing non -IT power consumption by 10% each. We have now so larized more than 30,708 sites.

Let me now turn to our financial performance and I will do a quick roundup on FY 2025. We delivered another year of strong performance. Our co nsolidated revenues came in under 173,000 Crores . This was impacted by Africa currency devaluation during most of the year. The silver lining of course , was a steadying Naira as we ended the year . EBITDA after FLO and lease obligations recorded a growth of 21.2% , with a continued margin improvement of about 2.3%. India revenue and EBITDAaL excluding Indus Towers grew by 15.3% and 20.2% respectively. EBITDAaL margin at 48% expanded by around 2% despite absorbing the full 5G cost and continued network expansi on. India capex for the year was about 30,270 Crores . This was lower than 2024 , as we had guided. Operating free cash flow, which is really EBITDAaL minus capex, was solid at just under 31,400 Crores . Disciplined capital spending and operational excellence has strengthened our balance sheet. In the last two years , we prepaid the entire high cost DoT debt from past spectrum auctions . This was totaling to about 42,000 Crores ; and India net debt to EBITDAaL now stands at 1.5. Our focus, strategy and sharp exec ution is driving per formance across our businesses.

On mobility , it was yet another year of share gain across every circle , every circle gained share. Broadband growth has gained momentum and at the same time I still believe we need to raise our game even further. We have now launched IPTV, which will further enhance our customer experience , drive convergence, as also lower our capex spen d on the box. Network expansion was as planned , with 19,858 network sites and about 44,400 kilometers of fiber that we d eployed. Fiber deployment , as I mentioned , remains a strategic priority with accelerated rollouts and almost nearly 7.2 million home passes added. Our fixed wireless access was launched in over 2500 cities.

Let me now turn to the Q4 performance. Consolida ted revenues came in at 47,876 Crores and this was impacted by a decline in our B2B segment, which was in line with what we had guided last quarter to focus on quality revenues . India

 revenues , excluding Indus , came in at 33,100 Crores . EBITDAaL margins ca me in at 50.7% , this is an improvement of 1.4%. We prepaid another tranche of high cost Do T spectrum debt of 5985 Crores .

Let me n ow share a quick update on each of our segments .

In the mobile business, we added 5 million customers to our revenue earnin g base and 6.6 million smartphone data customers. Postpaid net adds has

remained steady at 0.6 million . ARPU was at 245 that was flat sequentially, but
remember , it was impacted by two less days in the quarter . On an equal day basis therefore , ARPU stood at Rs.248. I do want to underscore that the key ARPU drivers, which are feature phone to smartphone upgradation, prepaid to postpaid upgradation , data monetization , and international roaming penetration still remain intact. We are on track with our 5G expan sion, having added about 25,000 new sites in the full year FY 2025. We closed the quarter with 135 million 5G customers . 5G devices now represent 85% of the total smartphone shipments and we continue to capture our fair share of the 5G device market.

In the broadband segment, we added 8.1 lakh customers and rolled out over two million FTTH home passes. We further strengthened our content offering by signing an exclusive partnership in India to offer Apple TV and Apple Music to both our Wi -Fi as well as post paid customers. During the quarter, we also signed an agreement with SpaceX to bring Starlin k's high speed Internet to our customers where they are not able to access terrestrial networks. Starlink will therefore complement and enhance Airtel 's suite of pr oducts to provide ubiquitous connectivity acros s the country to our customers.

On Digital TV, we added 76,000 customers during the quarter , largely aided by our IPTV launch. Despite DTH industry headwinds, we have achieved a record high in market share. W e are also making structural changes to our D TH business by completely eliminating subsidies and we believe this will dramatically impact our cash flows . Our IPTV launch has seen encouraging response from customers. IPTV , as you know , delivers enhanced con venience with a better user experience, flexibility to watch on demand , as well as catch up content in additi on to linear broadcast content.

Airtel Business reported revenue of 5316 Crores . As mentioned in the last call, the sequential decline is on accou nt of our strategy to move away from commoditized low margin businesses. The underlying business continues to see traction and has seen some step up in performance in this quarter. During the quarter, we also landed two subsea cables, SEA-ME-

WE 6 and 2 Africa Pearls , strengthening ou r global connectivity offering.

On the digital businesses, we continue to add muscle to our digital portfolio with Cloud, which we have launched just now . Cybersecurity, Financial Services, IoT and CPaaS and all of these are get ting addi tional investments. Airtel Finance is growing fast and our new partnership with Bajaj Finance will further bolster our portfolio.

On the Payments Bank, our monthly transacting users now stood at just under 100 million , they are at 96 million , growing 10% sequentia lly. The annualized revenue run rate stands at 2900 Crores , which has grown by 35% year -on-year. Deposits remain strong at over 3600 Crores , growing 30% year -on-year.

A quick update on Africa , the underlying constant currency revenue gr owth was strong at 3.5% sequentially . With stabilization in the Naira, reported revenue growth came in at 6.3% sequentially. EBITDAaL was 4085 Crores with a margin of 35.9 %. The balance sheet for Airtel Africa remains solid , with net debt to EBITDAaL of 0.9.

Let me now comment on each of our areas of focus.

We continue to build a diversified and resilient portfolio. The underlying performance across the portfolio remains strong. Africa now accounts for 24% of revenues, India mobile is at 56% and India non-mobile and Indus is at 14 % and 7% respectively. Our investments are directed towards future proofing Airtel and reshaping our portfolio t o drive growth across segments.

The second area of foc us is to win quality customers. Let me start with broadband. W e see strong tailwinds , led by growing penetration for smart TVs and changing content consumption habits. We estimat

e the industry brace to grow up
to 80 to 90 million homes from the current level of 46 million . To capitalize on this growing opportunity , we are focusing on three areas. First , we are expanding our market presence with continued rollout of fiber home passes and offering fixed wireless access in newer pin codes where we have not been able to get fiber in. Over the past three years, we have extended our fiber network across 629 cities and are deepening our coverage to accelerate share gain . We are adding over 1.7 million fiber home passes per quarter with a plan to increase this further. Second , we continuously enhance the value we deliver by of fering compelling content bundles and driving convergence. As I had mentioned, we have strengthened our broadband offer through exclusive partnership with Apple TV and Apple Music . This, combined with Xstream 's 22 OTT apps that we have aggregated into the platform , gives us a competitive edge. The third area of focus is channel expansion. As I mentioned last quarter , this was a top priority for us. Today , I would say all our channels now sell all our services and this is continuing to accelerate our growth. This integrated approach will help us expand our footprint and drive mom entum in the broadband segment.

Let me now turn to mobile. As I had mentioned earlier, India mobile tariff continues to remain one of the lowest globally and needs further repair. We have also said that the current telecom tariff structure in India is broken , with a one -size-fits-all pricing model , which is not appropriate for upgradation , nor is it in line with any other market. Restructuring the tariff architecture is essential to i mprove financial health of the industry and sustain future investments. This could simply mean reducing data allowances on some of the packs and charging more for those who can afford to pay. The other area of

 focus on mobile continues to be postpaid. Smar tphone upgrades are a second area of focus and driving penetration of international roaming is a third area of focus. While our rural rollout has driven our market share gain trajectory , we still have an opportunity , I believe , to sweat all our assets. We do not believe that the rollout in coming year will be accelerated. This rollout will substantially lower as we have completed our footprint today.

Let me now turn to B2B. The B2B market is evolving rapidly and provides strong opportunities for growth. Co nnectivity is growing at a modest pace, while adjacencies are growing at a much faster clip contributing almost 90% of overall industry growth . We are focusing on three areas here. First , to build the right mix of services to sharpen our offerings. Over ti me, customer needs have shifted to a solution approach and we are well positioned to address these competitively with our comprehensive suite of products that includes Cloud, Cybersecurity, Managed Services, CPaaS, and IoT. Cloud is a critical need for all customers and we are addressing this with our Telco-Grade Cloud. It really is a fully sovereign and regulated offer built with the best technology. It optimi zes the total cost of ownership , provides Telco-Grade reliability to our customers and it is built on our own learnings of running on e of India' s largest private cloud . This is a cloud on which every one of our applications run. We have now done round tables across the country and we are taking this to market in the month of June . The second focus area is on customer experience and delivery assurance. We are investi

ng in flapless
low latency networks in key locations, upgrading the existing infrastructure , and deploying advanced digital tools to ensure more reliable and predictable service delivery. To further enhance network resilience, we are also investing in OP GW fiber

infrastructure. In addition, data centers continue to be a strategic part of our enterprise offer and we are scaling up investme nts to meet the growing demand. The third focus area is to build world class account management and leveraging digital tools to drive productivity, offering the right solution, superior customer experience , and on -time delivery , we believe , will drive a higher share of customer wallet for us.

The third pillar of our strategy is the obsession to deliver brilliant customer experience. We have double d down on our efforts to enhance our network experience through increased use of digital tools. Over the last few quarters, we rolled out a 1 kilometer by 1 kilometer network grid view. This basically means that the country is divided into a million grids and this is now delivering encouraging results to reduce churn across key markets. We have now taken this one step further and have honed the visibility down to 100 meter by 100 mete r grid. This level of granularity enables us to identify network issues more precisely and resolve them structurally. In addition, we use AI and ML tools extensively to improve performance and drive sustainability in our network . Our indust ry first anti -SPAM tool has led to significant relief for our customers. We have identified over 27 .5 billion SPAM calls to date, translating to an impressive 1560 SPAM calls every second. Since its launch in September 2024, Airtel customers have seen a 16 % reduction in SPAM calls. We continue to strengthen our fight against SPAM and you will hear more about this in the coming days , with the launch of new features.

Deep obsession with our customers stems also from the culture that we have built over the y ears that really is predicated on ownership and an entrepreneurial spirit. As I have said before, there are only two types of people at Airtel, those who serve customers and those who serve those who serve customers. This is why we encourage d our employees , yet again , this year to work for a full day alongside our frontline teams , so every one of our employees went out to the market and work ed with our frontline teams. This initiative has helped generate insights , ranging from network infrastructure to serv ice delivery and assurance that are already being translated into themes for action.

The fourth pillar of our strategy is to build and leverage our digital capabilities. Over the years, we have transformed our digital platforms and fully wired it into our ways of working. Two additional focus areas we are working on today . First, building gold standard digital tools on top of these platforms . These tools help us simplify our ways of working , drive efficiency and enable us to identify new growth avenues. Th e second , is the translation from the product to platform approach has given us solid results in B2C business and is now being extended into our B2B business. We have now started work on embedding AI at the very cent er of our platforms in the core of our o perations. You will hear more about this in th e coming quarters.

The fifth and last pillar of our strategy is war on waste. This is central to our operations. In FY 2025, we saved over 2200 Crores of network opex. W e believe there is always room to s trip o ut waste in our business.

To sum up, overall we delivered yet another strong year of performance. The flow through of tariff repair was in line with our expectations. We continue to see strong growth opportunities in postpaid , in broadband , in convergence , and B2B . We are well capitalized to seize these growth opportunities. Our disciplined approach , with well -pl

anned and calibrated
capex, financial prudence , and sustained deleveraging is reflected in our solid balance sheet. I want to reiterate that our FY2026 capex will be lower than FY 2025, as we have done a lot of heavy lifting over the last two years. We will continue to channelize our investments to future proof Airtel and build digital services at scale. Finally, I want to underscore that industry do es need further tariff repair for sustained financial health and to support continued investments and deliver a respectable ROCE to the business . With that , let me hand back to the moderator.

 Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants . Please note that the Q&A session will be restricted to analyst and investor community only . Due to time constraints, we would request if you could limit the number of que stions to two per participant to enable more participation . Interested participants may click on “Raise Hand option” on your Zoom application to join the Q&A queue . Upon announcement of name , participants to kindly click on “unmute myself” in the pop -up sc reen and start asking the question post introduction. Participants are also requested to limit their questions to Bharti Airtel till 03:30 pm , as the management will start the Q&A

discussion on Bharti Hexacom from 3:30 onwards. With this, the first questio n comes from Mr. Piyush Choudhary . Mr Choudhary , you may please unmute your side, introduce yourself and ask your question now.

Piyush Choudhary – HSBC

Hi, good afternoon and thanks for the call. Congrats on the set of numbers. This is Piyush from HSBC. Two questions : firstly in terms of capital allocation, would you intend to further increase stake in Airtel Africa or Indus T owers and any minimum net debt to EBITDA threshold which you like to maintain and beyond which surplus capital would be used to pa y a dividend? Secondly , you mentioned capex will be lower in fiscal 2026, but any colo ur on how much lower can it be , will it be at the same pace as we saw in fiscal 2025? And we saw in fourth quarter there was a surge in Airtel Business capex, any reason for that? Thank you.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Thanks. So , let me start with your second part of your question. The increase in Airtel Business capex was largely on account of some investment that we made on Cloud. As I mentioned , we are taking this to the market in June, plus , we made some additional investments in our data centers , but otherwise , it is business as usual. How much lower the capex will be for next year , I am not in a position to comment in sp ecific terms. What I can tell you is that it will certainly trend downwards and the reason I say this is that the rural rollout will substantially slow down. There are a few more areas , particularly in some of our challenge r circles where our coverage is l ow, for example in MP , in Maharashtra , in Gujarat , we will continue to do a little bit of radio rollout there. There will be some 5G rollout and so the radio rollout will come dow n substantially. The transport side is a consistent kind of capex that we put in and that will continue and the rest of the businesses will get their fair share. So you will see certainly a moderation in capex. On Africa , I want to give you a little bit of a background. If you recall , we were forced to sell down in the past due to cash flow is

sues and the fact is Africa is
growing solidly and even more than India , it is almost a 2x in terms of growth and you will appreciate that all companies need growth and here we have got one nicely set up in a large set of 14 countries . This is a big, big advantage. So we will take more and back it if we believe in it. All our buying has been at good value , our last block was at about 132 pence and now, it is at 170 odd pen ce, which gives us good foreign exchange hedge. The asset is in pounds eve n though underlying currencies are volatile, but reported growth is also at 15%. It is solid , it is also dividend paying and therefore we will look at opportunities to buy more. Indus has no plans at this point in terms of buyback . A committee was set up t o review the dividend , review it between dividend, buyback, etc. , and as a significant shareholder , we will certainly do the right thing. Airtel , as you know , has announced a big stepped up dividend and so , we will expect this trend to continue. So the rea son I am giving you a slightly longer answer is we want complete flexibility on the use of cash. It will always be in the best interest of the company and as you know , both the promoter group and the management has shown solid leadership in managing diffic ult years of financial situation where many competitors struggle. So , you will have to leave this to our judgement to use the way cash is deployed in the right way. We will manage this through balancing debt, dividends, buybacks , and some investments where ver needed. That is something that we would like to assure you, Piyush.

Piyush Choudhary – HSBC

Great. Thanks Gopal. Any kind of minimum net debt to EBITDA threshold or over there also you have complete flexibility ?

Gopal Vittal — Vice Chairman & Mana ging Director, Bharti Airtel Limited

We are continuing to deleverage here. As you have seen , we have paid off a lot of the high cost spectrum debt. This is with the specific intention to lower the interest burden on the company . We will continue to look a t opportunities to deleverage a nd at the same time we will step up dividend as well.

Piyush Choudhary – HSBC

Thank you.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Gaurav Malhotra. Mr. Malhotra, you may please unmute your side, introd uce yourself and ask your question now.

Gaurav Malhotra – Axis Capital

Yes, hi, this is Gaurav Malhotra from Axis Capital. Just had three questions. Firstly, Gopal you did mention the dividend has been bumped up this year, but any sense on if there coul d be some formalization o f dividend policy in terms o f some percentage of net income band or percentage , let us say FCF, like we see in other sort of players or in industr ies. That was first question . Secondly, if you can just give us some sense of what ki nd of traction you are seeing in FWA in terms of subscriber ads and lastly , where are we on the transition to 5G SA? Those are my three questions.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Gaurav, as we mentioned last year as well, you will see from us , a step up in dividend and that is exactly what we have done. We are not announcing any specific policy in addition to that. The free cash that is actually generated within the company , we will use in the best way possible thr ough a combination of deleveraging dividends as well as additional investments wherever growth can be had . On FWA , on fixed wireless access , firstly, I must tell you that the w

ay we look
at our business is , we look at total homes added rather than fixed wi reless access. You know t hat fiber is always a superior technology when compared to fixed wireless access because it gives you concurrent uplink and d ownlink at the same levels, it has infinite capacities and so one of our obsessions has been to really rol l out fiber at a much more rapid pace. That said , the fact is that there are places where we have not been able to reach, which will take time, and this is where fixed wireless access comes in. Today , about 40 -45% of our overall net ad ds are coming in from fixed wireless access and this we will continue to see. We believe that the overall homes business must continue to see stronger growth. We would be disappointed if against the 812,000 net ad ds that we did this quarter , we do not see a step up in the next quarter and beyond and therefore that is the focus that we have . The mix of this , we would ideally like it to be more and more towards fiber, but fixed wireless access is a great complement and over time, fiber will chase fixed wireless access . On 5G SA, at the right point in time , we will go for it. As I have mentioned to you before , on the mobile side , it is very important that we offload the 4G traffic to 5G networks before we are in a position to ref arm the spectrum and move to SA. I think the importan t thing to look at on whether it is SA or NSA is what is the experience that is being delivered. Very recently, Open signal came up with a set of awards on 5G experience across the country and we have won every single one of those awards. So , I think experi ence matters more to us than technology for the sake of technology . We are going to be prudent about where we actually deploy SA based on when we can offload the traffic. As far as fixed wireless access is concerned, there is an advantage in potentially us ing SA in order to improve the uplink performance and that is something that we are looking at. You must know that at this point , our networks on 5G are pretty empty and so we have a lot of headroom for uplink , but at some point in time , probably the first port of call will be to move SA on fixed wireless access and then finally to get it to mobile.

Gaurav Malhotra – Axis Capital

Thank you for this. Just a couple of follow -ups. One is that , why is the mobile capex sort of moving up in this quarter , is it just seasonality like a year end kind of a push or there is something more to it?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

I do not think yo u should look too deep into it, I think you should look at it as a full year capex. Sometimes you have an up and you have it down, i t could be seasonality, it could be some materials coming in. So , I think , the important thing to look at is on an annual basis how does the capex trend and there I would say that it will certainly be comi ng down next year.

Gaurav Malhotra – Axis Capital

And just last question in terms of data cent er, is that an opportunity which you would pursue like in a more focused manner within the company ?

 Gopal Vittal — Vice Chairman & Managing Director, B harti Airtel Limited

Yes, that is a great question, Gaurav. I think you are right that we have been kind of , I would say , modest in terms of our data cent er aspirations. The fact is that in a market that is growing quite rapidly and a market that is very fragmented , we are a player with potentially less than 12% market share. We are

not pleased with that. This is a business that we
understand. We have deep relationships with customers here , both on the enterprise side as well as on the OTT side and we thin k that we can really meaningfully step up the growth of our data center business. There are several, several data centers that are currently in the stage of build. We are going to have a substantial amount of capacity that will be created in the next 18 mo nths, which is all in the stage of build. We are also looking at a certain other avenues and you will hear more about this in the coming months, but we believe that aspirations on data centers need to be stepped up.

Gaurav Malhotra – Axis Capital

Thank you for this.

Vaidehi Sharma – Moderator

The next question comes from Mr. Ankur Rudra. Mr. Rudra , you may please unmute your side, introduce yourself and ask your question now.

Ankur Rudra – JP Morgan

Hi, thank you. This is Ankur from JP Morgan. So a gain, solid execution and nice to see the dividends go up nicely. I just want to click back on the capex question. You did highlight how B2B went up quite a bit . On the wireless side, at least for the fourth quarter , we are sort of back to where we were at a run rate for the previous year. I am just sort of trying to make sense of this in the context of lack of meaningful increase in either base stati ons or towers this time , was the re investment more on the core side , have we actually begun our SA investmen ts? And similarly on homes, I am guessing because your intention is to accelerate this going forward, the incremental capex is something that will probably be sticky for FY20 26? That is the first question .

Gopal Vittal — Vice Chairman & Managing Director , Bharti Airtel Limited

No Ankur , I think I have already said that , I would not read too much into this because we sometimes we bring in stuff to be deployed and some of it came towards the latter part of the quarter. So the overall capex, while Q4 did lo ok a little higher, you have to look at it in light of what the full year capex was and like I have said, I think capex will be trending downwards in FY20 26. On homes , we are today constrained by the amount of our capability to roll out more fiber and I would like to see it actually step up a lot more. H aving said that , this is not going to materially impact the overall capex profile of the company, but it will be a small amount to put in for a business that is really experiencing tremendous growth , given t he growing penetration and we would like to see more fiber being rolled out as we speak. So , I am not happy with the 1.7 million home passes that we did in the quarter. I would like to see it going up to well over 2.5.

Ankur Rudra – JP Morgan

Thank you. The next question is on the free cash flow deployment you are thinking about for next year. We have seen multiple places where you have been able to take prepay expensive debt and also buyback expensive bonds , how are you thinking about the balance sheet right now and also if you can comment about the AGR conversion you have applied for in the context of that ? Thank you.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

I will take the second part of the question and then maybe han d it over to either Harjeet or Soumen for the first part . On the A GR conversion, I think for us , it was quite simple. We think that we just wanted a non -discriminatory level playing field in terms of an option to convert, whether we will convert or not is a decision for the Board to take, but the option is something that we wanted a clarification from the government whether we had the option or not.

Harjeet Kohli – Joint Managing Director, Bharti Enterprises

So, thanks Gopal. Maybe I can add a few points , Soumen please feel free to chime in . Ankur ,on the free cash flow of course , the free cash flow

profile is increasing. The benefit of that is a choice that we have to balance all the objectives.
You have seen the stepped up dividend, it is step up with respect to what we used to do , but frankly , Rs.16 is probably

 less than 1% yield on the stock today and also , while you see the leverage overall coming down, it is not homogeneously distribut ed. So, Africa is low, Indus is very low , India profile still is s lightly higher at about 2.5. You may not see all of these, but it is important to see the largest block , which is India. I think it is imperative we continue to deleverage more within that too. So the homogeneous block as it is comfortably within two could also yield better choices to decide what we need to do with free cash flow . In the shorter term, deleveraging, high cost debt, you rightly pointed out , high cost DoT debt has been prepaid, perpetual bonds which were high on dollar , reset prices which have been very high , have been prepaid and some of those opportunities will again come by. Also note that this financial year where we are in , we will also have large first time , after four years moratorium , some DoT installments to be paid by the industry. So we will match all of these objectives and at this stage , don't expect any meaningful change to how things have been.

Ankur Rudra – JP Morgan

Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain, you may pleas e unmute your side, introduce your self and ask your question now.

Sanjesh Jain – ICICI Securities

Gopal , good afternoon . This is Sanjesh Jain from ICICI Securities . I got a couple of questions, Gopal , first on the home services . I understand the expansi on in the FTTH and FWA. Content comes naturally now, but is there more opportunity beyond that smart home securities , storage, are we doing anything around peripheral to expand the addressable market within the home ?

Gopal Vittal — Vice Chairman & Managi ng Director, Bharti Airtel Limited

What is your second question, Sanjesh?

Sanjesh Jain – ICICI Securities

Second question is on the AI, you did mention that we are using lot of AI tools internally and in the previous call you mentioned that you do not want to go follow up early on the GPU as a service , I do not understand , when we are building such a nice portfolio of AI and we have such a strong understanding , why do not we deploy to be more economical on the enterprise side to go early in the GPU and develop lot more services for the third par ty?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Okay thank you. Well, firstly Sanjesh I think one of the initiatives that we launched , this was about two years ago , was on home surve illance and home security. So we did a tie -up on cameras , these were really state-of-the-art cameras , you can speak into the camera, t hey sort of do 360 degree swivels , you get recordings on the Cloud, you can track movements , you can set alerts on your smartphone, etc ., and we were trying to bundle this along with our broadband. We launched this about two years ago. We have seen some modest success and one of the things that we found was that it was a very niche business. So , while the people who we did o nboard, which was potentially about half a million customers , were very sticky customers, but the fact is that it was very low ARPU and a huge amount of effort that was taken within the company. So, we have decided to actually go a little slow on that sid

e of the adjacencies and the reason we are going a little slow is that at this point in time , our single minded dedicated focus is to capture a disproportionate share of home broadband . Because I believe there will be enough time as India evolves, as incomes rise, for us to get into more and more services and adjacencies around that . Even globally , if you look at most of these adjacencies , there is tiny fraction of the overall home broadband spend . So, this is an area that we are tracking very closely. We do not want to miss the bus . Equally , we do not want to fragment the team for chasing something that is not materially impacting for the company. On the AI question, I think internally, in addition to many of the experiments we are running , we are trying to embed AI at the very heart of our business and so you are right , we have a deeper appreciation of what this could do . I would not say we have a deep understanding because no company can claim to have a deep understanding today. The technology is evolving so rapidly, but we have a deep appreciation and we are committed to putting this at the very center of our business. That said , if you take GPU as a service, it is a very different business model , Sanjesh , because the quality and the capacities of the chip s ets along with the cost of the chipsets are changing so rapidly that I think there will be enough time for us to actually get in . We use some of the GPUs for ourselves , but to actually go and put in large investments without being clear about this, I think , is something that we said we do not want to be an early mover in the space , we

 would rather be a fast follow er. So, we are going to watch this space and who knows at some stage , we may pick this up but at this point we have parked it.

Sanjesh Jain – ICICI Securities

Clear Gopal , thanks for that elaborate answer but on the data center , you seem to be very confident and I think there was some release that we are looking to double the data center capacity in three years . Can you elaborate on that please?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

A lot of these capacities are coming on board right now as we speak , Sanjesh, so, many of the investments that we made over the last 24 months and some of the investments we are continuing to make over the next eight to nine months , we will see significant capacities come on board in FY20 26 and FY20 27. In addition , we are having conversations with multiple players, very large players , to look at what more we can do to help their p lans to see how we can accelerate data centers . I would certainly say that in a business as large as ours , to have infrastructure play like data centers with a market share of 12% is low and we are not happy with that and therefore we do believe that there is an opportunity for us to step up the game here.

Sanjesh Jain – ICICI Securities

Any capex number s have you disclosed for next three years for the data center business?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

No, we have not disclosed that separately, b ut at this point in time , it is in the ballpark of what we would have spent , maybe slightly higher, but it is all rolled up into the overall capex for the company.

Sanjesh Jain – ICICI Securities

Last time , I think we mentioned around 5000 Crores. Was that the number we were looking to double at that point of time?

Gopal Vittal — Vice Chairman & Managing Director,

Bharti Airtel Limited

Yes, we are on track on that program me.

Sanjesh Jain – ICICI Securities

We a re on track on that program me.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Yes, absolutely.

Sanjesh Jain – ICICI Securities

Great , great. Thanks Gopal for answering all those questions and best of luck for the coming quart ers.

Vaidehi Sharma – Moderator

The next question comes from from Mr. Vivekanand Subbaraman . Mr. Subbaraman, you may please unmute your side, introduce yourself and ask your question now.

 Vivekanand Subbaraman – Ambit Capital

Hi, this is Vivekanan d Subbaraman from Ambit Capital. I have two questions. So , first of all , when you mentioned that capex would trend lower though in fiscal 2025, your c apex declined it is still 24% of India revenue , what do you think is the right benchmark for a growth mark et like India where capex stabilizes, let us say in the next two, three years from a capex to revenue standpoint . That is question one. Should I ask my second one or wait for your response?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Yes, please go ahead.

Vivekanand Subbaraman – Ambit Capital

Secondly, you usually call out your B2B revenue growth , ex of voice across some segments like global OT T, plain vanilla connectivity and digital revenue streams, right? Is it possible for you to give an update on that , along with some trends like order book, revenue, market share? Thank you.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

So, on the capex number , I do not want us to think about it yet in term s of percentage of revenue, obviously , as growth steps up the percent age of revenue will step down . That is a fact. Go back to 2019, at one stage , we were at 50% of revenue was capex because at that point in time , data services were almost free and the bus iness was in a state of stress with the industry revenue having declined substantially . If you were to have another round of tariff repair or restructured tariff architecture and see a significant jump in revenue , then obviously , this will trend down subst antially lower. In fact , if you look at most global companies , which are in more developed markets , then the capex as a percent of revenue tends to be in the ballpark of 15 -17%. So , my hope is that we should be pushing a lot more for growth . At this point , our capex is really focused on doing the right things for the company and we will continue to do it. If we have to step it up by the way , we will . I believe that we will moderate during the course of the year , but I am making an extreme point to say it is important that we continue to put because capex for us is our product, so , transport will continue to get its fair share. Radio capex will certainly come down, there is no question about it and radio is a large component of capex. Core tends to be a small er component of capex. Our B2B business , we have stepped up our capex on areas like Cloud, some parts of data centers, a few cables that came in, s o all of that is rolled in into the overall capex number when I say that it will come down from next year . On B2B, our business is a mix of many parts of the portfolio. There is a wholesale part which is largely to do with messaging and incoming voice . This part is broadly declining because of the pressure on price as well as the shift away from SMS to in-app not ifications, particularly within the pl

atform of choice. So , if there is a hyperscaler
that is running a platform they prefer to do it through their own in app notifications. The second part of the B2B business is the core connectivity business , where we ha ve a lion share. We have got a 35% share that has really grown. It has almost added six to seven share points over the last few years based on independent surveys by people like Frost & Sullivan , and then there is data center, which is growing at a secular pace , about 12 -14%. That business , we believe , needs to ramp up. And finally, there is a digital business which today is growing at about 25 -30%. I am not happy with that growth. My own view is that that growth must be substantially stepped up and this is why we are putting in the investments required on things like Cloud to step the growth up. Now , the margin profile of the digital part of our portfolio will be always a little lower than the margin profile on the core side because the core side also has a lot of investment. It is also a product that we make ourselves, so , in the Cloud, we have our own Cloud. The margins would be good but if you look at things like security and so on and so forth, where there are lots of partners involved, the margins tend to be lower. But remember , there is very little capex as well, s o the ROCE tends to be very good. So I think the B2B business, as I have mentioned before, is a business which is a mix of different parts. It is far more complex than the B2C business, which is a much simpler business because the re are different business models ; there are different types of products and solutions. I think , for us , the effort is to really grow the business . To your question on the order book , the order book on the core looks strong, the core connectivity . The order book on the digital side again looks strong. The order book , as far as the wholesale and commodity side of it , continues to be under pressure and on the global side , when it comes to cables and things like that , that business is beginning to look slightly better than what it was last year. So on an underlying basis , if you strip out the low margin business that we have to shed, we have shed a substantial part of it. There is still a little bit more to shed next quarter . Our business , we believe , will perform better now , this year , than compared to last year.

Vivekanand Subbaraman – Ambit Capital

Thanks , Mr. Gopal. T hanks for the detailed explanation on both counts.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vora . Mr. Vora , you may please unmute your side, introduce yourself and ask your question now.

Kunal Vora – BNP Paribas

Yes, thanks for the opportunity. First one is like Vodafone Idea has now like launched its 5G services and it is investing in its network now. Are you seeing this having any impact of this in the market, especially on postpaid additions and do you think the market share gains trend which you have seen in recent quarters could slow down ?

Gopal Vittal — Vice Chairm an & Managing Director, Bharti Airtel Limited

I do not want to comment on what our competitors are doing. I think that the way I would see it is that as far as postpaid is concerned , we have added about 600,000 net a dds this quarter . I see no reason why t hat should not actually step up because the number of high value users on our platform is still a large number and prepaid to postpaid could be a very, very important driver of growth. I think , most

of these customers who we acquire come on family plans . That mean s three
or two or three or four members of the family and they tend to be on different operators and again , aggregating them onto our family plans become a very important driver of our growth. My own sense is that the last two quarters we have been trending at about 600,000 postpaid net adds , the reason has been the increase or the repair in tariff that happened across the industry , also on postpaid and while this has now settled d own, I believe that actually they should step up in the coming quarte rs. My own view is that we have to stay focused on our customers and the opportunity for growth , I think

that opportunity remains intact within the country.

Kunal Vora – BNP Paribas

Second one, you mentioned th at DTH subsidies will be removed completely how do you see the future of this business like if 89 million high income households shift to home broadband IPTV, will this service lose relevance in coming years?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

I think this i s a big conundrum. I think , because if you look at the DTH industry, it has been going through its moment of reckoning and for many reasons. It is not just the legitimate reasons of technology disruption because those are good reasons , if there is new tech nology that is coming in, whether it is through the form of IPTV plus broadband , which means connected boxes and that puts pressure on D TH, which is just a traditional sort of mode of linear television. Then I think it is a very good outcome , but the chall enge in this business is less to do with just technology disruption , it is also more to do with what we have done to it, which means the regulatory posture that today operates in this market where you have got, assume that th ere are three homes living side -by-side next to each other : one served by DTH, one served by cable , and one served by broadband . Each of these homes has different regulatory constructs , so the DTH business or the DTH regulation as sort of price that is fixed, it has certain cross -holdin g restrictions where , you know , the content player can not have all sorts of investments in the distribution pipe. Cable has a slightly different set of restrictions and when it comes to broadband , it is absolutely free for all , there are no regulations wha tsoever , so, this is the second reason that has been actually creating the challenge and the third reason is the advent of free Doordarshan or free dish as you call it, which is on the Doordarshan dish . You have very good content, which if you look back in to history , Doordarshan was set up with a view to actually educate people on things like agri culture and so on and so forth . Now, it has become good entertainment and that is available at almost no price. So , these are some of the other headwinds that the industry is facing. My own view is that there will still be an opportunity for DTH because home broadband will not get to every single home in India , there are 260 - 270 million homes . There will be probably 1 50 - 160 million TV homes. We are potentially t alking over the next five years of broadband homes getting to maybe 75 to 80 million. So , there will still be a large pool of homes served for linear broadcast television, which is where DTH will play a role and there is still an opportunity to grow from c able. I think that is really how we see it. That said , I think the subsidies and all of the cost of acquisition that is built into high sort of subsidies on the boxes that were sold needs to be stripped out. We have taken a brave call and we have done it. We are waiting for the competition to follow and we hope sense will prevail to strip those subsidies out because there is no point putting in subsidies in a market where the only subsidy is going in to rotate your own customer.

Kunal Vora – BNP Paribas

And just one last question, you announced second buyback in Africa and indicated your commitment. Would you look to delist the business? Any reasons to keep it listed and also if you can talk about the part ly paid and what is the plan for that?

Gopal Vit tal — Vice Chairman & Managing Director, Bharti Airtel Limited

Let us not get ahead of ourselves. I think the important thing is to , like I said, I think it is a terrific asset. It is an asset in pound sterling, it is doing very well and it is a dividend paying asset. So , we believe that the opportunity for us to buyback will continue and that is why we have done it. Your second question was on , sorry Kunal what was it ?

Kunal Vora – BNP Paribas

Airtel partly paid .

Gopal Vittal — Vice Chairman & Managi ng Director, Bharti Airtel Limited

No, we will call that only when we need it. At this point in time , there is no requirement for us to call the partly paid shares.

Kunal Vora – BNP Paribas

Understood , that is it fr om me. Thank you.

Vaidehi Sharma – Moderator

The next question comes from Aliasgar Shakir . Mr. Shakir, you may please unmute your side, introduce yourself and ask your question now.

Aliasgar Shakir – Motilal Oswal

Yes, thanks for the opportunity. Hi Gopal , a couple of questions. First i s on the tariff architecture that you spoke about and this is something that you have been talking for quite some time now given that you have been leading the tariff increase charge for the industry since quite some time, can you share your thoughts about what you think are the possible options available for you given that I understand tariff increases cannot be taken in isolation and industry has to move ahead together. So , what are your thoughts over there? Do you think next round of tariff hike can be m ore from change of tariff architecture, which probably could allow you to , kind of , keep building on this area significantly?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

You had two questions. You had another one?

Aliasgar Shakir – Motilal Oswal

Yes, the second question is again , on the capital allocation. Now , you did answer the areas where you would want to deploy capital, but if I take your consideration in terms of Africa buyback, maybe even Ind us and some of the other areas that you spoke about cumulatively , next three years probably , given the kind of cash flow we are throwing, we should easily generate probably more than about 150,000 Crores of cash flow hopefully and that is free cash flow right , after taking all the adjustments of the current level of capex that we are doing , so, that is a lot of money . I know that we are looking to deleverage, but given that we would look to probably stay at an optimal level of leverage , are you looking at any large areas of investm ents either in India , outside or anything that we should look, even after taking all the constitution of dividend and the investments that you spoke about?

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

So, let me take the first question on your tariff architecture. I think , what options there are , I think , obviously , this cannot be done in isolation, but just to give you a sense of how we see it . The entry level pricing on the plans, I think those entry level pricing should potentially not go up and even if they do, they go up very, very modestly but the next level pricing whe

re there is oodles of data allowance that is put in there , that data allowance should dramatically reduce and then there should be a reason for people to up grade to higher plan. So , from small , medium, large and extra large is the way that the architecture should be. To give you an example, if you look at the India price architecture and index entry price at 100 and index the highest price, then the 100 gets to maybe 250 and that is the overall architecture that we look at , but if you compare that with a m arket like Indonesia, which is a market quite similar to us, in terms of its geographical spread,

 population density and so on and so forth, then that goes f rom 100 to 500 and this is just one example . If you look at any market , you will see the stratification. So , I think , that is really what we believe should happen. For us , I think , on your second question, I think , yes, we will generate a lot of free cash over the course of the next few years. I think you will have to leave it to our judgment to use the cash, right. We will manage this throug h a combination of deleveraging, dividend step up, some buyback. This could be in Indus or it could be in Africa or it could be some other expansion o n acquisition but at this point, we really do need to say that , for us, we are going to be very fiscally prudent. You have to trust us on this , that is exactly how we have been but we would look to see how we can continue t o grow this company and at the same time manage all of the issues that we have got, which is really around stepping up dividend and prudently using the cash to step up growth.

Aliasgar Shakir – Motilal Oswal

Got it, this is very useful. Thank you so muc h.

Vaidehi Sharma – Moderator

Thank you everyone for asking your questions. I would now like to remind the participants to stay connected on the call for the next session on Bharti Hexacom at 3:30, four minutes from now. I would now like to hand over to Gopal for his closing remarks on Bharti Airtel.

Gopal Vittal — Vice Chairman & Managing Director, Bharti Airtel Limited

Again, thank you very much for joining this call and really appreciate the questions that were asked. We hope we have been able to a ddress most of these questions and we look forward to seeing you next quarter. Thank you.

Vaidehi Sharma – Moderator

We r equest all participants to kindly stay connected for another three minutes to begin the Bharti Hexacom call. Thank you.

Thank you everyone for your patience. We will now begin the Bharti Hexacom Earnings Webinar. With this , I would now like to invite Soumen for his opening remarks.

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Di rector, Bharti Hexacom Limited

Thank you Vaidehi and good afternoon everyone. W elcome to the Bharti Hexacom Q4 FY2025 Earnings Call. I have with me, Akhil and Naval joining me on the call. I will start with our FY 2025 performance. We delivered solid resul ts with yet another industry leading growth. Revenues and EBITDAaL growth came in at about 21% and 27% respectively. Margins expanded to 44.2%. A strong operating leverage is the reflection of our efforts on war on waste and execution. The company further solidified and continued revenue market share improvement in both circuits . Operating free cash generation , which is EBITDAaL minus capex , was a strong 2300 odd Crores. Balance sheet is robust with a net debt excluding leases at about 3700 Crores and our n

et debt to EBITDAaL around 1. A quick update on the quarter 's performance, we delivered revenue of 2289 Crores , growing sequentially by about 1.7% . The smartphone customer addition was at 7 .1 lakh compared to 4.5 lakh last quarter. REC base s aw addition s of 5.1 lakh , with a churn of 1.8% compared to 1.9% in the last quarter. ARPU for the quarter was Rs.242, which was impacted by two lesser days in the quarter. EBITDA stood at 1 ,220 Crores , with a n EBITDAaL margin of 46.6%, which improved by about 30 bps. Net income for the quarter stood at 468 Crores . Operating free cash flow , that is EBITDAaL minus capex, was about 641 Crores. During Q4, we prepa id 858 Crores of high cost DoT debt pertaining to the 2024 auction . This was at a coupon of about 8.65%. With thi s, the company is left with only FY 2021 and FY 2022 spectrum d ues.

Before I hand over to Vaidehi , I would like to discuss about the proposed tower sale. As you are aware, we have put the tower sale proposal to Indus Towers in abeyance as TC IL, one of the p ublic sector undertaking and a significant shareholder of Hexacom had requested the c ompany to start a fresh process, which meets the requirement of TC IL as a public sector undertaking. We remain convinced about the business logic and merit of the proposal ; however, in keeping with the highe r standards of corporate governance and transparency, it has been agreed to put the current proposal in abeyance and undertake a fresh exercise in consultation with TCI L. The company will evaluate the future course on th is transaction and we will update all stakeholders appropriately. With that, I will hand over to Vaidehi to open the floor for questions.

 Vaidehi Sharma – Moderator

Thank you , Soumen . We will now begin the Q&A interactive session. Due to time constraint s, we would request if you could limit the number of questions to two per participant to enable more participation. Interested participants may click on "Raise Hand Option" on your Zoom application to join the Q&A queue. With this, the first question comes from Mr. Sanjesh Jain . Mr. Jain, you may please unmute your side, introduce yourself and ask your question now.

Sanjesh Jain – ICICI Securities

Thanks for the opportunity , Soumen. I got three question s. First , on the wireless , I thought Rajasthan which is 80% of our revenue generally has a higher incoming because of the tourist in the Q3 and Q4, while the difference in the growth was very small between us and Airtel , that seasonality is really not showing up , anything which I am missing o f the seasonali ty is only very small to make in delta there ? That is number one . Second , on the home broadband , this quarter saw a very strong growth of 10% sequentially . Is it that FW A rollout has been more relevant for Rajasthan and northeast circle, which has a diffic ult terrain and more rural location and FW A become s an important product there than FT TH, is that driving a higher growth ? And number three , on the dividend payout , I think we had a payout ratio of what around 33 -34%, Airtel , on an adjusted basis , are at 3 5%. Our net debt position is much more comfortable level and we do not have other commitment , any reason for us to be conservative on the payout issues? These are the three.

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limite d & Non -executive Director, Bharti Hexacom Limited

Thanks Sanjesh. I will take all three of them one -by-one. First , on the first one , on the in

r oamers and the out r oamers .
Well, it is what it is. I do not think there has been a significant change, but wh at happens is , as we grow share and we get a larger base , the number of people traveling do not change , so, possibly as a percentage of that number , it will marginally come down as long as we are growing. To that extent , maybe it will tend to t rend a little downwards in percentage terms . On homes , yes, you are absolutely right. FWA is a very, very strong offering for us and as a matter of fact, lion's share of homes acquisition in Q4 has been with FWA . It is just the fact that there is no wired broadband in large geographies of these two circles. So , indeed , when somebody with credibility with high market share in mobility is coming up with FWA , there is taker, so you are absolutely right . On the dividend , I think we should not see too much between 33 and 35 and all of that. I think this company also, yes its debt is less, but it does not have some of the other engines of growth, which possibly Airtel has. Like what was mentioned in the Airtel call , we will balance between the three, four objectives and we wi ll prudently use the cash that is generated and deploy it as and when required. As Gopal mentioned, I think the organization has shown a lot of prudence over the years in how generated cash has been deployed reduced for example, today I mentioned to you in the starting comments that we do have 2 021-2022 spectrum - those are at a clip of about 7.2% , who knows , if interest rates keep coming down , the CPI print has come very low. If interest rate indeed comes down, even the 7.2 to be repaid back and you would r emember , 2022 was a mother of all auctions - there was a large procurement of 5G , millimeter wave and so on and so forth. So , we will use this prudently is all that I can say and the difference that you see is really marginal.

Sanjesh Jain – ICICI Securit ies

Great , Soumen. T hanks for answering all those questions and best of luck for the coming quarters.

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

Thank you, Sanjesh.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman , you may please unmute your side, introduce yourself and ask your question now.

Vivekanand Subbaraman – Ambit Capital

Hi, I am Vivekanand from Ambit. So, on your incremental EBITDAaL margin , we saw that the revenue is coming in at almost 70% margin des pite 5G costs being embedded in the P&L data during the year. So, without a tariff hike , how should we think about incremental EBITDAaL margins for FY20 26? That is question one . Secondly , any thoughts on the capex trajectory for the two segment , any color that you can provide there? Thank you.

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bhart i Hexacom Limited

Thanks , Vivek . So, the first one, this has been a quarter where our opex has been very low and you must apprecia te that there are certain costs, which has increasing trend , for example, there are escalations built in which happens as and when anniversary of a tower happens. There are energy costs which keep increasing and we have our WOW project. So , there are inflationary impacts which will continue to push costs up and we will try to find good ways of reducing that through our program me on war on waste. I would sa

y , this is not a quarter which is representative. I think , if you look at post tariff like , maybe Q3 -Q4, that would be more representative, b ut I must at the same time tell you that these are very small nuances and I think incre asingly , we will target to improve our EBITDAaL margins . It was mentioned that mos t of the rural rollout is done s o we are not doing anything major and hence , there should be a trend of the EBITDAaL margin improving in future. On capex, I think , the capex will come down , like it is happening in Airtel, there is a transport job to be done, but I think the transport job in these two circles is not so much. So , the capex trajectory should see a downward move from FY 2025.

Vivekanand Subbaraman – Ambit Capital

Similar to what we w ere talking about as far as Cape x, is there anything you would like to indicate in terms o f aspiration to reach over time

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

Sorry. Vivek, Vivekanand, you were not clear. Can you repeat the question ?

Vivekanand Subbaraman – Ambit Capital

I think , Gopal was discussing a bit on the range , as far as converging with the global industry on ef fects to revenu e over time, is that something that you can reach much sooner than Airtel , any further colo ur that you can provide there?

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

Well, I can certainly provide the colo ur, but the answer is yes and no. Our company does not have the hi gh investment businesses like N xtra, which is a capital intensive business. It does not own submarine cables , so, to that extent , the investment is a li ttle less , but at the same time , you have to appreciate that the digital businesses which can grow, which are pan India businesses , is also not operated from this. So , I think , it is a mobile first and largely mobile only business with a small amount of B2 B and homes growing . So, the convergence of percentage of topline with the global p eers, because those global peers are comparable to Airtel because they all have these verticals whereas Hexacom is operating on mobility. So , the only way of growth is incre asing number of customers or increasing ARPU and of course a bit of home expansion for sure . Homes need fiberization and so on and so forth. So , it is not strictly c omparable with the global peers; however, as was mentioned , directionally , we will look at bringing down absolute capex without compromising any growth capex, which is required to be deployed.

Vivekanand Subbaraman – Ambit Capital

Very clear. Thank you so much and all the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Gaurav Malhotra. Mr. Malhotra, you may please unmute your side, introduce yourself and ask your question now.

Gaurav Malhotra – Axis Capital

Hi Soumen , this is Gaurav from Axis Capital. Just one or two questions . On premiumization , is it different versus Bharti Airtel at an aggregate level, given that these are relatively lower income circles?

 Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

The job is the same, but the path that one will follow is different. The postpaid penetration in these two circles is very low. Whilst y es, the average affordability index is low, b

ut the number of people who can afford a postpaid is not very different
and hence , there is a very good jo b to be done in terms of postpaid penetration. FWA can become a big story in Northeast because of the high education levels and other social factors, which influence primarily the lower part of Northeast. So , there are different nuances, but functionally , I think, and you can see that when we list ed the company , there was a larger gap between Airtel ARPU and Hexaco m ARPU , that gap is narrowing. As I mentioned, Airtel is at about 245, we are at 242. It is also a factor of how data consumption is increasing i n these circles. So , I would say the premiumization job is the same, the quality customer job is the same, albeit , the nuanc es would be a little different, f or example , here the focus would be more on data top up as opposed to international roaming. So tho se nuances will happen, but the job of premiumization of customers absolutely is valid.

Gaurav Malhotra – Axis Capital

Got it. J ust one more question , I know Gopal had alluded to the fact that you guys are still doing 5G NSA and we will sort of look at transitioning to SA over time, but given that FW A seems to have a lot more salience for these two circles and for FWA , I think so end of the day S A eventually would be required, s o is there a plan of accelerating a transition in Hexaco m versus Airtel a t a more aggregate level?

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

I do not think we are looking at a target of acceleration. It is a simple function of the capacity o f our 5G infrastructure being utilized . Today , there is adequate capacity for us to roll out more F WAs. O f course , as FWAs capacity gets choked up they can be liberated by laying fibers because then you can do a concentrated fiber laying and wire up those homes , alternately , you can go to SA. I think we are some distance away and we are not in a race to meet a deadline as to when SA is implemented, whichever part of the country, whether it is any other circle or indeed these two circles, whichever circle, w hichever comes closer , there we would do what Gopal mentioned in Airtel call of implementing SA, but as of now , we are quite some distance away across the country including the two circles in Hexacom .

Gaurav Malhotra – Axis Capital

Just last question . I am sorry , the fiber is obviously not of Hexacom for these two circles, it is for Airtel, but that fiber is residing in the Airtel homes or in the mobile segment ? Sorry, I am asking a n Airtel question here , if it is okay .

Soumen Ray — Chief Financial Off icer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

So, it is mostly sitting in mobile segment.

Gaurav Malhotra – Axis Capital

Thank you so much.

Vaidehi Sharma – Moderator

Thank you everyone. Now , I would like Soumen to give his closing remarks for Bharti Hexacom .

Soumen Ray — Chief Financial Officer - India & South Asia - Bharti Airtel Limited & Non -executive Director, Bharti Hexacom Limited

Thanks a lot for joining the call. I think this is the fir st, almost full year of Bharti Hexacom remaining listed. I think , it has been a stellar performance. I think , whatever we have put up during our road shows , we have been able to do it. The tariff repair has come in very handy and the increase in dividend s hould please the stakeholders. Thanks a lot for joining and look forward to catching up next quarter again. Thank you.

 Vaidehi Sharma – Moderator

Thank you everyone for joining us today. The recording of this webinar will be available on the company web site. Thank you all. Have a good day and see you next quarter, bye.

Call: Aug 2025

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August 11 , 2025

National Stock Exchange of India Limited
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Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcrip t of t he Earnings Call dated August 06 , 2025

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on August 06 , 2025 in respect of the audited financial results of the Company for the first quarter (Q 1) ended June 30 , 2025.
The transcript of the call is also uploaded on the Company's website i.e.https://www.bhartihexacom.in/results -quarterly -results.html .

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Amit Chaturvedi
Company Secretary & Compliance Officer

Encl.: As above
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q1 ended June 30, 202 5 Earnings Webi nar

Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q 1
ended June 30, 202 5 Earnings Webinar

Event Date/Time: August 6, 2025/ 1430hrs

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q1 ended June 30, 202 5 Earnings Webi nar

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Mr. Shashwat Sharma
CEO Designate - Bharti Airtel Limited

Mr. Soumen Ray
Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
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Mr. Naval Seth
Head of Investor Relations – Bharti Airtel Limited & Bharti Hexacom Limited

Mr. Akhil Garg
Financial Controller – Bharti Air tel Limited & Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Good afternoon, ladies and gentlemen. I am Vaidehi Sharma , the moderator for this webinar. Welcome to Bharti Airtel Limited and
Bharti Hexacom Limited first quarter ended June 30, 202 5 Earnings Webinar. Present with us today , is the senior leadership team of
Bharti Airtel and Bharti Hexacom Limited . I must remind you that the overview and discussions today may include certain forward -
looking statements that must be viewed in conjunction with the risks that we face. Post the management opening remarks, we will
open up for an interactive Q&A session. Interested participants may click on raise hand option on Zoom application to jo in the Q&A
queue. The participants may click this option during the management opening remarks itself to ensure that they find a place i n the
queue. Upon announcement of name , participants to kindly click on unmute myself in the pop -up screen and start ask ing the question

post introduction. With this, now , I would like to hand over to Mr. Gopal Vitta

l for his opening remarks.

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

Thank you , Vaidehi. A very warm welcome to everyone for our earnings call for the first quarter ended F Y2026. With me , I also have Shashwat, Soumen , Harjeet , Naval , and Ak hil. Today' s call will focus on our first quarter performance along with an update on some of our key str ategic priorities.

We are making good progress on our ESG commitments by embedding technology and digital innovation at the heart of our operations through very targeted initiatives , 64% of our sites are now green and nearly half the electricity consumed at our data cent ers comes from renewable sources. Our diversity agenda continues to advance. Women represent just under 19% of our total workforce up f rom 11% two years ago. Our remote work program me has also enabled qualified women in small er towns to tak e on tech roles. The Airtel Foundation has amplified its impact through the introduction of the Airtel Scholarship. This is a fully funded nationwide initiative designed to empower talented students from diverse backgrounds to pursue undergraduate technolo gy courses. Women make up 51% of the Airtel Scholars supported thus fa r, reflecting generally our commitment to foster gender equality in education and providi ng equal opportunities for all.

A quick word on our financial performance. We delivered another quarter of consistent performance. Consolidated revenue came in at 49,463 Crores just under 49,500 Crores . This was impacted by a decline in the B2B segment. As I had mentioned earlier, th is is in line with our guidance, which I gave earlier to peel off ou r low margin revenue in B2B. India revenues excluding Indus , came in at about 33,820 Crores and EBI TDAa L, which is stripped off the lease obligations , margins came in at 51.4% , improving by 65 basis points sequentially. The operating free cash flow , which is EBITDAa L minus capex , was at 11,928 Crores . We continue to del everage our balance sheet. During the quarter , we redeemed senior no tes worth a billion dollars. Disciplined capex spending and operational excellence underpins our solid balance sheet . India net debt to EBITDAa L now stands at 1.3. Our approach to financial prudence and the consequent strong balance sheet is recognized by leading agencies , most recent being the credit rating upgrade that came in from Crisil .

Our clear and simple strate gy of por tfolio premiumization and razor -sharp execution is driving strong performance across our businesses. Mobile saw yet another quarter of industry -leading revenue growth. Broadband is seeing strong growth momentum with FWA expanding the addressable m arket for us. Our IP TV ramp up is progressing as planned , with encouraging response from our customers.

Network expansion is happening as planned , with about 1830 network sites and over 8300 kil ometers of fiber deployed during the quarter. We are future p roofing our network with accelerated fiber deployment reflected in over 1 ,30,000 kilometers fiber rollout in the last three years. We continue to expand fiber home passes for our broadband businesses along with FWA rollout across 2500 cities.

Let me share a quick update on each of our segments.

In mobile , we added 1.2 million customers t hrough our overall base and 3.9 million smartphone data customers. Postpaid net ad ds remain steady at 0.7 million accounting for 57% of total net additions. Y ou will recall that the base of postpaid is only 7% of our customer base. ARPU at Rs. 250 had the benefit of one day

extra in the quarter and continued underlying mix improvement. We have further strengthened our entertainment experience for our prepaid cus tomers by launching an industry first all -in-one OTT entertainment pack , with access to over 25 OTT platforms. I do want to reiterate that feature phone to smartphone upgrades; prepaid to postpaid upgrades, data monetization, and international roaming cont inue to be central to our ARPU growth in th e absence of any tariff repair.

Our 5G expansion continues as planned. We ended the quarter with 152 million 5G customers. We continue to believe that 5G handset adoption at the bottom end of the market will acce lerate with the launch of more affordable options. 5G shipments continue to grow and now account for 86% of total smartphone shipments. Our share in the 5G shipment is constantly growing . 5G sites already cater to 36% of the total network traffic enabling some traffic offload from the existing 4G sites as well.

In the broadband business, we deliver ed a solid quarter , with the highest ever quarterly net ad ds of 939,000. We are seeing strong momentum in FWA net ad ds of 5.4 lakh. I believe this momentum on th e overall broadband business shoul d continue to see acceleration.

In Digital TV, we lost around 2 lakh customers during the quarter, but the decline was somewhat compensated by the step up in IP TV net a dds. DTH net ad ds were impacted by structural changes that we initiated to eliminate subsidies on the set top box. We believe this move will pay off well with very strong cash generation. Our competition has also followed us and reduced the box subsid ies. Our IPTV is seein g strong acceptance from customers , as it delivers a better experience and c onvenience combined with a very, very solid and expensive content slate.

In the Airtel Business segment, we reported revenues of about 5 060 Crores . Discontinuation of the commodit ized low margin business is now fully reflected on the base and what you see going forwa rd is really underlying growth, b ut if you look at the underlying revenue growth stripped off the discontinued commoditized business , we grew at 2% sequentially and the business outlook continues to be strong , with a strong visibility on funnel and the order book. We are s eeing some early signs of green shoots in our global business.
During the quarter , we won multiple deals in our IoT and security business.

On the digi tal businesses, we are strengthening our digital portfolio across Cloud, Cybersecurity, Financial Services, IoT, and CPaa S, with c ontinued strategic investments.

Airtel Finance is shaping up well , with acceleration in loan dis bursements and credit card is sue. Our partnership with several NBFCs is going as planned with increased supply, all of it now integrated into A irtel Thanks. We are seeing continued improvement in off take.

Our payments bank monthly transacting users stood at 98 million. Annualized revenue run rate is now over 3 ,100 Crores , growing over 27% year -on-year. Deposits remain strong at about 3 ,750 Crores , growing 29% year -on-year.

A quick update on Africa. Constant currency revenue growth continues to remain strong at 6.7% sequentially and this was also helped by a favorable currency movement, which led to a solid reported revenue growth of 6.2% sequentially. E BITDAaL was 4 ,456

Crores ,
with a margin just under 37%. The balance sheet remains solid with net -debt to EBITDAaL of under one.

Let me now briefly comment on each of our areas of focus.

The first area is really the continued focus on building a diverse and resilient portfolio. The underlying performance now ac ross the portfolio was strong. Africa accounts for 24% of revenues , India mobile at 55 , and India non -mobile at 13%, Ind us now at 8%. Our investments are channelized towards building future ready digital networks and digital services to accelerate growth across o ur portfoli

o.

Second area of focus is to win quality customers.

Let me start with broadband. As I mentioned earlier, we see a large penetration opportunity in homes. Our investments are now prioritized to capitalize on this growth. We will continue to focus on three areas : deepening our network and market footprint and therefore , we are accelerating rollout of fiber home passes . I want to get to a quarterly run rate of 2.5 million home pass es up from 1.6 million. FW A will drive the addressable market further by expanding our footprint where we are unable to get fiber. Second , we are focused on providing exceptional value to our customers through bundling content and driving convergence. We have partnered with Google to bring a compelling Google One cloud storage subscription service to our customers. This wi ll help them address the mounting challenges of limited device storage. All our postpaid and Wi -Fi customers will get access o f six months of 100GB Google One cloud storage at no extra cost. The third area of focus is expanding our channel footprint, which I spoke to you about a few quarters ago. This is now in place and is allowing us to drive cross -selling at an accelerated pace. We now intend to leverage our data driven precision targeting, enhance our persuasion , and strengthen analytics to scale the im pact of our expanded channel strategy.

A quick wor d on the mobile business . Our focus to drive ARPU improvement continues to be underpinned by sustained postpaid upgrades, smartphone upgrades , and penetration of international roaming. We further simplified our IR plans to deliver greater value and convenience to our customers. Our rural expansion , over 43,500 sites deployed in the last three years is delivering on all action

 standards. We have now intensified our efforts to sweat our deployment in areas that are not fully utilized to drive sustained share gains.

Let me now spend some time on B2B. We believe our network investments need to be g eared to building gold standard, flapless and reliab le fiber networks. Our infrastructure , comprising of low latency fiber, submarine cables, OPGW fiber and advanced data cent ers is the backbone of our superior service quality and assurance. As a result, we are now stepping up our investments to drive g rowth in core connectivity. We made substantial investments in OPGW capacities , connecting all metros and major cities. In addition, we triggered a significant investment 9 months ago to connect data cent ers and cable landing stations in Mumbai and Chennai. O n the submarine cables and capacities , we have invested over 2000 Crores over the last five years and we expect a further light up from 45 Tbps capacity to 180 Tbps capacity. All of this is now playing out in the data segment growth that we see. At the same time, as I mentioned earlier, the bulk of the incremental growth for the industry in B2B is happening in adjacencies -Cyber security, IoT and Cloud. In each of these areas, we are continuing to invest and seeing traction. The digital segment is now growing at 23%.

Today, I want to spend some time on the largest growth area within digital, which is Cloud. You would have seen our recent announcements made on August 4, 2025 . Let me give you a little bit of texture on this. Over the last five years, Air tel has changed significantly. Our digital capabilities based on our comprehensive benchmarking with large tel cos around the world are truly world class. Our capabilities can be essentially summed up in the way we think about our business , that it is a platform a bove all el se. So let me explain to you how it works. It really works across three layers. At the foundational layer, which is our first layer, is the data layer . This is truly the secret sauce. Besides a massive data infrastructure , we have built a homegr own data engine , we call it a data engine , which allows us to ingest data, monitor data, and measure the data, catalog the data, and leverage over 3000 attributes relating to every single customer , all of it automatically done with no human intervention. This data engine also has a next best action algorithm that provides the intelligence to all our channels on what action we need to take for that individual customer : whether to offer a service or solve a problem that they may have. The whole of the data e ngine is linked to our second layer, which we call our workflow platform, which really helps customers to do the four things that they want to do with us in any business : buy something, we bill them for it, they pay for it and we serve them. Finally, all o f this is exposed in the third layer , on our channels platform to our cust omers across every single touch point. So whether it is the call centr e, it is the web, it is the app, it is the storefront or it is at the home through our engineer, we have one uni fied presentation layer , which we call the channel layer. This entire stack has been built by our engineering group and is homegrown using open -source software. It operates at a massive scale of 1.4 billion transactions per minute.
All of this sits on our own Cloud platform, which is managed and hosted in India. Our Cloud handles over 250 petabytes of data , managing over 10,000 servers , across our 14 large and 120 edge data cent ers. As you can see, all of this is at a mega scale . It is telco grade and it is hosted in the country. I can also tell you that as a Cloud for an individual company in this country , this is clearly the largest Cloud instance. We have now extended all of these capabilities to our customers. We have launched Air tel Cloud and we believe this will allow our customers to get access to a world -class Cloud, which is telco grade , hosted and held in India and it will additionally save them costs. Over and above this, we have also now extended our software platforms globally to telcos to start with.
By the way, we do believe that our platforms can go beyond the telco , since they are built on a totally modular basis. This is why we have been able to extend our platforms in a totally fungible way, both across geographies and sectors. For example, we have extended it to Airtel Africa , which is our subsidiary. We have extended to Indus Towers , which is a totally different type of business. We have also extended it to A irtel Payments Bank, which is again , a very different type of business. I am also p leased that we won deals with Singtel and Globe Telecom in the Philippines. These are not part of the group and so this is a measure of the credibility that we have been able to build. More conversations with several telcos are in the pipeline. I believe t he launch of the Cloud and software platform business can truly change the composition of A irtel B2B and broadly , even Airtel , in the years to come.

The third pillar of our strategy is the obsession to deliver a brilliant customer experience. All our digi tal capabilities are now coming to bear on serving customers . So whether it is go to market, life cycle management, customer experience, driving personalization or improving productivity for our fleet, this impacts all of it. As I mentioned before, this all ows us to track the experience of our customers at a device level as well as provide tools to our frontline on the experience delivered wit hin a very, very small micro market of 100

meter s by 100 meters across the country. India ha s now well over a million micro markets and we measure the performance within
each micro market. We also believe

one of the drivers of our market share outperformance is really this. We have now extended these
tools into Airtel Africa and you can see that the results are already visible. Our anti -spam solution continues to provide significant relief
to our customers. Our tool , as you know , detects scam and spam and alerts o ur customers in real time, in their own language. So
whether these calls or messages originate on SMS or on any OTT platforms , whether they originate in India or abroad , our tool works.
We continue to add features to our tool. We have added cutting edge solution that detects and blocks malicious websites acros s all
communication OT T apps a nd platforms including e -mails, browsers in real time, giving total peace of mind for our customers while
browsing the internet. Since its launch, the solution has identifie d over 42 billion spam calls.

The fourth pillar of our strategy is to build and le verage our digital capabilities. While I have already spent considerable time today on
this, I do want to make two points here today. The first is AI. On AI , we have done numerous experiments , much as most large
companies have in various parts of the world . The change we are now bringing about is to put AI at the very heart of our business. So
what we are doing is to now place AI at the very center of all the digital platforms that we have already built and are runni ng at scale.
We feel this will take our c apabilities to the next level. More about this in the coming quarters as we see it coming to fruition. The
second area I want to talk about is our belief. While we will continue to build tools and solutions that we need for our busi ness , as you
have seen, we will also leverage the capabilities of partners to help scale our business and provide our customers a distinct advantage.
There are three that I will illustrate today. On content , we have a slate of the most compelling content covering 25 OTT apps in I ndia
within the Xstream platform. We have a partnership with Amazon, we have a partnership with Disney, we have a partnership with
Netflix, we have a partnership with Z ee and we are exclusively available on Apple. A second example is our partnership with Google
that allows us to offer complimentary Cloud storage to our broadband customers. And the last example is our breakthrough partnership
with Perplexity that empowers o ur customers with innovative technology and cutting edge AI capabilities. We are seeing strong
customer engagement within a few days of the launch and have already climbed to over 5 million and growing every day.

 The fifth and last pillar of our strategy is war on waste. As I had mentioned earlier, this is fully wired into our operation. We started the
year on a strong note with a funnel and we are on track to achieve our planned savings.

To sum up, overall , we delivered another quarter of strong performa nce. We continue to see meaningful growth opportunities in
postpaid, in broadband, in convergence and B2B. Our investments are now directed towards capitalizing these growth opportunit ies.
All of this is really done by keeping digital at the core. Lastly, we take great pride in our flawless governance track record, spirit of
ownership and entrepreneurial spirit that is ingrained in our culture and the quality and transparency of our disclosures. Wi th this , let
me hand back to Vaidehi .

Vaidehi Sharma – Moderator

Thank you very much Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants . Please note

that the
Q&A session will be restricted to analyst s and i

nvestor community only . Due to time constraints, we would request if you could limit the number of questions to two per participant to enable more participation . Interested participants may click on “Raise Hand option ” on your Zoom application to join the Q&A queue. U pon announcement of name , participants to kindly click on unmute myself in the popup screen and start asking the question post introduction. P articipants are also requested to limit their questions to Bharti Airtel until 03:30 pm , as the management will start the Q&A discussion on Bharti Hexacom from 3:30 onwards. With this , the first question comes from Mr. Manish Adukia . Mr. Adukia you may please unmute your side , introduce yourself and ask your question now.

Mr. Manish Adukia – Goldman Sachs

Thank you. Hi, good afternoon. Thank you so much for taking my questions and Gopal , as always , thank you so much for that comprehensive overview about the business in your opening remarks. First question is on capex. Now , last year , the India wireless business in particular did about 2 .5 billion of capex while there could be some seasonality in the June quarter , looks like for the full year, the capex may be trending down again in fiscal 2026, n ow, if you were to take a slightly longer term view , the next technology refresh cycle may be like a few years away still , so the wireless business in particular, are there any particular reasons why in the foreseeable future at least , the capex will or has to move higher or should we expect that for the next three, four, five years , the c apex will probably remain range -bound and then on the non -wireless side , you talked about a few things : FTTH and FWA focus and also Cloud more recently , what does that translate into capex for some of these businesses directionally , do the capex in these businesses go up before they start coming down ? That is my first question. Thank you.

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

Well, I think , firstly , this quarter capex has been low but the way that I would urge you to look at it Manish , is look at it over Q4 and Q1, you have sort of ups and downs in a particular quarter , so you average that out , that is the sort of run rate that we are currently operating at. You are right in the assumption that radio capex generally is trending down but at the same time , when you look at transport capex , the investments that are going in fiber , on our core networks , they continue because that is linked to our que st to conne ct more and more sites to fiber, upgrading our transport infrastructure , as also running on our core networks based on the capacities and the bandwidth s that get consumed. T he non -wireless capex , if you look at it, the B2B business gets its fair share of capex , that is normal, the data cent ers gets its fair share of capex, homes continues to get its fair share . I think the one thing that I would say on Cloud is that it is a modular capex . We have already invested in the Cloud, we have got now two regions running and that are live : one in Delhi and the other in Chennai , we will open up a third region at some point in time but as of now , there are two regions running and this has enough headroom for us to continue to fill out those capacities and if they do fill out those capacities then it is really , effectively , a three to six months time frame for us to install more capacities because remember we also have a data cent er business, which is Nxtra, which is in the middle of building our data cent ers and so , space will always be available.

Mr. Manish Adukia – Goldman Sachs

Thank you. My second and maybe related question is just on the free cash flow generation of the India business , excluding towers again , continues to trend like really strongly may be more than a billion dollars of capex every quarter , now, just two sub component of that question is : one, AGR payments start for you in March of this year , what are your expectations around it at this point in time and the second bit is just on shareholder payouts , how are you thinking about that given just maybe , the moderation in radio capex in the wireless business and the strong free cash flow generation in the overall India business?

Gopal Vittal – Vice Chairman & M anaging Director - Bhart i Airtel Limited

On the AGR payments, we have written to the government , as you know , to be extended the same relief as any other telco and that is a decision that the government has to take , we will abide by whatever decision they take. To that extent I would say that we have the room to make whatever payments are required . On the overall strength of the balance sheet because the debt position is getting better and there is a lot of free cash that will get generated over time , we have always maintained th at our dividends will increase , our leverage goes down and we will continue to look for opportunities to grow our business in market around the adjacencies that we are operating in. So whether it is in Cloud, it is security, these are areas that we certain ly continue to look at. Data cent ers, we will keep

 looking at it. There is nothing to report as of now but those are active , sort of , work that is going on behind the scenes to identify opportunities.

Mr. Manish Adukia – Goldman Sachs

Thank you. I will jump back in the queue .

Vaidehi Sharma – Moderator

The next question comes from Mr. Piyush Choudhary. Mr. Choudhary, you may please unmute your side, introduce yourself and ask your question now.

Mr. Piyush Choudhary – HSBC

Hi, good afternoon. Thanks for the opportunity and the remarks initially. This is P iyush from HSBC. Two questions. Gopal , you talked about value proposition of Airtel C loud and software solutions . How should we think about potential of these services in India and abroad and if you can share some colo ur on the size of the contracts, which you have signed with Sing tel, Globe, Airtel Africa . What is the kind of margin profile and capex required in these businesses as you scale it up? Second question is on home broadband : one of your peers is providing services using UBR , what is your view on this technology and would Bharti be looking to offer such service?

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

Thank you Piyush. So let me start with the Cloud. I think this is a very large market and i t is also growing rapidly. In the market that we are playing in and the services that we are offering , we estimate that this market could well be in the ballpark of 60,000

Crores.
So, as I have mentioned befor e, this is an ocean that we are playing in , it is also growing very rapidly , so, for us to pick up any market share there will be a substantial contribution to the B2B business , so I think that is the first point. The second point on software is that that is an even bigger ocean because you have got so many tel cos around the world and then of course , there are other sectors but to start with even in tel cos, there is huge opportunity and this , as you know , is a product that we built for ourselves , it has got a roadmap that is ongoing for the next several years that will keep getting better and better , for example , I mentioned that we are going to put AI at the heart of it , that is going to come in the releases in coming quarters and therefore , I do believe th at the development effort that is going in on the software

business is a development effort that is going in for Airtel India and the subsidiary that we have set up, which is Xtelify , where all our people are housed , is anyway supporting A irtel, so when you take this to market , which typically you have multi -million dollar deals over five years , this is typically software business so it is just like a S aaS business where you are licensing software . The margins are very , very good and there is barely any c apex . It is largely some managed services that you need to deploy to integrate the software. So we are very excited that we are playing in a very large market. This is now up to how we look at ou r own capabilities, which is where the gap is in terms of go to market and so on in order to strengthen our whole business and that is really where our focus is. So we are currently working on how do we ratchet up our go to market capabilities. Because remember , we have not done this kind of selling motion . We have done mostly connectivi ty and messaging type of sales, s o this is an area where we are now focused on to ratchet up our capabilities . On UBR , just to give you a little bit of colo ur on this , UBR it is really us ing the Wi-Fi band to provide connectivity . This is used in the B2B space through the I WAN, sort of , links that get provided . One of the challenges particularly in dense urban areas is there is a very high degree of interference and that happens in the Wi -Fi band so even if you have interference miti gating solutions , you end up with high churn and you end up with poor experience . Where the density of the customer base is very low on fixed broadband , UBR could definitely work, s o we have done a lot of trials with this U BR piece and we will see where to deploy it if we have to but it will certainly not be in dense server. The second point I would make is that we have already got a 5G investment that has played out in mobile and fixed wireless access is just a topping on the cake. So it does not require a ny incremental capex on the radio side and you can use that to monetize the investment. So that is an area of focus but I would continue to underscore that actually the best way to connect to home is through fiber. So our focus is to actually step up more and more fiber home passes, which I mentioned and we are actually glad that in the last three months of this first quarter of this year , our fiber homes that we are connecting through fiber has actually ratcheted up growth. So if you take the total Wi -Fi number of 93 9,000 fiber is actually pushing ahead with very , very f ast growth and FWA complements, s o that is really how we think of U BR and the delivery mediums.

Mr. Piyush Choudhary – HSBC

Very clear , Gopal. Thank you very much.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sachin Salgaonkar . Mr. Salgaonkar , you may please unmute your side, introduce yourself and ask your question now.

- 7 - Mr. Sachin Salgaonkar – Bank of America

This is Sachin Salgaonkar from Bank of America. I have two questions. First question is on the enterprise business or Air tel business .
Gopal , just wanted to unde rstand the key drivers out here, which would drive the underlying growth for the business and what kind of
a steady state growth and margin sho uld we expect in the medium term. I am not talking about at a time when the business is , let us
say, scaling up but just wanted to understand the opportunity out here . And second question is a follow -up question on the capex ,
now typically , we look at glob al telcos, capex to sales hovers any

where between 13 to 16% depending upon whether it is an emerging
market or a developed market . For Airtel , we are seeing and of course , this quarter could be a bit of anomaly but close to around 11%
but on an annual basi s, the numbers are coming down from 30 % to 20%, as we go ahead where most of the radio capex is done an d
we do not need any technology -led investments i.e., move towards 6G or any other technology . What is the steady state capex to
sales number we need to keep in mind and this is more specifically for a wireless versus , let us say , the non -wireless part ?
Thanks.

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

Well, on Airtel Business , if you look at the drivers of growth , we think of the business as having five , sort of , broad segments : one is
connectivit y, which has historically been our bread and butt er. Margins here are very good , in fact , better than what we report as the
overall margin for the business because this is what we manufacture ourselves. The underlying market growth here has now slowed
down , to maybe 4-5% and while we are getting faster growth in the market , that is the reality that we are confronted with. The second
segment that we look at is IoT . Here, we have a market share of almost 60% and we are clearly winning the segment , this is a very
fast growing segment. We have seen massive fit out of meters into smart meters and e lectricity in homes and as the DISCOM s or the
distribution companies have , sort of , upgraded their infrastructure . There are opportunities around auto , there are oppo rtunities around
fleet tracking, so this is a business that will only grow and if you look at the total IoT customer base that we would typically have now ,
it would be in the ba llpark of about 50 million and growing rapidly and again , here, the margins are very good because again , this is
our core business. The third area is really the wholesale business which is what I would call largely messaging : both domestic,
international , incoming voice . Here, the margins are under pr essure and the margins are low, i t is a trading business and we have
exited the very l ow margin business in this area, but the rest of the business has a better margin profile but it is really riding on our
existing networks and the headwinds that you face here are the shift away from SMS to OTT platforms or in app notifications or even
just rate pressures. The fourth area is security , this is largely through partnerships , requires very little capex. Just to le t you know , we
invested about 100 Crores a few years ago on the SOC , we have not put in major investment since then , business is growing nicely,
but the margins are low because the capex is not required here , it is more a partnership business where we , sort, of wrap around
products and then offer our SOC solution on top. Then you come to Cloud, in the Cloud where we are actually if we were doing what
many tel cos do , which is just reselling public clouds , then your margins would be very low . We did not want to be in that business

because that is a commoditized business and a very crowded space , so we have got our own Cloud. Here , the margins are very good but it requires capex and as I said this is modular capex , so, that is really the way that this business is. Connectivity growing softly . As an industry , IoT is exploding , Cloud really growing in a big way and massive market security growing rapidly and messaging and wholesale under pressure. Now I come to capex. The question on capex that I would ask is if y ou look at the capex that we have put in over the last four , five years , we had a couple of high years in the 30,000 odd Crores region , but the reason that we were doing that is we were just investing rapidly, but at that point , our revenues were low becau se our ARPUs were even low ,so, the percentages were high and it has come down now as a p

ercentage but the capex while it has peeled off , has not peeled off as much as the percentages have dropped, which really comes to the question of , it's capex to revenue ultimately and therefore , the revenue is as important as the capex and where will the revenue come from ? The revenue will come from incremental ARPU , the revenue will come from more volume growth of customers and finally , it will come fr om tariff repair , so, all of those are also factors. We will not expect major cycles of new radio capex that will happen that is going to trend down. It is only capex that is going in to some of the new growth areas, which I have already talked about.

Mr. Sachin Salgaonkar – Bank of America

Thank you , very clear. Just a small followup on the enterprise business. Clearly five different businesses , so, every business has a different set of competition . On a broad -based basis , are we seeing competitive intensity stable / increasing / decreasing across the board?

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

I think it is difficult to comment in those terms. I think in connectivity , you have the big players . You also have some of the newer players coming in, but that market is maybe four -five players. In messaging, everything rides on the telco network, but you have got a lot of aggregators sitting there and then on Cloud, there are the public cloud players as well as a few other Indian domestic players.
IoT is really just the telco and security is a crowded space, but security needs a different kind of capability set and requires you to have credibility and trust with customers , so I guess it is a mixed bag.

Mr. Sachin Salgaonkar – Bank of America

Thank you , all the best .

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain , you may please unmute your side , introduce yourself and ask your question now.

Mr. Sanjesh Jain – ICICI Securities

Hi Gopal , thanks . I got few : first on the site addition itself , this quarter site addition probably is five years low , we had a great run last few years thanks to the rural expansion distribution led gain, which was giving us that market share win . Do you think to that extent , the win we were doing because of distribution led benefit will taper off with the expansion now slowing down ?

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

I cannot comment on a target or forecast of how this will actually play out but we do believe there is still a lot of opportunity , Sanjesh , because we do believe that there are several sites that we have rolled out. We rolled out about 45,000 sites in the last few years. There are several sites where our utilization is low. So while at an aggregate we have met our action standards , there are several sites, several sectors, and several areas where our utilization is low and if you put that together , that is like, another big year of roll out. So we really need to sweat that and there are actions that are currently underway of not just sweating it but also redeploy ing in some places where the sites may not be making as much sense and we may have made a few mistake s on the ground, so, I think , that is really the focus. Second is that I do believe that one of the opportunities that we have within our business is to co ntinue to see gains in ARPU and the drivers of ARPU continue to remain intact. Like I mentione d to you , the penetration of international roaming is still abysmally low. The penetration of postpaid is still very

low so while we are adding close to 60% of net ad ds in postpaid , fact is that the base is only 7 -7.5% , we have got 90 million credit approv ed users who could be on postpaid and then feature phones , you still have 70 -75 million feature phones on our network that are ready to upgrade to smartphone. So the headroom for ARPU continues to be there and it is a function of how well we are able to pe rsuade and execute users to actually move into some of these areas that I talked about.

Mr. Sanjesh Jain – ICICI Securities

No, fair enough , we can see the ARPU growth. I was just looking at this distribution.

Gopal Vittal – Vice Chairman & M anaging Director - Bharti Airtel Limited

And both those add up to market share so that is why I talked about ARPU also , Sanjesh.

Mr. Sanjesh Jain – ICICI Securities

Got it. Second question on the FWA , again if I look at the market share for FWA , we are at 18% . How do you see this market share changing in our favour in next few years and what are we doing to address it out , if we look at FTTH including FWA as one segment when you look at market share ?

Gopal Vittal – Vice Chairman & Managing Director - Bharti A irtel Limited

Yes, absolutely , we look at FTTH and fiber as one segment. We call it Wi -Fi or we go to market as Wi -Fi. We do not care whether the customer is on fiber or FWA as long as we get Wi -Fi. We do care at the back that if we have got fiber in that particular place , we want the customer to be on fiber because that is better quality connectivity and at the front therefore , we keep it very simple. You walk into the store and say, I want Wi -Fi. Say , where do you want it , do a check. If there is fiber, you will get fiber first. If th ere is fixed wireless

access, you will get fixed wireless access. If there is neither , you get nothing . But the fact is that when the frontline person is talking
to the customer , they are having one conversation on Wi -Fi, they are not having conversation o n technology. So therefore , we are not
fussed about not winning on FWA , we are fussed about winning on Wi -Fi. I think , that is our singular metric that we want to chase.
Whichever way it comes , we want to win the Wi -Fi game. I would say that the momentum o n Wi-Fi has been strong with 93 9,000 as
I mentioned and we are continuing to grow the momentum. So , my sense is that even July , which we have finished has been better
than June , so, we should see continued momentum. The second is that we want to see a drop in churn and we are not happy with
some of the issues that we are facing on experience relating to our transport hygiene and infrastructure , so a lot of work going on
there and to fix that so that our churn goes down. It is still very good , it is still , I would say , industry beating but we still need to do a
better job and thirdly , we have various ways to measure our market sha re and our relative performance, which is not just based on
the reported numbers to TRAI but also based on what we se e light up o n digital platforms, which are run by very large OTT companies
and suffice it to say , we are happy with the progress that we made in terms of market share as well.

 Mr. Sanjesh Jain – ICICI Securities

Got it. One related question. This quarter , the capex intensity in the home was around 85% . Can you help us understand what really
the capex means in the home segment , it is the modem which we put or the CPE which we put in the customer site is that the one
constitute that?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Lim

ited

I’ll let Soumen answer this question.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Sanjesh the FWA CPEs and also the wireline and the FTTH as Gopal mentioned , we are also bolstering with a lot of FTTH rollout
happening and we have actually increased our net ad ds on FTTH in this quarter , so this is primarily towards CPEs both wired as we ll
as wireless, FWAs and the fiber rollout.

Mr. Sanjesh Jain – ICICI Securities

But I thought fiber , Soumen , was in the wireless business right, the transport network .

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

There are two parts of fiber. There is a common fiber backbone and there is dedicated homes fiber , so, that is the difference .

Mr. Sanjesh Jain – ICICI Securities

Clear, Gopal o ne last question probably , philosophically on the capital allocation , India at 1.3 net debt to EBITDA , Africa less than
one times , I think , balance sheet looks pretty strong and solid . How should we look at capital allocation : one into the M&A, number
two, distribution to the shareholder, and number three , anything else you are looking beyond this ?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Sanjesh , I have already mentioned that we will certainly look to step up dividend ove r the years. You have already seen that playing
out right now . We will continue to look at that. We are certainly going to see opportunities in market growth in adjacencies. So in some
of the B2B areas that I have already talked about, in data centres, cer tainly , those are areas that we will look at and then over and
above that , I would say it is too premature because at this point in time , our focus is to make sure that we identify opportunities around
adjacencies so that we can really get some acceleratio n and the market there is very large and it is a real ocean as you know. So ,
this is an area that we need to step up our game on and we have had multiple , sort of , options but none of them have , sort of , fructified
for various reasons but we are clear that we could see opportunities in market acquisitions around adjacencies.

Mr. Sanjesh Jain – ICICI Securities

That is pretty clear. Thanks Gopal for answering all those questions and best of luck for the coming quarters.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman , you may please introduce yourself, unmute your side,
and ask y our question now.

 Mr. Vivekanand Subbaraman – Ambit

My first question is an extension on what Sanjesh asked. I am Vivekanand Subbaraman from Ambit Capital. The capital allocation
question , extending it to your portfolio , Gopal , if you can help us understand how investors should think about value unlocking in your
portfolio. You have three listed subsidiaries : Airtel Africa, Hexacom, and Indus and there are some entities which will see IPOs in the
next few years , like payments and money and you also have private investors in Nxtra and now you are doing so much in Xtel ify, so
from a portfolio perspective , how should one think about the Airtel in say 2028 or 2030 from listed entities, value unlocking perspective ,
that is question one . The second one is on tariffs. You have spoken about tariff repair at length in the past and in this discussion also .
My question is how much more repair is needed an

d secondly , you have spoken in the past about tariff dispersion and India having
very low tariff dispersion and Airtel doing something about it , so, can you please elaborate on t hese two aspects of tariff?

Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I will take the second one first and I will comment briefly on the Xtelify piece and so on and then maybe I will invite Harj eet to just take the other part. On tariff , our view is that , like I have mentioned before , whether you look at average revenue per user or you look at rate per GB , India is at the bottom on both the axis when compared to other markets all around the world including market s that have a lower per capita income. So the opportunity is clearly there. The second is that , as I have again mentioned in the past , the architecture pricing in India is quite skewed , where at the entry level itself or just above the entry level , you get so much of data allowance , you get so much of calling and messaging that you really do not have any reason to upgrade. If there was a more sensible architec ture, like you have got , for example , in Indonesia , then we would already be sitting at an APRU tha t is substantially higher than where India is today without any pain to customers at the low end or without an y pain to customers who cannot afford to pay more. So it is just that unfortunate situation where people who can afford to pay, the rich , are payi ng less and we do not need to charge the poor anymore , so, I think that is real issue on the tariff side. You are already aware of the three listed entities : Africa, Hexacom, and Indus.
Yes, there are obligations to list the bank at some stage , Nxtra is a n independent company. Xtelify has been set up as a separate subsidiary , not with an intention to unlock value but really , with an intention to provide focus and provide credibility in the marketplace because the anchor customer for Xtelify is Airtel India and now increasingly , all of those tools and assets are being transferred to Airtel Africa. So it really becomes two large companies operating across geographies and if we can take the same cloud now , without spending a ton of money on development but rea lly putting modular capex, if we can take the same software , without spending our money on development but really we are making margin on top of it in a business that is sticky, in a business that has licens ing revenues, then I think this is a very powerfu l proposition , which comes at very marginal cost. So that is our thought process on Xtelify .
Who knows in the future , where it will go but as of now because it is so locked in into Airtel it will remain , really , within the Airtel fold.
Harjeet, do you want to comment on anything on the ir value unlock .

Mr. Harjeet Kohli – Joint Managing Director – Bharti Enterprises

Thanks , Gopal. I think you have covered the thematic pretty well , so maybe , Vivekanand , I can give you the perspective around, you mentioned , what is three, four years out view on some of the subsidiaries that the company has. There are multiple pockets of some or the other nature of intervention but I will just focus on three pockets. Pocke t numbe r one is infrastructure domain, p ocket number two is , really , financial services whether it is Airtel Money as you mentioned, whether it is Payments Bank as Gopal was mentioning and pocket number three is our standalone but minority stakes , whether it is Ax iata in Bangladesh or Axiata's D ialog operations in Sri Lanka. So the infraspace data cent ers you commented right , there i s a minority shareholder , we are not mandated to necessarily list but that is the natural path to take forward. Our belief is that, while the business has probably more than doubled in the last three years , it is really still early , it can scale up faster , data cent er. Globally , you know better than us ,

commands over 20 times i n the EBITDA multiples. It has significant value, capability and expertise is well in place. So we can continue to grow to 3 x growth on the topline and in the EBITDA in the next two -three years and have possibly a listing of the data cent er entity over the coming years. No hurry, no mandate, no anxiety, very strong value, growing well, properties in place, a possible monetization. Towers , it is

already
listed. The question to ask is , should it remain listed? There is no anxiety. Over time , it can be a trust or an equity or a combination ,
that is an intervention that should be done some time when markets have stabilized, maybe few more years down the line. There is
no necessity to either delist or continue to list but it is independent. We have flexibility to own more or own less depending upon how
you want to manage the asset profile. Third is our fiber. Again, some other players have done InvIT structure. It is possible. Multiples
of 100,000 route kilometers are available. We do not need to de -consolidate any debt. We do not need to do any deleveraging but
this could be a disciplined way of running a large core infra vehicle. Is it necessary, again , no. Is it possible, yes. So that is another
three, four, five years out journey. You may think that some of these things will come by. In financial services, Airtel Mone y has four
private equity players , including sovereign 's QIA and Royal Family of Abu Dhabi; they own 20 -22% of Airtel Money in Africa . That is
also a business which generates multiples of te ens of EV/EBITDA. It is a half a billion dollar EBITDA business in Airtel Africa. We are
keen to get it listed. It is a very strong , mature platform but yet, growing at over 30% per annum. So that is , Airtel Money's IPO is
probably more, more visible in the future. Whether it is three quarters or six or nine , I do not know , but it should happen. Airtel Payments
Bank is under licensing guidelines from RBI and at least next two, three years we need to make sure it is listed, the right thing to do
and thereby there will be illumination of that which you will certainly see. Then comes our 28% stake in Bangladesh, 11% stake in
Airtel Lanka which got merged into Dialog. I think , suitable interventions will be done over time. We will , of course , need to monetize
and create liquidity out of this. No hurry. It is not multiples of billions of dollars but stil l very significant. T hese interventions , you will
see, will come by , generate more episodic liquidity, also illuminate value, and thirdly , create path to exit to whosoever they need to
but our intent continues to be owning all of these businesses but for the stakes in Axiata in South Asia.

 Mr. Vivekanand Subbaraman – Ambit

Many thanks , Gopal and Harj eet for the elaborate answers. Lot of food for thought. Thank you very much and all the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Suresh . Mr. Suresh , you may please unmute your side, introduce yourself and ask your
question now .

Mr. Aditya Suresh – Macquarie

Hi, good afternoon , Aditya Suresh from Macquarie. Gopal , I had a few questions for you on the partnership side , particularly on
Perplexity, which I think is really interesting partnership. Could you , maybe , comment about how the economics would work for this
partnership , that is one ? The second is on your Bajaj Finance partnership , any kind of goal post , milestones which you can , kind of
speak about and point to ?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel L imited

Well, I think , on the first question , we are a very large platform in the country . Access to , perhaps , the best quality customers as reflected in our APRU and therefore , any company that is looking to get distribution , we are the first port of call. Suffice it to say that I cannot disclose the economics but it is really at a very, very marginal cost becaus e this is really providing the distribution platform to Perplexity and we are very delighted with the partnership. The value being delivered to customers is very high but the cost i s marginal for us. On the overall finance side, yes , we have partnerships w ith Bajaj. We also have partnerships with other NBFCs. It is currently scaling up nicely , so, we have lit up the EMI card across multiple channels which include our digital interfaces, as also our stores, and increasingly , we will spread into other channel s as well. For us , the real focus is to make sure that we lend to the right person so that even the collection cost goes down and the delinquencies are low , which then proves the power of the platform and I think , that is really what we are trying to do bu t it is scaling nicely. We are currently seeing in the month of July , substantial growth of almost 15% over June and that is continuing to sort of grow traction across.

Mr. Aditya Suresh – Macquarie

And then , for your B2B segment , there clearly seem to be far more emphasis on what is happening in that business compared to your previous earnings calls . Is that a fair call out to make , is there , like a , strategic pivot or shift more towards B2B versus your B2C business?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Well, I would not say there is greater focus towards the B2B business, but I would say there is greater action going on in the B2B business to retool the portfolio. The mobile portfolio or the B2C portfolio is fairly solid because you have got mobile, you have got home broadband, you have got convergence, but in B2B , we are operating in very large unad dressed spaces and if we , as a telco , remain in just connectivity and CPaa S and maybe some sort of IoT , then we are missing the very large ocean that is growing ve ry rapidly around the areas of Cloud and security and by the way they have very strong linkage with your existing business. They also leverage very strong relationships that we already have with all of these enterprises. So this is something that is like , I am putting disproportionate amount of my time in that side of the portfolio because there is a lot of retooling that is happening as we speak and so there are multiple , not just the product work but also the go to market work, where this portfolio needs to be re -tooled , capabilities need to be re -tooled and that is really what you are seeing and this is the reason we are talking a lot more about it because the opportunity for growth is very high there .

Mr. Aditya Suresh – Macquarie

Are there any milest ones which you can maybe point to or articulate , the share of EBITDA for this business in the overall India portfolio is still modest , it is about 10% thereabouts , but if were to take a three year - 5 year view ?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

One thing that I would say is that the contribution , actually , is a little higher than that because we do not disclose our postpaid B2B in that segment. We disclose it in B2C. Most telcos around the world put that in B2B but be that as it may, I agree with you that it is still mode

st. The opportunity is vast. I am not going to put a revenue number, but I think in the immediate future , I would love to see a roster of credible customers on our platform on Cloud. I wo uld love to see that same roster coming through on some of the software beyond the two that I spoke about , which is Singtel and Globe. We are having multiple conversations with at least 30 to 40 telcos and there is a lot of interest. So , if we can get some of that going , that would be a great milestone and then we can sit down and say , where do we take this business over the next five years?

Mr. Aditya Suresh – Macquarie

Thank you.

Vaidehi Sharma – Moderator

Thank you , everyone. I would like to remind all the participants to stay connected on the call for the next session on Bharti Hexacom . I would request Gop al to give his closing remarks for Bharti Airtel .

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I just want to thank you very much for a lively Q&A. I look forward to seeing you again next quarter.

Vaidehi Sharma – Moderator

Thank you , Gopal. With this , now, I would like to hand over to Mr. Soumen Ray for his opening remarks on Bharti Hexacom ’s performance .

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Thank you , Vaidehi. Good afternoon , everyone. Welcome to the Bharti Hexacom Q 1 FY202 6 earnings call. I have with me , Akhil and Naval , joining me on the call. We delivered another steady quarter , with revenue of about 2 ,263 Crores. EBITDA aL, which is EBITDA after leases , for the quarter , came in at about 1 ,079 Crores with a margin of 47.7% , improving by about 110 bps sequentially. We added 17,000 mobile customers and about 54,000 homes customers. Smartphone customer addition came in at about 283,000. ARPU for the quarter was 24 6, benefiting from the continued mix improvement and one day extra in the quarter. Home business is seeing strong momentum , with net ad ds holding on which we expect to continue. Operating free cash generation , which is EBITDA aL minus capex , was a strong 854 Crores. Balance sheet continues to remain robust , with a net debt excluding leases at about 2 ,806 Crores and our net debt to EBITDA aL is about 0.7 times. Whilst ARPU customers and EBITDA aL margins have improved, there is a reduction in reported revenue due to drop in roaming revenue.

Finally , we would want to call out two key areas where we continue to focus in our effort to deliver convenience and a brilliant experience to our quality customers. First , the extensive use of digital tools , which enable us to deliver safe and reliable connectivi ty with our industry first anti -spam solution. This solution has already identified two and a half billion spam calls since its launch. The second area that I would like to mention is the leverage of partnership, which was built by Airtel over the years , delivering extensive stake of digital and linear content and digital offerings that in the most recent times is the partnership that Airtel stitched with P erplexity , which offers free AI capabilities for a year to all our customers at no extra cost. So we continue to leverage the partnerships that Airtel the parent company has developed. With that , I will hand over to Vaidehi to open the floor for questions.

Vaidehi Sharma – Moderator

Thank you , Soumen. With this, the first question comes from Sanjesh Jain. Mr. Jain , you may please unmute your side,

introduce
yourself and ask your question now.
Mr. Sanjesh Jain – ICICI Securities
Good afternoon , Soumen. Thanks for that opportunity. My first question on this drop in the roaming charges , is it more seasonality
because second half sees more tourists in Rajasthan and first half has a lower tourist or is there beyond anything to look into this
roaming charges drop?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

See, roaming charges , as you mentioned , they are seasonal. There were couple of unfortunate incidents which happened in Q1 and
I was discussing with the CFO of a large travel aggregator and he also confided that travel had indeed come down and picked u p
later. As is evident from the numbers Sanjesh, this is like a pass through , our EBITDA has not got impacted . So I think there would be
a bit of fluctuation , which is why when we did the IPO, we also gave out the intrinsic ARPU , so when I said that the ARPU is 246 that
is the intrinsic ARPU excluding the roaming charges because in India , frankly , the customer does not pay for roaming, so I would say
yes, this is seasonal and it will keep going up or down. This time , I think it is a little large than what we would have expected but clearly
offset through access charges which means , yes, roaming revenue was impacted.

Mr. Sanjesh Jain – ICICI Securities

You mean there was a tension in the border and hence it was more elevated .

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Whatever this is a BHL earnings call , we will not go there but yes there were concerns where people did not travel as much a s they
normally would.

Mr. Sanjesh Jain – ICICI Securities

That is very clear. Second , on the cost line item , again , it appears to be very volatile. I can understand the access charges but
employee cost drop has been quite steep and there is a significant sharp jump equally in SG &A cost . What explains the se two line
items?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

So, the employee cost was some year -end provisions which was made in the last quarter and has got reversed. We participate in one
of the two circles that we have under the company, under the universal service obligation fund, the USO fund. When you set up a
USOF tower under that fund, you get certain benefits or certain subsidies for constructing the tower and there are various stage g ates
which you need to cross before that subsidy gets cleared. Some of those were a little stuck which was provided for , but fo rtunately

with the help of the department , we could clarify their points and a lot of reversal crept in into that number. Without getting into gory details , I know you see a very large , I think , 7-8% growth in opex. The underlying growth is much lower , I would say , in the range of about 2.5 - 3%.

Mr. Sanjesh Jain – ICICI Securities

That is fair. One last question before I get back into the queue. We have 2 ,800 Crores of debt, 800 Crores of quarterly cas h flow we have been generating, w e do not have debt beyond four quarters . How should we look at the payout ratio considering that we do not have much of an opportunity in the adjacencies like Airtel should we go to a full payout anytime soon?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Well, it would be improper for me to overtake the authority of the Board. As you know , this year , the dividend has been increased and there would be a directional increase in dividend. I must also tell you that the debt that we have because our external debt is very small it is not even worth mentioning. It is primarily the deferred payment liab

ilitie s which is to the department and the coupons that it carry. It is not very exciting to repay that , but yes , Bharti Hexacom at the position of cash that it has and it will continue to do. We may evaluate even some amount of prepaying of the debts , but as fa r as the distribution or the allocation of capital is concerned , I must also call out to you whilst this company does not have a lot of investment into digital platforms and all but as time progres ses, we might like to increase our number of sites. We have leader ship positions in both circles, t here will be 5G deployment and so on and so forth. So , it is not completely out of the woods. There could be investments which would go in but , yes, directionally I agree with you, the company will have surplus funds and I think , the Board would take into cognizance future liability and thereby decide the payout at which direction it should increase.

 Mr. Sanjesh Jain – ICICI Securities

That is fair , Soumen. Thanks for answering all those questions and best of luck for the coming quarters.

Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Suresh. Mr. Suresh , you may please unmute your side, introduce yourself and ask your question now.

Mr. Aditya Suresh – Macquarie

Hi, this is Aditya Suresh from Macquarie. I was surprised by the lack of questions on the Bharti call on ARPU , so, maybe I will ask here. Assuming there is no tariff increase from an industry perspective , I appreciate there are levers at play , whether be from a mix perspective, more postpaid , more data, more international, etc. How much more do you think we can kind of expand our

APRU in the
absence of any headline industry wide tariff increase?

Soumen R ay – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

First of all , I would answer this in two parts. The first part is unless a major tariff increase has happened , we have not seen sim
cons olidation or drop in customers, s o there is no major blockage of a marginal increase in tariff as we speak , we have not seen it.
The only time that there is some drop in our customer base is when headline tariff increase happens , that tells us that affordability is
there. The other thing that I would tell you Aditya is the way we look at APRU is a derived number. The way the consumer look s at it
is the value cost equation. It is new people adopting higher price points. We are not trying to get a post paid customer who gives me
Rs.350 to go to 400. The way of doing this is to pr ovide propositions to customers, which will appeal to them at a higher cost. I will
give you a simple example. You have 1.5 GB pack and you are watching something and I tell you that you are at 90% of your daily
data limit , would you like to buy a top up of 1 GB , which is for today . Now, as demographic income changes and affordability increases,
the probability of you taking that 1GB , maybe you will not need the whole 1 GB , maybe you will need only half a GB but the probability
of you taking goes up. At that moment of time you are not evaluating that I am paying Rs.19 over our Rs.300 ARPU. My today's data
is over , I want to watch this movie , so, I will spend 19 bucks. So , if you lo ok at it from this perspective , what will happen is the more
contextual I can make it, the more timing is appropriate for the next best action for that customer , the ARPU will keep growing up
because headline tariff if it is not changing, what is changing is ancillary revenue attached to our mobile co

nnection , which is contextual
to our customer. So according to me , I cannot define that a person will not buy more than 1 GB thrice a month , in some month s he
might buy it six times. He may not upgrade to the 2GB pack because he says I do not use 2GB every day , I will remain at 1.5 GB . I
do not want to spend that 50 bucks, so technically , I would say it will play out basis how disposable income , demo graphic profile and
our ability, which we have demonstrated over the last so many quarters, our ability to monetize them at the right contextual opportunity.

Mr. Aditya Suresh – Macquarie

Thank you for sharing that perspective , Soumen .

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman . Mr. Subbaraman , you may please unmute your side, introduce yourself,
and ask y our question now.

Mr. Vivekanand Subbaraman – Ambit

Thank you for the opportunity. I am Vivekanand Subbaraman from Ambit Capital. I have two questions : so, the first one is on the
FTTH versus FWA mix. Your home and office services is growing at a very fast clip. You mentioned that you are increasing your
catchment area for FTTH services but in the marke ts you operate in , which are more rural than Airtel , does it make more sense for
you to remain for a long time on FWA versus ,say, Bharti Airtel, which operates in urban areas where FTTH might be more sensible
and how much can this FWA market scale up , is it more important for you? That is question one. The second question is , what is so

different about your customer profile , that the data traffic or the mobile data usage is so much higher than the other industry players.
If you can help us understand some nuances of consumer behavior , which perhaps , seem to be playing out differently for you than
rest of the industry that will be great ? Thank you.

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom
Limited

I will take the second one first and that is obvious one , Vivekanand. The penetration of Wi -Fi eats into mobile data consumption , so,
the rest of the country has more Wi -Fi penetration or people go to work in places where they have access to Wi -Fi where they do not
need to use mobile data. That is the single biggest reason why the data consumption per customer per month , which is about 29 GB ,
is higher than the blended average of any of the players, whether it is Airtel or others in the market, who operate nationally , so that is
the second answer. The first answer , you are directionally right , which is to say , that FWA will have a possibly bigger share when the
complete rollout , let us say , five years from now. FWA will have a bigger share of total connected homes in these two markets as
compared to rest of the country b ecause these are less urbanized, but at the same time we are also seeing because these are less
urbanized a lot of developm ent is happening in these markets. Northeast , there are a couple of pockets which are a little disturbed
but otherwise there is a lot of development which is happening, new buildings coming up, new residential settlements, shared services
offices, opportun ities to work within the state, a lot of this is coming up. The terrain is difficult to pull fiber in both the two circles, s o to
that extent , it is challenged but directionally , I would like to believe that we will continue our fiberization. If you are lo oking at the
ultimate mix , as I said five years from now, yes , most likely , wireless broadband through FWA will have

a higher share of total
broadband in these two circles than rest of the country but that share will come down compared to today because we will be rolling
out fiber in these two states as much as possible because there are a lot of T &P towns in both these two , FLPs are also there , so,
they may not feature in top 30. The other very interesting thing about NESA is that it is a very culturally e volved place and there is a
lot of adoption of newer things, newer technologies and if we can pull a long haul national long -distance fiber to , let us say , Shillong
which we have , I am sure we will be able to make sense because the extraction of that fiber will be very, very good.

Mr. Vivekanand Subbaraman – Ambit

Great , Soumen thanks for the detailed explanation. I have one small additional question , bit on numbers. So , last three years , the lease cos ts
or your infrastructure costs, which is basically the difference between the EBITDA aL and EBITDA , that number has grown at 15% CAGR and
almost 600 Crores right , this is most likely the tower infrastructure cost plus loading charges, now this number , I wanted to understand from a
radio point of view , you said that you will keep rolling out more and perhaps , your aspirations and requirements of this market also entail greater
rural roll out, how should one think about th ese costs and overall , your incremental cash EBITDA aL margin because in FY2025 , it was not that

great , but perhaps here on we can expect something better ? Thank you.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

I think , Vivekanand , you have approached it absolutely correctly. I think we were in a rollout phase. The only , now, additional cost which will
come on a yearly basis between EBITDA and EBITDA aL because the e nergy cost is subsumed in EBITDA. There are with various tower
comp anies a certain yearly increase, which is agreed, which will seep in and there would be more 5G radios which are put up , compared to
what it is today and thereby there would be some loading payment that will go up, but you are absolutely right , the gap whatever additional had
to happen largely has happened, n ow, it will be more gradual and there will not be any major gap wh ich will come going forward.

Mr. Vivekanand Subbaraman – Ambit

Thank you so much for the elaborate answers to my questions.

Vaidehi Sharma – Moderator

The next question comes from Mr. Piyush Choudhary. Mr. Choudhary, you may please unmute your side, introduce yourself and ask
your question now.

Mr. Piyush Choudhary – HSBC

Hi, Soumen , thanks for the opportunity. Two questions : firstly , you talked about possible si te expansion and 5G expansion , so can
you share the outlook for capex intensity for Bharti Hexacom for fiscal 2026 and beyond? Secondly , Airtel Black , like, how is the
adoption of Airtel Black in these circles? How have subs grown and what are the tangible benefits you ar e seeing of the same?

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom
Limited

Thanks , Piyush. In line with what we have said earlier , capex will marginally unwind because our main rural acceleration programme
site rollout had happened earlier. So , capex will directionally unwind but you have to look at a year in full because there are a lot of
issues , primarily on account of monsoons an d otherwise , which hinders growth. So at a yearly level ,
it will marginally unwind. Coming
to Black attach , I think , this current proposition with IPTV is seeing a lot of traction in these circles as well. We are looking at a very
convenient solution where , first of all , the dish , as it was called , is no more required. There is no disruption because of

weather
because one of the problems which a DTH service had was disruption due to cloudiness or rains ; all of that is not there. The earlier
black also meant you had two kinds of sources through which content came. The OTTs came through the broadband , whereas the
linear content came through satellite , now that has all been converged so that helps the c ost. We have h ad very, very promising result ,
nothing diffe rent from what we have seen in other parts of the country. Rajasthan , it took a little time to take off but I think , now, it has
taken off and if I look at the last two weeks, three weeks numbers , I think , it is catching up with the national level, so it w ill trend in a
similar way but as I mentioned again , the proposition is very good for two, three reasons and which is why the adoption has increased
significantly.

Mr. Piyush Choudhary – HSBC

Got it and a ny kind of numbers which you can share in terms of what is the penetration ?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Piyush , you would have to excuse me on that one because see , it is not about giving numbers , then numbers can change a little bit
because of various factors then into explanation , so we generally try to explain to people like you and others on the call about the
generic direction in which the organization is going from a strategy and clarificatio n on numbers if something is a little weary , like we
discussed the opex part.

Mr. Piyush Choudhary – HSBC

Got it. Very clear. Thanks a lot.

Vaidehi Sharma – Moderator

The next question comes from Kunal Vohra. Mr. Vohra , you may please unmute your side, introduce yourself and ask your question.

Mr. Kunal Vohra – BNP Paribas

Thanks for the opportunity. So , couple of questions. I wanted to check on digital services. You are offering Perplexity, Google 100 GB
storage , these are all valuable services , especially for premium customers . What is the value which you look to derive , is it a customer
retention tool , is it to gain customer insights or is there a plan to monetize by segmenting and offering th is, only to higher ARPU
customers eventually , can these partnerships be leveraged to drive ARPU? Second question is on , like, towers but , like, if you can
answer this one like I will take it later.

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Kunal , see, we have always said that we want to deal with quality customers and give them the best possible experience that we can. That is how our so -called mantra has been as to how we drive value in Hexacom. Now , why did we bring Perplexity? This is a tool which w as lauded globally and we felt if we bring it to our customers , our customers will feel that we are not just providing them a mobility service. We are also trying to make their life better by giving them an opportunity to experience some of these thin gs, whether it is Google Cloud storage or having Perplexity. I am sure , until we had launched it , a large part of the customers in Rajasthan and NESAl would not have heard of Perplexity. Similarly

, I mean , people of course know about Cloud but I am not sure eve n if you have android phone , you do not know how do you buy and how do you move your phones , other than the youth. So , we felt that we should be at the leading edge of offering our customers the opportunity to experience some of these new age things. Now , what is in it for me? Well , I do not make any money for sure. It is a third party IP , so even if I were to charge I would just get a commission but this is not about trying to segment and give somebody anything free. It is about the fact that Bharti Hexaco m, as a company , through the Airtel mobility brand , is trying to bring new experiences to its customer for them to try. We have not said we will give Perplexity free for the whole life , it is for a year and people get a chance to experience it and then the y decide whether they want it or not and they have got a good time of a year. Similarly , we have some extended tie -ups with some of the OTT players , which is only exclusive to us. We try to bring them on board and give that experience to people. So the who le idea is that other than pure mobility or home services , can we bring something extra to the customers which they see value, introduce them, and then they can evaluate whether they want to commercially continue it or not.

Mr. Kunal Vohra – BNP Paribas

Understood. Thank you. And second one is on tower additions , there seems to be a disconne ct between Airtel's commentary and that of Indus Towers , asking to be largely done with the expansion while Indus is still expecting strong tower additions . How do I reconcile this?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

So see , the reconciliation is simple because Indus works with four, five organizations . We are one of them and possibly between us and another one , we are the smallest. We have heard that Airtel still continues to do some rollouts. We have heard from media reports that there are some other players in the market who are also looking at rolling out. We will also do some , it would not be zero.

I know this quarter , some of you would have seen a number for a drop , that is nothing but relocation, timing mismatch, so please ignore that.
We are not reducing our number of t owers but Indus has multiple sources, we are on ly one of them. As far as Airtel India is concerned ,
I think it is improper to discuss this because the shareholders of Airtel India may be or may not be on the call but since you have
raised the point , I will tell you. Airtel India will look at which plac e they want to roll out based on economic reasons, customer acquisition
reasons, customer experience reasons , so, it is not a sprinkling of 10,000 towers across 22 circles , it is concentrated and prioritized,
so in that priority in Q1 , Bharti Hexacom has evaluated it independently and realized we can live with this as of now.

Mr. Kunal Vohra – BNP Paribas

Understood. Thank you. That is it from me.

Vaidehi Sharma – Moderator

Thank you , everyone . Now, I would like Soumen to give his closing remarks on Bharti Hexacom .

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Non-executive Director, Bharti Hexacom Limited

Thanks a lot for joining in. It was a good quarter of margin expansion and steady cash generation. Look forward to speaking to all of
you next quarter. Thank you.

Vaidehi Sharma – Moderator

Thank you , everyone , for joining the call today. Recording of this webinar will be available on the company website. Have a great
day ahead.

Call: Nov 2025

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November 11 , 2025

National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162

Sub: Transcrip t of the Earnings Call dated November 04 , 2025

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on November 04 , 2025 in respect of the audited financial results of the Company for the second quarter (Q2) ended September 30, 2025.
The transcript of the call is also uploaded on the Company's website i.e.https://www.bhartihexacom.in/results -quarterly -results.html .

Kindly take the same on record.

Thanking you,
Sincerely yours,

For Bharti Hexacom Limited

Amit Chaturvedi
Company Secretary & Compliance Officer

Encl.: As above
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2025 Earnings Webinar

Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2025 Earnings Webinar

Event Date/Time: November 4, 2025/ 0100hrs

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2025 Earnings Webinar

CORPORATE PARTICIPANTS

Mr. Gopal Vittal
Vice Chairman & Managing Director, Bharti Airtel Limited

Mr. Shashwat Sharma
Chief Executive Officer Designate - Bharti Airtel Limited

Mr. Soumen Ray
Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Mr. Harjeet Kohli
Joint Managing Director – Bharti Enterprises

Mr. Naval Seth
Head of Investor Relations – Bharti Airtel Limited & Bharti Hexacom Limited

Mr. Akhil Garg
Financial Controller – Bharti Airtel Limited & Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Good afternoon, ladies and gentlemen. I am Vaidehi Sharma, the moderator for this webinar. Welcome to the Bharti Airtel Limited
and Bharti Hexacom Limited Second Quarter ended September 30, 2025 Earnings Webinar. Present with us today, is the senior
leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview and discussions today may
include certain forward looking statements that must be viewed in conjunction with the risks that we face. Post the management
opening remarks, we will open up for an interactive Q&A session. Interested participants may click on raise hand option on your
Zoom application to join the Q&A queue. The participants may click this option during the opening remarks itself to ensure that they
find a place in the queue. Upon announcement of name, participant to kindly click on unmute myself in the pop-up screen and start
asking the question post introduction. With this, I would now like to hand over to Mr. Gopal Vittal for his opening remarks.

Gopal Vitt

al – Vice Chairman & Managing Director - Bharti Airtel Limited

Thank you, Vaidehi. Good afternoon and very warm welcome to all of you. With me on this call, I have Shashwat, Soumen, Harjeet,
Naval, and Akhil Garg. On today's call, we will focus on our Q2 performance along with an update on our key priorities.

Let me start with an update on the AGR issue. We have always maintained that the AGR judgment of 2019 was a body blow to the
industry. The fact that even errors of calculation were not entertained was even more disappointing. We welcome the fact that the
recent order of the Supreme Court permits the government to undertake a comprehensive assessment, reassessment, and reconciliation of the AGR dues, including interest and penalties, up to financial year 2016-2017. The order has been made in the
petition of Vodafone Idea. We are now planning to take up our matter with the government.

Let me now turn to ESG. We are making significant progress on our ESG agenda by leveraging technology and digital innovation
across our operations to drive sustainability, enhance efficiency, and deliver long-term impact. During the quarter, we solarized over
2900 sites, taking our total solar site count to over 35,000. Our AI-enabled RAN engine is optimizing energy usage by accurately
predicting traffic patterns and dynamically determining ideal time windows for cell sleep. This adaptive approach enables greater
energy savings compared to traditional fixed scheduling methods. At Nxtra, we aim to achieve 15% improvement in equipment
performance, a 25% boost in the operational productivity, and a 10% reduction in non-IT energy consumption, all with the help of AI.
One of the key areas I want to call out today is the employment we offer. We directly employ over 20,000 people, which is what we
report. In addition, we employ associates who work for us. This is another, about, 80,000. Over and above this, we offer employment indirectly of another 6,70,000 people. That means we provide 7,60,000 jobs, making us one of the largest employment
generators in India.

Let me turn to our financial performance. We delivered another quarter of consistent performance. Consolidated revenues came in
at about 52,000 Crores with an annualized run rate of over Rs.200,000 Crores. India revenues, excluding Indus, came in at Rs.34,900 Crores and the EBITDAaL margin excluding the passive infra side came in at 51.5%. The operating free cash flow, which
is the EBITDAaL less capex, was strong, at about Rs.10,750 Crores. Capex for the quarter was about Rs.7200 Crores.

Our balance sheet strength is predicated on disciplined capex and continued operational excellence. India net debt to EBITDAaL
now stands at 1.32.

Our strategy to premiumize the portfolio and drive execution rigor is delivering consistent performance. The mobile segment delivered another quarter of industry-leading revenue growth. Broadband is seeing sustained growth momentum, and our IPTV offer
is gaining strong traction, driving our convergence agenda. Our network expansion continues as planned, with about 2480 network
sites and over 10,000 km of fiber rollout during the quarter. Over the last few years, we have stepped up our fiber deployment. Our

 domestic fiber network now spans over 500,000 kilometers and is growing at a fast pace. We continue to expand fiber home passes
for our broadband segment, along with FWA rollout to over 3000 cities.

Let me share a quick update on each of our segments. In the mobile business, we added 1.4 million revenue earning

customers to
our customer base and 5.1 million Smartphone data users. Postpaid net

adds were about 1 million accounting for 68% of total net
adds. ARPU, at 256, had the benefit of one extra day in the quarter and continued mixed improvement. Our simplified international
roaming plans and significant convenience to customers are yielding strong outcomes. As a result, in the last two years, we have
seen over a 30% increase in international out-roamers on our network.

I do want to underscore that featurephone to Smartphone upgrades, prepaid to postpaid upgrades, data monetization, and international roaming remain key drivers of our ARPU growth in the absence of any tariff repair. Our 5G expansion is going as planned. We ended the quarter with 167 million 5G users. 5G shipments continue to grow, while we believe that more affordable
handset options at the entry level of the market will continue to accelerate our adoption. Our share in 5G shipments is seeing sustained improvement. 5G sites now handle over 40% of the total network traffic.

In the broadband business, we delivered another solid quarter with net adds of 951,000. We are seeing strong traction in FWA, with
the customer base crossing 2.3 million. We see growth momentum as we accelerate our FTTH home pass deployment, along with
FWA expansion to newer pin codes.

In the digital TV business, we lost 340,000 customers during the quarter. The industry saw the impact of pronounced seasonality,
which is reflected in our performance as well. I had mentioned earlier that we had made structural changes on the set-top box subsidy at the start of the year. This is already showing improved cashflows despite CPE investments for IPTV expansion. At the
same time, IPTV customer additions are tracking well, and we are amplifying our efforts to accelerate adoption.

On Airtel Business, we reported revenues of about Rs.5,275 Crores, growing 4.3% sequentially. The domestic business remains
steady. Global business is seeing signs of improvement with growth in order book as well as improved funnel. During the quarter,
we signed multiple connectivity deals with marquee global customers. On adjacencies, we have secured deals in our Cybersecurity
and IoT business. We have recently secured a multi-year contract from the Indian Railways Security Operations Center to deliver a
comprehensive suite of security services.

On digital businesses, we are scaling our digital portfolio across high-growth verticals, including Cloud, Cybersecurity, Financial
Services, IoT, and CPaaS. Airtel Finance continues to deliver solid momentum with continued growth in loan disbursement and EMI
card issuances. Digital revenues delivered a strong growth of about 24% over the last year.

On the payments bank, our monthly transacting users crossed 100 million and now stands at over 104 million. The annualized run
rate is over Rs.3,200 Crores, growing at 19% year-on-year. Deposits remain strong at about Rs.4,000 Crores, growing 35% year-
on-year.

A quick update on Africa. We delivered another quarter of solid performance with constant currency revenue growth of 7.1% sequentially. Favorable currency movement has led to a reported revenue growth of 10.7% sequentially. EBITDAaL was over Rs.5,300 Crores with a margin of 38.8%. Balance sheet remains solid with a net debt to EBITDAaL of 0.7.

Let me now briefly comment on each of our areas of focus. We continue to build a diversified and resilient portfolio. The underlying
performance across the portfolio has been strong. Africa accounts for 26% of revenues, India mobile at 54%, and India non-mobile
at 13%, while Indus is at 7%. Our investments are directed towards future-proofing Airtel by building digitally powered networks,
reshaping our portfolio to drive growth across segments, and building scalable digital services that accelerate the long-term growth
trajectory. Second area of focus is winning quality customers.

Let me start with broadband. We are seeing strong structural tailwinds in the home broadband s egment, driven by rising smart TV adoption and evolving content consumption habits. As I mentioned, we see the industry growing to about 100 million over the medium term, from currently over 50 million connected homes. We are investing at an accelerated pace to capitalize on this opportunity. The three areas of focus- deeper network coverage and market expansion. Here, we have stepped up our home pass, to reach 2.5 million homes per quarter run rate. In addition, we are complementing fiber with FWA, where we do not have fiber just yet.

Second area of focus is to deliver enhanced value to our customers and drive convergence. Our convergence agenda is gaining traction with IPTV adoption, and we see this accelerating in the coming quarters. The third area of focus is to cross-sell across our channels and sweat our assets optimally. With our channel infrastructure now fully integrated, we are leveraging data analytics and digital tools to accelerate acquisitions.

A quick word on mobile. Our focus is to upgrade 90 million credit-scored potential customers to our postpaid services. Use of data analytics and next best action from our data engine is driving data monetization and mix improvement. We continue to simplify our roaming plans and enhance value to our customers. Our rural expansion, our efforts are directed towards sweating our network deployments done over the last three years to drive competitive growth.

Let me now move to B2B. We are seeing large opportunities across connectivity, data centers, digital, and adjacencies. Two things to call out. First, we are building gold-standard high-capacity and low-latency fiber network, submarine cables, as well as OPGW infrastructure. This is a major area of focus, and it will help in accelerating our core connectivity segment within our B2B business.

 Second is the data center infrastructure, which is another area of focus. You have already heard of our large-scale investments planned on the AI data hub with Google. This goes to show our strong belief in the long-term growth opportunity for Nxtra. Airtel and Google will jointly establish the purpose-built data center in Vishakhapatnam. The partnership with Google, coupled with the ongoing expansion in Nxtra, gives us a clear visibility to get to over 1 gigawatt in the next few years. This is a four-fold increase from our operating capacity currently.

Finally, we continue to scale our digital portfolio of IoT, Cloud, security, and SD-WAN. Our Airtel Cloud is getting encouraging response from our customers. We have over 70 ongoing conversations with large customers and already signed on deals across BFSI as well as manufacturing. We believe this can be a big growth driver for the Company. There are three areas of focus here. One is to build out a suite of features that make us competitive with the best public cloud players. Second, to build out a world-class delivery and assurance model from Pune. Third is to raise the account management and product sales capability within the Company. In addition, we have embellished cloud through partnership with various players, including IBM, to address the unique needs of several industries that require migration from IBM power systems.

The third pillar of our strategy is the obsession to deliver brilliant customer experience. Delivering this remains at the heart of everything we do. Our digital experience layer is underpinned by a converged data engine. This is a full-stack software-as-a-service-based platform that powers all our capabilities. This engine is the secret behind our consistent performance. We have already extended t

his to Airtel Africa, and it is already live there, and are in talks with over 40 customers globally. In addition, we have converted this engine into a PaaS service, which is platform-as-a-service, on Airtel Cloud, to differentiate our cloud platform

and this
is also getting traction from some of our domestic customers as we have conversations on the cloud.

Our obsession to deliver the best experience remains, and we are glad that this was validated yet again by Opensignal. Airtel won
all the five of the five awards in FWA and four of the five awards in FTTH. We are now in the process of transitioning our 5G networks towards 5G advanced by introducing dual NSA plus SA mode and migrating our FWA users on the same. Today, our FWA
customers across 13 circles are already experiencing our dual-mode 5G network with SA. For the mobile network, pilots are underway for the 5G dual mode in a couple of circles, and we plan to make it commercial in the coming months as the traffic on our
5G network grows. This is a point that I had made to you a few years ago, and we are well aligned with making this happen.

The fourth pillar of our strategy is to build and leverage our digital capabilities. Our AI-powered anti-spam solution continues to
deliver significant relief to our customers. We have identified over 57 billion spam calls and 4.2 lakh fraudulent links. All of this has
been enabled by AI. In fact, the power of our solution has been endorsed by the Home Ministry. The Indian Cybercrime Coordination Center, where the Ministry of Home Affairs has now confirmed that there has been a staggering 69% decrease in the
value of financial losses on the Airtel network.

What we are now doing is putting AI at the very heart of our business, and using it to strengthen our digital platforms, which are
running at scale. We are in the process of testing these capabilities to help add competitiveness to our business. Our business
objective for this is one of three. Drive share of wallet by improving persuasion using a very, very specific customer context. Second,
lower cost of doing business by improving productivity and third, to differentiate Airtel by solving real customer problems. All of the
new initiatives we have driven, whether it is cloud, it is digital platforms, Airtel Finance, or anti-spam, meet this differentiation objective. One other comment to make is on the democratization of AI. For us, this has also been a mission. The remarkable partnership we struck with Perplexity to democratize AI to all Airtel customers is just one example here.

The fifth and last pillar of our strategy is war on waste. We continue to identify areas to drive efficiencies in our cost structure powered by extensive use of technology. For example, we have deployed AI/ML-powered RAN energy-saving tool that has enhanced our energy efficiency by optimizing the RAN operational cost. We believe there is still opportunity to strip out waste from
our operations through a combination of using digital tools, extreme de-averaging, and very tightly run operations.

To sum up, overall, we delivered yet another quarter of steady performance, reinforcing the strength of our diversified portfolio, as
well as disciplined execution. We are seeing strong growth opportunities in postpaid, in broadband, in convergence, and B2B. We
are investing across our businesses to future-proof Airtel and capitalize on the growth opportunities. All of this is done by keeping
digital at the heart of everything we do. Our solid balance sheet is a function of our disciplined capital allocation, continued de-leveraging, and sustained operational excellence. This provides us with a capacity to invest in emerging growth opportunities. With
this, let me hand back to Vaidehi.

Vaidehi Sharma – Moderator

Thank you so much, Gopal. We will now begin the Bharti Airtel Q&A interactive session for all the participants. Please note that the
Q&A session will b

e restricted to analysts and investor community only. Due to time constraints, we would request if you could limit
the questions to two per participant to enable more participation. Interested participants may click on “Raise Hand option” on your
Zoom application to join the Q&A queue. Upon announcement of name, participants to kindly click on unmute myself in the popup
screen and start asking the question post introduction. Participants are requested to limit their questions to Bharti Airtel till 02:00 pm
as the management will start the Q&A discussion on Bharti Hexacom from 02:00 pm onwards.

The first question comes from Mr. Piyush Choudhary. Mr. Choudhary you may please unmute your side, introduce yourself

and ask
your question now.

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2025 Earnings Webinar

 Piyush Choudhary - HSBC

Hi, good afternoon. This is Piyush from HSBC. Congrats on a great set of numbers. Two questions. Firstly, on your partnership with
Google in Vishakhapatnam; can you advise on the scale of investments, which will be made by Airtel over the next five years; is
your role, kind of, limited to building cable landing station and providing intra-intercity fiber or does it also include build-out of the
data center, because you alluded your capacity will expand 4x? That is the first question. Secondly, can you update us on the progress of Xtelify, Airtel Cloud and software solution, has there been any key client wins or contracts signed during the quarter?
Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Thank you, Piyush. With the partnership with Google. Firstly, I think the point to make is, on Nxtra we have been investing about
Rs.1500 Crores a year. We see a lot of opportunity here on Nxtra to build out greater, sort of, capacities in the data center space.
We will allocate more capital to buy more land in the right places and in addition, of course, to continue to invest in the partnership
with the Google facility in Vishakhapatnam. To clarify the point that you have made, we are absolutely building data centers in Vishakhapatnam for Google, so that is part of the deal. We will be providing the full terrestrial networks to Google connecting Vishakhapatnam to Delhi and Mumbai and third, we will also build the cable landing station, so it is a full composite deal, which will
have a combination of connectivity, cable landing stations, and data center build-out. The data center build-out will happen through
Nxtra, because that is the business that Nxtra does. The connectivity and cable landing station will be run through Bharti Airtel,
which is within the Airtel Business, so it is a composite deal, just to clarify. The point I would just like to make is that in the past, we
have moderated the investments we have made in Nxtra, we operate at a market share of about 10%-12%, we are not satisfied with
the level of market share for a player like us, we believe that we need to step up our market share given the fast-growing data center
market that we see in India and so we will do whatever it takes to make that happen. On Xtelify, I think the cloud conversations are
really going well, we have opened up conversations with 70 odd customers, this is a decision-making process that takes time, but I
can tell you that every single one of those conversations is met with a lot of interest. We have already signed about six deals across
manufacturing and distribution as well as BFSI and we are in the process of signing on several more. A lot of this will now depend
on actually moving workloads to Airtel Cloud and building confidence and then seeing how we can scale this, because o

nce you
have an inroad into workloads for a customer, over time, more and more workloads move, so that is something that we will do. We
are also in conversation with several public sector units to see what we can do to provide the cloud. I think one of the advantages
that the Airtel Cloud offers is sovereignty in its true sense of the word, the control plane resides in India, the operational control
resides in India and the jurisdiction that we are subjected to, which is the laws that Airtel Cloud is subject to, are based on Indian
laws. All of this actually adds to the benefit of what is really, truly sovereign.

Piyush Choudhary - HSBC

Just to clarify on the Google deal. Is there a co-investment or this entire DC buildout of 1 GW will be done through Nxtra?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think that you would have seen the press release, we are doing a part of the build-out, and there is also another partner who is doing another part of the build-out, so it is a combination of two partners, because Google is actually using two partners in India to build out this facility.

Piyush Choudhary - HSBC

Got it, Gopal. Any color on the overall investment over five years towards this?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Piyush, I think we are still trying to work this out, but I would say that we will step up from where we are today and we will do whatever this business needs to make sure that it really builds competitiveness.

Mr. Piyush Choudhary – HSBC

Great. Thank you, Gopal.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vohra. Mr. Vohra, you may please unmute your side, introduce yourself, and ask your question now.

Kunal Vohra - BNP Paribas

Yes, thanks for the opportunity. On the Supreme Court AGR judgment, how do you see the applicability for Airtel, it seems the order is applicable to Vodafone Idea, do you need to approach the Court or you can work directly with the government, and do you think the interest penalty computation errors, all of that are up for review? Sorry, that is the first question.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

No, thank you for the question. As I mentioned in my opener, we have always said that the AGR judgment, which we sought reviews on around calculation errors, was something that, having lost was a disappointment for us, so in that sense, we are pleased that this has been allowed for a reconciliation by the Court. We are now going to be taking it one step at a time, so first, we are going to reach out to the government, and that is something that the Company will do over the course of the coming days. Then we'll take it from there.

Kunal Vohra - BNP Paribas

Second, is on home broadband, you have seen strong growth, but Jio has been better, I see that there is a big spike in capex in home broadband this quarter. Are you doing anything differently now and how should we look at home broadband capex? Also, you mentioned 100 million is the potential market, how do you look at your share in that market? And also, you have seen 2.3 million customers in FWA; are you facing any capacity issues? Are you looking at UBR? Yes, that is the second question.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

On home broadband, we are clearly seeing a consistent step up in our performance in home broadband. The fact is that even, whether it is on mobile or home broadband; the definition of what constitutes a customer

is a very stringent definition for us, which is based on 30 days revenue earned. So, while I am not in a position to comment on the numbers reported by any competitor, what I will tell you is that on home broadband, one of the metrics we look at is our share on some of the OTT platforms, the leading large OTT platforms, and some of them have analytics that they provide to players around the world, and I would say that if I look at that, we are tracking very well and we are pleased with where we are. That does not mean that we cannot step up home broadband further, because I think where we are is that we are feeling that, actually, there is further opportunity to improve our operational tightness, in order to drive further growth of home broadband. At this point, we are not seeing any capacity issues on FWA. We are currently in the process of experimenting and doing the trials on UBR. The challenge on UBR, as I mentioned in previous quarters is the interference in dense locations, because it uses the same Wi-Fi band that is used at homes, and you would see sometimes in your own home, where you have browsing problems, it really comes due to interference issues in the lower band of the Wi-Fi frequency. This is an area of trials, but I do believe that UBR has a legitimate opportunity to expand into areas, which are not so dense, so this could be remote locations, rural areas, small towns, etc., where the density of presence of fiber is low, so that is being assessed right now. On the capex front, home broadband has two components of capex, one is the home pass that we roll out and the second is the router, so, the CPE. Both of those, the second is linked directly to growth. Maybe, Soumen, you can just add some colour on the capex.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Yeah, Gopal, what you said is right. Basically, we have accelerated our home pass rollout as well as, we are deploying on 5G. Both the two avenues of growth are being triggered at the same time. You will see some amount of elevated capex in the near future because of both going parallelly. Thank you.

Kunal Vohra - BNP Paribas

Thank you. Just lastly, a follow-up to what Piyush was asking, if I look at one gigawatt data center, the cost could be $25-$30 billion, if I am not mistaken, and if there are two partners or two entities doing it, the amount for Airtel also could be fairly large. So, can you give us some comments on what is the scale of investment we are looking at in data centers?

 Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

We have not yet guided on this particular issue, but I would again come back to saying that whatever is required to be invested, we
will make the investment. I think the numbers that you are talking about are obviously much, much higher than what we think it will
be. Suffice it to say that we will do what it takes to step up the growth of Nxtra.

Kunal Vohra - BNP Paribas

Understood. Thank you. That's it from me.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain, you may please unmute your side, introduce yourself, and ask your question now.

Sanjesh Jain - ICICI Securities

A couple of questions from my side, Gopal. First, you said there is a standalone and non-standalone doability that we are doing on
the network to ramp up the FWA. Can you provide more detail on that; how many circles, how does the technology work, does it
gives us the capability to do spectrum split link, the one which sta

ndalone enables, how should we see this transition, and does it
indicate that we need to go to a standalone 5G before, or are we preponing that transition now?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

You had a second question, Sanjesh?

Sanjesh Jain - ICICI Securities

Yes, one on the capital allocation side. We have announced to raise the equity stake in Indus Towers by 5%, just wanted to understand the rationale. We understood until 50%, we wanted to have a controlling stake. Just from a capital allocation perspective, just wanted to understand what is the rationale behind increasing the stake and how does it change the position for
Airtel in terms of Indus?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yeah. Sanjesh, I think, just to explain the standalone. Over a period of time, if you take a longer period of time, let us say over the
next five or six years, as all of the 4G traffic shifts to 5G and more and more devices come in, we will be refarming band-by-band
spectrum to move it to SA. This is a point that I made a few years ago. Now, as you do this transition, you need to operate some
spectrum in non-standalone mode and some spectrum in standalone mode, because you are operating, what is called, a dual mode,
this is a standard practice, it is standard in all markets. For example, you can see in the U.S. market, this is exactly what they are

doing, even in China, this is exactly what they are doing, because you cannot refarm all of the spectrum immediately, right? At this point in time, when we say it is a dual mode, in 13 circles, we already have a live standalone network that is operating for fixed wireless access. One of the advantages that we are seeing on this is the fact that the time on technology that is spent is greater, because they do not sort of toggle between 4G and 5G, and that sort of frees up the networks. The second is there is a slight improvement in the uplink performance. These are the two things that we have seen and as a consequence, these 13 circles will extend across the country for fixed wireless access, this is one part of it. The second part of it is, we also believe that we are now ready, given that 40% of the traffic that we carry is on 5G networks, to also start refarming some spectrum for standalone on mobile and that gives all the capabilities of standalone as you rightly mentioned. This is a work in process. If we are sitting here, let us say, three to four years from now, you would see more and more frequency being refarmed to standalone and at some point non-standalone will just disappear there will just be standalone technology in the country on our networks. On the capital allocation point, I think, for us, we see Indus as a very clearly undervalued asset, it is a strong dividend-paying Company, it is a vital infrastructure for us and therefore, given all of these reasons, we have taken up the stake there, or we have proposed, we have taken an enabling provision to take up the stake there and at some point based on how things play out, we will look to activate that provision.

Sanjesh Jain - ICICI Securities

Got it. Just two follow-up questions, Gopal. One on the fixed broadband capex. Again, I was just looking at that number. Now, it works to around Rs.20,000 capex per customer, I was just looking at it, it was 15,000, a couple of quarters back it was around Rs.15,000-16,000 per customer addition. I thought fiber home pass has remained broadly the same: 10,000 per kilometer, 1.5 million, the one we have been adding, any reason why there is a spike in the capex per customer, if I look at the home services as a

whole? That is number one. Number two, any thought process where we want to ultimately take our stake in Indus, is there any thought process there, we want to go it till 70, 65, any number there if you can share?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Soumen, you want to talk a little bit about the capex piece?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Yeah. So Sanjesh, earlier the home pass cost has remained largely the same cost per homes passed, but what has happened, as I explained, because this is a land grab opportunity, we are rolling out more fibers, and this will get extracted. In the parallel, we are also deploying FWA. Now, the cost of a connected home between a fiber and an FWA is almost similar, but because the home pass rollout is also becoming aggressive and we are doing more in a quarter, and we are acquiring more customers on FWA, you are seeing for some period, because you are dividing it by the number of customers, and hence you are seeing an elevated number.
Other than that, there has been no change, no major change in the actual cost of every home pass, neither in the cost of the FWA unit. Thank you.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

So Sanjesh, just to give you a sense, we have been operating at between $28-$32 cost per home pass. That does not change, and that has not really changed. On Indus, we have always; like I mentioned earlier, we have taken enabling provision to climb by 5%, beyond that, there is nothing further to add at this point.

Sanjesh Jain - ICICI Securities

That is clear, Gopal. I think a stellar number, good execution, and best of luck for the coming quarters.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Thank you, Sanjesh.

Vaidehi Sharma – Moderator

The next question comes from Mr. Ankur Rudra. Mr. Rudra, you may please unmute your side, introduce yourself, and ask your question now.

Ankur Rudra - JP Morgan

This is Ankur from JP Morgan. The first question on capex, if I heard you correctly, there will be an increase in capex on 5G standalone, capex on home passes, as you are looking to accelerate that across CPEs and also an acceleration on the data center side, so, how does all of this layer into the overall capex guide for it to moderate in the medium term? Do you think you may have to, sort of, update that short to medium-term capex expectation for us?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Ankur, on 5G standalone, there is really no meaningful capex, because it is all software-led, right? All our networks are capable of moving to standalone at the flick of a button, so it is a very, very tiny amount of money that we spend for software. On homes capex, it is all built into our overall guidance of moderating on capex, so, nothing changes there. The only question is on data centers. I think there is an opportunity here to step up the growth of data centers in terms of investment. That part is the part that we will assess fully and then sort of come back on how that will impact. My own sense is, it will not be a very meaningful change. There could be some bump-up because of the investment in Nxtra, but there again, I would say, it is a bit premature to talk about it because we will do what it takes to make sure that we put in the requisite investments to build our position strongly. There, it is a very good investment because you get firm contracts for 20 - 25 years and so, to that extent, that works well.

 Ankur Rudra - JP Morgan

Thank you. Just to clarify the Nxtra investment and the model with Google, it is a co-location model that you are doing, you are not going to look at doing the capex of servers yourself, is there any clarity there?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

It is only a data center build-out.

Ankur Rudra - JP Morgan

Got it. Super helpful. Just, last question was, you mentioned about convergence being an opportunity. Can you talk us through in
terms of how you think, look at this in the medium to long term for an overall ARPU premiumization and update that would be helpful?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yes, I think at this point in time, there is a land grab on homes, as we know, right? There is a massive growth and tailwind that you
see in the home broadband segment. The convergence, which is broadband plus content, is a very compelling proposition for customers because the bundled pricing that is offered today in the industry is far lower than what it would be if it were disaggregated
and sold through the form of DTH and home broadband separately, so, to that extent, it is a very compelling proposition. Plus, there
is abundance of content as well, so there is a lot more content. This is really like going through in a very accelerated pace. I think,
we are adding for our broadband users, almost 60% of converged sort of plans coming through. At some stage, once the land grab
phase is over, will tariffs have some correction or see some repair in this segment, given the value that we offer? The answer to that
could be yes. I think today, it is a bit early to comment on that.

Ankur Rudra - JP Morgan

Just to maybe a quick follow-up there, in terms of land grab phase, and you spoke about the 100 million homes opportunity, how
long, I know, at the moment, you are adding about a million homes per quarter, your competitor adding a bit more than that. How
long do you think this opportunity lasts in terms of, for us to get to around 100 million, broadly it could be three, four years, longer
than that?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yes, my own sense is we are today, I think, in the next five to six years, I think we should probably get to it as an industry.

Ankur Rudra - JP Morgan

Appreciate it. Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Gaurav Malhotra. Mr. Malhotra, you may please unmute your side, introduce yourself, and ask
your question now.

Gaurav Malhotra - Axis Capital

Just a couple of questions, more of follow-ups. Just, if I heard it correct, you were mentioning that the home pass capex versus an

FWA per subscriber, is that in the similar ballpark?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

What Soumen was referring to was the cost per connected home pass and the cost of FWA is more or less the same. Like I mentioned, if you take a $28-$30 cost per home pass, typically the utilization on fiber over a period of a couple of years tends to be about 28%-30%. This is what happens pretty much in most parts of the world, including India, which means that your cost per connected home pass ends up at about $100 and that is pretty much comparable with fixed wireless access. Fixed wireless access,

 what you have, is essentially a CPE. The mobile radio is already deployed f

or 5G, so it is only the cost of the CPE, which is about that much. That is what it was.

Gaurav Malhotra - Axis Capital

Thank you. The second is, this question has been asked a few quarters back, but given the increased potential for increasing stake in Indus, how should we think about any potential synergies between Nxtra and Indus from a corporate action perspective?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

No, Nxtra and Indus have really, nothing to do with each other. Indus is a passive tower company operating on towers on a very distributed basis. Airtel, we have strong relationships with hyperscalers, and all of the domestic enterprises uses the B2B channel, and therefore, there is a tremendous amount of synergy in the way you monetize data centers. The rest of it is, just then, land and power and the strength of the balance sheet, which allows you to invest in a business like Nxtra, so, there is no intention whatsoever of Nxtra being folded into Indus or any such thing.

Gaurav Malhotra - Axis Capital

Just a last question, follow-up on Indus itself. In the press release, it had mentioned in opening remarks, not in opening but in one of the answers, that one of the reasons for increasing stake in Indus is because it is obviously a strategic asset for you, given the importance of it, but it is already getting consolidated, so, just wanted to get a better sense as to that 51 going to 56 and then going ahead, how is it sort of going to change that kind of a situation for you?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

As I mentioned, obviously, we see it as a strategic asset but we also see it as a highly undervalued asset. The fact is that it is undervalued. Multiples of tower companies around the world tend to be much higher than what they are in Indus, so we see it as an undervalued asset. We see it as a strong dividend paying asset and we think that this makes a lot of sense to allocate some capital to take it up by 5%. Now, beyond that, whether we will or not, is a speculative question because that, we have not come to that bridge.

Gaurav Malhotra - Axis Capital

Thank you so much.

Vaidehi Sharma – Moderator

The next question comes from Mr. Anshuman Atri. Mr. Atri, you may please unmute yourself, introduce yourself and ask your question now.

Anshuman Atri – Premji Invest

Thank you for the opportunity and congratulations on strong performance. So, my question is more longer term, say right now, we are focusing on premiumization strategy, but do you think, say, five years, seven years down the line, we are letting our peer to grow at faster pace in terms of subscribers, who may not be premium right now but they may become a premium in the next four to five years, and how do you get them back to your network?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think, for us, Anshuman, it is a balanced approach, so we are constantly looking to see how we can tighten our operations to add more customers onto our network, this is an ongoing process. What we do not like is to waste a lot of money in acquiring customers who are just looking for a deal and move around between networks every two to three months because that is what refers to the quality of acquisition. So, the quality of acquisition is a big area of focus. I must say it is deteriorated in the last few quarters because it is just a, tremendous amount of commissions and sales commissions thrown in. We are constantly trying to harness our capabilities to see where you get the best, the right quality of acquisitions, which means which retail outlets we look at, if the churn in the first three to four months is much higher in a particular outlet, we will try and minimize the acquisition there, so a lot of analytics and lot of intelligence goes into that, but once we have acquired a cus

tomer, for us, the second obsession kicks in which is what we call tenured churn, which means customer who stayed in our network for more than four months; how do we crash that churn, and that comes down to the experience we deliver, that comes out of faults in our network or faults in other areas which are

outside of the network and here there is a constant focus to improve where we are. On the tenured churn, I think we have done a good job. We need to do better, not just as Airtel, but certainly as an industry, on the quality of acquisition, which is the bane of the industry, because of the amount of spends that have happened. We think that, at a 365 million user base, this is a very wide user base that presents tremendous opportunities for continued premiumization. Now, that means that, will this user base grow, absolutely it will continue to grow and that has been a focus of us.

Anshuman Atri – Premji Invest

Just a followup. Is there any percentage or proportion which you keep in mind internally as to versus peer at least we should grow at certain level?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

For us, market share is a way of life and like I said, I think, I underscore this, the way different players in the industry define what constitutes a customer and how they report that varies by their own sort of approach. In our case, the definition of what constitutes a customer is the most stringent in India. It is based on revenue that is earned in the last 30 days. We do not like reporting customers who have been on the network, let us say, for three months and not giving us revenue and as a consequence, we are stringent on the way we report. The second thing that we look at is the market share that we are getting on OTT platforms, whether it is players like Meta for example, which are widely used by most players across Facebook, WhatsApp, Instagram, they have Meta analytics, which provides information on our relative market share, circle-by-circle and locality-by-locality. We believe on that front, we are tracking well, and we continue to look at different competitive parameters and finally, I will say that, ultimately, all of this comes together on, what is called, revenue market share, and that is the one that we are really obsessed about, which is, are we getting a right share of wallet in terms of revenue market share and here, I would say, in the last few years, we have shown consistent gains in revenue market share, our track record, pretty much, speaks for itself on the way that our competitiveness has grown.

Anshuman Atri – Premji Invest

Secondly, I just wanted to check more again on the longer term, if you had to do 5G again or when you do this 6G, what would you do differently than how you have phased out NSA, SA or how you have phased out FWA, so, what would you do differently and how do you adopt the 6G?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

I think, firstly, 6G is too far out even 5G has been across the world also shares the GSMA, across the Telco world, I can tell you that, one of the pain points in the telecom world across the globe is that 5G has not lived its promise of what it was meant to. The primary use case of 5G is only speed and now it is just a more efficient way of producing the same gigabyte, it is a more efficient way of doing it, but it has not led to any monetization, anywhere in the world. There have been some experiments and some moves on standalone through slicing in some markets like the US and so on, but it is too small and too few and far between to make a meaningful difference to the overall monetization that was promised. The simple answer to your question is, we would not change a thing, in fact, many years ago, there were lot of skeptics to say, Airtel is moving non-standalone, other players are moving standalone. I think, for us, it is not about technology, it is about experience to deliver and on experience, if you look at Crowdsource platforms like OpenSignal, in every single quarter since the launch of 5G, we have pretty much won all of the awards, and that is the proof of the pudding, so for us, chasing technology for the sake of technology is not our obsession, chasing experience and using technology to deliver right customer experience is the obsession.

Anshuman Atri – Premji Invest

Thank you, Gopal.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sumangal Nevatia. Mr. Nevatia you may please unmute your side, introduce yourself and ask your question now.

 Sumangal Nevatia – Kotak Securities

Good afternoon everyone, Sumangal from Kotak Securities. First question, quick one on homes. So our view of 100 million homes
in the medium term, I wanted to understand, what as per us is acceptable market share and until that time, over the next few years,
do we expect us to remain in land grab mode and high capex mode?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Firstly, I must tell you that the capex on homes is very small because you remember, the capex is the router, the router is also loaded on the capex, which is really, connecting a home because ultimately, what it does is, it leverages the existing fiber infrastructure that is rolled out for us. So, the fiber that is there, which is the backbone fiber connecting our towers, as well as our
intra-city and inter-city fiber is the heart around which everything, sort of, runs on homes. Our market share aspirations, I do not
want to set a target, but I will simply say that we are not happy where we are, the market is consolidating and we think that our
ambition would be over the next three to four years, to really step up our performance overall in home broadband so that we get a
significant share of those incremental net adds. I think we have tracked well, so consistently over the last six, seven quarters, we
have been growing the business at homes and we have been growing competitively, but there is still a lot more to be done.

Sumangal Nevatia – Kotak Securities

That is useful. Second question, Gopal, you mentioned in the opener that, cross-selling is an important area of focus, so, today in
India, wireless is still 70% plus, so, just want to understand, where do we see the non-wireless share moving over the next few
years and can you, for the benefit, elaborate bit more on what are the cross-sell opportunities which we are eyeing on?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Yeah, we have relationships with 365 million wireless customers and you think of that as top of the funnel. Within this, as I mentioned, there are about 90 million to 100 million customers who are credit approved: these are prime for postpaid, these are
prime for home broadband and these are obviously, the best quality customers across the country. Just in terms of that, the capacity
to buy a full range of services, I think, this part we have harnessed. The second is that we have got the converged data engine,
which is our software platform that is homegrown purpose-based software platform, which allows us to, really, provide a customer
an offer o

n a very, very contextual and immediate basis. This has been the reason why the lending that we have done through Airtel Finance is now worth close to 450 Crores, which is a substantial increase over what it was. So, the place that we need to do a better
job on cross-sell, which is really the focus for the Company right now, is how do you light up every single channel, so whether it is

the store, whether it is the retail outlet, the 800, 900, 1000 outlets we cover, whether it is the call centers, whether it is indeed our digital assets, in every single place, how do you light that up. I think we have done a good job on our digital assets. We are beginning to do something on the stores, there is a lot more that we need to do in other areas and we think that if we can harness this well and do it well, then this can become a serious moat for Airtel, because we are seeing, the capacity that we have to provide upgradation within mobile, the reason we get higher ARPUs, is because of this whole persuasion and cross-sell that you refer to.
The reason we are able to drive more and more postpaid continuously or consistently is again because of that, but across the range of businesses in the full portfolio that we have, this is one of our major areas of focus, which is really, how do you drive cross-sell.
We call it, how do you improve persuasion, this is really, how it is defined within the Company and it is a big mission for us.

Sumangal Nevatia – Kotak Securities

Got it. Thank you and all the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vibhor Singhal. Mr. Singhal, you may please unmute yourself, introduce yourself and ask your question now.

Vibhor Singhal – Nuvama

This is Vibhor here from Nuvama. Thanks for taking my question. Gopal, my question was, again on basically, the data center power business. Now, we have seen lot of announcements by a lot of players in the Indian markets on the data center setup. Recently, we had TCS announce 1 gigawatt capacity that they are looking to build up over the next five to six years. Now, from the vantage point that you are there, do you see most of these investments, kind of, fructifying over the next five to six years, do you see there is still a huge demand supply mismatch or could this possibly be a case of some sort of a overhype in the beginning to begin with and many of these investments might or might not see the end of the day and also, related question would be that, as a Company, would we be okay, are we looking at both sites of the pie, we are okay with, let us say, data center buildup as in the case of Vizag partnership

 or the cable landing station or either of the two, are we okay with any of the pie coming to our piece or is there is a clear preference of data center buildup in our Nxtra business?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Vibhor, I think, yes, there have been lot of announcements, I think the announcements, typically, are made in the form of intentions.
What I can tell you is that 50% to 60% of the demand is really happening around Mumbai for the traditional data centers. When it comes to AI, there is likely to be growth outside of Mumbai. Vishakhapatnam is the first one, where Google has decided to build out because Vishakhapatnam is also very well located since it is also on the coast and as a consequence, cables will come into Vishakhapatnam and, sort of, connect up the rest of the world and Google made that announcement. Our business is actually,

firstly, Nxtra will do only data center built and that is what we will focus on.

When it comes to cable landing stations and terrestrial
connectivity, which is where we will get, pretty much, we will be the preferential partner for Google, that will come in as part of Airtel
business, so Nxtra is a data center site, cable landing station and terrestrial connectivity, OPGWs and all of that is really within
Airtel.

Vibhor Singhal – Nuvama

Got it. That is really helpful. Just one last bit of question, in terms of, if I look at our India mobile business we have now crossed
Rs.250 ARPU, earlier you had mentioned that Rs.300 was what you were looking as a target for the let us say a medium term,
another tariff hike maybe in the next three quarters and we would be in touching distance with that, how do you see the industry
playing out post that, let us say, over the next three to four quarters, we reach the number wherever we do, post that, do you see
more of consolidation happening in the industry, or do you still see room beyond that number, for basically, ARPU is good to go up,
would that be, just be driven by premiumization or there could be still be more room for tariff hike post that?

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

There are two things I would say, one is that, we have made this point several times in past. Whether you look at average revenue
per user or rate per gigabyte, India is the lowest on both those axes across the world, so I think there is certainly room for more tariff
repair, but I also think that the price architecture, if it changes, which is again a point I have made in the past, to a more sensible
ladder of pricing from small, medium, large to extra large. You will see natural tailwind for ARPU because the people who can afford
to pay will then pay a lot more and people who cannot afford to pay will not need to pay enough. I think the problem in our pricing
architecture in India is, as I have mentioned before, it is one-size-fits-all pricing, which, where you do not have as much avenue for
upgradation through the growing affluence that you are likely to see over coming years and I hope that will change, my hope is that
will change because that will be an easy one to then, really, consistently see upgradation.

Vibhor Singhal – Nuvama

Thanks for taking my questions and wish you all the best.

Vaidehi Sharma – Moderator

Thank you, everyone. I would now like to remind the participants to stay connected on the call for the next session on Bharti
Hexacom. I would now like to invite Gopal for his closing remarks for Bharti Airtel.

Gopal Vittal – Vice Chairman & Managing Director - Bharti Airtel Limited

Again, thank you very much for joining this earnings call. It's been a very good discussion and a great set of questions. I look
forward to seeing you in the next quarter. Thank you.

Vaidehi Sharma – Moderator

Thank you, Gopal. With this, I would now like to hand over the call to Mr. Soumen Ray for his opening remarks on Bharti Hexacom
performance.

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q2 ended September 30, 2025 Earnings Webinar

- 14 - Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Thank you, Vaidehi. We delivered another consistent quarter with revenue of Rs.2,317 Crores, growing about 2.4% sequentially.
EBITDAaL for the quarter came in at about Rs.1,098 Crores, with a margin of about 47.5%. Our revenue earning customer base
stood at 28 million, which saw a very, very marginal dip sequentially. Smartphone customer additions came at about 193,000. I want
to call out that the customer addition was impacted by a pronounced seasonality. It was a one-off ph

enomenon. We have started Q3
on a relatively positive note. ARPU for the quarter was at Rs.251, benefiting by one day additional in the quarter. The continued
improvement in underlying portfolio mix helped that. Homes business is seeing sustained momentum with strong net adds, which is
expected to continue. Our net customer addition was 60,000 in Q2, which was the highest ever in any quarter. Operating free cash
generation, which is EBITDAaL minus capex, was a strong Rs.730 Crores. Our balance sheet is robust with a net debt excluding
leases, of about Rs.2,814 Crores and a net debt excluding FLO versus EBITDAaL of about 0.6%. With that, I will hand it over to
Vaidehi for the Q&A. Thank you.

Vaidehi Sharma – Moderator

Thank you so much, Soumen. We will now begin the Q&A interactive session. Due to time constraint, we would request, if you could
limit the questions to two per participants to enable more participation. Interested participants may click on raise hand option on your
Zoom application to join the Q&A queue. With this, the first question comes from Mr. Sanjesh Jain. Mr Jain, you may please unmute
yourself, introduce yourself and ask your question now.

Sanjesh Jain - ICICI Securities

Hi Soumen, Good afternoon, couple of questions from my side. First on the revenue growth, sequentially mobile revenue growth for
us was around 2.1% while Airtel did mobility of 2.6%, we thought, considering the under penetration in Rajasthan and the North East
Circle, the anticipation was that we will grow slightly faster than Airtel. Is there anything in terms of seasonality or something which is
changing and making this sequential number not so comparable with Airtel?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Well, there are two different geographies. There are times when it is a little higher but there are times when it is a little lower. As I
mentioned in my opener, Sanjesh, seasonality was pronounced, which led to a marginal drop in customer base, which had a
headwind, but other than that, there is no major difference, if you see, ARPU growths are also similar. Overall, nothing major. It is
just that, because of an aberration in seasonality, which we hope will get corrected in Q3.

Sanjesh Jain - ICICI Securities

Soumen, what is seasonality are we really talking about here?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Seasonality, there is a migratory population and the two places where we have our operations are not extremely urbanized. So what happens is, there are people who go there and come back to their place of work, which leads to a little bit of seasonality and however it might seem awkward, Rajasthan had a very high share of rains and a bit of dislocation of public services as well, so, between the two, we had an impact and as I mentioned, Q3, we seem to be charting well versus how we have started.

Sanjesh Jain - ICICI Securities

Just one more question on the SG&A cost which has declined QoQ YoY. What is really driving that, efficiency or a one-off, how to read that?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

SG&A, there is a bit of a one-off which has come and hit. You can take an average of the last trailing two quarters and you will get a fair number.

Sanjesh Jain - ICICI Securities

That is pretty clear. Thanks, Soumen, for all those answers and best of luck for the coming quarters.

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Thanks a lot, Sanjesh.

Vaidehi Sharma – Moderator

Requesting all the participants that would like to ask a question to kindly raise your hand and join the Q&A queue. With this, the next question comes from Mr. Shubham Gupta. Mr. Gupta, you may please unmute yourself, introduce yourself and ask your question now.

Vivekanand – Ambit

Sorry. This is Vivekanand from Ambit. Two questions. The first one is on the capex trajectory. Now, I understand that, there was some deferment of capex from 1Q which spilled over into the second quarter, which meant that on a year-on-year basis, capex trends are perhaps now better observable if one looks at the 1H numbers. If you can update us on the guidance for the capex for FY2026 and FY2027 using FY2025 as a reference point, that would be great, that is question one, and the second question is on the homes business. Now, Gopal spoke about the land grab that is applicable in Airtel when it comes to the homes business and that being perhaps dilutive from a pricing standpoint, are there any divergent trends in the circles of your operation and if you can update us on the revenue opportunity as far as contribution from homes and offices is concerned, say over, three to five years where could this get to? Thank you.

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Thanks, the capex trend, like we have mentioned, directionally, it should moderate over time. I am not taking a time limit of FY2026 or FY2027 or whatever. Within quarters, there are executional challenges, there are weather-related challenges, there is prioritization, a lot of those happen, so, I would not read too much into the quarterly phasing. At an annualized basis, like we have guided, directionally, there is a holding/decline in capex. On homes land grab, it is no different in these two places. I did not understand your question around price dilution. Can you explain that bit again?

Vivekanand – Ambit

Sure. Soumen, Gopal said that, currently the value that consumers derive out of the bundle that is given by the providers, the connection plus the plethora of OTT subscription offerings that is significantly generous or that is overly generous and perhaps also leading to, say some, depression in ARPU versus the scenario where competition is more benign. So, my question is, is that the case in your markets also, given they are more rural compared to the overall Airtel operations and, that was one part of the question and the second part was, where do you see the revenue contribution of homes and offices, say over, three to five years?

Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

First and foremost, on the ARPU being lower, I do not think what Gopal mentioned was a continuous decline. There is a mix impact that is happening, where more and more customers are wanting to take content-driven packs, which is helping us in customer acquisition, that is a key enabler. It also ensures that customers do not churn, because the content is a way by which customers stick to a service provider, so, that is no different here. As you expand the footprint of any product or service, the initial adopters are well informed and they typically take a higher priced pack, whereas, when you go into a land grab phase, the marginal customer is not as evolved as the first customer and hence, you tend to sell lower priced packs, so, that is the trend where you see that there is a directional reduction in the ARPU of homes. I think that is not ofa concern, neither is the capex of a concern, this is a new service of connectivity, which is getting rolled out and across both our circles and

we must ensure that we acquire the customer, we give him best of services, because the lifecycle value of the customer is extremely high. Coming to, what will be the ratio, I will not get into ratios, but you can see the growth, as we have said, of course, in this circle, mobility is an overwhelming number, but certainly, it is expected that homes growth trajectory which we have done in the last couple of quarters should continue. I must also add here that, FWA plays a very, very important role in these two circles and the share of FWA is very high, if I compare with some of the other players, so our belief is that FWA is a very important technology in both these two circles to ensure penetration of Wi-Fi.

Vivekanand – Ambit

Thank you, Soumen, for the detailed answers. All the best.

Vaidehi Sharma – Moderator

Thank you, everyone. I would now like to pass it to Soumen for his closing remarks for Bharti Hexacom.

 Soumen Ray – Chief Financial Officer - India & South Asia – Bharti Airtel Limited & Director, Bharti Hexacom Limited

Thanks a lot for taking the time and joining the call. We will meet in the next year. Thank you.

Vaidehi Sharma – Moderator

Thank you, everyone, for joining us today. Recording of this webinar will be available on the Company website. Have a great day
ahead. Bye.

Call: Feb 2026

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February 13, 2026
National Stock Exchange of India Limited
Exchange Plaza, C -1 Block G
Bandra Kurla Complex, Bandra (E)
Mumbai – 400051, India
Symbol: BHARTIHEXA
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400001, India
Scrip Code: 544162
Sub: Transcrip t of the Earnings Call dated February 0 6, 202 6
Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on February 0 6, 202 6 in respect of the audited financial results of the Company for the third quarter (Q3) and nine months ended December 31, 2025.
The transcript of the call is also uploaded on the Company's website i.e.https://www.bhartihexacom.in/results -quarterly -results.html .
Kindly take the same on record.
Thanking you,
Sincerely yours,
For Bharti Hexacom Limited
Amit Chaturvedi
Company Secretary & Compliance Officer
Encl.: As above
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2025 Earnings Webinar

-1 -Conference Call Transcript
Event: Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2025 Earnings Webinar
Event Date/Time: February 6, 2026/ 1430hrs
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Limited Q3 ended December 31, 2025 Earnings Webinar

- 2 -
CORPORATE PARTICIPANTS

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Mr. Shashwat Sharma
Managing Director & CEO (Airtel India), Bharti Airtel Limited

Mr. Soumen Ray
Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Mr. Akhil Garg
Chief Financial Officer (Airtel India), Bharti Airtel Limited

Mr. Naval Seth
Head of Investor Relations, Bharti Airtel Limited and Bharti Hexacom Limited

Mr. Karthikeyan Velu

Group Financial Controller, Bharti Airtel Limited and Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator

Good afternoon, ladies and gentlemen. I am Vaidehi Sharma, the moderator for this webinar. Welcome to the Bharti Airtel Limited and Bharti Hexacom Limited Q3, ended December 31, 2025 Earning's Webinar. Present with us today, is the senior leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. Post the management opening remarks, we will open up for an interactive Q&A session. Interested participants may click on raise hand option on your Zoom application to join the Q&A queue. The participants may click this option during the management opening remarks itself to ensure that they find a place in the queue. Upon announcement of name, participants to kindly click on unmute myself in the pop-up screen and start asking the question post introduction. With this, I would now like to hand over to Mr. Soumen Ray for his opening remarks.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited

Thank you, Vaidehi. Good afternoon and a very warm welcome to

all of you. I have with me - Gopal, Shashwat, Akhil and Naval. I will provide an update on our consolidated financials for the third quarter, post which, I will hand over to Shashwat to share highlights of our India business including strategic priorities. We delivered another quarter of strong performance across India and Africa. Consolidated revenue came in at about Rs.54,000 crores, growing 3.5% sequentially. Africa maintained its trajectory of solid performance with constant currency revenue growth of 5.8%. India excluding passive infra grew at 2.1% sequentially. India mobile delivered another quarter of strong revenue growth. Broadband saw sustained growth momentum. IPTV is scaling up rapidly and powering our convergence strategy. Underlying B2B performance improved sequentially. Digital portfolio is on a strong growth path.
More details on these pillars would be shared by Shashwat in his section.

Consolidated EBITDAaL came in at over Rs.27,700 crores, a growth of 4.2%. Our EBITDAaL margin stood at 51.3%, which is about 30 basis points improvement sequentially. Operating free cash flow which is EBITDAaL minus capex was a strong Rs.15,900 crores.
Capex for the quarter was about Rs.11,800 crores. Our operational excellence continues to be driven by our focus on portfolio premiumization, disciplined execution and tight control over costs through our war on waste initiatives. India EBITDAaL, excluding passive infra, came in at over Rs.18,450 crores, growing at 2.8% sequentially. EBITDAaL margin stood at 51.8%, again a 30 basis points improvement. Capex for the quarter was at about Rs.7,100 crores. Operating free cash flow, which is EBITDAaL minus capex, was strong at over Rs.11,350 crores. Our consolidated net debt to EBITDAaL improved to 1.02 with India now at 1.38. Our strong balance sheet demonstrates prudent capital allocation, disciplined capex, sustained operational excellence. Continued focus on balance sheet improvement is recognized by leading global agencies with rating upgrade during the quarter.

I will now provide an update on our investments and synergies that we are driving across India and Africa. Our investments are directed towards growth areas to future proof Airtel as well as goldplate our infrastructure to make it best-in-class for the years to come. We will judiciously invest to improve our footprint on network sites as well as on transport. In addition, we are investing across digital portfolio. This combination will help us drive competitive and profitable growth to ensure prudent capital recycling in future. On synergies, we see significant opportunities between India and Africa that include: First, portfolio premiumisation. Second, accelerating digital and growth in B2B. Third, war on waste, which is central to us in running our operations.

Lastly, we are excited about the impact of the group wide synergies that are now coming to bear in stepping up our performance in Africa. A number of areas have been picked up in this effort. One such area, our entire tech stack, has now been deployed into Africa. This is helping sharpen our go-to-market capability, the secret sauce of Airtel and leading to stepped up revenue growth in Africa. We believe there is a lot more to do around this. With this, I will now hand over to Shashwat for a detailed update on India business.

Shashwat Sharma - Managing Director & CEO (Airtel India), Bharti Airtel Limited

Good afternoon, everyone. Let me share with you an update on ESG, then each of our business segments, followed with an update on our strategic priorities. Our ESG progress is being driven by the strategic us

e of technology and digital innovation, enabling more sustainable operations and greater efficiency. During the quarter, we solarized over 3000 new sites, taking our total solar site count to 38,000. Today, I will talk about the work our foundation is doing in providing access to quality education to underprivileged children. Over time, our focus is increasingly on digital inclusion across schools, helping bridge these learning and opportunity gaps for students who need it the most. Our 155 Satya Bharti schools are spread across four states and are reaching 36,000 students. Girls comprise about 51% of this enrollment. Through the quality support program, we have reached over 4.2 lakh students in over 1,100 government schools across 12 states and Union Territories. The foundation is also partnering with the NITI Aayog and multiple state governments, supporting the teacher professional development program through the teacher app. Additionally, the foundation supports higher education with reputed national level institutions and various scholarships. Lastly, we take pride in our transparent disclosures and high standards of governance including ethics.

Moving to a quick update on our businesses. Overall, our strategy of portfolio premiumization and execution rigor is delivering consistent performance. We continue to invest strongly on strengthening our networks: adding about 11,000 5G sites in the quarter- we now cover about 74% of population with 5G. Our step up on fiber deployment continues strongly - we rolled out over 11,000 km of overall fiber and added about 2 million fiber home passes in the quarter.

In mobility, we added 4.4 million revenue earning customers and 5.2 million smartphone data consumers during the quarter. ARPU came in at Rs.259, led by our continued efforts on premiumizing and improving our portfolio mix. Postpaid net adds came in at 0.6 million. International roaming is emerging as a focus area where we see a large growth opportunity. We continue to simplify our offerings, while enhancing our value and experience. Our efforts are yielding strong outcomes in international roaming revenues, and they are growing at over 30% year-over-year. I want to emphasize that in the absence of tariff repair, we will continue to sweat ARPU growth leveraging feature phone to smartphone upgrades, prepaid to postpaid upgrades, data monetization, and our international roaming services. Our 5G expansion is progressing as planned. I will delve deeper into, in a bit. We ended the quarter at 181 million 5G customers. Our share in 5G shipments is seeing sustained improvement. 5G handset penetration continues to grow and over 90%

of our total smartphones today come in as 5G.

On broadband, we delivered another strong quarter with our highest ever quarterly net adds of 1.2 million customers. We have crossed 13 million installed connected homes customer base. FWA continues to expand addressable market for us, and we are deepening our supply footprint with FWA. This is reflected in strong momentum in FWA customer base, which now stands over 3 million.

On digital TV, we added 73,000 customers during the quarter. The DTH industry continues to face macro headwinds. We are prioritizing profitable growth here. At the same time, we are seeing very strong traction on our IPTV offering, which is driving strong momentum in customer growth.

Moving to Airtel business, its revenues came in at Rs.5,350 crores, growing 1.5% sequentially. Our order book and funnel is strong.
During the quarter, we secured multiple deals on connectivity and adjacencies including Airtel cloud, Cyber Security and IoT business.
Nxtra is seeing strong growth led by capacity augmentation and customer wins.

Our digital portfolio delivered robust revenue growth and grew 39% over last year. We continue to make strategic investments in our digital portfolio spanning across Cloud, Cyber Security, Financial Services, IoT and CPaaS. Airtel Finance is delivering strong growth in loan disbursements and EMI card issuances. Monthly loan disbursement run-rate now stands at over Rs.500 crores.

Payment Bank, its MTU stand at about 108 million, annualized revenue run rate has now crossed Rs.3250 crores and it is growing sequentially year-on-year at 16%. Deposits remain strong at about Rs.4,300 crores, growing 28% over a year.

Let me now provide an update on our strategic pillars. First, our diversified and resilient portfolio - Underlying performance across the portfolio was strong. Africa accounts for about 27% of our revenues, India mobile 53%, India non-mobile 13% and Indus 7%. Our investments underpin our long-term strategy, that is, future proofing Airtel through digitally powered networks, a sharper growth-oriented portfolio and building scalable digital services.

Second area is winning quality customers. Let me start with broadband. We continue to see large opportunity ahead of us in this market with a potential of 100 million connected homes over the medium term. FWA is expanding addressable market and supply and is accelerating adoption. To capitalize on this opportunity, we are focusing in three areas. First is to accelerate our supply through rapid network expansion led by fiber and deepening our FWA footprint with 5G rollouts. Over the last two years, we have expanded our fiber footprint in over 300 additional cities. We now have fiber presence in over 1,500 cities while FWA is live in over 3,200 cities.
Second focus area is to offer content as the primary use case to drive adoption and customer engagement. For this, we offer a most comprehensive bouquet of regional and global content through more than 29 OTT platforms bundled with over 650 TV channels. The third focus area is to drive growth across our channels. Over the last few quarters, we have integrated our channels and all our channels now sell all services, which has driven our acceleration. We see significant headrooms ahead to sweat our distribution network by leveraging digital tools and data science to improve the quality of acquisitions and productivity in our channels.

Let me now switch to mobility. Portfolio premiumization through persuasion and data science continues to unlock ARPU for us. Our strategy is to upgrade 90 million credit scored customers to our postpaid services. As I mentioned earlier, we see significant opportunity in international roaming portfolio. Our rural expansion continues its growth momentum, while we continue to strengthen our 5G footprint in line with the handset growth that we are seeing in the industry.

Let me now turn to B2B. I will provide some texture on our revenue construct first. About 45% of our revenue comes from core connectivity. This is an industry that is growing at 5 to 6% annually. Here, we are growing competitively and strengthening our leadership position. Another 30% of our revenues come from our digital portfolios and the adjacencies, which is growing at about 20% and the remaining 25% is contributed by wholesale data and voice. Here, growth is a bit challenged.

We see large growth opportunities across core connectivity, Data Center, digital and adjacencies. To capitalize on the growth opportunities, we are deeply focused on three areas. First, is to build low-latency flapless fiber networks, expand our subsea cable presence, augment Data Center to Data Center connectivity and our OPGW infrastructure. This will help us accelerate our core connectivity growth from Data Center and lock-in enterprise customers.

Second, we have stepped up our investment in Data Centers business under Nxtra. Ou

r plan is to reach 1 gigawatt capacity in the next three to four years and grow significantly ahead of the market. Third, we are strengthening our capabilities in the digital portfolio with a portfolio of Cloud, IoT, Cyber Security, CPaaS and SD-WAN. In Airtel Cloud, we are investing in building a suite of products and services. Our Cloud business is already seeing strong traction. Within a short span of time, we have signed over 16 deals with over 300 ongoing conversations with customers across sectors with a focus on BFSI and manufacturing. Our digital stack, where our engagement with existing customers are getting deeper and we have conversations with multiple potential customers that are at advanced stages.

The third pillar of our strategy is the obsession to deliver brilliant customer experience. Delivering an exceptional customer experience remains paramount for us. Our digital experience layer powered by Converged Data Engine, is driving greater velocity in our ways of working and enabling deeper customer engagement. This continues to be an underlying driver of consistency in our performance. We have made significant progress in enhancing network performance in digital tools and data science. We have now rolled out 5G standalone pan-India on both FWA and Mobile services. Most of our FWA customers across circles are now on 5G standalone network, experiencing superior uplink speeds. The Mobile customer base is transitioning in a phased manner to SA, keeping customer experience in mind. As stated before, we will continue to run both SA and NSA modes of 5G for our mobile customers, based on their handset readiness to deliver optimum experience.

To drive our next leg of growth, we are also stepping up investments towards building further resiliency in our transport network and also in modernizing our overall networks. Our incremental spends will be directed towards growth areas including acceleration in Data centers and some pullback of 5G capex with growing device adoption. This we see as a critical step to future proof our seamless experience to our customers and unlock growth potential.

The fourth pillar of our strategy is to build and leverage our digital capabilities. We are now embedding AI at the center of everything we do, marking a clear shift from experimentation to scaled up and business wise deployment. For us, AI is anchored on four core objectives. The first is to accelerate revenue growth through persuasion and precision-based targeting for our customers. Second is building differentiation in our products and offerings. Our industry first, AI powered Anti-Spam solution continues to deliver significant relief to our customers. Since its launch, it has identified over 71 billion spam calls, 2.9 billion spam SMS, and blocked over

seven
lakh fraudulent links. We continue to add features to our Anti-Spam solution, and you will hear more on this in the quarters to come.
Third is to drive operational excellence through AI and lowering costs and improving productivity. And the fourth area is to help elevate
our customer experience with proactive fault management and self-healing network tools. Our AI models are continuously evolving
and generating deeper insights, fundamentally reshaping our ways of working. Let me share a few examples.

Today, AI dynamically optimizes power for our radio layers based on real-time traffic through an automated cell wake and sleep cycles
powered by intelligent traffic profiling leading to significant cost savings without any human intervention.

Our capacity planning for new rollouts is now deeply backed by data science, enabling precision in decision making. This is reflected
in our cost-effective rollout expansion that we have done of over 45,000 rural sites.

Nearly 70% of all our customer calls are today handled by self-serving voice bots, significantly improving customer experience, service
quality, and frontline productivity.

The fi

fth and last pillar of our strategy is war on waste. We continue to deleverage our costs to identify and eliminate wasteful spends.
We are leveraging AI and digital tools to amplify our efforts and drive sustainable savings. A prime example of this is our site running
cost, which have declined by over 6% in last four years despite accelerated rollouts and addition of new technology layers.

So, to sum up, overall, we delivered another quarter of steady performance underpinned by strength of our diversified portfolio and
razor sharp execution. We see significant growth opportunities in ARPU-led growth, Postpaid, Broadband and B2B. Our investments
across the portfolio are focused towards unlocking these opportunities and the new bets to future proof Airtel. Digital acceleration and
AI adoption is central to our strategy. Our balance sheet strength underscores our disciplined capital allocation, focus on deleveraging
and sustained operational excellence, creating a solid foundation for future growth investments.

With that, let me hand it over back to Vaidehi for the Q&A session.

 Vaidehi Sharma – Moderator

Thank you very much, Shashwat. We will now begin the Bharti Airtel Q&A interactive session for all the participants. Please note that
the Q&A session will be restricted to the analyst and investor community only. Due to time constraints, we would request if you could
limit the number of questions to two per participant, to enable more participation. Interested participants may click on raise hand option
on the Zoom application to join the Q&A queue. Upon announcement of name, participants to kindly click on unmute myself in the
pop-up screen and start asking the question post introduction. Participants are requested to limit their questions to Bharti Airtel till 3:30
p.m. as the management will start the Q&A discussion on Bharti Hexacom from 3:30 onwards. With this, the first question comes from
Mr. Manish Adukia. Mr. Adukia, you may please unmute your side, introduce yourself and ask your question now.

Manish Adukia - Goldman Sachs

Hi, Good afternoon. This is Manish Adukia from Goldman Sachs. Thank you so much for taking my question and Shashwat, congratulations on your new role. Couple of questions. First, when I look at, let us say, a wireless business, I think, for the first time since before COVID, or for the last five or six years, your revenue growth has fallen to below 10%, and while we do see the evidence of premiumization in terms of data or postpaid subscriber adds, the fact is that as the base becomes larger, their ability to drive growth probably ends up becoming smaller and smaller, so in that context, and I know you have talked about tariff repair in the past, but till what extent would you be okay for your revenue growth to decelerate before you take a view that you definitely need to take the first step from a tariff repair perspective and without that, how are you thinking about revenue growth potentially accelerating in the foreseeable future in that segment, that is my first question. Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

So maybe I will take that. Yes, there has been, Manish, an overall, sort of softening in market growth on wireless; I think that has been the case for the last couple of years. Market growth in wireless has been averaging about 6%, and if you strip out tariff repair, the drivers of premiumization continue to be the same as we have always seen, which is the feature phone to smartphones, prepaid to postpaid, data penetration, international roaming, so all of that remain intact. I think we have to find more creative avenues to continue to push on ARPU and I think that is really the effort of the Company in the absence of tariff repair.

Manish Adukia - Goldman Sachs

Sorry, just to probe a little bit deeper on that, when you say creative avenues, do we have something on the horizon, or is it like, still too early?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Experiments are always ongoing, Manish, so we keep trying out stuff, and we have A/B testing that happens across geographies so that is something that the team is looking at.

Manish Adukia - Goldman Sachs

Got it. Thank you. Second set of question, just on capex, if you can just provide an update. I know on the previous earnings call, a fair bit of discussion happened around Data Centers, and of course, since then, the world, on at least on AI, has continued to move rapidly. Any update on your Data Center ambitions, updated capex plans and in that context, if also, you can help us understand the rationale for calling the remaining amount of rights issue and what drove that? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Let me take the second part first, Manish. We have already, sort of, given that there was a timeframe of 3 years which is now over, we have no provision to foreclose the call on the rights issue, so we have called it. The deployment of these funds will clearly be done to ensure long-term value creation, and that is really how we will approach it. As far as capex is concerned, I have always mentioned that we have seen, in the last couple of years, moderation in radio capex, step up in homes capex, step up in some of our transport capex, but I think one of the places that we are not particularly satisfied about is the fact that our Data Center market shares are quite low. It is a very fragmented market, and we are at about 12% market share on the overall Data Center market. We have about 120 to 130 megawatts of power, so we are in that ballpark, and our sense is that, in the next three to four years, we will have about a gigawatt capacity, which will give us about 25% share, so we are committed to stepping up investments in Data Centers. I think, at this point in time, I cannot give you a capex guidance, but clearly you will see us investing more and more behind Data Centers; I think, there is no question about that in my mind.

Manish Adukia - Goldman Sachs

Thanks a lot. Maybe just one last question, if I can sneak in. The AGR issue just does not seem to go away, and now with Vodafone Idea having gotten this AGR relief, and your own AGR payments starting in March, which is about a billion dollars, and you obviously also have recurring spectrum payouts, which Vodafone Idea has gotten converted into equities, so I think, in that context, how are you thinking about your repayment liabilities to the Government of India, both for AGR and spectrum, and what do you think are the likely potential outcomes or scenarios through which maybe you also could have a lower cash flow payout or pressure from these two? Any thoughts there? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

We have written a few letters to the DoT, asking for a clarification and basically requesting parity on the treatment of the AGR dues. We are yet to hear from the DoT. Once we hear from the DoT, we will then decide what our next steps are, so that is all that we have, actually, information on the AGR. These letters have already been sent, and we are awaiting their response.

Manish Adukia - Goldman Sachs

Got it.

Thank you for taking my questions. All the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Piyush Choudhary. Mr. Choudhary, you may please unmute your side, introduce yourself and ask your question now.

Piyush Choudhary - HSBC

Good afternoon. This is Piyush from HSBC. First question, again, just on the capital allocation strategy and the use of money, which is coming from the rights issue, given free cash flow is improving and deleveraging has also happened, is there a probability that we can also think of a special dividend or stepping up meaningfully on the dividend, and if you can share some light on this. Secondly, just on the Data Center business, Singtel has announced to acquire stake in STT GDC earlier this week, which has also a

good
footprint in India, could there be opportunities for Airtel and STT GDC in India to partner together and accelerate the pace of DC rollout, is that something which is possible?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Thank you, Piyush, for both those questions. We have always mentioned that, as far as dividend is concerned, we will see a progressive dividend policy. You have already seen that play out over the last couple of years. You will continue to see that play out, and I think the rights issue has really nothing to do with that at this stage. The rights issue was a call because, as I mentioned, we did not have an option to foreclose it, and capital allocation, as far as we are concerned, will be really, first and foremost, our investments will be directed on the core business. The second area of focus will be around adjacencies, which we have already talked about: Data Centers, Cloud, increasingly, some of the scaling, some of our lending businesses and Financial services businesses and many years ago, we also invested in Africa; that has turned out to be an excellent investment. It has given us tremendous resilience in the portfolio, so I think capital allocation will continue to be along these areas. On the Data Center side, we have also seen the announcement by STT and Singtel, and there could be opportunities; I think, opportunities like this keep coming to us. We have nothing to report at this point in time because it is still, sort of, very early days, so we will wait and watch how that plays out.

Piyush Choudhary - HSBC

Sure, and if I may just ask one thing. You have this Perplexity Pro offer, so could you update, like, how many customers are using it, how is the data usage for that cohort of customers, and are you seeing increasing uploads from users which have adopted AI, which could warrant any change in network design from a upload capacity perspective? Thanks.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

It is too early. The thesis that globally is being talked about is that there could be some implications on AI and the way uplink performance or the uplink strategy needs to be planned for in the network design, but it is too small at this point in time to make a meaningful impact, and this is not just in India, this is all across the world. We have had many conversations with several telcos, so it is still not, sort of, playing out yet. On Perplexity, we are not going to disclose the exact numbers, but I would say that there has been a very significant uptake of customers; in fact, the first few days of the launch, we saw it reaching a few millions, and some of the revenue streams that can be driven out of this is the adoption of a paid package on Perplexity, which will give us a revenue share as

 well, so, I think, that is really the way we

see it. But this was a sampling exercise that perplexity was keen to do on the Airtel base, given the quality of the user.

Piyush Choudhary - HSBC

Got it. Thanks Gopal.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain, you may please unmute your side, introduce yourself and ask your question
now.

Sanjesh Jain– ICICI Securities

This is Sanjesh here from ICICI Securities. Thank you for taking my questions. First, on the 5G side, we have seen a recent adoption,
and on the other hand, we are seeing the revenue growth decelerating. Can we think of a more differentiated pricing between the 4G,
5G? We know that we start with 2GB, but that is only Rs.50 kind of a premiumization. Anything, there, are we thinking in terms of
accelerating the 5G pricing faster than the 4G? That is number one. Number two, 5G also gives us an opportunity to provide a differentiated priority based services because it gives a spectrum slicing kind of a capability that can also bring in a lot of premiumization or a customer who are willing to pay for the better quality services; can these kind of offerings possible in India today,
you still see a regulatory hurdle for these?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Shashwat, you want to take that?

Shashwat Sharma - Managing Director & CEO (Airtel India), Bharti Airtel Limited

Yeah, Gopal, I will answer that. Sanjesh, thank you for that. First of all, on 5G pricing, for the customer, the 5G versus 4G pricing we
will have to rethink, but the reality is customers will have to pay for data eventually, the ARPUs have to move up, we have to keep
reading and look at, really, a differential pricing architecture where people pay more for more, instead of looking at differential 5G or
4G pricing because that creates a little bit of confusion in the market and customers do not know what they are using, so I think that
pricing repair and architecture discussion that we have had is still playing out, and I think we need to do a lot more on that side for
getting ARPU growth. Having said that, the new capabilities on 5G, which is linked to slicing, network on demand or other advance
features are very much becoming a reality; they are lighting up as capabilities across the world, and it is ready for India as well, so
you will see this move playout in the next few quarters.

Sanjesh Jain– ICICI Securities

But we are not testing any of those today live in some of the market as market to see if it is really a feasible option.

Shashwat Sharma - Managing Director & CEO (Airtel India), Bharti Airtel Limited

We are not in market, but the capabilities are in our labs, etc., are pretty much, we have them with us, it is a matter of time.

Sanjesh Jain– ICICI Securities

On the regulatory hurdle, do you see any regulatory hurdle there, net neutrality or any of those issues?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Sanjesh, this is a standard feature of 5G technology all over the world. We have seen or, let us say, some part of 5G technology
around this SA network, we can also do it on NSA but largely on the SA network and you have seen this ,for example, T-Mobile in the

US has launched a first responder slice for the police and the defense, Singtel has done something in Singapore around certain areas,
so you are not in any way discriminating use. What you are doing is actually using the intrinsic features of the technology, and the
massive investments that have been made for this technology warrant you to find ways to actually leverage the full potential of that

 technology, so that is really what it is. So this has nothing to do with net neutrality because there is no discrimination in any way of
any content, so I think this is a myth that is there in some misplaced quarters.

Sanjesh Jain– ICICI Securities

That is very clear. Thanks, Gopal, for that. My next question on the Data Center, now that government has given a tax sop for the
cloud provider globally, are we in discussion or customer? I know it is too early days, but how do you see that opportunity panning out
for our Data Center business?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

As you said, it is early days, but I think that the demand for Data Centers, our estimation is that this will certainly fuel that demand,
and with the availability of land, green power, which today most of our Data Centers already have, the maximum use of green power,
we do think that we have a role to play given our heft, our capital that we can allocate towards this, and the deep relationships we
have with customers all around the world, so we are certainly going to pursue this and find ways by which we can step up our Data
Center business. I think that is going to be a big area of focus for the business.

Sanjesh Jain– ICICI Securities

Got it. One last question Gopal, on AGR, I know you have answered it earlier, but are we in discussion, also, for the reassessment of
our dues, because I think that will be very large and very critical for us?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

I think, Sanjesh, currently we have asked for a treatment of parity, and there are many areas which warrant disparity; one of these
areas, for example, is just, sort of, computation errors, arithmetical errors, errors of commission, errors of omission and so these are
areas that we have written to DoT on an assessment, which is on the basis of parity based on the Supreme Court verdict. We, as I
said, are waiting to hear from them and then we will decide what we do from there.

Sanjesh Jain– ICICI Securities

Got it. Thanks, Gopal. Thanks, Shashwat, for all those answers and best of luck.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman, Mr. Subbaraman, you may please unmute your side, introduce

yourself
and ask your question now.

Vivekanand Subbaraman – Ambit Capital

Hello, I am Vivekanand Subbaraman from Ambit Capital. My first question is on the enterprise revenue growth. Shashwat, if you could help us understand the scalability of this business, now that you have mostly shed your low margin wholesale voice business, how should one think about the next three-year growth trajectory from a revenue standpoint, and what are the capex opportunities outside of Data Centers? That is question one. I will ask the second one after you answer this.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Let me take that one, Vivekanand. The B2B, firstly, let me step back and look at the B2B market. The B2B market in India, the top 500 companies account for about 65 to 70% of the overall industry, so it is very concentrated on the top, and this is not unusual to India, this is true across most parts of the world. Secondly, if you look at it, the core business, which is the core connectivity business, and in the core connectivity business, I would include connectivity, I would include CPaaS and things like that. Typically, the growth that you see in that side of the industry are in the ballpark of 5 to 6%, so it is like, sort of, middle single digit growth, and then you have got the digital businesses, which are things like IoT, Cloud, Security, those businesses together are growing at almost 15 to 20%, and today, have become, actually, even larger than the connectivity business, so the opportunity there is massive. Right, now if you look at our portfolio, our portfolio comprises, if you leave the Data Center part

aside, our portfolio comprises three types of businesses:
one is the core business, which is a core connectivity business, where we have been punching well above our weight, we continue to punch well above our weight, our growths are well ahead of the 5 to 6%, which is industry growth. The second component of this business is the digital side of the portfolio, which is ,really, our Cloud, Cybersecurity, our IoT businesses, which are now growing at about 30%, but need to accelerate further because that market is very large and we have small shares in it, and the third component

 of the business is commodity businesses, which are, one was the low margin business, which we shed. The other is stuff like incoming voice, which is international termination, some commodity messaging businesses, these are more or less flat, and one of the challenges or one of the jobs to be done for us, is to retool our portfolio at an accelerated pace and grow the whole of the parts that are really growing rapidly, which is the digital businesses as well as the core, while managing the fact that the commodity businesses are not growing, and I think that the consequence of all of that is that we end up with double digit growth. For example, if you take this year, this quarter, we are at double digit growth on the B2B business. If I remove the low margin, sort of, businesses aside because there is a base effect. Remember, there was a low margin business in the same quarter last year, if I shed that, the underlying business is growing at 10%, which should show up in coming quarters if we do well. Now the question is what do we do to accelerate this? The acceleration will come through the portfolio that slowly diminishes in contribution, which is the commodity side, but more importantly, the acceleration on the digital side and continued outperformance on core. I think that is, really, the strategy on the B2B businesses.
Within the digital businesses, we have made our moves already. We have launched our Cloud for which we are having, as

Shashwat mentioned, several conversations with customers. We have got our IoT business, which has been doing exceedingly well. Our Security business is now growing strongly, both our SOC as well as the partnerships that we have assembled, and all of these businesses need to grow much faster. In IoT, we have done exceptionally because there, we have very, very leading shares, and that business has done really well and continues to do well.

Vivekanand Subbaraman – Ambit Capital

Thank you, Gopal, very helpful. Just one followup here. You mentioned about the conversations that you are having with several customers on the cloud side. Now, the wins that you showcased recently on Xtelify Cloud were telco clients. Are you also in conversation with non-telco clients who could perhaps leverage on some of your solutions like Xtelify Work, and how likely are you to be able to win over business from those customers, and lastly, in this context, who are you competing with?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

So, I think, you are mixing up two things, and I just want to clarify. The Cloud business is India Cloud meant for domestic enterprises. The conversations that I talked about, the 16 odd deals that we have signed, the multiple, couple of hundred conversations that are on, is amongst domestic enterprises, has nothing to do with telco solutions, so that is one business. The other is our digital platforms, which we are taking globally to other telcos because those are telco platforms, and we are taking those aside. There we have won two deals, one of which is now getting much deeper, where we are actually winning repeat businesses across a bunch of things that we have already done. The second is that we are in the final stages with another couple, and we are having conversations with many more, so that is a very different business. These two businesses are not together, both happen to run on the cloud but one is a software business, the other is a cloud.

Vivekanand Subbaraman – Ambit Capital

Thank you, Gopal, for the clarity. My second question is on your portfolio. What are the strategic actions that one should expect from your portfolio, given there was a lot of activity in the last one and one-and-a-half years in this regard, you increased shareholding in Airtel Africa meaningfully, Indus has become a subsidiary, and you may also have more plans in the next three years; if you can outline that, it will be great? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

It is premature for me to outline that in specific terms, but all I would say is that Africa has been a phenomenal investment for us. I think the reason that we stepped up our investment in Airtel Africa is simply because we thought it was an undervalued asset. You can see that, clearly, having played out, the stock and the price of the African asset has, more or less, kind of, doubled in the recent, let us say, five to six quarters, so this has been a really, really good asset, and our performance now on constant currency has always been there. We have been consistently growing now for several quarters at about 20% plus, and in fact now, with the currency having stabilized, particularly the Naira, and in fact hardened a little bit, that is also showing through now in reported numbers because, actually, it is the other way around, the reported growth is now higher than the constant currency growth. So currency volatility is the only risk in Africa, but if you take a long-term view over a 10-12 year period, you typically factor in, let us say, a 5 to 7%

devaluation
per year and that is the cost of doing business in that continent, but that continent presents tremendous opportunity, and both because
it is got a young population, penetration is low, pricing structure is good, and industry structure is sorted in most markets we operate
in, and we are either number one or number two in almost every country we play, so this was the reason that we decided to invest
more in Africa, and that has been proven out well. We will continue to look at opportunities wherever we feel there is some value to
be made, wherever there we feel that we now want to double down, so those are things that we will keep looking at as a Board and
decide from time-to-time.

 Vivekanand Subbaraman – Ambit Capital

Many thanks for the rich answers. All the very best.

Vaidehi Sharma – Moderator

Interested participants may click on raise hand option on your Zoom application to join the Q&A queue please and upon announcement
of name, participants to kindly click on unmute myself in the pop-up screen to start asking the question. The next question comes from
Mr. Gaurav Rateria. Mr. Rateria, you may please unmute your side, introduce yourself, and ask your question now.

Gaurav Rateria – Morgan Stanley

Hi, I am Gaurav from Morgan Stanley. Thanks for taking my questions. I have three questions. My first one is on your net adds in the
4G/5G customer base, it is one of the best in class when you look at in the industry at 20 million plus on a YoY basis, but when I look
at from a one-year or two-year perspective, it used to be at 30 million, so obviously the

net adds have slowed down a bit, is it because
the overall smartphone net adds have slowed down in terms of the pace of addition, and what do you think would have driven that, is
it temporary, is it change in the replacement cycle, any insight there will be helpful? My second question is on your FWA incremental
market share, when you look at the incremental net adds for your FWA, do you look at including UBR, and in that context, there is
room for significant improvement in the incremental market share, would you agree with that? And the last question is on capex: 2022,
we used to be around Rs.20,000, Rs.22,000 crores of capex, which we stepped up for the rollout of 5G and then that number went
up all the way to Rs.28,000 to Rs.34,000 crores in that range for last 3 years. When you look at the next three years journey given
that the accelerated rollout of 5G is behind us, do you think that the pace at which we have been incurring capex that investment will
moderate in absolute terms? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Shashwat, do you want to take the first couple of questions?

Shashwat Sharma - Managing Director & CEO (Airtel India), Bharti Airtel Limited

Yes, Gopal, let me take the first two questions, then I will pass on the capex back to you. On the 4G/5G net adds, you are right about the fact that the industry is seeing a slowdown in terms of the total number of net adds the industry was doing a couple of years back, I think, two, three years back, very difficult to handle why it is happening, except the one thing, which is saying with some of the tariffs hardening over last two cycles, I think there have been a little bit of sim consolidation that has happened in the industry, but the organic rate and the funnel that is there in terms of now bottom end feature phones, etc., has come down, so mathematically, those two reasons are the only reasons I could allude to, but hard to pin down saying why this is, what has led to this overall, but you are right, the industry is seeing less net adds overall. Our share of net adds on 4G/5G have continued to hold and that is an area we will continue to push at. On FWA versus UBR, I think the right way of looking at this, Gaurav, is we look at it as Wi-Fi net adds. I think for us, the market and the customer facing approach is Wi-Fi, and then you have access technology: it could be fiber, it could be FWA, it could be UBR. Now in terms of Wi-Fi, we have significantly upped our competitive performance, and we are actually quite confident that we are now leading the market. I think Gopal alluded to this last quarter, which was that we look at Meta as our data for us to look at our competitive performance, and there, we are seeing a strong performance that we are seeing on the customer side. Our approach is fiber first; we believe that is the best experience for the customer and we want to have as many customers as possible on fiber. FWA augments this, and wherever we have had supply gaps, we have augmented with 5G and FWA rollout. As required, we will judiciously bring in UBR into the mix as well, but that is how we look at it. So, I am not looking at incremental market share on FWA and UBR and separately in the way we look at the business. On the capex, Gopal, I will leave it to you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

On capex, I think, yes you are right, we had an elevated year of capex, which was about Rs.34,000 crores, I think that was a couple of years back where there was a massive rollout that we were doing. I think we still have investment to make, like I said, I think on our transport side, if I could find a way to invest more on transport, to fiber up more towers, I think we would do it. It is just a question of doability; the transport will continue to get its fair share. I think the radio capex on coverage, where you are talking about new sites, that has

clearly slowed down because a large part of the country is now covered, so there will be some opportunities here and there, but that has slowed down. 5G, there is still room to continue to expand, remember, today, the devices that are coming in, almost 90% of all smartphones that are being shipped are 5G ready devices. So over time, if you play this movie forward over the next four to five years, you could have a disproportionate amount of devices with 5G and 4G slowly, sort of, petering off, and that has implications on how much 5G coverage you need over time because it is an opportunity to refarm spectrum away from 5G, offload it onto a more efficient technology, so that is really the second port of call that will keep happening over time and the third area, which I did talk about, but I will again underscore, is that in the next two to three years, we will see a stepped up investment in Data Centers. Now all of that, whether that leads to what the capex actually comes to, we will come to, but I think one thing that you can trust us on is that we will be prudent, we will be disciplined, and we will make sure that every dollar that is spent goes to create value for us.

Gaurav Rateria – Morgan Stanley

Thank you.

Vaidehi Sharma – Moderator

The next question comes to Mr. Pranav Kshatriya. Mr. Kshatriya, you may please unmute your side, introduce yourself and ask your
question now.

Pranav Kshatriya – Emkay Global

Hi, thanks for the opportunity. I am Pranav Kshatriya from Emkay Global. My question is with respect to the capital structure of the
company. If you look at the balance sheet, I think it has never been this good, basically, one times net debt to EBITDA. For a optimal
capital structure can be anywhere between two to three times net debt to EBITDA, so clearly, there is at least Rs.1.5 lakh crores to
Rs.2 lakh crores, kind of a capital which is available. You talked about Data Center rollout, do you think that is where you can possibly
look for some inorganic opportunities, or you think there could be some return of capital which is possible, how do you think we should
look at the capital structure of the company over next 2 to 3 years given, from cash generation and even if you talk about accelerated
capex, that will not really suck up so much of capital, so that is my question? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Yes, Pranav, this is a very good question. I think this is on leverage, Airtel is now one of the lowest leveraged telcos globally within
the industry, in fact, the external net debt, if you take the external net debt without the finance lease obligations and without the DoT
debt, which is almost like a, think of the DoT debt almost like an annual payout based on of a right to use, so it is not even a debt, and
in a way it is just a right to use kind of a debt, so if you remove the finance lease obligations and the DoT debt, the external net debt
is almost down to nothing, so I think you are absolutely right in the way that you are looking at this issue, and for us, I think, one, we
are constantly looking at what we can do to step up investments in order to drive growth. Data Center is clearly a play that we want to
be large on. Obviously, we will be keen to look at where there are opportunities to consolidate a fragmented industry, it has got to be
at the right value, it has got to be done with the right kind of partner, so that is something that we will certainly look at. On the Cloud,
we have already made a reasonable investment, and we are committed to dramatically stepping up investments if needed, and thi

s
is an area that we are again doubling down on, there is a lot of work that is going on, on just the product capability, there are over 160
features that really require, that you need on the cloud for you to be a very good competitive cloud. We built most of those features.
We are also looking for certification with MeitY on being constituted as a sovereign cloud. We think the geopolitical implications that
are playing out across the world will lead to more and more need for data to be hosted in India with the right jurisdiction. There is an
opportunity for strong sovereign play here, and from our perspective, we will do what we need to make the investment. So that is the
second area where we look at, and we are also looking to see whether there could be opportunities to add to the portfolio

within the
B2B space. Again, we have been looking around for the last couple of years, we have not found anything interesting or exciting, and
that is something that we will continue to look at, so all of those opportunities will be looked at, in addition, of course, to the core
business getting its due share of investments.

Pranav Kshatriya – Emkay Global

So just a followup here, can we expect leverage to come back to two times once we are seeing opportunities over next to two, three
years that may not happen, and in that case, you might want to return the capital?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

I think that we are not at that point at this stage to do this. We think that there is still a lot of growth in this market and that is the place
that we are really going to be focused on right now.

Pranav Kshatriya – Emkay Global

Thank you. That's it from my side. Thank you so much.

 Vaidehi Sharma – Moderator

The next question comes from Mr. Arun Prasath. Mr. Prasath, you may please unmute your side, introduce yourself and ask your
question now.

Arun Prasath – Avendus Spark

Good evening. Thanks for the opportunity. This is Arun from Avendus Spark. My first question is on the 5G FWA. Gopal and Shashwat,
can you qualify what is our churn rate in 5G FWA so far, is it closer to the wireless or is it closer to the wireline, and also, we have
also spoke about eventually upgrading the 5G FWA homes to the connected wired homes, is there any progress on that front? That
is my first question.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

We do not disclose the churn by this. I think the churn that we look at is an overall churn. Obviously, we deaverage this and we look
at it in a granular way and see where the opportunities are. I think in the past, as we started with FWA, we did see modestly higher
levels of churn because it was being put in the wrong places where we did not have the right experience. I think those problems are
now getting behind us. Theoretically, you should actually see a much lower churn on fixed wireless access because there is no fiber,
there is no cut, there is nothing; once you put the radio up there, it should be working unless there is a capacity problem at the radio

end on the site, so that is the theory. I think the thesis always is to actually shift fixed wireless access to fiber, that was really the original plan; in fact, a lot of our fiber planning that we do is a function of the total amount of smartphones in a specific polygon. We divide the country into a million micro markets. We look at the polygon and see where are the smartphones and where do we need to deploy fiber, and of course, if you have got fixed wireless access, then clearly, that becomes the first port of call to put in fiber. The only constraint that we will have to deal with as we make that shift from fixed wireless access to fiber is that in some cases you may need to go back into the customer's home for some wiring to be done because where you put the router for the customer, the terminal box for the customer may be slightly different from where the fixed wireless access CPE is actually deployed. So that is the only thing that we will need to sort of, deal with, but we are not at that stage right now. I think that if we find the right proposition, I have no doubt that we will be able to translate and move some of those fixed wireless access customers to fiber because our strategy is to actually then take that same fixed wireless access and then deploy it elsewhere, but we are not at that stage right now. Right now, it is still very much a land grab phase.

Arun Prasath – Avendus Spark

That does not meet our network requirements because we are still largely dependent on FWA and as this FWA customer base scales up, do we see a scenario where we need to step up, say, investment in infill towers or additional spectrum to service these FWA customers?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

No, we are not at that stage at all. The amount of headroom for supply is very high, and do not forget we are rolling out 2 million fiber home passes for the quarter, so we are really stepped up on our fiber home passes every quarter, and we are trying to see, can we do more of this. Today, the total number of broadband homes are about 45-46 million, one day, not in the very distant future, could be about maybe 4 years or 5 years, this will be 100 million, and our effort is to try and get fiber into every nook and corner in this 100 million homes, so that, increasingly, you have more fiber because that is the best way to deliver home broadband.

Arun Prasath – Avendus Spark

Gopal, my second question is like, once again on the capital allocation capex. We are on track to most generate Rs.50,000 crores of free cash flow from India business, this after considering our normal capex across wireless, wireline and enterprise, and even if we consider the Data Center scaling up from current 150 megawatt to 1 gigawatt hour, it is still, one equivalent to one year of our free cash flow. So question is, are we running out of avenues to invest these kind of a huge cash flows every year, the problem typically faced by the telcos in the developed markets; are we getting into that zone, can we, step up our investment profitably in other adjacent areas?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Yes, it is a good question, I think it is a good problem to have. Like I said, I think there are three ports of call right now: one is Data Center, the second is Cloud and the third is opportunities in Financial services, and one of the reasons that we have put in place a

succession where Shashwat runs the India business and I have a little more time to actually look at some of these areas is really the
deployment of this for growth, so this is an area that we will certainly be continuing to look at, but it is a good problem to have.

Arun Prasath – Avendus Spark

Right, that means more inorganic kind of opportunity only.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

I do not have an answer to your question right now.

Arun Prasath – Avendus Spark

Okay.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Other than the things that we are already clear about.

Arun Prasath – Avendus Spark

All the best. Thank you.

Vaidehi Sharma – Moderator

Thank you, everyone. I would now like to remind the participants to stay connected on the call for the next session on Bharti Hexacom.
With this, I would like to pass over to Shashwat for his closing remarks for Bharti Airtel.

Shashwat Sharma - Managing Director & CEO (Airtel India), Bharti Airtel Limited

Thanks, Vaidehi. I want to thank everyone on the call for joining the earnings call. I think it was very, very interactive and perceptive
questions, very interactive session. Thank you all and I will see you next quarter. See you.

Vaidehi Sharma – Moderator

Thank you, Shashwat. With this, I would now like to pass over the call to Mr. Soumen Ray for his opening remarks on Bharti Hexacom
performance.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thank you, Vaidehi, and good afternoon, everyone. Welcome to the Bharti Hexacom Q3 FY2026 earnings call. I have with me, Karthik
and Naval, joining on the call. We delivered yet another quarter of consistent performance, with revenue of about Rs.2,360 crores,
growing about 1.8% sequentially. EBITDAaL for the quarter came in at over Rs.1,120 crores with a margin of 47.6%. We ended the

quarter with a mobile customer base of 28.4 million; net customer addition for the quarter came in at about 370,000. Smartphone customer additions were strong at 283,000. ARPU for the quarter was at 253 driven by our focus on quality customers and portfolio premiumization. Our homes business is seeing robust growth acceleration with a record high net ads of 73,000, driving revenue growth to over 10% sequentially. FWA expansion to newer pin codes and continued deepening of our FTTH footprint is driving this growth for us. We have launched IPTV services in Rajasthan and Northeast, which will amplify and align with our convergence strategy.
Operating free cash generation, which is EBITDAaL minus capex, was a strong 784 crores. Our balance sheet is robust with a net debt excluding leases at about 2,160 crores and a net debt to EBITDAaL below 1. With that, I hand over to Vaidehi to open the floor for questions.

Vaidehi Sharma – Moderator

Thank you, Soumen. With this, the first question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please unmute your side, introduce yourself and ask your question now.

 Vivekanand Subbaraman – Ambit Capital

Hi, I am Vivekanand Subbaraman from Ambit Capital. My first question is on the operating leverage that you have in your business model, so if I look at, let us say, one more round of tariff repair which could happen say, sometime this year or the year after, how do we think about the operating leverage from an incremental EBITDAaL flow through to the new revenue that comes from the tariff repair? That is question one. The second one is your balance sheet is even more conservative compared to Bharti Airtel, so how do we think about capital structure and capital reinvestment opportunities, let’s say, for fiscal 2027 and beyond as well? Thank you.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thank you, Vivekanand. On the first question, which is around operating leverage, there have been past tariff increases; unfortunately, in this industry, we have tariff increases which happen after long durations. Of course, our ARPU continues to grow through the various tools that we have like premiumization, interventions, upgrades and so on and so forth. However, there is also a cost which happens due to inflation, part of which is negated

by our war on waste initiatives, so I think you should look at it not as a point in time but as a trailing thing, wherein costs will keep growing, and we will try to optimize on how we can increase our ARPU to minimize that impact of cost increase and when tariff comes, tariff comes in a big bang way on a certain day, so on that day, yes, there is a flow through; however, we must also remember, in the last two tariff repairs, we have seen market consolidation and so on and so forth, so there will be those things, and some of those consolidations come back, there is continuity impact. I do not think the answer is so simple that if you take a 10% tariff repair, 10% of your revenue minus license fee will flow to EBITDA; part of it will go to negate the cost creep, part of it would also be impacted through customer base adjustment and continuity and so on and so forth. But yes, if you were to ask me ceteris paribus on the day, if a customer recharges at a higher tariff does that flow? Yes, it flows because there is nothing else in terms of cost that has gone up on that day except for variable cost, which is essentially a bit of selling and distribution and license fees. On your second question, yes, it is a pretty robust balance sheet, and I am sure that the Board will look at it and evaluate as to what is the best way to deploy. Remember, we have just started the journey on homes, and both these two places, I think there is a huge play for FWA. Both are difficult terrains, fiberization is a challenge, 5G handset penetration is increasing and my 5G coverage will also keep increasing, so FWA becomes a very viable solution, and hence you may see, driven primarily by the homes, FWA-led Wi-Fi penetration in these two circles asking for bigger capex; but your point is absolutely valid, and I am sure the Board will look at it in the light of what can be done with the solid balance sheet that is there. Thank you.

Vivekanand Subbaraman – Ambit Capital

Thank you, Soumen. Just one followup. The absolute capex has been falling since FY24 and now when I look at the reinvestment in homes and 5G coverage expansion, what is the guidance or direction that you believe capex should take for FY27, if you have formulated your plans, it would be great for us to understand the details of that?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

So Vivekanand, of course, I cannot share with you what is my capex guidance, because as a rule, we do not give guidance, but let me put it in this way. This is a Company which has a very strong balance sheet and will not shy away from putting investment where growth is required. So if I were to answer you, if we find, let us say, a new urban periphery coming up in one of the cities in any of these, we will immediately put up sites over there; if it is reasonably decently penetrated with 5G phones, we will put 5G radio. Home penetration, as I said, we have got very good result; I think sequentially 10% growth, the base is small, I admit, but sequential quarter-on-quarter 10% growth, our ambition will be to grow. So I would flip the answer in a way that, since the balance sheet is strong, it allows the Company to drive growth even faster as opposed to a constraint balance sheet. So as far as guidance is concerned, I am sorry Vivekanand, we do not share any guidance as such.

Vivekanand Subbaraman – Ambit Capital

Alright, Soumen. Thank you and all the very best.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thank you.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sanjesh Jain. Mr. Jain, you may please unmute your side, introduce yourself and ask your question now.

 Sanjesh Jain – ICICI Securities

Soumen, good afternoon. This is Sanjesh from ICICI Securities. First question on the revenue growth: if I look at our mobile revenue growth versus Bharti Airtel's mobile revenue growth, we have underperformed; now this is a second quarter of underperformance. I thought second half is stronger for Hexacom because of tourism in the Rajasthan circle, while the underperformance on the sequential revenue growth very much stays. Any particular reason you are seeing you're growing slower than Airtel or why Airtel is growing faster than us, which is in a way perplexing? I thought this is underpenetrated circle, we have lot more to catch up on 5G, 4G versus Bharti Airtel but clearly, the underperformance is something which, if you can help us in reconciling, that would be very, very helpful.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thanks, Sanjesh. You would recollect that in the last quarter, we had called out that there were some issues because of which we had some customer drop; whilst we are working very closely with the other partner to see that it gets resolved, it has not yet got resolved completely, and hence there is a bit of drag which we still have on that. Now, your interpretation is absolutely right that during winters, certainly Rajasthan, I do not know so much about Northeast but certainly, Rajasthan is a destination where there are a lot of national inroamers and thereby it generates revenue. I have not checked with other, let us say, somebody like travel portal or anybody, but let me put it this way, Sanjesh. We are focused on how the people who are in the state in these two circles, how do we improve their ARPU and their penetration and over there, we have a challenge; as I mentioned, last quarter the challenge started, the challenge is not yet solved, but there is absolute alignment between the two partners to solve it. Inroamers is something which is beyond our control; it is based on whether people want to go to deserts or to mountains, but I can tell you underlying growth, give or take 20-30 basis points here or there, BHL is trending with the national average and you will see results coming in; one quarter aberration, and primarily because of this interference is what is coloring the picture.

Sanjesh Jain – ICICI Securities

That is clear, Soumen. Just one question on the FWA. What is an opportunity size, Gopal mentioned 100 million for pan India but if I want to narrow it down to us, what is an opportunity size we are looking in FWA for Hexacom purpose?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Well, Sanjesh, certain data sets basis which we size out the market, which is a statistical model, data is not available on a state-cut level, so I can hazard a guess, but I would say, if you look at India, the number of households is about, give or take, anywhere between 250 to 300 million and we are talking of, in 5 years, India going to 100 million, so assuming it is 250 million households, that is a 40% penetration. Whatever households is there in these two states, we can assume that the penetration will, of course, be lower because this is a national average; these two states have a challenge, which is why directionally their mobile ARPU is also lower, would be a shade below that. As you know, there is a lot of combined strategy which is used and which is helping this Company to a great deal because otherwise, running two circles, we could not run the heft, so strategies are allowing basis national, but I would hazard a guess anywhere between 30% to 35% penetration of households should be something which we can easily aspire to.

Sanjesh Jain – ICICI Securiti

es

That is clear. One last bit from my side. On the capex and the new business, apart from FWA and mobility, are there any plan for Hexacom or it will all done through the Airtel side?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

We, of course, have small and medium business which happens through Hexacom, but as you know, in these two states we do not have large enterprises, and as was mentioned in the previous call, bulk of the market is restricted to the top 500 companies, and none of them have their head office in either of these two states, so B2B clearly is not an option there. The other option is Data Center, which is an independent company; Nxtra does it, and Nxtra will do it anywhere in India and again, Digital TV ,of course, as we mentioned, IPTV has been launched and you will see strong growth in that because we are evidencing very strong affinity for a converged home strategy. Our interface is best-in-class, so adoption rates are very, very strong. I am not in a position to share them because within the quarter and all of that, but adoption rates are very strong, and we expect that Digital TV will also be something which will work well in these two places.

Sanjesh Jain – ICICI Securities

That is great. Thanks, Soumen for all those answers and best of luck for the coming quarters.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thank you, Sanjesh.

Vaidehi Sharma – Moderator

The next question comes from Mr. Gaurav Malhotra. Mr. Malhotra, you may please unmute your side, introduce yourself and ask your question now.

Gaurav Malhotra – Axis Capital

This is Gaurav from Axis Capital. Soumen, just couple of questions. If I see the bump up in homes capex for Hexacom versus Airtel, obviously there is a big increase for both, but Hexacom is especially quite high; I think it is more than 100%, the first 9 months is, like I think for 100% of your last of FY27, while for Airtel I think it is like some 56%, 60% or some such number. Both are large but this is larger, so given that here it is more FWA while in Airtel there would also be fiber capex, I just wanted to get some sense as to why there is a larger spike in home capex in Hexacom versus Airtel?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

You see, any spike is a function of the base, and the very thing that you said, and I explained, that fiber density in these two circles is lower, which is why our homes business was also lower. If you look at pre-FWA and you look at share of homes business on total topline or homes as a percentage of mobile in Airtel versus Hexacom, Hexacom was minuscule, Hexacom was, I do not remember, but it was 1% or 2% whereas for Airtel it was a good 4-5% or 4%, so the point that I am trying to come to it to you is that the base was very low, and FWA has done the expansion much more, and hence, because of the small base, you see a increase which is disproportionate in percentage terms compared to what you see in Airtel. There is no other reason than that and it is a direct function of how many customers we acquire and how much stock we carry that is the capex, so there is nothing more to that.

Gaurav Malhotra – Axis Capital

Understood. Just a follow up on what you mentioned; you giving some numbers on Airtel and Hexacom from a potential FWA penetration or broadband penetration using 250 million and 100 million, so around 40%, so 250 million is the addressable homes; is that potential?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

No. India has 1,400 million people, and roughly if you take four to five, that number is anywhere between 250 million homes to 300 million homes, that is the number of homes which is there in India. Also, you can also evaluate, and this is nothing to do with Hexacom. You can also look at number of TV homes between cable, satellite and FTA; you will come to a number which will be closer to about 200 million. So, give or take, that is how the industry and the country is divided. So, as I explained, we do not get enough data sets by geographical cuts to do some of our hypothesis, but the data sets are very robust at a country level, so our ability to forecast what could be the size of the market at a country level is much easier, but we can use the same parameter, with a discount factor on affordability, disposable income and come to a number.

Gaurav Malhotra – Axis Capital

Just last question: in the Airtel call, Shashwat had mentioned about the fiber, 5G, FWA and UBR and obviously we understand the issues with or challenges with UBR, but would Hexacom be more open to using UBR, given the likelihood of interference in these two circles will be less, say than, average pan India license?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

So, I will give you two answers, Gaurav. Answer one, as an organization, we want to give home Wi-Fi. Now there are multiple technologies by which you can give home Wi-Fi. According to us, the gold standard is if you give fiber, because that gives you the most consistent delivery and lowest latency. There are two others. The next best is FWA, and the least best is UBR because of interference as you mentioned. We will try everything to deliver and increase our addressable market, so this will be no different. We have to just work out as to where is the demand coming from, and is that wherever that demand is coming from is that a well to do area with a good 5G penetration, as in handset penetration, if it is there then we do not need to think about UBR, we can put FWA and serve that customer, so this is a unique set where we do not want to put a FWA radio because the affordability is not there and

 5G handset is not there, but there are a lot of people who want home Wi-Fi, so there again UBR will go, but our sequence of preference
is that.

Gaurav Malhotra – Axis Capital

Is this some sort of a nuance change versus what was the thought process till sometime back, wherein UBR was like, maybe you
were like, more negative, not negative maybe you were less enthused on UBR say, till, few quarters back than what you are today
would that be the right way of thinking about it?

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

No Gaurav, absolutely not. As a matter of fact, technology cannot drive product, consumer demand should drive product and thereby
technology. Now, if let us assume 95-97% of my demand is coming from places where I can service through fiber and FWA, I do not
need UBR. That is why I told you, this is a place where there is not enough 5G handset penetration but people are asking, people are
ready to pay Rs.400-500 per month plus taxes to get a broadband connection, a home Wi-Fi connection, if that happens, we will
deploy, there is no debate around that, so there is no rethinking, that is why I am saying, technology is not good or technology is not
bad. The question is there is customer demand and for that customer

demand, I need a product. Now, whatever technology allows
me to offer that product I will do and the reason why we are still evaluating is, we do not want to offer a product where the customer
says I have a need but I have a very bad experience, we do not want to end up in that scenario, which is why we want a product which
meets a customer need and consistently gives more than acceptable customer experience.

Gaurav Malhotra – Axis Capital

Understood. Thank you so much.

Vaidehi Sharma – Moderator

Thank you, everyone. Now, I would like to pass over to Soumen to give his closing remarks for Bharti Hexacom.

Soumen Ray – Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Thanks a lot for joining the call. Very interesting questions and very relevant ones. Look forward to speaking to all of you next quarter.
Thank you.

Vaidehi Sharma – Moderator

Thank you, everyone for joining today. The recording of this webinar will be available on the Company website. Have a great day
ahead, everyone. Bye.

Call: May 2026

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BSE Limited Phiroze Jeejeebhoy Towers Dalal Street, Mumbai – 400001, India Scrip Code: 544162

Sub: Transcript of the Earnings Call dated May 14, 2026

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, we are enclosing herewith the transcript of the Earnings Call held on May 14, 2026 in respect of the audited financia l results of the Company for the fourth quarter (Q4) and financial y ear ended March 31, 2026.
The transcript of the call is also uploaded on the Co mpany's website i.e.https://www.bhartihexacom.in/res ults-quarterly-results.html .

Kindly take the same on record. Thanking you, Sincerely yours, For Bharti Hexacom Limited

Amit Chaturvedi Company Secretary & Compliance Officer
Encl.: As above
Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Li mited Q4 ended March 31, 2026 Earnings Webinar

- 1 - Conference Call Transcript

Event: Transcript of Bharti Airtel Li mited and Bharti Hexacom Limited 4Q ended March 31, 2026 Earnings Webinar

Event Date/Time: May 14, 2026/12:00Hrs

Final Transcript
Transcript of Bharti Airtel Limited and Bharti Hexacom Li mited Q4 ended March 31, 2026 Earnings Webinar

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- 2 - CORPORATE PARTICIPANTS

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Mr. Gopal Vittal Executive Vice Chairman, Bharti Airtel Limited

Mr. Shashwat Sharma Managing Director and Chief Executive Officer (Airtel India), Bharti Airtel Limited

Mr. Soumen Ray Group Chief Financial Officer, Bharti Airtel Limited and Director, Bharti Hexacom Limited

Mr. Akhil Garg
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Mr. Naval Seth
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Mr. Karthikeyan Velu
Group Financial Controller, Bharti Airtel Limited and Chief Financial Officer, Bharti Hexacom Limited

Vaidehi Sharma – Moderator
Good afternoon, ladies and gentlemen. I am Vaidehi Sharma, the moder ator for this webinar. Welcome to the Bharti Airtel Limited and Bharti Hexacom Limited Q4 ended March 31, 2026 Earnings Webinar. Present with us toda y, is the senior leadership team of Bharti Airtel and Bharti Hexacom Limited. I must remind you that the overview and discussions today may include certain forward - looking statements that must be viewed in conjunction with the risks that we face. Post the management opening remarks, we will open up for an interactive Q&A session. Interested participants may click on raise hand option on the Zoom application to join the Q&A queue. The participants may click this option during the managem ent opening remarks itself to ensure they find a place in t he queue. Upon announcement of name, participants to kindly cli ck on unmute myself in the pop-up screen and start asking the question post introduction. With this, I would like to hand over to Mr. Soumen Ray for his opening remarks.

Soumen Ray – Group Chief Financial Of

ficer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Thank you, Vaidehi. Welcome to the Q4 FY 2026 earnings call of Bharti Airtel Limited. I have with me: Gopal, Shashwat, Akhil and Naval. I am pleased to inform you that today, we will have Mr. S unil Bharti Mittal, Chairman, Bharti Airtel Limited, joining us for the last 10 to 15 minutes of the webinar to address queries relating to promoter shareholding. I will now start with an update on o ur consolidated financials for the Q4 and fu ll year ended FY2026, post which I will hand over to Shashwat to talk about our India business including the strategic priorities.
First, a quick roundup on FY2026. We delivered another year of st rong performance. Our consolidated revenue crossed another milestone and came in at a lifetime high of about Rs.2,11,000 Crores backed by strong performance in both India and Africa. EBITDAaL came in at about Rs.1,08,000 Crores with a margin of 51.2%. India EBITDAaL excluding passive, came in at about Rs.72,500 Crores, growing around 18% and delivered a 3.1% improvement and stood at 51.7%. Our sustained operational excellence is underpinned by our portfolio pr emiumization, sharp execution and tight control over cost through war on waste initiatives. Capex for FY2026 for India excluding passive was around Rs.31,000 Crores. Operating free cash flow, which is EBITDAaL minus capex was a solid Rs.41,500 Crores plus. Di sciplined capital spending and operat ional excellence continue to strengthen our balance sheet. Net debt to EBITDAaL now stands at 1.1. The Board recommended a dividend of Rs.24 per share, a significant increase over last y ear's Rs.16 per share. This is in line with our stated philosophy of progressive increase in pa youts.

Let me now turn to our Q4 performance. Consolidated revenues came in at about Rs.55,400 Crores, a growth of 2.6% sequentially. Africa maintained its underlying growth trajectory. Q4 const ant currency revenue growth was at 1.1% and was impacted by seasonality as well as lesser number of days. Currency tailwinds further supported growth in reported currency. India revenues excluding passive came in at about Rs.36,100 Crores. EBITDAaL margins came in at about 52%, an improvement of 20 basis points.

Let me now talk about the strength of our diversified portfo lio and an update on our new growth bets. Our diversified and resil ient
portfolio continues to play well. Underly ing performance across India and Africa was strong. Africa now accounts for 29% of revenues. India mobile- 52%, India non-mobile at 13% and Indus at 6%. Our investments are directed towards future proofing Airt el
by building world class digital network, sharpening the core portfolio and scaling new digital growth engines.
Our strategy to further diversify our portfolio is reflected through investments in new growth bets. Let me spend a few minutes on the
same. Over the year, through a very disci plined approach, we have identified new ar eas, which we call adjacencies and operated
calibrated experimentation on them. To us, adjacencies means the business must pass two filters: first, we have a proven right to

 win and second, we can create a differentiated value proposit ion. We have sharpened our focus basis the result of the experimentation in three specific adj acencies: these are data centers, fi nancial services and Airtel cloud.
In data centers, we continue to make steady progress against ou r ambition of building 1 gigawatt capacity over the next few yea rs.
To augment this journey, Nxtra announced a $1 billion fund raise for marquee investors alongside participati on from Ai rtel. We see
this as a strong validation of both the scale of the oppor tunity and our execution capabilities in this business.
In financial services, we reached an important milestone, with our subsidiary Airtel M oney Limited receiving the Reserve Bank o f
India's approval to operate as a non-deposit taking non-banking financial company. We are now progressing towards commercial
launch. Over the last three years, we have built a strong foundat ion as a loan service provider, serving customers' needs throu gh
digital first solutions. Our loan service provider business continues to deliver strong growth, with monthly loan disbursement run rate
now over Rs.550 Crores. What gives us c onfidence here is the combination of our digital platform, data and analytics capabiliti es
and strong operating discipline. Together, these position us well to expand access to simple, secure and innovative financial services at scale. Within our financial service portfolio, Airtel Payments Bank de livered another quarter of strong performance . It
ended Q4 with monthly transacting users of about 120 million. An nualized revenue run rate is now about Rs.3400 Crores, growing
23% Y-o-Y. Deposit remains strong at over Rs.4600 Crores growing at 27% Y-o-Y.
In Airtel Cloud, our telco-grade soverei gn cloud offering is seeing enc ouraging traction. We ended the year with securing 24 de als,
followed by further wins in April and we ar e currently in conversation with multiple customers across industries. We have also made
very good progress in building attributes and credentials required by our customers in this busines s. In these new growth bets, we
are still in early days but we are encouraged by the progress, confident in the opportunities ahead and committed to building t hese
businesses with the same discipline, customer centricity and long-term focus that have s haped Airtel's journey so far.

Now, an update on group synergies. We are working on various areas including technology, network, s upply chain and talent acros s
the group. Initial outcomes are extremely encouraging and moving as per our plan. Our tech stack has already been extended to
Africa, Payments Bank and Indus Towers at arm's-length pricing. This gives significant leverage across the group to shorten the
learning curve, drive cost effectiveness and accelerate digital wa ys of working to drive growth. In addition, we have taken B2B and
homes as two areas for massive synergy. Wi thin this, we are working towards signi ficantly reducing dependence of diesel by transitioning towards high powered batteries and renewable power. We strongly believe that work across these areas will provide
meaningful outcomes with superior re venue growth and cost efficiencies.

Moving to the material transaction that wa s approved by the Board to acquire additional stake in our Africa operations. The

Boa rd
yesterday approved a share swap transaction between Airtel and ICIL to acquire additional 16.3% in Airtel Africa. We continue t o
remain confident about the long-term growth opportunity in Africa led by the low tele-density at about 45% on unique SIMs,
smartphone penetrations of only about 52%, very low data consumpt ion per customer and overall young demographic profile of the
market. Further, there are two large growth opportunities, the first one being homes, enterprise and data centers and the secon
d
being Airtel Money where there is a potential for further value unl ock with listing. This is a no cash deal and value accretive to Airtel
shareholders.
Before I hand over to Shashwat, I would also like to talk about the impact of the ongoing geopolitical crisis. There are a few areas of
our operations, which are seeing impact in cluding international roaming, capex on a ccount of INR depreciation, restriction on g as
supply affecting galvanizing industry in tu rn leading to lower tower build-outs. The other obvious impact is energy price incre ase.
Af

rica has already been impacted by it. Havi ng said that, we are looking at all possi ble opportunities to mitigate the impact w ith
amplified efforts through our war on waste initiatives. With this, I will now hand over to S hashwat for an update on India busi ness.

Shashwat Sharma – Managing Director and Chief Executive Officer (Airtel India)

Thank you, Soumen. A very good afternoon to everyone. I will st art by sharing an update on our ESG plans followed by each of ou r
business segments and then ou r strategic priorities.
Let me start with ESG. Our ESG progress is anchored in our strategy and in the way we leverage technology and digital innovatio n
to drive sustainable operations with enhanced efficiency. A key focus area is increasi ng the use of energy from alternate to
renewable sources. This is reflected in our continued expansion of solar power deploy ment across our network infrastructure. We
ended the year with 42,000 network sites which have solar access. Over the last two years, we have solarized nearly 27,000
network sites. We also made significant progress on workforce di versity. Women contribute to ov er 20% of our workforce today,
improving from 11% that we had in 2023. This is not enough and we be lieve that we must continue the work much more to improve
our women representation in our workforce.

Moving on to a quick update on each of our businesses, and let me start first by rounding up the year gone by. We delivered str ong
performance across our businesses. Mobili ty sustained revenue market share gains to reach a lifetime high share. Homes
accelerated strongly this year, adding 4.2 million customers, wh ile B2B further strengthened its market share in core connectiv ity
and delivered strong outcomes in its digital businesses. Our IPTV launch last year was well received, with encouraging customer
adoption. We continue to invest in digital infrastructure, deploying nearly 7800 more network sites and rolling out nearly 43,0 00 km
of fiber. Fiber deployment remains a strategic priority for us and I will come back to this shortly. Underpinning this, our dig ital first
approach and relentless focus on serving customers better every day . FY2026 was a landmark year for us. We continue to deliver
strong performance and seeded three new digital growth engines that we believe will drive the long-term growth of the Company.

Let me now turn to the quarterly performance of the business segments for Q4. Mobile, we added 4.7 million customers in Q4 and
5.8 million out of those were smartphone customers. Our ARPU for the quarter came in at Rs.257, which on an EDB basis was an
increase of Rs.3 for the quarter. We are not happy with the ARPU increase of Rs.3, part of this issue was linked to West Asia c risis

- 4 - and international roaming revenues, but we are now determined to doubling down on all our levers on ARPU and growing and accelerating the space.

Homes- we continue to deliver another strong quarter, our ne t ads came in at 1.1 million while FWA continued to expand the addressable market for us, we are deepening our footpr int on FTTH with accelerated home pass expansion.

Digital TV saw a turnaround. We added nearly half a million customer s during the quarter led by the IPTV adoption. Our IPTV tak e rates continue to improve and are deliv ering on our converged agenda on content.

Airtel Business revenue came in at about Rs.5,500 Crores, gr owing 2.6% sequentially. We ended the year on a strong note with a healthy order book and a funnel across domestic and global business with multiple wins from large enterprises. During the quart er, we secured

multiple deals on IoT, security, cloud, core connec tivity, and Nxtra and we ended the year with a strong order book growth of 17% in FY2026. Digital businesses delivered a strong re venue growth for us growing at 27% in FY2026. We continue to strengthen our offerings through strategic investments across our digital portfolio spanning cl oud, cybersecurity, financial se rvices, IoT, digital platforms and CPaaS. These investments are enabli ng us to build scalable enterprise grade digital capabilities and diversify our revenue mix.

Let me now move to our strategic pillars and start with quality customers. Starting with homes, I had mentioned earlier, we see a large opportunity with market potential of nearly 100 million connec ted homes over the medium-term in India. Growing smart TV penetration, evolving content consumption behavior of consumers and the growing need fo r reliable and secure home connectivity are driving a very strong demand well beyond key urban centers. Given the global environment, there has been challenge on this business with memory and chipset supply as we ll as prices. Given this scenario and the fa ct that fiber offers the superior expe rience and reliable connectivity to our customers, we have doubled down on all our efforts to grow our fiber business. In FY2026, we r olled out upwards of 8 million home passes to cross 45 million home passes and we continue to expand rapidly. Another area where we see growth is driving fixed and mobile c onvergence. We have seen conv erging Wi-Fi and mobile for our customers drops their chur n by nearly 50%. We are determined to lever aging our existing relationships with high value customers and scale our converged bas e.
We have taken a step in this direction th rough our recently launched O ne Airtel plans which offer customers': convenience, flex ibility of bundling as well as great value.

Let me now switch to mobile. The focus on mobile is to dramat ically accelerate our ARPU gr owth in the business. Overall upgradation with data consumption in 5G, handset upgrades from f eature phones and international roaming offer large head room for growth. However, we see a very large opportunity in upgr adation to postpaid and are determi ned to accelerating postpaid gro wth by driving differentiation. Our rural netwo rk expansion program continues and contributes significantly to our growth momentum.

Let me now turn to B2B. Majority of incremental growth for the industry in B2B is coming from adjacencies including cloud, secu rity, IoT, CPaaS, data centers. Core connectivity growth is moderate and we continue to grow competitively. To capitalize on the grow th opportunities, we are focusing on three key areas. First is to build a gold standard infrastructure with low latency flapless f iber networks, deeper subsea cables presence across the globe, augment DC to DC connec tivity and expand our OPGW infrastructure.
Over the last three years, we have deployed over 1,43,000 kilome ters of fiber and we believe the pace of deployment should

continue to address the growing customer need s across as well as in future proofing Airtel itself. The other area we need to strengthen is our digital portfolio capabilities while building a world-class delivery and assur ance organization. We are devel oping comprehensive suite of digital services to deepen and sharpen our portfolio across cloud, IoT, cybersecurity, CPaaS and SD-WAN.
We are strengthening our account management capabilities to deliver superior customer experience supported by digital tooling a nd data science platforms.

The second pillar of our strategy is the obsession to deliver brilliant experience. Delivering an exceptional experience to our customers remains paramount to us and underpins everything we do, from network investments to digital innovations. Our Converged Data Engine that powers digita l experience layer is accelerating our ways of working and enabling deepe r customer engagement through persuasion and contex tual marketing. Our network priorities are towards build ing a gold-plated experience an d we are investing in strengthening our transport layer and launchi ng advanced capabilities on 5G. Our 5G network is now fully SA ready. FWA is running fully on SA while mobile customers are tr ansitioning in a phased manner. We continue to refine our digita l tools and depth of data science to improve our experience and redu ce customer churn. Customer obsession is deeply embedded in our culture that we have built over the years and this is anc hored in two core beliefs: ownership mindset and entrepreneurial s pirit.
Embodying this philosophy, we have estab lished an annual tradition. Teams across the organization spend a day in the field with frontline colleagues, directly interacting with customers, list ening to them, learning and grasping their pain points. Every ye ar through this initiative, we gather critical insights across net work customer journeys, delivery and assurance and many other ar eas.
These insights help us resolve issues stru cturally and make our network more resili ent and help us serve our customers better e very day.

The third pillar of our strategy is to build and leverage our digital capabilities. AI is now central to our digital agenda and we are progressively embedding AI across our platform architecture. Let me give you some flavor of notable outcomes from AI last quart er.
Our fight against spam has always been powered by AI at scale. In Q4, we identified an additional 14 billion spam calls and ove r 520 million spam messages. Our next best acti on AI model generated 135 million actions last quarter, which helps us accelerate our cross sell on Wi-Fi, postpaid and financial services. In Q4, we pr ocessed 375 million customer interactions with our voice AI b ot and processed 256 million images using our vision AI for safety, design and workmanship. AI is contributing to nearly 30% of all co de written at Airtel and this number is growing with every passi ng week. I want to emphasize that we are still in the early stages of our journey on AI, but we are beginning to see meaningful impact scaling up across businesses.

 The last and fourth pillar of our strategy is war on waste. As there are cost headwinds on both opex and capex, I want to under score that we have widened the funnel to identify and eliminate wa ste across the organization. While unpredictable scenarios are play ing out globally, the cost pressures we are seeing today remain conf ined to a few specific areas: particularly in servers and memor y prices as well as availability of thes e components. Significant steps to re-engine er and redesign are underway in the organizat ion to mitigate these pressures. We have also taken significant steps to reduce our dependency on diesel consumption across our sites.
These initiatives are beginning to deliver meaningful outcomes and we believe there is a lot of work still to be done in this s pace of

war on waste.

To sum up, overall, we delivered another year and a quarter of strong performance underpinned by strength of our diversified portfolio and sharp execution. Looking ahead, we continue to see large growth opportunities across mobility led by ARPU growth through portfolio premiumization and postpaid, rapid expansion of homes and across B2B. At the same time, our investments are directed to building digital businesses and new growth bets at scale to future proof Airtel and its long-term growth. Digital acceleration remains at the core of our strategy with AI increasingly embedded across t

he busines ses at scale. The strength of our balance sheet reflects our di sciplined capital allocation, sustained delever aging and operational excellence. This has enabled us to sustain a progressive dividend policy with our dividends in FY2026 increasing by 50% over the previous year. With that summary, let me now hand it over back to Vaidehi for the Q&A session.

Vaidehi Sharma – Moderator

Thank you very much, Shashwat. We will now begin the Bharti Ai rtel Q&A interactive session for all the participants. Please not e that the Q&A session will be restricted to the analyst and investor community only. Due to time constraints, we would request i f you could limit the questions to two per par ticipants to enable more participation. In terested participants may click on raise hand option on the Zoom application to join the Q&A queue. Upon announcement of name, participants to kindly click on unmute myself in the pop-up screen and start asking the question post introduction. Partic ipants are requested to limit their questions to Bharti Ai rtel till 01:00 p.m. as the management will start the Q&A discussion on B harti Hexacom from 1:00 p.m. onwards. With this, the first question comes from Mr. Manish Adukia. Mr. Adukia, you may pl ease unmute your side, introduce yourself and ask your question now.

Manish Adukia - Goldman Sachs

Good afternoon. Thank you for taking my ques tions. This is Manish Adukia from Gold man Sachs. My first question is on capital allocation and thank you for the color around dividend payout, now, the free cash flow you are generating in the India business last 12 months- more than $4 billion, consolidated business- more than $5 billion of free cash flow. In the context of that free cas h flow, the dividend payout is still less than about 40% of that free cash flow generation plus for Africa you have done like a share s wap transaction, so in the context of that large free cash gener ation over the next few years, one, how are you thinking about progressively, what payout may look like in a steady state and tw o, if you can just talk about what are the other priorities in terms of assets outside of India that you may potentially look to explor e in the future given, just, the strong free cash flow generatio n and maybe the criteria you may look to assess any asset that you ma y want to acquire outside India? That would be my first question please.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Manish, let me take that. Obviously, the free cash flow generati on for the Company has increased and that is the reason why we have sort of stepped up and also said to you in the past that there will be a progressive dividend policy, which is the reason that you have seen the step up in dividend. As far as capital allocation is concerned, I think the way we think about it is, the first a nd primary port of call is to really invest in the co re business. This is the core business in India, the core business in Africa, the cor e business in Indus Towers, etc., and I think the climb in stake in Africa wa s predicated on that assumption of really picking up a greater s take in a very valuable asset where the penetration of data, tele-density, the penetration of smartphones is low, Airtel Money is a big opportunity, so we are very excited about that. The second port of call is, really, to continue to deleverage to the extent tha t we need to. The third port of call is to invest in some of these adjac encies, which Soumen spoke about. Data centers, you will note tha t despite the investments we have put in, we aren’t a big player in the data center market. We are only at about 10% to 12% share and for a Company of our size, we are not satisfied with that kind of presence, so we really need to step up our game in data centers and our ambition is to get to a gigawatt as we mentioned in a few years’ time but that game will not

end there, we will continue to build out and the data center market has 50% to 60% of its demand coming out of Mumbai, so land will need to be acquired and data centers will need to be built. Second port of ca ll is, really, around financial services and this is why we h ave announced our NBFC after the experiments that Soumen spoke about. Again, we are excited about it because we believe we have a genuine moat here, to really drive the business as a whole a nd create stickiness for our user base, in a market where the penetration of financial services and lendi ng generally is very low and the headroom fo r growth over the next three decades is high.
Obviously, it is a business that needs to be run prudently, collecti ons are more important as many of you have told us in small er conversations and we fully understand that but the power of our platform is showing us that the delinquencies as well as the collection cost as well as sales acquisition cost are much lowe r than if you do it alone in a very fragmented market. So, that is the second port of call. The third port of ca ll is, really, around cloud and here again, we have not really started. We have got 25 deals as Soumen mentioned, these are small deals but we have just begun. We think this could be a large opportunity, especially in a new geopolitical context where a lot of workloads and when I speak to many companies, they tell me that a lot of workloads do need a sovereign requirement. We are fully sovereign, we are contro lled by an Indian entity, so, the control plane, the data plane, th e

 jurisdiction, all of it is in India and our capabilities that we have built for ourselves, which, by the way, runs one of the l argest cloud instances in India, has given us the confi dent to extend into the space. All of these will require capital, so once we have con cluded that, then we will look at any other areas. As of now, there is nothing to talk about in te rms of additional capital being need ed in any other area.

Manish Adukia - Goldman Sachs

Thank you, Gopal and thanks for the comprehensive answer. So, just to clarify on that and given whatever you have listed is all India assets and given the large transaction in Africa you have announced, it is safe to assume that for the foreseeable future , there are no plans for further capital deployment in non-India assets, would that be fair to say?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

For now, yes, absolutely I think we will continue to look at bol t-on acquisitions in the spaces that we have already talked abo ut, whether it is in towers, it is in cloud, it is in cybersecuri ty, in B2B specifically, so those are areas that we will continue to look at, but if there is anything that is going outside, then at th is point in time, there is nothing to talk about.

Manish Adukia – Goldman Sachs

Very clear. My second question, just on ARPU, and when I look at, let us say, the ARPU, while yes, the growth has been weak but even despite limited ARPU growth, you are no w generating like decent returns on capita l in the India business at about mid-tee ns, free cash flow is improving every year, y our capex requirements are not material, at least in the core wireless business, so in the context of that, one- is it even realistic to assume any meani ngful tariff hikes in the foreseeable future, like, what would be the rationale for more tariff hikes? And the bus iness is doing generally okay from a free ca sh flow returns perspective and a relat ed question, Shashwat mentioned that from here on, you are not happy with how the ARPU was in t

he previous quarter and you look to accelerate, but what will really change the trajectory? Y our postpaid adds have been strong and data adds have been strong, so, given the base is so large without tariff hi ke, should not the growth only continue to decelerate? If you can just, maybe, prov ide more color there. Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Manish, let me take this and Shashwat can supplement this i f, Shashwat, you have got anything to add. Fundamentally, my belief is that the price architecture in this country is broken. You contrast Indi an pricing with African prici ng. For every GB that is c onsumed, there is a little bit of revenue that you get. Here, fundamentally at about Rs.340 to Rs.350, you are capped out because you ar e running unlimited data plans. Now, nowhere in the world do you see this capping out at unlimited data at these levels. If you l ook at markets in the US, for example, these kind of plans begin at $60 to $70, you look at even Europe, most of these markets, unlimi ted data would really begin at about €35 or £30 to £35, so the fact is that it is the architecture of pricing that fundamentally is broken and needs to be repaired. You are absolutely right, at the lower entry le vels, the price is, today, at Rs.199 in India. At a time l ike this, to take up prices on those kind of packs is something that we will nee d to do with caution, but if the allowances were to change a nd the architecture were to change, which is rea lly moving from small, medium, large and extr a large, where you have different, sort o f, amounts of allowance going in, which allows a natural pathway to upgradation. Given the stratificati on in this country from the very poor all the way to the very rich, the fact is that ARPU w ill only go up. So it is an unfortunate situation like I have mention ed before, where the rich are paying less than they ought to and the poor ar e perhaps paying as much as they need to, so this is, I think, the thing that needs to change. Shashw at, is there anything to add?

Shashwat Sharma – Managing Director and Chief Executive Officer (Airtel India)

No, Gopal, I think this is all. Thank you.

Manish Adukia – Goldman Sachs

Thank you for taking my questions. All the best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Kunal Vora. Mr. Vora, you ma y please unmute your side, introduce yourself and ask your question now. Mr. Vora, you may please unmute your side, introduce yourself and ask your question now. The next question comes from Mr. Ankur Rudra. Mr. Rudra, you may please unmut e your side, introduce yourself and ask your question now.

 Ankur Rudra – JP Morgan

Thank you. So, you mentioned ARPU coming a bi t lighter than you were expecting, but it is still sort of up 5% thanks to all the organic drivers you have been working on. I am just curious if you think about FY2027, some of the headwinds on international
roaming probably are still here, do you think there will be an additional headwind from smartphone sh ipment drops this year, wh ich
might lead to a lower organic ARPU expansi on short of any kind of tariff increases?

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Shashwat, do you want to take that?

Shashwat Sharma – Managing Director and Chief Executive Officer (Airtel India)

I will take that, Gopal. Ankur, I think the only thing I would add, Ankur, is, there is, we have seen some bit of softening of shipments
of handsets, etc., and prices going up, so we have not yet seen any impact but we cannot rule it out. Having sa

id that, the org anic
ARPU levers that we have which we want to sweat much more and especially led by a much bigger play in postpaid as well as
getting customers to their best fit plans, upgradi ng as much as possible, within the ti ers itself, driven by consumption. I thi nk, those
levers, still, give us good headroom for continuing ARPU growth for many quarters to come. So I think, it is a combination of b oth.
As Gopal said, the pricing architecture , eventually, is the biggest unlock if you ask me, but the feature phone to smartphone s pace
needs to be watched because handset prices have gone up very sharply in the last few weeks, which we will watch.

Ankur Rudra – JP Morgan

Thank you. The second question is on capex. You did highlight several demands on capital across new initiatives, financial serv ices
and perhaps even 5G densification, if that is part of the plan. Could you maybe talk about capex plans for the coming year? How this
will change versus prior years, particularly given the intensification on the growth bets versus the core and maybe just a foll owup
how overall capital allocation should look like this year? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Look, I think, let me qualify the capital allocation and just, sort of, reassure it and underscore the point that I was making. The first
and primary port of call for any capital a llocation will be our core business. I think we have no right to play in any adjacenc ies unless
our core is vibrant. So within the core, radio capex, as I have mentioned before, is moderating. In Africa, it is growing but i n India it is
moderating. The core capex, which is a smaller component of c apex, is moderated. Transport capex- we are going to double down
and actually do more. We have been doing this systematically for t he last four years. Our fiber points of presence need to incr ease.
A lot more quality of infrastructure needs to be put in place. Th ere is a big project that is underway, which we spoke about la st time
on resilience, just a resilience of our edge data centers and we are focused right now on building in the next 18 to 24 months- 56
world class edge data centers, which will really stand us in very good stead over the next two to three decades and build a str ong
point of differentiation for us for comput ation that could happen at the edge over time, so that will continue to be a focus. D

ata centers, we have spoken about, which will be a focus. Home busine ss is another big area of focus that will continue to get all the focus and then the cloud business is a modular business in terms of the servers and the compute but it goes into our existing d ata centers and we are carving out space in al l the data centers that we have. We curr ently have three cloud regions and we will continue to bolster capacity in those regi ons as and when we need to. Financial servic es will require some investment. We have announced our investment plan already. We will see how this plays out. We will do this carefull y and prudently and we will step up our growth, but we will continue to do that in a way that leve rages or, sort of, builds a culture of both collection efficiency as well as compliance. So the net result of all of that, if you look at the capex, while we do not give gui dance typically, our sense is t hat we will be in the ballpark of this year, give or take a little bit.

Vaidehi Sharma – Moderator

The next question comes from Mr. Aditya Suresh. Mr. Suresh, you may please unmute your side, introduce yourself and ask your question now.

Aditya Suresh – Macquarie

Thank you for the opportunity. The first question is on return on capital employed. You had kind of mentioned that there has be en an expansion there. Today, on a consolidated basis , you are at about 19%, is it possible to articulate any targets on a ,say, two to three year basis in light of these capi

tal a llocation bets, which the Company is taking? That is question one. Question two was on Nx tra, could you articulate the business model wh ich you are thinking about for Nxtra, is it going to be tenancy or is it going to be involving GPUs and renting out said GPUs, in that context again, could you, maybe, elaborate and touch on a little bit on your partnershi p with Google here? Thank you.

 Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

On return on capital, I will dodge the bullet of what our target s are, I do not think we give those targets out. I think the fa ct is that on our core business, given the scale that we have and given the massive amount of heavy lifting that we have seen over the years and the obsession to strip out waste, we hope to continue to see operating leverage as we get gr owth that should give us additi onal ,sort of, returns. On the Nxtra side, for us, the model is r eally around tenancy, this is a co location model, specifically with Google, they are building a very large AI data center in Visakhapatnam and we are, sort of, building it for them, so there is, again, a colocation-led project. We are currently not doing GPU as a serv ice as I had mentioned earlier. We are watching the space becau se the GPUs that we bought for ourselves in the recent past, a few hundred GPUs, the efficiency of thos e GPUs is 10x of what the GPUs were two-and-a-half years ago and they are also cheaper, so it is unbelievable, actually, the pace at which these chips ar e getting more and more efficient. So we are using it for our own needs for all the AI work that Shashwat spoke about, but our da ta centers are being built with the latest technologies in term s of cooling capabilities, power efficiency and also a standard too lkit on the build out, which is really world class. So that is an area that we are working on, so, that it is fungible across different cus tomers as we go and build these data centers out.

Aditya Suresh – Macquarie

Thanks, Gopal.

Vaidehi Sharma – Moderator

The next question comes from Mr. Sumangal Nevatia. Mr. Nevatia, you may please unmute your side, introduce yourself and ask your question now.

Sumangal Nevatia - Kotak

Good afternoon. Thanks for the chance. My first question is on the wireless, one on the ARPU since we have seen very impressive , 5% organic growth year-on-year and in our opening remarks, a fo cus on accelerating ARPU. How should we look at this, in absence of tariff hikes, should we further expect some acceleration her e and then, on the wireless capex, we have hit a decade low at a round 16% of sales. Are we close to the bottom or should we expect further moderation before 6G capex kicks in the coming years.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Shashwat, can you take the first one and S oumen, maybe, you can take the second.

Shashwat Sharma – Managing Director and Chief Executive Officer (Airtel India)

So on the ARPU, I think, we touched upon this briefly, which was the fact that we see substantial head rooms- there are two par ts to it: one is really correcting the pricing architecture going forw ard, which as and when it happens will happen, but within the c urrent construct, levers of postpaid penet ration within our base, which we feel needs a mu ch larger unlock. International roaming, we will see how that plays out this year, but even upgrades within the consumption baskets of our customers and the data that they are consuming, we continue to be very optimistic and this will be our la rgest growth lever as well, so I think, that is what I woul d just reiterate.

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Coming to the capex on wireless, I think, 16% is a derived number, as Gopal said, the core would be funded completely, we will ensure it is funded, so it has moderated signi ficantly. Yes, it is one of the lowest as percentage sales, also in absolute term s it is very low, but if tomorrow we need to do higher 5G densification, we will not shy away, so we are not chasing a target but we wi ll be optimal and prudent in deploying whatever is required because that is the biggest of the core businesses.

Sumangal Nevatia - Kotak

Got it. One, just, last small question. On the homes ARPU, while we have seen impressive adds over the last few years, ARPU has been decelerating, so should we expect this trend to, kind of, continue, given we ar e in the land grab phase in the coming year s?

 Shashwat Sharma - Managing Director and Chief Executive Officer (Airtel India)

I will just take that. I think, on homes, if you see the new additions in the industry have happened at a slightly lower ARPU c ompared
to the traditional ARPU that we had but this is plateauing out. I think, some of our quarter-on-quarter ARPUs are kind of botto ming
out, which trend is, we are beginning to see in the last two quarters.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Just to qualify that, there are two ways to look at ARPU. One is, the customers that you acquire, new customers and the existin g
customers, so the existing customers simply because of penetra tion as it has grown, you had people on higher plans in the past and
so, just the mix kind of drives our ARPU down but that, as Shas hwat said, the acquisition ARPU is not declining at all over the many
quarters, so at some point, I think, the real challenge, here in homes, is to step up our penetration and really grab as much s hare of
homes because long-term, that will be a very si gnificant moat for the Company. This is a business that you return that is very
profitable over a period of time because the churn and the customer lifetime value of a home tends to be very low and this is, by the
way, this is all across the world and the moment you drive conv ergence, which means content plus mobility, the lifetime value
increases even more, so our metric, really, is to expand the base, right now, that is the focus.

Sumangal Nevatia - Kotak

Thanks and all the best.

Vaidehi Sharma – Moderator

We are very pleased to have Mr. Mittal join us on the call t oday. I request all the interested participants to kindly use the r aise hand
option to ask questions addressed to him. With this, the next question comes from Mr . Sanjesh Jain. Mr. Jain, you may please
unmute your side, introduce your self and ask your question now.

Sanjesh Jain – ICICI Securities

Thank you. Thanks for the opportunity. I thin k I will take this opportunity to address Mr. Mittal. Sir, just wanted to understa nd now
that we have executed the Africa stake sale and in the process, the promoter stake in the Company has gone up and we also have
a stated objective of having a equal stake along with the partner Singtel, now, how s hould we see whether you still continue to have
the view that it will be only Bharti Telecom, which will own B harti Airtel or you see an oppor tunity to have a equal stake with Pastel
and ICIL also owning along with Bharti Telecom?

Sunil Bharti Mittal – Chairman, Bharti Airtel Limited

You know, basically the belief remains that we must have ever ything through one Company, that s

hould be the controlling promoti ng
shareholder - Bharti Telecom, as you know , historically, has, just, not only been the founding promoter of this Company, has ha d
almost always, for a long period of time, a controlling shareholding of 51%. If you really ask me, my own wish is that in the n

ext, it is
hard to put in years on it, in the next decade as I, kind of, co me to a point where I hand over the reins to the next generatio n as
shareholders, Bharti Telecom should get back to controlling shareholding- 51% or just ov er 50%. So, that is 10% more to go and for
a Company of this magnitude and size, you can imagine, that it is not a small task. So, the principal direction or vision of th at I carry
in my mind is all share, that we can, from both ICIL or Bhar ti family entities and Singtel should go into Bharti Telecom as muc h as
possible. So, to put a bit more granular sort of angle to it, Si ngtel had a difference of about 7% or rather, has 7% direct sta ke in Airtel
and it had about 6% to equalize, now with this transaction, onc e this is done and shares are issued, this gap comes down to 3.6 %.
So first and foremost, we should see overall, this gap dramatically reduces and if Singtel, which has been on the path of a sel l down
of this direct stake, has to sell, now, much less than earlier. So, 3.6% over the next three years or so, let us say, three to four years,
so, one, less than 1% a year, gets Singtel onto the equalization path that they stated in the last two years and that brings us to equal
state and then, it will be during this period of effor t, depending on how well Gopal, Shashwat and Soumen and the entire
management team delivers this wonderful cash flows, more dividends and more buybacks, idea would be to keep using that twin
lever to get BTL above the 50% stake, that will be my cherished desire. Our stake must go back to BTL. For that, I need a littl e bit
more leeway in the hands of BTL, which I am hoping will be delivered through continuously enhanced dividend, as you are seeing,
and I think, hopefully, in the next couple of years, some buy backs in addition to the dividend and that will give us the necess ary
capacity in BTL to buy more. If I could do it today, honestly, I will do my transfer to BTL no w but BTL needs, that, little bit more room
and cash.

 Sanjesh Jain – ICICI Securities

That is very clear, Sir, very helpful. Thanks for that answ er. Two questions on Shashwat and Gopal and team. First, on the
enterprise business, you said the order book has grown 17%, whic h is quite heartening to hear, how should we see growth rate,
now that the commodity business, which we discontinued is behind and the growth rate for FY2027 should be significantly better
than FY2026 and will this also mean that the new business will come with a better ROCE in the enterprise part of the business, that
is number one. And, second, on the adjacencies, we have been s eeing there is a widening gap of ma rket share between us and Jio,
we are, more, using fiber as a lever to grow, FWA appears to be having a lower lead time and they are able to grab the customer
base much faster, how should we see our strategy of heavily focu sed on fiber versus FWA for the peer? That is my first question .

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Sanjesh. Thank you. On B2B, the B2B bus iness actually comprises of a whole portfolio of businesses. So, on the one hand you
have got a commoditized business, which is really messaging, where the margins tend to be low but there is also no capex, is ju st
riding on the existing pipes and th is business

is sort of flattish to declin ing slightly depending on how you skin it, fundamen tally because of price pressures as well as the mo ve to OTT platforms, so this is one par t of the business. The second part of the business is, really, connectivity which is growing. The industry grows at about low si ngle digits. We have been growing faster because we have been gaining share over the last few years and we continue to focus on connectivi ty. We have a leading position here in connectivity, particularly in dist ributed businesses, manufacturing, distribut ion, banking, financia l services, etc., e tc. We need to do, perhaps, a slightly better job in the IT and IT services space, but we hav e leading positions here on connectivity. Then you come to the third part of the portfolio, which is data centers, which we have already spoken about and the fourth part of the p ortfolio is our digital businesses. The digital bus inesses are essentially CPaaS. These are ,s ort, of value added over the basic messagi ng where, you know, the kind of things we hav e done on spam, the first project that we st arted with HDFC, working with a direct pi pe that really cut spam altogether, no capex here, right, so the margins tend to be lower because when you start looking at EBITDA , it is not necessarily a relevant indicator bec ause there is no capex on that business. T hat is one type of business. The second is security. Security comprises of, basically, our security operations center, that is a service business, agai n, very little cape x, it is people who run it and tools that run it and then partnerships with security companies which se ll products, again, no capex. The n there is cloud, which has high capex, so, when you look at all of this, if you ask me, if we have to step up growth, there will be some margin pressures because there is just a mix of the business, connectivity, we will always continue to have very high margins, CPaaS will have lower margins and digital businesses will have lower margins. Our effort has to be to grow the topline faster a nd grow the absolute EBITDA, absolute profit faster. I think that s hould be the focus of this business and that is really what we are embarked on. On the home broadband piece, Shashwat will add to this , but I feel, for us to comment on a competitor and how they are performing is not a relevant thing to do today. The way that we look at it, Sanjesh, is, we have various ways to look at ou r competitive performance. We use OTT platforms like Meta, which hav e very rich data that is provided on the number of sessions o r the number of connections that are run on different mediums, whethe r it is wireless, it is fixed or it is fixed wireless access and when I look at that over the last few quarters and I must say that this was not true two quarters ago. Over the last couple of quart ers, our performance has been very, very delightful.

Shashwat Sharma - Managing Director and Chief Executive Officer (Airtel India)

Yes, Sanjesh the only thing to add on that is also what we are seeing is, if we can get a customer on fiber, that is the best t ype of customer. For us, the wireless strategy is augmenting reach a littl e bit, so wherever we cannot get, we put in there but we wil l stay fiber first Sanjesh, and I think we can and as Gopal said, on the wa y we measure it, is slightly differently but we will stay f ocused on just building as much business as possible through fiber.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Sanjesh, there is one other thing that is happening which is, I think Shashwat alluded to this, that the rising prices of chips ets and memory, particularly on fixed wireless access and if you recall, like a year ago when we doubled down on fixed wireless access, the cost to connect to home was more or less the same as fiber. That has fundamentally changed in the last three to four months. Th e fixed wireless ac

cess has now become very much more expensive. So we have pivoted the whole company back to a dramatic obsession on fiber. In fact, a lot of digital tools have been roll ed out to minimize the leakage that we are seeing of installi ng a fixed wireless connection where a fiber is available and that has almost come to zero now because of the digital tools that have been

launched. That has actually been triggered in the month of April a nd that will play out over the course of the next couple of m
onths
before we sort of really ramp this up in a very big way.

Sanjesh Jain – ICICI Securities

That is very clear. Thanks, Gopal. Just one bookkeeping ques tion probably. I see the EPS translation from the EBITDA has
been
little weaker in my view. The interest and finance cost has been quite sticky at Rs .4000 Crores while our net add keeps
coming
down, even I was just looking at India business, our interest and finance cost continues to remain little sticky while the dele
veraging
effort continue. Soumen, can you help us understand what is stopping the finance cost to fall in the same pattern as our net
de bt
and when should we see the transition?

 Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

I will answer that quickly. There are two parts, the consolidat ed and India. In consolidated, there has been a bit of one-off i n
Africa
which will unwind and in India, a large part of debt reduction actually happened towards the end of the quarter. The money of
t he
rights also came in around end of mid of March, the payment of the AGR dues happened on the last day, so, there is
reduction an d
you will see reduction going forth. Thanks, Sanjesh.

Sanjesh Jain – ICICI Securities

Thank you, Sir. Thanks for all those answe rs and best of luck for the coming quarters.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please unmute your side, introduce
yourself and ask your question now.

Vivekanand Subbaraman – Ambit

Thank you so much for the opportunity. Mr. Mittal, you shared certain as pirations, like your desire to see BTL’s stake in Airte l
falls
(recheck) to 51%, in the past, you also m entioned about a subscriber target of around 800 million, now, with this new bet in le
nding,
what are the other growth areas that you may be looking at, per haps, which could be growth engines for the group, let us
say, i n the
next decade? That is my first ques tion. I will ask the other ones for Soumen. Thank you.

Sunil Bharti Mittal – Chairman, Bharti Airtel Limited

Airtel and India, as a combination offers a once in a lifetime opportunity to any corpor ation anywhere in the world, with a bil
lion and a
half people- young, hungry for more services and products, a growing country, there is an opportunity which is very rare.
There are
opportunities that have been available to com panies in China of this scale. I cannot r eally think of any others other than OTT
players
like Meta and Google and all who have had globe to play with and Chi na, as you know, has been having restrictions that
have bee n

confined locally home. So going into Africa, 15 years back was a very, very forward looking visi onary move that we made and tod ay that is paying dividends and as Gopal earlier alluded, Africa is there probably India was 10 to 12 years back, you got another billion plus young people growing at rapid clip and what India saw in the last 10 years. In Africa will see in the next 10 years. So, i t is really a very strong to play market for us in a very, very densely

populated young population and as more AI, as more technology, take s roots, we become more and more relevant by the day and in most African countries, there are onl y two operators, somewhere there are three, but mostly two.

India has already got three private operators, amongst which, two are having a very la rge dominant market share. It is a once i n a lifetime opportunity and we should add whatever we can add that makes sense. We have been very disciplined, we have not gone into areas that do not meet with the core of a business, and we never had this good problem to solve for, more cash coming than what we need for our core business. Allocate everything to core , allocate more and what is required for growing areas like data center and cloud. Also, look at adjacencies but with a very, very strong disciplined lens. These financial services have been m uch talked about in the analyst community and investors. The fact is, we are looking for a very small, controlled financial service s business at the moment. If it starts to yield great result s and you come back and encourage us to do more, we will do more, otherwise what are we saying, we want to give small ticket lending to our own customer base who we understand deeply well and we have demonstrated over the last year-and-a-half to two years t hat that lending that we do is significantly superior to the b est-in-class in the industry and even people like Bajaj Finance and many ot hers come to us to do the LSP program because we identify customers who pay significantly better than the industry benchmark. So there is a clear method behind what we are doing and the total amount that we are looking at allocating in the next five years, we have stated Rs. 20,000 Crores, of which Rs.14,000 Cro res has to come from Airtel. It looks like it will be probably significantly less than t hat, as for the work that we have been doin g, it may be much less than that number. We are talking about a very small amount over five years being allocated to financial services and after one to one-and-a-half years, if we do not s how our demonstrable proof of the success that we are getting, then you will be sure that we will not be throwing in money behind business that is not ma king sense for us. We have s poken in the past about expanding in the other geographies. We are very mindful that we have task to do. This Africa exchange of shares that was announced yesterday is akin to acquiring another Company of a large size. A $3 billion transaction means you are making an acquisition and you are making an acquisition of a business that you know deeply well, a business in which all of us are working day and night, adding value, we need to own more of it. Thankfully, the UK regulations allow you to go up to 90%. With this move, in one fell swoop, we have gone up to, now, 78%. Ambition for Airtel should be whatever is allowed to go up to 90%, one day should get there and that is being ably helped by Airtel Africa's own buy back program. They have been doing buybacks fr om time-to-time. Hopefully in the nex t few years, with the buyback program and if so me other block comes from any other invest or to Airtel's attention, we will probab ly, in the next several years, get to that point of owning more of Africa so that we can get more income flowing back to the mothershi p- Bharti Airtel and reward our shareholders even more and then, a fter giving allocation to all this, if we are still left with mo re money, as I mentioned, we will do more dividends we will do buyback pr ograms but we will never becom e like IT companies, who have done nothing but just taken money out as dividends and buy backs, dividends and buybacks and they become a shadow of themselves. Many of those companies s hould have been buying leading edge businesses in t heir own industry in the last 10 to 15 years, they would have been in a different position today. Y ou will probably come back and encourage us, go buy some more good value telecom assets around the globe, but I think that, as Gopal said, nothing in the table today, it is, probably a medium to longer term horizon, we will come back to you, but I think, we w ill get to a 800 million customers by way of mobile, home broadband, o ur digital services, our financial services and both between India and Africa, getting to 500 million here and 300 million in Afri ca is a dream which is visible. You can lo ok at that. It is not too far.

Vivekanand Subbaraman - Ambit

Thank you, that was very helpful. Shashwat and Gopal, extending on your question on pric ing architecture, what will it really t ake for the industry to move to usage based pricing because we have also seen that since the ti me leading two telcos rolled out 5G, the re is still an unlimited offer going on and the two of you perhaps have not yet decided to move even 5G to meter data, so is there a path that you have in mind to moving to metered data or is it just an aspiration still? Thank you.

Gopal Vittal – Executive Vice Chairman, Bharti Airtel Limited

Vivekanand, I am mindful of time. So, we, probably this will be the last question before I hand it to Vaidehi. As of now, it is a competitive market. We will not do anything that will hurt our bus iness. I have just mentioned that this architecture does not make sense. Let us see how this plays out over time. Vaidehi, back to you.

Vaidehi Sharma – Moderator

Thank you very much Gopal. Thank you ever yone and thank you for joining us, Mr. Mittal. We will now begin with the Bharti Hexacom earnings call. I would like to hand over the call to Mr. Soumen Ray for his opening remarks on Bharti Hexacom performance. Over to you, Mr. Soumen!

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Thank you, Vaidehi and good afternoon, everyone. Welcome to t he Bharti Hexacom Q4 FY2026 earnings call. I have with me, Karthik and Naval on the call. I will start with our FY2026 perfor mance. We delivered strong results with continued operating leverage, led by razor sharp execution and operational excellence. Revenues and EBITDAaL growth came in at about 9.4% and 17.9% respectively. Margins expanded by 3.4% to 47.6%. Strong operating leverage is attributable to the continued efforts on portfolio premiumization and our war on waste agenda. The Company further strengthened its position in both markets with sustained revenue and market share improvement. The homes and office business saw stellar performance with 51% revenue growth and the highest ever net ads of 395,000. Our IPTV se rvices launch is seeing str ong traction and strengthening our convergence strategy. During the year, our capex spends were directed towards 5G densification, network modernization and growing our homes and IPTV business rapidly. Despite that, our operating free cash generation, which is EBITDAaL minus capex, came in at about Rs. 2935 Crores, a solid 27% increase over last year. Balance sheet is robust with a net debt excluding leases , at about Rs. 2000 Crores. The Board recommended a dividend of Rs.18 per share as compared to Rs.10 per share last year, in line with our philosophy of progressive payout.

Moving to a quick update on our Q4 performance, we delivered anot her quarter of strong performance with revenue of Rs. 2414 Crores, growing 2.3% sequentially. EBITDAaL for the quarter came in at over Rs. 1155 Crores with a margin of 47.9%. We ended the quarter with mobile customer base of 28.8 million. Net cu stomer addition for the quarter came in a

t about 370,000. Smartpho ne customer addition was strong at almost 5 lakh, about 4,78,000, hi ghest in the last four quarters. ARPU for the quarter was Rs.2 52, impacted by two days less, whilst on an EDB basis, it would be cl oser to about Rs. 257 to Rs. 258. Our homes business continues to see strong momentum with record high net ads of 148,000, dr iving a revenue growth of about 21% sequentially. This momentum is underscored by our FWA expansion to new er pin codes, continued deepening of FTTH foot print and the rollout of IPTV. Capex fo r the quarter was Rs.586 Crores. Acceleration was as planned, oper ating free cash generation, wh ich is EBITDAaL minus capex, came in at about Rs. 570 Crores. With that, I will hand over to Vaidehi to open the floor for questions.

Vaidehi Sharma – Moderator

Thank you very much, Soumen. We will now begin the Q&A interactiv e session. Due to time constraints, we would request if you could limit the number of questions to two per participants to enable more participation. Interested participants may click on raise hand option on the Zoom application to join the Q&A queue. With th is, the first question comes from Mr. Sanjesh Jain. Mr. Jain, you may please unmute your side, introduc e yourself and ask your question now.

Sanjesh Jain – ICICI Securities

Thanks, Soumen, for taking the question. I got two. First, on the co mparison of mobile growth of Hexacom versus Airtel, in this year, on both the levers, Hexacom has performed lower than Airtel on rev enue, we were 8.3 and Airtel was close to 12, on an EBITDA we

 were 15 and Airtel was 17 odd. I thought we had a lever to grow faster than Airtel under penetration and all those levers we ha d, what changed in this quarter and how should we see it for the next coming year, should this accelerate. What are the corrective measures we have taken, that is number one? Number two, on th e utilization of cash flow, all the peripherals what we are doing is at Airtel level. Hexacom largely restricts it self to mobile and FTTH where it is fully funded, should we see a much sharper payout ratio in Hexacom in the coming years? T hese are my questions. Thank you.

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Thanks, Sanjesh. Sanjesh, I think our impression that Hexaco m is underpenetrated the two circles that it operates, has borne ou t well. I mean, of course, we can cut the data the way we want but we have done reasonably well, the ARPU gap is much closer, we have been able to close the ARPU gap. As I had told earlier al so, the postpaid penetration bit and the IR bit will be a little differential, as you know, and as I think, mentioned earlier in the call. The smartphone upgrade will see a bit of stress and hence, we might lag a little bit because that is a very strong i ndicator. We will be launching some new wa ys of driving convergence and we will see h ow best we can accelerate the growth of Bharti Hexacom. I would sa y it is competitive, it is not lagging the market and we continu e to look at opportunities as to how to grow faster. ARPU has certai nly come out well. We will continue to look at customers as well . On the next question around utilization of cash flow, yes, some of th e growth engines that the parent has are not available to Hex

acom.
Now, it has two challenges Sanjesh. One c hallenge is, of course, the requirement of investment is not there but on the flip sid e, the growths and the new growths will be to that extent restricted. We have increased the dividend payout significantly and we have been c

ommitted that we will be looking at a pr ogressively increasing dividend payout and we continue to remain on that. I think we h ave moved from 3 to 4 to 10 to 18, so I think, we have been sti cking to our word around progressi vely increasing the dividend payou t.

Sanjesh Jain – ICICI Securities

Thanks. Thanks, Soumen. That is very clear. Just one, if I may squeeze. On the FWA, consideri ng all the issues around chips, which Gopal spoke, do you see home growth can slightly decelerate until this entire ch ip situation get resolved for Hexacom? So that was one big lever for us.

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Yes. So, how do you look at FWA? The way we look at FWA is what is the cost of a connected home? What is the cost of connecting a home? Now, in difficult terrains with fiber, cost of connecting a home is much higher than, let us say, in a plane , let us say, if you are in Maharashtra, it is much easier to lay fiber or in Tamil Nadu or in such places. If you go to NESA, actually, FWA creates an opportunity to go around and connect more homes, which, it will be difficult with fiber. So, I do not think that whi lst prices will go up and we will pivot to fiber wherever we can, we are going to give up on the opportunity of acquiring more homes and o ffices through either FWA or fiber in Bharti Hexaco m. No, we will not let up on that opportunity.

Sanjay Jain – ICICI Securities

That is quite clear, Soumen. Thanks very much for ans wering all those questions and best of luck for the quarters.

Vaidehi Sharma – Moderator

The next question comes from Mr. Pranav Kshat riya. Mr. Kshatriya, you may please unmut e your side, introduce yourself and ask your question now.

Pranav Kshatriya – Emkay Global

Yes, thanks for the opportunity. My first ques tion regarding the count of the ARPU, so if I look at this quarter's results, we had a fairly good growth in the base as well as postpaid addition; however, ARPU growth has not happened. You partly explained in th e opening remarks that there was some impact of international roami ng, is that the only factor which impacted the ARPU in this quarter or there is something else which is playing out?

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Well, yes, there is something else which is played out, which is the whole, eat as much as you can on 5G packs, that is the mor e adoption happens, that will clearly create a headwind. However, having said that, the ARPU that we give is the average for the quarter. I mean, the exit for the quarter, the quarter plays out there at three months but, Pranav, there is no red flags per s e, on ARPU, in terms of, is there a cause of concern. The headwinds that we have are similar to any other player in any other geograp hy, which is lower international roaming, hands et prices slightly going up and hence having a pressure on 2G to 4G upgrades and the fact that we now have a pack which destroys the whole price l adder, which any Company should have. If you are selling something ,

 the more you consume the more you pay, not necessarily in the sa me ratio but certainly in absolute terms. With that getting bro ken, so, those are the headwinds which are there for this or ganization as well as for any player in this country.

Pranav Kshatriya – Emkay Global

Thank you. My second question is there has been a good acquisition in the homes sub scriber addition. Should we expect the pace of addition to continue or there could be some headwind?

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Pranav, first of all, I cannot give you forw ard-looking statements. We do not give gui dance but see, the objective is to contin ue to grow. As of now, there is no reason for me in earnings call to fl ag off that there is a concern, but it is a competitive market , so the competition part always exists, but there is no fundamental reason why we are letting up on our effort to grow homes as much or even more. So the effort will continue. Two months from now, we will meet again, three months from now we will meet again and w e will see. As I said, whilst the chipset prices have gone up, we ar e not relenting on our effort on acquisition. We are pivoting - if the fiber is available, we would like to go fi ber first and also trying to see how much we can lay fiber. As mentioned to the previ ous questioning per participant Sanjesh, it is a difficult terrain and so to that ex tent, the pivoting in these two geographies wou ld be a little less than some other geographies, where it is much easier.

Pranav Kshatriya – Emkay Global

Thank you so much. That is it from my side. I wish you all the very best.

Vaidehi Sharma – Moderator

The next question comes from Mr. Vivekanand Subbaraman. Mr. Subbaraman, you may please unmute your side, introduce yourself and ask your question now.

Vivekanand Subbaraman – Ambit

Thank you very much for the opportunity. I am Vivekanand from Ambit. Just one question. What does the regulatory charge this quarter pertain to, is there any new demand from the government which has affected you this quar ter? If you could clarify on th is, it will be great. Thank you.

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Well, you know, as a prudent organization, we look at all the basket of charges and whatever is happening in the ecosystem and we follow a very prudent accounting policy and we do it from time-to- time. There is a regular cadence that we do, guided by, along with the auditors and by the Board and audit committee. So we have felt t hat there is something that we should, in a prudence, take provision for, which has been disc losed. There is nothing new, exceptional or unear thly which has come. It is just interpretati on of issues as time progresses and various th ings happen in the ecosystem but nothing new.

Vivekanand Subbaraman – Ambit

Soumen, just to understand better, this charge was earlier perhaps part of contingent liabiliti es and has now been provided for is that how one should think about it, since you are saying that there is no new demand?

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Well, I will not get into specific details but it is not a new thing. It was an existing thing. The interpretation of that exis ting thing has been changed and accordingly it has been provided for.

Vivekanand Subbaraman – Ambit

All right. Thank you and all the best.

Vaidehi Sharma – Moderator

Thank you, everyone. Now, I would like to pass it back to Mr. Soumen Ray for his closing remarks.

Soumen Ray – Group Chief Financial Officer, Bharti Ai rtel Limited and Director, Bharti Hexacom Limited

Thanks a lot, everyone, for joining the call for Q4 FY2026. I look forward to catching up with all of you in the next quarter. Thank you.

Vaidehi Sharma – Moderator

Thank you, everyone, for joini ng us today. The recording of this webinar will be available on our Company websi te. Have a great day ahead. Bye.